

Persistent Systems Ltd. (PERSISTENT)

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July 26, 2022

The Manager

Corporate Services

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra (E), Mumbai 400 051

Ref: Symbol: PERSISTENT The Manager

Corporate Services

Bombay Stock Exchange Limited

14th Floor, P J Towers, Dalal Street,

Mumbai 400 001

Ref: Scrip Code: 533179

Dear Sir/Madam,

Sub: Transcript of investor/analyst call held on Friday, July 22, 2022

Ref: Our earlier intimations under reference no. NSE & BSE / 2022 -23 / 68 dated July

13, 2022 ('Intimation')

In continuation of the above-referred intimation and Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the Transcript of the investor/analyst call held on Friday, July 22, 2022, for your information and records.

The transcript of the Analyst Call is also made available on the Company's website

The link to access the same is as follows: Analyst-Call-Transcript-Q1FY23.pdf (persistent.com)

This is for your information and records.

Please acknowledge the receipt.

Thanking you,

Yours Sincerely,

For Persistent Systems Limited

Amit Atre

Company Secretary

ICSI Membership No.: A20507

Encl: A /a

Persistent Systems Limited, Bhageerath, 402 Senapati Bapat Road, Pune 411 016, Maharashtra, India

CIN - L72300PN1990PLC 056696

Tel: +91 (20) 670 30000 | Fax - +91 (20) 6703 0008 | E-mail - info@persistent.com | Website - www.persistent.com

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"PERSISTENT SYSTEMS EARNINGS CONFERENCE CALL ,
FIRST QUARTER , FY23 ENDED JUNE 30, 2022 "
July 22 , 2022

MANAGEMENT :

Dr. Anand Deshpande

Chairman and Managing Director

Mr. Sandeep Kalra

Executive Director and Chief Executive Officer

Mr. Sunil Sapre

Executive Director and Chief Financial Officer

Mr. Saurabh Dwivedi

Head, Investor Relations

Mr. Amit Atre

Company Secretary

Moderator: Ladies and gentlemen, good day and welcome to Persistent Systems' earnings conference call for first quarter of FY23 ended June 30, 2022. We have with us today on call Dr. Anand Deshpande, Chairman and Managing Director, Mr. Sandeep Kalra, Executive Director and Chief Executive Officer, Mr. Sunil Sapre, Executive Director and Chief Financial Officer, Mr. Saurabh Dwivedi, Head of Investor Relations, and Mr. Amit Atre, Company Secretary. Please note, all participants' lines will be in listen-only mode and there will be an opportunity for you to speak and ask questions after management's opening remarks. Should you need any assistance during the conference call, please raise your hand from the participant tab on the screen. While asking questions, request you to please identify yourself and your company. Please note, this conference is being recorded. I now hand over to Mr. Sandeep Kalra. Thank you and over to you, Sir.

Sandeep Kalra: Thank you, moderator. Good afternoon, good morning, good evening to all of you, depending on where you're joining from. It is good to be with you once again. As always, we would like to start this call by thanking each one of our 21,600-plus Persistent team members, our customers, our partners, and shareholders for their continued support. I would also like to take this opportunity to congratulate my colleague, Saurabh Dwivedi, our Head of Investor Relations with whom many of you interact on a regular basis. Saurabh and his wife were blessed with a new-born baby girl earlier this week. We would like to start this call with a video summarizing the quarter gone by. For those of you who may not be joining this call with a video, please bear with us and we'll go through the details in call as we progress through the call. Can I have the video please?

This was a quarter of growth across all major business metrics despite an evolving macroeconomic environment. The revenue for Q1 came in at

\$241.52 million, giving us a growth of 11.1% quarter-on-quarter and 44.8% on year-on-year basis. In rupee terms, this translates into a growth of

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14.7% quarter-on-quarter and 52.7% on year-on-year basis respectively. This was the first full quarter of consolidation for Data Glove, while Media Agility was consolidated for a period of nearly two months from May 4, 2022. Adjusting for the revenue from these required entities, our organic growth for the quarter was 5.6% on a sequential basis and 30.5% on a Y-o-Y basis in US dollar terms. As you are aware, this robust growth comes on the back of four successive quarters of 9%-plus sequential growth, most of which was organic.

Coming to EBIT, our EBIT for Q1 came in at INR 2,688 million, giving us an EBIT margin of 14.3%. This translates into an EBIT growth of 16.8% on a Q-o-Q basis, and 61.4% on Y-o-Y basis. Our EBIT margin expanded by 30 basis points on a sequential basis despite various headwinds including continued supply side challenges, higher travel costs, higher amortization, and visa cost, which happens once in a year in the Q1 for us. Healthy revenue growth and currency were the key tailwinds that aided margins. Sunil will go in much more details on the EBIT margin movement later in the call.

Coming to the order booking for the quarter, Q1 was a record high for us in terms of TCV orders won. The total contract value for the quarter came in at \$394 million, with new bookings TCV coming in at \$230.3 million. The annual component of the contract value from this TCV is to the tune of \$263 million, of which the new bookings ACV contributed \$139.8 million. All of these data points are reflected in the transcript shared with you. As you may already be aware by now, these booking numbers, TCV and ACV include all bookings, small and large, renewals, as well as new bookings across existing and new customers.

On the people front, we brought in a total of 3,039 new colleagues including 545 from our acquisition of Media Agility. This brings our total Persistent Systems Limited

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employee base to 21,638 as at the end of June 2022. This is the first quarter where our employee count has crossed 20,000 and it's a proud milestone for all of us at Persistent. Out of the total net hiring, we added 1,950 fresh graduates in line with our strategy to expand the sources of talent for a profitable growth going forward. These fresh graduates are undergoing training in various technology and business areas and will be deployed over the next three to six months. We expect to add another 1,350 fresh graduates in Q2 this financial year as a part of our fresher hiring program. The utilization for the quarter came in at 79.5%, a 1.1% decline from 80.6% for Q4. This utilization is excluding the freshers added during the quarter. For your reference, the freshers are taken in the utilization calculation post a three-month training period at Persistent.

Also, the utilization rate is a function of our endeavors to operate efficiently while maintaining a healthy buffer to staff future programs on time. Fresher addition and increased utilization over time will be key operational levers for us to absorb the impact of wage hikes in Q2 and other margin headwinds going forward, while giving us the cushion to grow the way our bookings are. The trailing 12-month attrition for the quarter came in at 24.8% compared to 26.6% in Q4 excluding the substantial addition of freshers as mentioned above. The trailing 12-month attrition for the quarter came in at 26.3%. We continue to focus on strengthening our employee value proposition through various initiatives including employee engagement, L&D interventions, career planning, as well as suitable monetary incentives.

We do expect the trailing

12-month attrition to gradually moderate over the course of financial year driven by fresher addition across the industry and better EVP outcomes at our own organization. There are a few other highlights from this quarter that I would like to share with you. The quarter gone by saw some changes in our Board composition. The term for three Persistent Systems Limited

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of our Independent Board Members, Pradeep Bhargava, Thomas Kendra, and Guy Eiferman came to an end at the recently concluded AGM. I would like to extend sincere gratitude to Pradeep, Tom, and Guy for their contribution to our Board. They've been strong pillars in our growth journey, and we would like to wish them the best for their future. At the same time, I'm excited to welcome Arvind Goel, Dr Ambuj Goyal, and Dan Lewin to our Board and we look forward to working closely with them for the next phase of Persistent's growth. We have shared more details on our Board members on our website and as a part of our AGM as well. Coming to acquisitions, the integration of our acquired businesses is progressing well. We are pleased with the way our Data Glove and Media Agility teams are integrating with the broader organization. We are seeing some early wins as a result of teamwork and cross-pollination of capabilities across our unified customer base. We are confident all this will bode well for us as an organization and each of our acquired entities will fuel a new avenue of growth for us over the coming quarters and years. Coming to ESG, we continue to make good progress on the ESG front. We onboarded Ms. Chitra Byregowda as our Head of ESG. She comes with extensive experience in the field of sustainability, diversity, and inclusion, as well as employee well-being, and has worked with reputed IT services firms in similar roles earlier. We also released our inaugural ESG report for FY 2021-22 last month along with our annual report, wherein we have highlighted our short, medium, and long-term ESG goals. This report is available for your reference on our website as well as with the goals clearly articulated.

In summary, we are pleased with the strong start to financial year 23 with

healthy revenue growth, strong order wins across our focused industry segments, a healthy pipeline, stable profitability despite increasing Persistent Systems Limited

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amortization on account of acquisitions. With this, I will turn the call to our CFO, Sunil Sapre to give a detailed color on the quarterly financials and related matters. I'll come back after Sunil's comments to give you some more details on key client wins and list of awards, and other recognitions for the quarter. Sunil, over to you.

Sunil Sapre: Yeah, thank you, Sandeep and good evening, good day to all and thank you for taking the time to join us today and Sandeep has given you an overview of the business performance. Let me walk you through the financial details for the quarter ended June 30th. We had another strong quarter of growth, revenue for the quarter at \$241.52 million and Q-o-Q growth of 11.1% and Y-o-Y growth of 44.8%. Of this, the organic growth was 5.6% and 5.5% came from acquisitions. As you will recall, we had announced these acquisitions, one Data Glove in March 2022 and Media Agility during May 22. Revenue for the quarter in INR terms was ₹18,781 million, reflecting growth of 14.7% quarter-on-quarter and 52.7% year-on-year.

Our services revenue continued to grow strongly and registered growth of 13.5% quarter-on-quarter while IP-led revenue declined by 12.8%, largely on account of lower royalty income during the quarter. Coming to the segmental growth for the quarter, we saw all the segments registering healthy growth. BFSI grew by 15.6%, Technology Companies segment grew at 10.1%, so some of the inorganic growth came in this segment, which is the Technology Companies

segment, while Healthcare grew by 6.7%.

In terms of nature of revenue, offshore linear revenue grew by 11.1% primarily on account of volume growth of 9.3%, while billing rate increased by 1.6%. The onsite linear revenue grew by 17.4%, comprising of volume growth of 17.2%, while billing rate increased by 0.2%. Now to give you a little more color on the movement of customer segments, you would have noticed that from this quarter onwards, in line with requests from some of Persistent Systems Limited

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you, we have started to disclose revenue from our Top-20 and Top-100 customers in addition to revenue from Top-1, Top-5 and Top-10 customers as we have been earlier providing. On a year-on-year basis, Top-1 customer revenue saw marginal decline of 0.6%, Top 2-5 client category grew by 41.4%, Top 6-10 by 42.2% and Top 11-20 by 52.7%, Top 21-50 by 48.6% and Top 51-100 by 58.2%. So, what these data points indicate is a reflection of healthy broad-based growth across our customer segments and bodes well for us from a client concentration perspective.

Further, starting from this quarter, we are also providing additional details on the client buckets for the quarter gone by. Customer count in greater than \$30 million bucket rose to 3 from 2 in the last quarter, in \$20-30 million bucket the customer count has remained constant at 2, in \$10-20 million category as well, the count is steady at 6, in \$5-10 million category, the count was stable at 15, while in \$1-5 million category, the number of customers increase from 93 in the last quarter to 104 in this Q1 of FY23. Just to clarify, this customer categorization is on TTM revenue and not forward-looking revenues of these customers. The comparative data on these customer categories has been provided in the fact sheet as a part of our earnings disclosures. We hope these additional disclosures will give better insights into and confidence on the broad-based nature and momentum of the business.

Coming to the margins, as you know, during the quarter, currency movement was favorable and had 90 basis points positive impact on margin. The higher travel expenses include H1B visa filing costs this quarter, which is a seasonal feature. We could collect some of the receivables, which were provided for earlier, releasing some basis points to the margin and with that, EBITDA for the quarter was 17.7% as against

17.2% in the previous quarter and 16.4% in Q1 of last year. Coming to depreciation and amortization, amortization was higher on account of the Persistent Systems Limited

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new acquisitions. During the quarter, we acquired Media Agility, while Data Glove was acquired in March 22. Thus, this quarter had the full quarter impact of Data Glove acquisition and about two months' impact of Media Agility acquisition. With this, EBIT came in at 14.3% versus 14% in the previous quarter and 13.5% in Q1 of last year.

We have consolidated Persistent ESOP Trust's Financials starting from this quarter. As you know, the company has given a loan to ESOP Trust for purchase of shares from the secondary market and the interest earned on this loan as a result of consolidation has been eliminated in the financial statements. This was one of the reasons for lower treasury income.

Secondly, we also spent significant amount of cash, about INR 400 crores to fund the acquisitions over the last two quarters, the acquisitions of Data Glove and Media Agility. Thus, the treasury corpus has reduced to that extent over last few months, and then there is a small impact of mark-to-market on the long-term mutual funds due to increase in interest rates on the back of higher inflation. The treasury income for the quarter was ₹89 million as against ₹251 million in the previous quarter. Forex gain was ₹42 million as against ₹120 million in the previous quarter. With that, profit before

tax was ₹2,819 million at 15% as against 16.3% in the previous quarter.

ETR was 24.9% as against 24.8% in the previous quarter and PAT for the quarter was 2,116 million at 11.3% of revenue as against ₹2,010 million in the previous quarter at 12.3% of revenue. EPS for the quarter was ₹28.50 as against ₹26.30 in the previous quarter. For the purpose of EPS calculation, shares held by the ESOP trust are reduced as treasury shares and hence, while the growth in EPS is 8.4%, the growth in reported PAT is 5.3%. Operational capex for the quarter was ₹1,136 million. Cash and investment on the books as on 30th June was ₹14,792 million as compared to ₹17,473 million at the end of March. DSO came in at 60 days as against Persistent Systems Limited

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59 days in the previous quarter. Marginal increase in DSO was due to certain collections spilling over to the first week of July. Forward contracts outstanding at the end of June was \$175 million at an average rate of ₹78.48 per dollar. With hedges in the recent period coming in at forward rate of ₹80-plus, the average rate will get adjusted upwards for a couple of months.

So, with this, I thank you all and I hand it back to Sandeep and we'll then come back in Q&A.

Sandeep Ka Ira: Thank you, Sunil. Before I get into specific details of our key wins and client metrics, I would like to briefly talk about the developing macroeconomic situation and proactive steps being taken by us. As you would know, there are a number of headwinds being experienced by the global economy. On our side, we are focused on staying close to our customers and making proactive efforts to help them in their strategic priorities, as they shape their businesses to address the changing macroeconomic environment. Many of our customers have started long-range transformation initiatives during the last one to two years and these are critical for them to deliver on their business transformation.

The current environment is also accelerating opportunities for us to help our customers optimize their spend, both on the enterprise segment as well as the tech segment, likes of enterprise software companies etc, in addition to helping the customers on the transformation initiatives. In fact, some of the largest wins in the recent quarter have been with a focus to help our clients optimize their businesses, prepare for any potential downturn in the future. We are seeing the nature of client demand changing and we are addressing the demand, be it revenue growth

initiatives or cost optimization initiatives. Overall demand environment for us stays very healthy. We'd like to reiterate, thus far we have not seen any Persistent Systems Limited

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material delays to any client decision making and our pipeline and deal wins reflect the same. Nonetheless, we will be prudently watching the situation and will continue to be on the lookout for any client or industry - specific developments.

Now to give you a color on the key client wins for the quarter, starting with the Software, Hi-Tech, and Emerging industries. We were chosen by as an engineering partner to enhance the road map of a select suite of products for one of the leading European software companies. It is an enterprise software company and the deal is a seven-year deal in excess of \$50 million and it is the largest single deal by far for us from the European continent. We were chosen by one of the largest technology companies to provide near-shore support in domains such as networking performance, high availability, device deployment, directory services, and user experience etc. This deal is a multi-million deal and is an example of a large deal achieved through our go-to-market synergies with one of the acquired businesses.

On the Banking Financial Services and Insurance side, we were chosen by one of the largest listed third-party administra-

tors of insurance services to modernize its data center and provide cloud transformation and infrastructure services. This is a five-year cloud and infrastructure managed services deal and is another example of a large transformation deal over the past few quarters. We were chosen by one of the leading India-based NBFCs for their wealth management business to create a data platform for intelligent insights, customize reporting, and digital transformation for their CRM function. This is a multi-year multi-million dollar win for us on the Salesforce platform.

Coming to the Healthcare and Life Sciences side, we were chosen by one of the leading health tech players for platform architecture modernization Persistent Systems Limited

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and engineering for their core administrative processing system targeted at health plans. This is a five-year engineering deal and is one of the larger ones in the healthcare domain for us in the recent quarters. We were chosen by one of the largest multinational healthcare and insurance providers as a digital transformation and product engineering partner for their clinical business unit. This is a three-year multimillion-dollar deal with end-to-end program ownership.

Moving on to awards and recognitions for the quarter - Q1 saw us get continued recognition from industry-leading analyst firms and associations. To mention a few - for the 9th consecutive quarter, we were in the ISG Booming 15 Under a Billion. We also entered Brand Finance Top-100 India brands for the first time and were recognized as the third-fastest growing Indian brand overall. We were also recognized as one of the Top-10 IT brands in India. We were recognized as a Disruptor in the Salesforce Services 2022 Radar View report and were featured as a Challenger in Applied AI and Advanced Analytics Services 2022 Radar View report. We were recognized as an Honored Company, one of seven such companies across Asia, ex-Japan by Institutional Investor magazine in the 2022 Asia Executive Team, Small and Mid-Cap rankings for Technology IT services and software industry. We also received recognition as the 1st rank in Investor Relations team category and 3rd rank for our Investor Relations program. Additionally, Saurabh Dwivedi, our Head Investor Relations ranked first in the IR Professional category.

In summary, we continue to deliver industry-leading revenue growth in Q1FY23 along with a stable profitability profile. We continue to see good traction for our services in the markets we service among our client base and we are closely watching the macroeconomic situation and are staying

close to our clients. We are proactively helping our clients in reshaping their priorities and ensuring we remain relevant to them and are a part of Persistent Systems Limited

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their solution as they look to their forward -looking strategies. We are confident of building on the healthy momentum we witnessed in Q1 FY23. With this, I'd like to conclude the prepared comments and would like to request the operator to open the floor for questions. Operator , please open the floor for question answers.

Moderator: Thank you, Sir. Please note , all participant lines will be in listen -only mode. You can raise your hand for asking the questions. We will wait for a few seconds to keep up the queue. First question is from Abhishek Bhandari.

Abhishek Bhandari: Hello, can you hear me?

Moderator: Yeah Abhishek.

Abhishek Bhandari: Hearty congrats on very strong number. Sandeep, first to start with , could you give us the organic growth for this quarter and a related question on that is that now we are seeing an extraordinary momentum on the deal wins for us, which is much higher than many of our similar -sized peers and in fact even comparable to some of the larger ones. So, what exactly is happening in our sales team or o

ur client portfolio, which is helping us in such a strong deal momentum over the last few quarters?

Sandeep Kalra: Abhishek, the organic revenue is 5.6% and the rest of it is because of the acquired entity. Now in terms of the deal wins, there are multiple segments we deal with, so on one side there's an enterprise software/tech company part in this Financial Services , Healthcare Life Sciences, but one thing that is working across the sectors for us is as we saw a couple of quarters back, the macroeconomic environment kind of looking to be a little soft going ahead. We started getting even closer to our customers, started working with them on understanding what they were thinking, and how they were looking at optimizing their own organizations in line with what they were planning for their future.

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So, since we were close to them, we were a part of their solutions, and some of these deals , for example the large deal that we talked about in Europe, more than a \$50 million TCV is a large enterprise software company where we are going to work with the forward -looking R&D and support for a number of their products and this would mean increased offshoring for them . This is a part of their planning to optimize their costs etc, and for us it's a long -range deal , that is one. Like that , in various segments, there are multiple of those deals , whether it is about making sure even for transformational programs , where our customers in Europe or US are facing inflation to the extent of 8% or 9% respectively. We are able to work with them, make sure that we are a part of their programs, and give them the leverage of offshoring, nearshoring, and so on and so forth. So, it's more about execution driven and understanding the patterns that are emerging in the market and taking our services, pivoting on the patterns that we're seeing in the market.

So, it's all about I guess the execution and our capabilities being more relevant to our customers.

Abhishek Bhandari: Thanks Sandeep. Sandeep , my second follow up is on the margins. If I remember correctly , somewhere in the media today you said, you expect to maintain the margins in FY23 versus FY22, which again is quite a strong comment , given the headwinds on the wage hikes which the entire industry is facing and even if I look at our own employee addition, which has been fairly strong in Q1. So, if you could give us some color on what are the various plus and minus on the margins, which makes you confident that you could sustain the margins or possibly even improve it?

Sandeep Kalra: Sure. So, I'll take the first shot at it and if I miss something, Sunil will corroborate. So, if you look at it from our perspective, what we said in the media interview that you're talking about is if you look at the full year

compared to the full year, we are confident of being near that, plus or minus a small band. Now within that, Q2 for example, for us is where we do the salary increases, there will be an impact. There will be an impact between 250 -300 basis points on the salary account in terms of the salary increases, because the salary increases this year are going to be tad bit higher than regular years. But then there is other things, whether it is our revenue growth, which gives us a leverage on SG&A, whether it is the currency impact, whether it is our rate increase initiatives that we are doing and so on, so we'll try to you know see how much of that we can over a period of time accommodate. Now, there are other things that are company-specific for us as well. As you know, we did our ESOP program, which covers about 80% of our population and we started it a few quarters back. Going into the fag end of this year, in the third and the fourth quarter, the impact for those programs is going to be substantial

lly lower

compared to what it was for us in the first two quarters.

So, there are many such levers that are there at our disposal in addition to, you know, making sure that we are growing at a very healthy clip, which gives us the leverage on the fixed cost as well. So, there are puts and takes and we will execute through these as we go along. Hopefully, that gives you a good color on this.

Abhishek Bhandari: Thanks Sandeep, and if I can just ask a last one may be on your M&A outlook. You know, we have done a significant amount of investments in last quarter and, you know, those numbers are running quite well. In terms of your going forward outlook, do you think in the past you have intended to do some acquisition in the European market? If you could share some light over there, especially given that valuations of many of these companies have come down because of market conditions.

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Mr. Sandeep Ka Ira: Sure. So, our first order of business is to make sure that \$220 million that we have committed to the acquisitions over the last several quarters, part of which is upfront, part of which is earnout retentions and so on. We make sure that the integration of those entities goes well, which is going well and we get the synergy revenue to quick end, which would be another lever for us for increasing our revenue and profitability over a period of time. That's our first order of business. We're not looking to pursue acquisitions for the next three to six months unless there's something that opportunistically comes our way. We don't have a pipeline that is very active right now. After three to six months, once we have integrated this, and we are also clear about the macroeconomic scenario, we will look at things in a structured manner and there may be even better opportunities for all we know going ahead, given the macro environment. So, for now, we are focused on integrating, performing, getting the revenue synergies going, and then we'll see.

Abhishek Bhandari: Thank you, Sandeep, thank you, Sunil and the entire team, and all the best.

Sandeep Ka Ira: Thank you.

Moderator: Thank you, Abhishek. The next question is from Mohit Jain.

Mohit Jain: Hi Sir. just two or three questions. One is on, if you could give us some estimate on what kind of recurring business do we have as of 1Q versus last year, meaning how it has progressed and how much is essentially project-driven or in any way you can define it. And then a follow up for Sunil Sir.

Sandeep Ka Ira: So, look if you were to look at -- I don't want to give you a forward-looking guidance because somewhere you can always link it, but let's look at some data points. If you look at our TCV wins from the overall quarterly perspective that we have been having, right now for the current quarter,

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the total TCV wins, TTM if I was to look at it stand at about \$1.3 billion or thereabouts , and from that perspective , that overall bookings have been increasing, the book -to-bill ratios have been increasing, the TCV /ACV ratios have been increasing . So from that perspective , if you were to loosely held say, the order backlog, that has been increasing. We don't announce it, so I don't want to put a number to it, but we do measure it internally and it is very healthily moving in the right direction.

Mohit Jain: Okay and the second was on for Sunil Sir, receivable days and capex, so it looks like in this quarter , receivable days have sort of gone up, so should we expect normalization during the year or if there are client specific thing , which has resulted in to higher receivable days for the quarter . And similarly for capex, like capex for the quarter was way too high I guess, so should we expect it to be maintained or was there a one -time development or something else, which came up during Q1?

Sunil Sapre: Yeah. So far as DSO is concerned, it is largely attributable to some collections that actually spilled over to 1st July. So, there is...

Mohit Jain: There has never been increase in unbilled Sir, so essentially DSO seems to be okay, unbilled is where the increase is.

Sunil Sapre: Yeah, yeah. So, what happens in our situation is when these two acquisitions have happened back -to-back right, there is certain amount of customer contract innovation and these kind of administrative stuff that slightly takes little longer time, so it will happen particularly the Media Agility acquisition, some of these customer innovations are yet to completely get completed , that's where it is sitting in unbilled revenue.

Mohit Jain: But there is no increase for any client or something in terms of working capital or ...

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Sunil Sapre: No, no, there is no structural increase or payment terms increase or anything like that and in terms of capex you mentioned, yes I mean not specifically seasonality, but as you know we have added significant amount of freshers, so there has been , you can say , the laptop purchases and hardware equipment, we also have a couple of offices that required capex. So, we are just kind of launching an office in Gurgaon, so after Media Agility acquisition, which had a facility in Gurgaon, but we wanted a bigger facility, so that is one area and 2nd is of course this quarter happens to be seasonally a little higher on the software capex side. So, other than that , from next quarter onwards it will be a little lower.

Mohit Jain: So, sir when we are looking at capex/sales like last year , we were close to 7% I think, so this year do you think it will get back to 2% -3% kind of number or do you think this is also a year where we may spend a little higher on capex to similar range and then taper off from FY24?

Sunil Sapre: Last year , actually if you know , we acquired an office facility in Pune on the back of increase in our headcount, so that had consumed about INR 110 crores in terms of the capex. So, that is not likely to repeat, so you're right , that percentage will come down.

Mohit Jain: Okay, that's all and all the best. Thank you.

Moderator: Thank you. Requesting all to ask only two questions at a time. Next question is from Chirag Kachadia.

Chirag Kachadia: Hello. Congratulations on very excellent execution and a good set of numbers sir. I'm part of this company as an investor since last four years and you always deliver on mark. Sir, I have a few product questions like where you see your company next 10 year, let's say like what is the inspiration of management , because we as in India created a very good Persistent Systems Limited

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reputation in global market as an IT industry. So, where we see ourselves in next 10 years on global front?

Sandeep Kalaria: So, I'll take it in baby steps first and then I'll build it up to your question about the 10 years. So, if you look at it, right now we had said a few years

back when we were roughly in the \$500 - \$600 plus million range that we want to be a billion -dollar company over the next three to four years. If you look at our current revenue base, we are at a run rate of about \$966 million, so our first goal of becoming a billion -dollar is in a line of sight and not only have we invested in our sales and marketing towards building this, but we have also acquired a number of companies if you heard the comments before, so we have acquired companies in the domains of Microsoft Azure, in the domains of Google from a Cloud perspective, some company that has a for example a company called SCI, which has a Payment -related domain expertise . So, we're trying to build a set of expertise that can help us in going from one to two, two to four over a period of time.

So, if you were to look at the next three

to four years after we have

achieved our billion -dollar aspiration over maybe the next several quarters, we will attempt for the \$2 billion first and then go from there.

Part of it will also be some amount of IP. Today ,IP is about 7% -8% of our business and will prudently invest in all of that and I would want to keep this short because this is a v ery philosophical question and will encourage you to contact us separately and we can possibly have a discussion on that, but this is the direction right now - a billion -dollar over next few quarters, billion to two over the next several years, and then we will go from there , and we have built the right set of capabilities and the expertise in digital engineering that should carry us forward.

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Chirag Kachadia: Sir, one more question, if we look at our EBIT margin, vis-à-vis to the other industry player s, so there is enough scope of improvement. So, what are the levers , which is possible not in near -term, but let's say 5 -7 years down the line that we reach more than 20% or in that range , kind of margin at EBIT front.

Sandeep Ka Ira: Yeah, Sunil would you like to th at that.

Sunil Sapre: Yeah, so if you actually reflect back and see margins over a period of time, there was a time when we had much lower on site headcount, EBITDA margins used to be in the range of 22% -23%, from there when we accelerated our own investme nts in the digital engineering side or building capabilities for that and we did certain , you can say acquisitions, the onsite headcount increased from a level of 8% about 6 -7 years ago to currently about 16% or so. The second thing that you will find is t hat in the recent period , particularly with significant headcount addition in this quarter , you may find that the utilization is slightly softer. Now, if you look at utilization both onsite and offshore, we have significant levers to improve that.

The other factor which impacted during the pandemic is everyone, not just us, but the industry had to resort to hire subcontracting because of the limited ability of people to travel, so in our case since the revenue growth was happening at a rapid pace , that was th e first priority to fulfill business and we did not , you can say , want to ensure that growth is back right, the customer acquisition is very critical, and on -boarding of right resources is very critical, and that's where some of the costs had to be associa ted.

As Sandeep mentioned about the sub program also , that has taken certain costs, so once this start getting normalized and the revenues are increasing significantly, you will find this EBIT margin also coming in to reasonable levels. We have already grow n from 8.8% or the lowest that it had hit , about 9% , to now about 14.3%, so about more than 5% kind of growth has

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already happened, but definitely there is a lot of scope to improve and our focus on customer , you can say mining, you will find that we are givi ng more visibility to you about the broad -basing of the revenue growth, reducing customer concentration, so these are the other steps that will help us to improve the margin as we go along our next few quarters. I hope that helps you get an overall perspe ctive.

Chirag Kachadia: Thank you so much and also very best.

Moderator: Thank you. The next question is from Nitin Padmanabhan.

Nitin Padmanabhan: Hello, hi. Good evening, Sandeep, good evening, Sunil. So, two quick questions for Sandeep actually. So, one is on the pricing gains front in terms of getting pricing increases from customers, considering the macro, it's a bit of a dichotomy, because you have supply side pressures, yet there's a macro concern. So, is that in any way inhibiting pricing increase conversations with customers, so that's the first one.

The second is on freshers right, so

I think the industry sort of throws out

almost a million engineering graduates a year and almost 200,000 or maybe 20% -25% is what we say is employable usually from an industry perspective, so in that context, because there has been such massive hiring by the industry, is it getting difficult in terms of quality and in terms of being able to put these freshers to really bill them, is that creating concerns from an industry perspective or for you, that's the second. And one for Sunil is, that could you quantify the visa cost this quarter and what are the potential offsets on the wage increase next quarter? So that'll be the broad sense.

Sandeep Kalaria: So, let me go through the pricing part and the fresher's part and then we'll have Sunil answer the visa part. So, on the pricing side, look we've been working on the pricing increases for the last several quarters. Now pricing Persistent Systems Limited

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increase can happen in two ways; at a very, very high level. The two ways being when you are booking newer orders, you price them at the newer price that is totally in our control, and we can decide to walk away if the price is not palatable to us because there's enough demand. Second way is where your existing contracts come up for renewal and you ask the customers to basically help you with a price increase.

So, the first one anyways when we are doing the newer contracts, we are pricing at the price that is practically doable and for the years to come, any contracts that we are signing, we're putting a COLA clause by default, that was not the case a few years back. Now, for our existing contracts coming up for renewal, some of the contracts we have got the pricing increase over the last several quarters, some of them are due as we can go along and yeah, the macro environment is there, but macro also has inflation built in.

So, if there's a reasonable customer in USA or Europe and their own cost is going up, if inflation is at 9%, I'm sure their employees are also being given that much amount of raise and if we go back and have a logical argument with them, we are finding they are accepting, they are empathetic, they may not give us that percentage, they may give us some percentage. So, that argument still holds, macro being macro, yeah it may be a ploy used by customers to push back, but most of the reasonable customers are working with us even though they may give us lesser rate increases than we want. So, that is the thing on that.

As far as freshers are concerned, look, for us freshers are an important part of our growth. So, we have been managing our relationship with engineering colleges, the same way we manage our partnerships in the technology space. So, these are engineering college partnerships, we have people who are dedicated on this campus programs and their whole job is Persistent Systems Limited

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to make sure that being good partners with the engineering colleges that we want to go to, we get the day one, day two, so we get the good people to join us. Second, our brand is pretty strong when it comes to the engineering colleges and the young talent. People understand we work on the latest technologies, they're not going to be another seat on the floor working in an infrastructure support program and so on, they're going to work on some of the latest generation technologies. So, our ability to attract talent based on our relationship, based on the kind of work we offer

is pretty high. So, we are not that concerned, obviously you know when people are coming in, we need to train them on the technologies we want to deploy, so we start in the colleges in the last semester, we fit up with programs when they join us as full-time employees, and then deploy them. So, that is the overall part on the fresher's side and Sunil, if you can please answer the other part.

Sunil Sapre: Yeah, so N

itin the visa cost is to the tune of \$1.1 million and there is also in terms of project-related travel about \$200,000, the cost relating to new acquisitions for various team events as we are integrating them during this quarter. So, that's the number that won't repeat in the next quarter. So, that's like something positive on the margins for the second quarter. The second question that you asked about the pay hike, how much will it impact and so on. So, pay hike, the total impact will be to the tune of 250 to 300 basis points. We are just rolling out these letters, they are effective 1st July. Now in terms of the levers to improve the margins, obviously the biggest lever is in terms of utilization, both on site and off shore and the significant order wins and as we get, what do you call, going with this quarter.

The second lever I mentioned about is the subcontracting cost. That is another area, which offers us opportunity with travel opening up and thirdly, the broad-basing of the cost base with these freshers getting added

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and as slowly they get part of the billable workforce, that will also help us achieve the benefit. As we go along during the year, in the second half of the year particularly, there is also potential synergy revenues that you're working towards from the acquisitions. As you know as SG&A costs are already baked in, that is something that will give the margin. This is broadly the way in which - currency of course we are not counting so much because that's an external factor, but that may have also some positive development at least for a quarter or so. I hope this helps.

Nitin Padmanabhan: Sure, absolutely. Very, very helpful and all the best. Thank you so much.

Moderator: Thank you. Next question is from Dev Agarwal.

Dev Agarwal: Hello. Okay. Hello, am I audible?

Moderator: Yup.

Dev Agarwal: Yes, yes. Sir, I wanted to ask one question on related to acquisition. So, means how much time does it take to completely integrate any acquisition, so generally I'm asking. So, over the years based on your experience if you can guide.

Sandeep Ka Ira: Look, I can give you a very high-level answer. So, at a high level, it takes anywhere between six to nine months to fully kind of integrate the acquisitions and kind of get them to work as a part of the integral team.

But again, this is very subjective with respect to each of the acquisitions.

Dev Agarwal: Okay. Thank you and congrats for the good numbers. Thank you.

Moderator: Thank you. The next question is from Dipesh Mehta.

Dipesh Mehta: Thanks for the opportunity and congrats for strong execution. Two small questions. First, about the weakness what we are seeing in top clients, if you can provide some sense for two quarters, I think these are showing some softness. Second question is about whether any impact on reported

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IP revenue from the acquisition we close, because IP revenue is showing weakness, can you part the answer in terms of royalty revenue, but anything more to it. Thanks.

Sandeep Ka Ira: Sunil, you want to answer that.

Sunil Sapre: Yeah, so Dipesh this IP revenue as you know has certain seasonality, it has three elements we have covered in our FAQ sheet also. So, the bigger part is of course the royalty revenue, which was soft in this quarter. The second part is our own revenue from the Accelerite products, is our own licenses and that is holding steady, there is no, this thing. The third category, which is the partner IP, when we are actually executing projects where we deploy

partner licenses , that is something which moves along with the projects and that is the third area which has also ...

So, last quarter we had significant bump up in that. Now, that is something , which is seasonal and not directly a linear kind of nature of, so t

h at's the

reason for IP softness and I think other question Sandeep he had on the top client revenues coming down or somethin g.

Sandeep Ka Ira: Yeah, so the top client revenue coming down is also a factor of the IP contract that we had announced it would be unwinding , because th at was not a very profitable contract for us. We had restructured that contract to be a fraction of , maybe 30% -35% of the overall revenues and that is the reason why the top client revenues are down and that is also reflected in the ro yalty income and so on.

Dipesh Mehta: Understand. Thanks.

Sandeep Ka Ira: Thank you.

Sunil Sapre: Thank you.

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Moderator: Thank you. Given the time limit, we would request all to ask only one question. The next question is from Aayush Rastogi.

Aayush Rastogi: Hello. I'm audible?

Moderator: Yes.

Sandeep Ka Ira: Yes.

Aayush Rastogi: Okay. So, I just wanted to ask two questions. So, first of all you have reported the highest TCV in this quarter, so I just wanted to pick your brains if you can just provid e the breakup of the TCV between the acquisitions part and the organic basis, that is Persistent . And the second question was like you have reported a very strong quarter -on-quarter growth for Europe, while some of your peers have given a commentary regarding the slowdown in Europe, so I just wanted to pick your brains if you can throw some light what is making you confident on growing in Europe as in terms of large deals or the TCV break up.

Sandeep Ka Ira: Sure. So, as far as our TCV is concerned, most of it is the Persistent TCV and the acquired entities are yet to fully kick in. Having said that, they are also as Persistent today as you know the erstwhile team is, so we are not going to differentiate between that even g oing ahead from even an announcement perspective. Now, in terms of Europe, look , we have been building up our team in Europe, we built some good relationships, and we'll be selective about where, which part of Europe , because Europe is also big, different p arts of Europe. So, we are slowly rebuilding our business and our capabilities are being well recognized that's leading to good deal wins and to be fair , our European revenue is fairly small, so that is where it is. As far as we are concerned, we have a dec ent pipeline and we'll keep reporting the progress as we go now , and I want to be conscious of time because I'm told the queue is long, so we'll keep the answers short
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and we will take only one question at a time moderator from one person please.

Aayush Ras togi: Sure. Thank you.

Moderator: Thank you. Next question is from Karan Uppal.

Karan Uppal: I hope I'm audible?

Moderator: Yes.

Karan Uppal: Yeah , and thanks for the opportunity and congrats on very strong quarter yet again. I just want to understand yo ur strategy in terms of the client mix. So, number of clients b illed in the services business is growing at a very solid rate and it seems that you are expanding the net very well, but if I look at it , will you a t some point to recalibrate it going deep wi thin the existing clients versus expanding the net . So, y our any thought could be appreciated .

Sandeep Ka Ira: Sure. So very valid question, the short answer is yes, there is a prioritization that we will absolutely do in terms of cutting the tail. The fact of the matter

is over the last 4 -5 quarters, we have acquired many companies and they're not necessarily very big companies, so they come with a number of customers who have lower revenues and to be fair to our customers that are coming in , we want to be making sure before we kind of do the long tail rationalization, we are giving them a chance to either scale with us or to find another home for their business. So, that's the story there and we will over a period of time definitely rati

onalize the tail.

Karan Uppal: Okay. Thanks. Thanks for that and second , just quickly on BFSI , I just want to check, it has been growing very well since last 4 -5 quarters . So, if you can provide the sub -verticals within the BFSI , what is firing for you and any stress you anticipate due to challenging ?
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Sandeep Ka Ira: So, Karan , I just keep it very short right now and we'll come back to you if you have time . So, we are not seeing any major challenges in the BFSI segment, some of the bigger customers do have their own bud getary pressures, but the mix that we have within BFSI is fairly robust. Big and medium -sized customers, fin-techs versus insurance companies versus banks versus whatever else, so we have a pretty healthy mix and so there's a counterbalancing that is happ ening of one versus the other and we'll come back to you if we have time. We want to be respectful of other people in queue.

Karan Uppal: Sure. Thanks a lot.

Sandeep Ka Ira: Thank you.

Moderator: Thank you. Next question is from Manik Taneja.

Manik Tanej a: Hi. Thank you for the opportunity. My question was similar to what Nitin earlier asked, given the kind of fresher intake that you guys are doing including the industry, do you think we should probably look at a much lower blended utilization going for ward ?

Sandeep Ka Ira: So, the utilization, Manik, so there's someone on the call needs to mute themselves please. So, Manik , long story short , for one or two quarters , there may be different utilization, but as these guys get trained and they are very sharp pe ople especially with respect to newer technologies . So, as they get trained and deployed , the utilization will pick up, but yeah , one to two quarters it may take a dip . But then , you know , it is a longer -term investment that we have done and the industry has done and so structurally , it will be good for the longer term .

Moderator: Thank you. The next question is from Abhishek Shindadkar.

Abhishek Shindadkar: Yeah, hi. Thanks for the opportunity and congrats on a solid quarter. My question is regarding , you know, recently on e of your peer highlighted that Persistent Systems Limited

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funding for projects with limited revenue visibility are challenged . Your thoughts on the same and did we lose any revenue in Q1 because of similar reasons or fulfillment -related challenges at your end or customer end?

Sande ep Ka Ira: So, we have not lost any revenue in Q1 because of customers saying they don't have budget for a program. There may be small adjustments here there, but there's nothing major to report about it. Now , the second thing about have we lost any revenu e because of ability to fulfill . Yeah, there is a delay that happens in our ability to fulfill , because even today if we could technically get between 1,000 -1,500 trained engineers, we have the capacity to take it , absolutely right now , staff are programs th at we have booked.

So, there is some amount of revenue leakage that happens because of delays that may happen, because of our ability to staff or at times when programs get started , there may be a delay in them ramping up, but there's nothing from a budgeti ng perspective or macro leading to budget cuts and leading to our revenue loss . That is not happening.

Moderator: Thank you. The next question is from Rishi Jhunjhunwala.

Rishi Jhunjhunwala: Yeah. Thanks for the opportunity. Just one question, there is a very sharp increase in our sales and business development headcount, so just wanted

to understand , I mean , what is the thought process around increasing it substantially now looking at where the macro could potentially be over the next 12 months and do you think that this is an optimal number on a per client or an overall revenue per sales rep basis?

Sandeep Ka Ira: So, Rishi if you look at it the - I got di

sconnected. Sunil you want to answer?

It is Media Agility and ...

Sunil Sapre: Yeah, Rishi , just while Sandeep 's line comes back, it is mainly arising out of these acquisitions that we have done and then which are of classification Persistent Systems Limited

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of people that they would be doing. As the teams get integrated, so like we have solution architects, overlay sales where people have ample opportunities, so as they get , you know, integrated , this number will not look , this thing . This is the first quarter of integration, the impact is more out of these acquisitions than our organic addition.

Sandeep Ka Ira: So, Rishi this is not a structural addition as Sunil said. In terms of us going and hiring more sales guys, this is an integration of acquired entities.

Moderator: Thank you. Next question is from Apurva Prasad.

Apurva Prasad: Thank you. Congrats, hope you're well, Sandeep and Sunil. So, quickly what would be our exposure on the mortgage side within the BFSI , particularly some of the large accounts . That's one , and second , how would you describe or talk about the progress that we've seen in the Red Hat OpenShift business.

Sandeep Ka Ira: So, our exposure to the mortgage part is not significant, so we're not impacted by the mortgage slow down , if that is the question. The second part, if you look at the Red Hat OpenShift, so it's progressing, but it is not something that is a big revenue driver for us as of this point in time. It has got a ramp of its own, which is slightly less than the company growth rates. So, that is at a summary level. And moderator , we are at the end of the time . If we can take one last question and then summarize , that'll be great.

Moderator: The last question is from Gaurav Rateria.

Gaurav Rateria: I hope I'm audible?

Sandeep Ka Ira: Yeah, you are.

Moderator: Yes.

Gaurav Rateria: Yeah. Thank you for taking my question. So, just quickly a client mining initiative, how many \$1-5 million clients we have visibility , which can go Persistent Systems Limited

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into the bucket of \$20-30 million over the next two years and secondly , amongst the business that we do , what is the proportion , which is more short -term project -oriented versus which is part of longer -term digital transformation agenda of clients, which is multi -year project, which will continue? Thank you.

Sandeep Ka Ira: Yeah, so since we are out of time, I'll just quickly answer this. As far as we are concerned, we don't give forward -looking guidance, but there is a significant number of customers that can move from the 1 -5 to 5 -10, and from 5 -10 to 10 -20, and so on. So, the quality of revenue is pretty good, quality of customers, and the efforts that are being put to mine them are structural, so rest assured there's a significant amount of movement that can happen. We don't want to quantify because that'll be giving some kind of forward -looking guidance.

Now on the other part, it's a slightly longer answer, but I would say if you look at our order backlog, it has moved very healthily and part of the reason why it is moving very healthily is because a number of engagements that we have are not short -term projects. They may have short -term projects as some component, but a significant part of our revenue is long range , whether it is capacity -based offshore development centers, long range transformation programs, enterprise software company relationships where these engagements are product ownership -based for longer -term and so on , so forth. So, with that, I would like to stop and moderator , we will take the Q&A off now and to all our investors and the

analysts on this call, sincere thanks for spending time with us. We are confident of our revenue trajectory. Based on a very strong start to the year, we are confident of delivering a good FY23 and beyond and we look forward t

o talking to you in three months from now. With that, we want to close the call. Thank you.
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Moderator: Thank you very much to the Persistent Management. Ladies and gentlemen , on behalf of Persistent System Limited , that concludes today's conference. Thank you for joining us and you may now disconnect your lines and exit the webinar. Thank you.

Sunil Sapre: Thank you everyone.

Call: Oct 2022

Persistent Systems Limited, Bhageerath, 402 Senapati Bapat Road, Pune 411 016, Maharashtra, India
CIN - L72300PN1990PLCO56696
Tel: +91 (20) 670 30000 | Fax - +91 (20) 6703 000 8 | E-mail - info@persistent.com | Website - www.persistent.com

NSE & BSE / 202 2-23 / 125

October 31, 2022

The Manager
Corporate Services
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai 400 051

Ref: Symbol: PERSISTENT The Manager
Corporate Services
Bombay Stock Exchange Limited
14th Floor, P J Towers, Dalal Street,
Mumbai 400 001

Ref: Scrip Code: 533179

Dear Sir/Madam,

Sub: Transcript of investor/analyst call held on Thursday , October 20 , 2022
Ref: Our earlier intimation under reference no. NSE & BSE / 2022 -23 / 110 dated
September 23, 2022 ('Intimation')

In continuation to the above -referred intimation and Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulation s, 2015, please find attached the Transcript of the investor/analyst call held on Thursday, October 20, 2022 , for your information and records.

The transcript of the Analyst Call is also made available on the Company's website

The link to access the same is as follows: Analyst -Call-Transcript -Q2FY23.pdf (persistent.com)

This is for your information and records.

Please acknowledge the receipt.

Thanking you,

Yours Sincerely,
For Persistent Systems Limited

Amit Atre
Company Secretary
ICSI Membership No.: A20507
Encl: A/a
Amit
Murari Atre Digitally signed by
Amit Murari Atre Date: 2022.10.31 13:12:35 +05'30'
Persistent Systems Limited

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"PERSISTENT SYSTEMS EARNINGS CONFERENCE CALL,
SECOND QUARTER, FY23 ENDED SEPTEMBER 30, 2022"
October 20, 2022

MANAGEMENT :

Dr. Anand Deshpande
Chairman and Managing Director

Mr. Sandeep Kalra
Executive Director and Chief Executive Officer

Mr. Sunil Sapre
Executive Director and Chief Financial Officer

Mr. Saurabh Dwivedi
Head, Investor Relations

Mr. Amit Atre
Company Secretary

Persistent Systems Limited

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Moderator: Ladies and gentlemen, good day and welcome to Persistent Systems Earnings Conference Call for the Second Quarter of FY 23 ended September 30, 2022. We have with us today on the call, Dr. Anand Deshpande, Founder, Chairman and Managing Director, Mr. Sandeep Kalra, Executive Director and Chief Executive Officer, Mr. Sunil Sapre, Executive Director and Chief Financial Officer, Mr. Saurabh Dwivedi, Head of Investor Relations, and Mr. Amit Atre, Company Secretary.

Please note, all participants will be on listen-only mode and there will be an opportunity for you to ask questions after management's opening remarks. Should you need any assistance during the call, please raise your hand from the participant tab on the screen. While asking questions, I request you to please identify yourself and your company name. Please note, this conference is being recorded. I now hand the conference to Mr. Sandeep Kalra. Thank you and over to you, sir.

Sandeep Kalra: Thank you. Good afternoon. Good evening. Good morning to all of you, depending on where you're joining from. I would like to thank you for spending time with us on the eve of Diwali and would like to wish you the best for the festive season in advance. I would like to start this call by sharing certain important milestones that we achieved in this quarter. We reached the annualized run rate of US\$ 1 billion, doubling our revenues over the past three years. We achieved quarterly revenue rate in excess of INR 2,000 Crores, our trailing 12-month EPS crossed INR 100 for the first time, we were included in the NSE IT index, which is representative of the best performing companies in our Indian IT industry.

We are humbled by these milestones and I

would like to sincerely thank each one of our 22,400-plus Persistent team members for their resilience, our customers, our investors and other stakeholders on this call for their continued trust in us. With this, let me come to the quarterly financials. We
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are happy to report yet another solid growth quarter across all major business and financial metrics, despite a dynamic and rapidly evolving macroeconomic environment. The revenues for Q2 came in at US\$ 255.56 million giving us a growth of 5.8% quarter-on-quarter and 40.2% on year-on-year basis. This is the first quarter where we have crossed the annualized run rate of US\$ 1 billion, a milestone that we called out almost three years back.

As you are aware, the cross -currency impact in this quarter has been significant for our industry. For us, the constant currency sequential growth for Q2 came in at 6.6% compared to the USD growth of 5.8% as mentioned earlier. This information is also available in our analyst deck. In rupee terms, the growth was 9.1% quarter -on-quarter and 51.6% on year -on-year basis, respectively.

This was the first full quarter of consolidation for Media Agility . Adjusting for the revenue from acquired business, our organic growth for the quarter was approximately 4.8% on a sequential basis in USD terms and 5.5% in constant currency terms. As you're aware, this robust growth comes on the back of five successive quarters of 9% -plus sequential growth on dollar basis and marks another quarter of top quartile revenue growth in an increasingly challenging macroeconomic environment.

Coming to the profitability side, on the EBIT side, our EBIT for Q1 came in at 14.6%. This translates into an EBIT growth of 11.1% on quarter -on-quarter basis, and 59.4% on YoY basis. EBIT margin expanded by 30 basis points on a sequential basis despite the major cost headwinds related to wage hike , which became effective for us from July 1, 2022 for all our employees . Sunil will provide more colour on the EBIT margin movement later in this call.

Coming to the order book for the quarter, Q2 was yet another strong quarter for us in terms of TCV order wins . The total contract value for the quarter came in at US\$ 367.8 million with new bookings TCV coming in at US\$ 228.3 million. The annual contract value component of this TCV is of the order of US\$ 271.2 million of which the new bookings ACV component contributed to US\$ 137 million. As you may already be aware by now, these TCV -ACV numbers include all bookings, small and large renewals as well as new bookings across existing and new customers.

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Coming to the people front, we brought in a total of 838 new colleagues in Q2, bringing our total employee base to 22,476 team members globally. This is at the end of September 2022. Majority of the new employee addition during the quarter can be attributed to our fresher hiring. We have honoured all the offers made to campus hires with approximately 3,000 freshers joining us over the past two quarters. With this, we have completed our fresher hiring program for the year. A small portion of the freshers have already become billable, while we expect others to become billable on customer projects over the next two to three quarters, providing us ample cushion on the supply side for future business ramp up and providing us a margin lever as well.

The utilization for the quarter came in at 79.9%, a rise from 79.5% for Q1 . Utilization rate is a function of our endeavour to operate efficiently while maintaining a healthy buffer to staff future projects on time. Apart from other factors such as revenue growth leverage, increased utilization over time will be an important margin lever for us as more of our freshers become billable on customer projects. The trailing 12 -months attrition for the quarter came in at 23.7

% compared to 24.8% in Q1. We have witnessed some amount of stabilization in this metric over the past three quarters. We do expect the TTM attrition to continue to moderate over the course of the second half of FY 23 aided by fresher availability, better outcomes on our employee value -related interventions and a general moderation of hiring across the sector.

Before we delve more into the last quarter's performance, I would like to make some comments on the macroeconomic environment, along with our Persistent Systems Limited

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response and preparedness to deal with it. As is well known by now, the global economy is currently experiencing several headwinds, including inflation, tight labour markets, geopolitical tensions and currency volatility to name a few. A number of our customers are keenly watching the macroeconomic environment unfold and there are discussions about cost optimization impact of a stronger dollar on global companies' financials,

bracing for an overall economic slowdown over the next several quarters and being prudent about longer-term spend commitments. In this context, our first priority is staying close to our customers, remaining relevant for their transformation as well as optimization initiatives and making efforts to help them stay competitive in their respective businesses. The current environment is also lending itself to long-term and larger deals if one can address the changing nature of the client demand. On one hand, our strongly differentiated capabilities across the enterprise software market are giving us a unique advantage in this marketplace, and we are witnessing strong deal wins and closures in this space, along with good pipeline generation in core product development as well as professional services. On the other hand, our capabilities across hyperscalers in BFSI and Health care Life Sciences space are making our offerings even more relevant to customers as they look to optimize their spend in business-as-usual and pivot some of the savings towards transformation journeys, while bracing for a potential revenue slowdown. We remain cautiously optimistic about our growth potential as we go ahead and are focused on executing well in the evolving macroeconomic environment.

Now coming to the acquisitions-related update. As we have been sharing with you in the previous quarters, the integration of our acquired businesses has been progressing well. We are in the final stages of our integration initiatives with Data Glove and MediaAgility, our latest M&A deals. We have also benefited from some early wins as a result of teamwork and cross - Persistent Systems Limited

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pollination of capabilities across our unified customer base. We are confident all this will bode well for us as an organization, and each of our acquired entities will fuel a new avenue of growth for us over the coming quarters and years.

Coming to ESG - we continue to make good progress on the ESG front. We are pleased to share with you that Persistent has been accepted as a participant of the United Nations Global Compact. We have also participated in the Carbon Disclosure Project, the CD P project and Dow Jones Sustainability Indices and will share with you further progress on these fronts in subsequent quarters. We continue to make progress towards our climate action goal of becoming net zero by 2030 as well as improving on our diversity and inclusion metrics.

In summary, we are pleased with our performance in Q2 FY23, with healthy revenue growth, order wins across our focused industry segments, a good pipeline generation and stable profitability despite cost headwinds.

With this, I will turn the call to our CFO, Sunil Sapre, to give out detailed colour on the quarterly financials and related matters. I'll come back after Sunil's comments to give you some more details on key client wins, analyst awar

ds and other recognitions for the quarter. Over to you, Sunil.

Sunil Sapre: Yes. Thank you, Sandeep, and good evening, good day to all, and thank you for taking out the time to join us today. As you heard from Sandeep about the market outlook and some of the business-specific details, let me now walk you through the details of financial performance, including some details about the revenue and the margin movement. As you know, the revenue at US\$ 255.6 million registered Q-o-Q growth of 5.8% and Y-o-Y growth of 40.2%. In constant currency, the revenue growth was 6.6%. And if you look at the half year, the total revenue stood at US\$ 497.08 million with Y-o-Y growth of 42.4%. In terms of INR revenue, it was INR 20,486 million, Persistent Systems Limited

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reflecting growth of 9.1% Q-o-Q and 51.6% Y-o-Y. And in terms of half year INR revenue, it was INR 39,268 million, with growth of 52.1%. This quarter, you would have seen a significant increase in the IP-led revenue, which registered strong growth of 18.1%, mainly in the Accelerite portfolio we have, while our services revenue continued the growth trajectory with 4.9% Q-o-Q growth in dollar terms.

Coming to segmental growth for the quarter - we saw all the segments registering growth with BFSI growing by 3.1% , Technology companies by 8.3% and Healthcare by 4.6%. Coming to more details about revenue - in respect of linear revenue, the offshore linear revenue grew by 7.4%, comprising of volume growth of 4.8% and billing rate increase of 2.5%. The on-site linear revenue grew by 0.9%, primarily on account of volume growth of 2.5%, while billing rate declined by 1.5%. The contribution from nearshore geos was higher during this quarter, while Europe revenue was lower on account of the seasonal softness in Europe due to vacations, which together resulted in drop in the on-site realization rate by 1.5%.

As you would have seen, starting last quarter, we have been providing additional details on our client buckets. So, for the quarter gone by, customer count in greater than US\$ 30 million bucket remained constant at 3. In US\$ 20 million -30 million, the customer count rose to 3 as compared to 1 in Q1, as 2 customers in the lower category moved up to this bucket. In the US\$ 10 million -20 million categories, the count declined to 6 from 7 with 2 clients moving to the higher revenue bucket of US\$ 20 million -30 million, as mentioned in the earlier point. In the US\$ 5 million -10 million category, customer count rose to 18 from 15 in the last quarter. And finally, in the US\$ 1 million -5 million category, the number of customers increased from 104 last quarter to 116 in this quarter. So, the above customer categorization just for your reference is based on TTM revenue of these customers and you

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will observe from the fact sheet that we also provide historical details on these metrics to help you get a sense of the trend of these metrics over time. You will notice that this consistent increase in the number of accounts we have in US\$ 1 million -5 million and US\$ 5 million -10 million categories over the last few quarters has helped reduce the client concentration. As you are aware, during the quarter, we had annual pay hike, which is effective July. This had an impact of 230 basis points on the margin. Provision for doubtful debts and higher CSR spend has had an impact of 20 basis points and 10 basis points, respectively. These were largely compensated by higher IP-led revenue, as I mentioned earlier, helping margin by 80 basis points, favourable currency, which helped by 90 basis points and margin from the higher services revenue. There are also other items. As you would know that last quarter, we had travel expenses, including visa filing costs, which is a seasonal item, which is not there this quarter. We also had slightly lower

subcontracting costs this quarter. With this, EBITDA came in at 18.0% for this quarter as compared to 17.7% in the previous quarter and 16.6% in the Q2 of last year. EBITDA for first half of the year was at 17.9% vis-a-vis 16.5% in the corresponding period last year.

Coming to Depreciation and Amortization - amortization was higher on account of full quarter impact of MediaAgility acquisition. With higher revenue, of course, in terms of percentage, total Depreciation and Amortization was 3.4% of revenue. With this, EBIT was 14.6% as against 14.3% in the previous quarter and 13.9% in the corresponding quarter of last year. And for H1, EBIT stood at 14.5% as against 13.7% for the corresponding period last year.

Coming to treasury income, for the quarter, the income was lower at INR 61 million as against INR 89 million, mainly on account of interest on borrowings for part-financing the acquisitions and reduced treasury size due to some of

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the surplus funds being used for M&A. If you look at the interest income of this year's H1 versus last year's H1, as you know, effective first quarter of this year, we have been consolidating the ESOP Trust and the interest income of INR 104 million on loan given to ESOP Trust has been eliminated on consolidation. Further, this year, there is an M-to-M loss on long-term mutual funds arising from increasing interest rates in this year, whereas there was M-to-M gain last year. This, along with lower treasury surplus and

interest on borrowings from our acquisitions resulted in lower other income on an H1 -to-H1 basis. In respect of Forex loss , there was INR 91 million of loss as against a gain of INR 42 million, and this was mainly because of the sharp currency movement we saw, which resulted in M -to-M loss on hedges, which were taken a year ago at an average rate of around INR 77 -78. Profit before tax was INR 2,956 million at 14.4% as against 15% in the previous quarter. ETR was 25.6% as against 24.9% in the previous quarter, and we expect that to be at these levels for the rest of the year. PAT for the quarter was INR 2,200 million at 10.7% of revenue as against INR 2,116 million in the previous quarter at 11.3% of revenue. PAT for the first half of the year was INR 4,316 million at 11%, registering growth of 37.9%. EPS for the quarter was IN R 29.61 against INR 28.50 in the previous quarter. The growth in EPS is 3.9%, while growth in reported PAT was 4% Q -o-Q. And as you know, for purposes of calculation of EPS, shares held by ESOP Trust are excluded. The operational CapEx for the quarter was INR 519 million. Cash and investment on the books were INR 15,719 million as at September 30 as compared to INR 14,792 million as at June 30. DSO came in at 60 days, same as in the previous quarter. Forward contracts outstanding at the end of September was US\$ 195 million at an average rate of INR 79.95 per dollar. With hedges in the recent period coming at forward rates of 82 -plus, the average rate will get adjusted over a couple of months.

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With this, I thank you once again, and I wish you all a Very Happy Diwali and hand it back to Sandeep.

Sandeep Kalra: Thank you, Sunil. Now let me talk to you about our key wins for Q2 by industry segments. Coming to the Software, Hi-tech and Emerging industries , we were chosen as a Professional Services and Solutions partner to scale the adoption of software products in North America and EMEA for a leading European enterprise software player. This is the largest TCV deal win for us in Q2 with TCV of excess of US\$ 80 million over five years. We were chosen by a leading EHS, environment sustainability and governance player - a software player in the segment for providing engineering services, building products for these segments. Coming to Banking Financial Services and Insurance , Persis

tent was chosen by a fintech unicorn based out of India for the end-to-end program ownership for development of an automated data -driven risk and pricing platform, which is used by leading banks, NBFCs and insurance companies in India and other emerging markets. Persistent was chosen by a pioneer in fractional trading and embedded finance to design and implement an integration platform for servicing the end customers using APIs.

Coming to Healthcare Life Sciences , Persistent was chosen to expand the Centre of Excellence for automation and low -code business process management platform for a large US-based biopharmaceutical services company. Persistent was chosen to build the next -generation data platform using deep industry expertise for a large biotech company, which is a leader in building life transforming medicines.

Moving on to the awards and recognitions for the quarter - Q2 saw us get continued recognition from industry -leading analyst firms and associations. To mention a few, MediaAgility , recently acquired by Persistent was named as a Niche Player in the 2022 Gartner Magic Quadrant for Public Cloud IT

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Transformation Services. We were recognized by Dun & Bradstreet as a Top Performer in the Growth Performance categories in Software and BPM Sectors in their 22nd edition of the India top 500 Companies' publication. In summary, we continued to deliver top quartile revenue growth in Q2 FY23, along with healthy profitability, which remained resilient despite the key cost headwind associated with wage hikes. Even as we see good traction for our services among our client base, along with new deal wins and new logo addition, we remain watchful of the macroeconomic situation and are

proactively staying close to our clients, aiding them in prioritizing their technology spend towards transformation and optimization. Our deep digital engineering expertise gives us significant competitive advantage in our market and our recent acquisitions have bolstered our cloud and industry capabilities, strengthening our key hyperscaler partnerships. We hope to build on the healthy growth momentum we witnessed in Q2 FY23 as we go along. With this, I would like to conclude the prepared remarks and would like to request the operator to open the floor for questions. Operator?

Moderator: Thank you, sir. Now we open the call for Q&A session. We will wait for a few minutes until the queue assembles. We request you to constrain yourself with 2 questions and follow back in line for more questions. Please raise your hand from the participant tab on the screen to ask the questions. First question is from Bhavik Mehta.

Bhavik Mehta: Thanks for the opportunity and firstly, congratulations, Sandeep for a great set of numbers. I have two questions. Firstly, Sandeep, can you talk about how the deal signings are trending for you given the macro where we have heard that a lot of clients are cautious about their tech spend. So are there any delays you're witnessing in deal signings and also, if you can slice it down across your three verticals, how the client behaviour is different in the 3 verticals. The other question is, if I look at your book-to-bill ratio at 1.4, Persistent Systems Limited

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which is the lowest since you started reporting this metric, 10 quarters ago. So, should we be worried about a lower book-to-bill ratio? Or is this a timing issue where some of the deals were delayed? And so, we should overlook this number? And the last question is to Sunil. How should we look at margins for the second half? Because initially, the target was to achieve 13.9% similar to last year, but we are already at 14.5% in 1H, and a lot of the headwinds are behind, wage hikes are behind, attrition is coming down. So how should we look at the trajectory of margins for the second half? That's it from my

side.

Sandeep Kalra: Sure. So let me take the book-to-bill part because it's the easiest one, the other ones are a little longer. So, I don't think you should worry about the book-to-bill part. If you look at our bookings, we have been consistently delivering very healthy ACV and TCV bookings. If you look at our TCV bookings for trailing 12-month basis, it's roughly about US\$ 1.45 billion. Our ACV bookings are roughly about US\$ 1.1 billion. So, for a company that is doing US\$ 255 million on a quarterly run rate basis, I do think from what we understand of our business, this is a fairly healthy set of bookings and that bodes well for our trajectory going ahead. So, I won't read too much into book-to-bill and worry about it.

Now in terms of the deal signings, I will try and keep it brief because we want to take a bunch of questions. So, I'll give you an uber answer. And if we have time towards the end of the call, I will try and get into each of the segments. And I'll just take one segment for now. So, if you look at our deal signings so far, we've delivered pretty much for the last two quarters, anywhere upwards of US\$ 370 million in TCV and relatively good US\$ 270 million or so in ACV terms. Now there are some deals that could have slipped from the last quarter to this quarter, but that is the nature of the game. So far, there are not much delays. Now, interesting thing would be how Q3 pans out because Q3 is a short quarter. There are too many things happening in this Persistent Systems Limited

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quarter in terms of Thanksgiving. There's Christmas, there may be furloughs, there may be other things that are there. So, this will be a short quarter, and we will have to see as the quarter pans by the decision making, given the macro, given the short quarter, impacts of the deal closures in this - the pipeline is good, we will have to just let the quarter pan out.

Now we deal with three different segments, as you rightly said. We deal with the Enterprise Software segment or the ISV segment on one side and BFSI, Healthcare Life Sciences. If you look at it, some of the things that we have

been seeing from our company -specific perspective, we have a fairly strong foray in the product development side, whether it is horizontal ISVs or it is vertical -specific ISVs, and that is the tenet we take to the enterprises as well. We have been seeing pretty good deal wins. We announced two large deal wins in the last two quarters. One was US\$ 70 million in the quarter before. The last quarter was US\$ 80 million, single TCV kind of deal wins. So, from that perspective, we very strongly believe in the enterprise software/ ISV segment. We have the best right to win and sit at the table. So that continues to give us good pipeline. Similarly, on BFSI and Healthcare Life Sciences, we do see some delays in deal signings, et cetera, but not to the extent that one should be worried about. And again, as I said, we'll let the Q3 pan out. Sunil, over to you for the margin part.

Sunil Sapre: Yes. So Bhavik, on the margin side, there are basically three important elements. One is what you call the currency movement, which was positive in this period. As you know, 90 basis points being contributed by that, which gets reflected in EBIT. But a part of that gets unwound after EBIT in form of Forex loss on the hedges that we would have taken in the past. So, net-net, say, about 40 -50 basis points of benefit comes in the effective eventual margin, so to say. The other element is with respect to IP revenue and what is the composition of IP revenue in terms of royalty and our own IPs under the Accelerite portfolio. And thirdly, the operating efficiency improvement

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and the leverage that we should get as we keep scaling. So, two of these factors in terms of operating efficiency and leverage and IP revenues, are

internal while currency movement is external. But in terms of IP revenue, it has certain seasonality. It's not like every quarter we may have that kind of IP revenues. But on an overall basis, I would say that we feel confident to hold the margins at these levels, should currency not be playing another volatile kind of thing. We generally hope that currency will hold at this level or maybe a little bit softer in the last quarter, but the current indications are that what we call we will not see the dollar -INR going back to 78 -79, so very soon. It might - dollar may appreciate further before it flows back. So that's our current expectation. And you are right, there is potential to hold it and work on operating efficiency to improve it further.

Moderator: Thank you. The next question is from Manik Taneja.

Manik Taneja: Hi. Thank you for the opportunity and congratulations for the very consistent performance in the current quarter as well. Sandeep, I wanted to get your thoughts, given the decline that we've seen in our top client revenue performance this quarter, should we expect some tail impact going into 3Q and 4Q as well? That's question number one.

And does this change the outlook that we have provided in the past of 4% - 6% kind of a sequential growth for the foreseeable future. And the second question was for Sunil. On the revenue productivity trends, we have seen offshore revenue productivity increase for three quarters now. How should we be thinking about this dynamic going forward? Thank you.

Sandeep Kalra: Manik, let me take the first question. So, look, we have been working with that brand for more than 18 years in different forms and shapes. Now we have seen many cycles where every client has their own specific nuances. Every client has their own business, their own macroeconomic environment impact. They all have to do their puts and takes of their own priorities. And

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we've always seen whenever there has been some amount of work between us and them in supporting any of the requests that may be there in terms of any restructuring and whatever else, we've always come back stronger over the quarters. As far as the immediate Q3, Q4 is concerned, I don't expect any major material impact, a couple of million dollars here or there in our bigger picture of things. When we are at a US\$ 1 billion run rate, it is not anything material, if that happens. And even if that happens, we have the assurance from our top customer, that all these are short -term adjustments that

they're doing, and they are committed to working with us on their newer things as well. So, I would not be reading too much into it. And second, look, our proof of the pudding is we have performed consistently over the last nearly 10 quarters. It's been 10 quarters of sequential revenue growth, profitability, stabilization or growth. And even in the COVID times, we have come through very well. So even this quarter, current quarter, if you look at it, and this is for you and all other investors on the line, 5.8% in dollar terms, 6.6% or thereabouts in constant currency terms. Even after adjusting for the client-specific issue that you're talking about, talks about the robustness of the system that we have built. So that is where I would want to leave it. And as far as the 4% -6% growth that you talked about, that will be our endeavor to continue to do that and let the macroeconomic environment pan out. But our endeavor would be, we would be best-in-class. Growth would be the preference for us. Profitability same or better would be the second thing for us. So, with that, I'll hand over to Sunil for the next one.

Sunil Sapre: Yes. So Manik, this of fshore rate realization is a function of two items essentially. Our ability to manage fixed price projects, which we do in some of our businesses, both on site - I mean, both the export b

usiness as well as

domestic business. And the other part is how much is our pricing power in terms of ability to get COLA increases and so on. So, over the last few
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quarters, this was, you can say, a conversation that we had with several customers, and many of them were amenable considering the high attrition that the industry was facing. So, this is what you call a combined result of this. The change from quarter-to-quarter could happen so far as the rates, if you hold them steady, it is more out of the efficiency of execution of fixed-price projects. I hope that helps you get you a flavour of that.

Moderator: Thank you and the next question is from Karan Danthi.

Karan Danthi: Hi Sandeep and Sunil. Thanks for taking my questions. Since you have such a great vantage point into enterprise software deal flow, I think one of the concerns is Europe and just how the macro in Europe, given it's such a big market, is going to evolve from here. Some companies are saying like Snowflake - sorry, ServiceNow that there's been - it's been hard to sign those deals. I'm just wondering kind of how that plays into your business practice? And on a related note, which is - this is the second part of that first question. There is, again, this broader argument of consumption-based software businesses and deal-based software businesses. And I'm curious kind of what you're seeing in terms of the resilience of consumption-based software businesses versus deal-based software businesses. That's the first. And then the second, I would ask, who would you, which, I guess, areas - essentially, we're dealing with the inflationary environment, software helps deflate. So, there's a clear need to adopt software faster. I'm just curious, since you have a lot of partnerships, where do you see acceleration because of the need to - meaning acceleration of adoption of certain verticals, vendors because of the need to deflate fast. And this is a broader comment on the cloud, which is, is there going to be faster adoption of the cloud or slower adoption to the cloud? And then who are the related vendors, I guess, that would benefit.

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Sunil Sapre: This is a one-hour discussion in itself. But let me try and address it, and I'm sure you seem very knowledgeable about this. So, I'll keep it at a high level. Now whether it is the European market or overall market, a number of the enterprise software companies are global in nature. So, they will face some headwinds in the US, they may face higher headwinds in Europe and other parts of the world. There are also, the enterprise software companies are not just one block. As you rightly said, there are companies that are deal-based software, consumption-based software, born the cloud, the companies that are public companies for long, the companies that have gone

public in the last 2, 3 years, there's dynamics - different dynamics for different people. So, let's take a company that basically was born in the cloud dependent on consumption-based software, went public in the last 2 to 3 years. Pretty much any company in that category would have been a unicorn before they went public, and they would have had this rule of 40, where the revenue growth and profitability put together, as long as you had that greater than 40%, you were golden. Your valuations were absolutely good. But now in an environment where there's a recessionary environment, looming on our heads, nobody knows when, how, how much deeper and how long it will last and so on.

There is going to be a slowdown of enterprise software and people are already starting to see it. Now what that means is if the revenue growth is not going to happen, they're already not profitable. A number of these companies that went public, for example, in the last 2, 3 years, they're not profitable

le. They need to really look at their profitability. They really didn't have a globalization strategy from their product development perspective, product support perspective, professional services perspective, a number of those didn't really care about those when the revenue growth was happening. They were focused on that. But in the new environment, that whole dynamic is changing. Now no longer the revenue growth is there, so
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profitability is important. So, globalization from a product development perspective, having a coherent strategy and working with partners like ourselves who are absolute experts in this, is becoming an absolute important thing for them. So, if we were to talk to any of our potential customers, our customers, existing customers, the CXOs, I'm not talking about the working level. The CXOs, they clearly understand, and they clearly engage with us, and that is where we are emanating a number of large deals. And these may be public companies. These may be private equity held enterprise companies. And they may also be unicorns that were successful, were moving towards profitability, but are now challenged. And they are across US, across Europe. So, I hope that gives you a kind of a flavour towards where we are seeing the discussions pan out and so on.

Now again, the debate about consumption-based software versus deal-based software, deal-based software companies would be companies which are more established for many more years and so on. I would say they have a little more pain at size and scale, although the consumption-based software companies, not everyone is at the size and scale of a Snowflake. They are smaller companies and that addressable market for us may be slightly lesser. But I'll park it there because this could go on and on. Now in terms of any vendors, I would not want to name vendors because we partner with all of the hyperscalers. I wouldn't want to say one hyperscaler versus other. There are different dynamics. Azure plays in a different space than AWS, AWS not many retailers would want to take. Azure is prevalent because of Microsoft percolation all through the enterprises across verticals. Google specializes in certain areas more than others, but we are seeing healthy things in different, different segments of the market, and we are partnering with each one of them. With that, I will stop on this. Hopefully, that answered you.

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Moderator: Thank you. The next question is from Ruchi Mukhija.

Ruchi Mukhija: Congratulations Sandeep for Q2, very strong performance. I had a couple of questions, I try to be restrict to two. First was on BFSI. Now in terms of your client mix, it's quite diverse, ranging from large western banks to midsize and fin-techs versus insurance companies. So, do you see a difference in their tech spending pattern in current backdrop between large bank, midsize and fin-techs?

Sandeep Kalra: No, so look, if we look at the broader trend, and I'll restrict it to the broader

trend. Most of the banks and insurance companies, they are expecting a mild recession in the U S, and I talked more about the U S because for Persistent per se, 79% of our businesses is US, and our business in Financial Services is mostly U S and India. In India , we are pretty much there for any NBFCs and financial services organizations, more on loan origination systems and other things. So that's pretty much robust. Now when I look at the global things, globally, we are looking at the banks and insurance companies and similar organizations, prioritize the spend and the management of resources. They are definitely trying to cut cost in business as usual so as to be able to sustain their initiatives , which were started in the last 1 to 2 years in terms of their own transformation, launching newer digital product

s, et cetera, et cetera.

Now if you look at things like digital payments, customer experience, business process, data analytics et cetera, we do expect, based on our discussions, these investments will continue. And the legacy stack will be the one where the money has to be squeezed out to be funneling this and some money will go towards EBITDA improvement for them. I could give you more colour. And one last thing I would want to say -- we are not exposed much to the mortgage market. We're working with a leading mortgage platform provider where we have seen some impact, but it is not material to our revenues. So, our mortgage -related exposure is not much at all. So, from Persistent Systems Limited

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that perspective, thankfully, we are pretty much okay. So, I'll want to restrict it there. Any other questions I can answer.

Ruchi Mukhija: Sure. I'll move to the next one. Now we've heard from some of your peers that today, the nature of the demand is changing, you see more cost optimization focus along with the revenue growth initiatives. So could you share with us what are the differences that you see between these cost - focused contracts in terms of deal sizes, tenure delivery or execution cycle and also profitability ?

Sandeep Kalra: Sure. So let me give you some examples. So, for example, and I'll take 2 segments this time, let's say, the enterprise software market. So, if you look at the enterprise software market, back to the earlier question that was asked by Karan, I guess, so we have been working with many customers. So, for example, I talked about a US\$ 80 million deal where we are partnering with a leading European software, enterprise software company. This deal is about taking over a chunk of professional services, optimizing it from right shoring perspective, scaling it from a lower cost location perspective, bringing automation, et cetera, et cetera, and so on and so forth. So, this is a 5-year deal. This is not a smaller project and so on. So, this is about US\$ 80 million. Now if I go to a leading, let's say, third -party administrator of insurance services, there, we have basically done a deal, for example, to take over the entire application support to take over infrastructure support, move a bunch of infrastructure and applications to the cloud, help them optimize their spend. Again, this is kind of a 5 -year deal and so on. So, like that, there are multiple deals in different segments. Even from a transformation perspective, earlier, people were very happy taking transformation -related projects to be done totally on -site, very little spend offshore. Now they are very amenable to doing literally 20%, 30% on -site, willing to look at spending more from offshore so that they get more for the same money, and they are able to get their programs last longer, do the Persistent Systems Limited

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multiple phases of it and while saving money at the same time. So, there are contours of cost reduction, cost savings, both in transformation and in business as usual. So hopefully, that gives you a colour.

Moderator: Thank you. And the next question is from Nitin Padmanabhan.

Nitin Padmanabhan: Hi, thanks for the opportunity. Two quick ones, actually. So one is over the past few months, if you look at the velocity of deals or the decision -making cycles, I just wanted your experience there . And why - and the existing book of business that's anyway underway, are you seeing more client -specific

issues? And do you see that sort of getting worse as it goes forward?
The second part is on the furloughs, and do you have clarity on furloughs going into the quarter? And the IP business, how are you thinking about that business today? Because growth has been pretty solid after a very long time. So is there any change in thought process within that business as you move forward. So those are the 2 bunches of

questions. Thanks.

Sandeep Kalra: Yes, there are four questions. Let me try and address them quickly. So, in terms of velocity, as I said earlier, so far, we have not seen that we will be impacted that much. Q3 will be the proof of the pudding because the bar seems to be elongating. This is a short quarter. There are too many holidays. There are furloughs that are being talked about. Back to your point about furloughs - there are discussions about furloughs. There's no firm decision that has been given to us. There are some furloughs that have happened for many years. So, I wouldn't say that some of the customers are doing furloughs for the first time. We have seen this, not only us. The entire industry has seen some of the largest tech companies, some of the largest financial services organizations. They have a pattern. Every year, they do 1 to 2 weeks of furloughs. The only question would be, would this year, this quarter be different so that we will have to let it pan out. We will have a clarity by November, mid or December first week on all that.
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Now in terms of customer -specific issues, as of this point in time, there are none other than whatever have been reflected in our financials so far. If there are any, we'll come back and report to you. Our endeavour would be to make sure, first, we avoid these things. But sometimes, you can't wish customer relationships to be only a one-way lane. You can't just expect customers to just give you more and more. If they have a macroeconomic headwind in their business, it's our job as well to sometimes work with them even if that means cutting down our expectation of what they spend on us, to be coming back as they kind of spend more over a period of quarters and years. So, I would not want to read too much into customer -specific issues - relationships are what matter. Revenues can go up and down, and our first intent would be to make sure that the relationship stays strong. And back to your point on any more customer -specific issues. No.

Now IP business, how are we looking at it? Look, IP business for us is one of the biggest differentiators as well. In our Accelerite business, we run at least 3 to 4 enterprise class products where if you fly Delta airlines in the US or some other airlines like that, there may be some IP that we may have, which may be patching their systems or do whatever else. There may be ATMs that you may be using globally, little known, our software may be running some of those. In India, you may be doing some of the purchases on some of the online stuff where we may be behind it. So, it is a big differentiator for us. It's also a profitability lever for us. And these are products right from what we have acquired from Intel, Citrix, all of this is public domain knowledge, to many others. Now if we can take them, modernize them, sell more of them, it gives us additional profitability. So, we will endeavour to do that and also use some of this as a reusable IP in our customer engagements and so on. So, our endeavour would be wherever we can do it, get better revenues and profitability. We'll continue to do that. And that's where a focus team is on that part. And we'll keep reporting anything if it changes on this. So, I'll keep
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it there. We have 14 minutes left, and we want to take more questions, So Nitin, I hope that answers you.

Moderator: The next question is from Chirag.

Chirag: Hi Sandeep. Congratulations on various remarkable execution and good set of numbers. So, I have a few questions. Like in terms of IP revenue, we, our number of clients billed are higher compared to previous four quarters. But if you look at the contribution in terms of revenue, it is on lower end. So, is there any low margin selling or a client billed during this quarter?

Sandeep Kalra

: So, I wouldn't say there is any low -margin client billed during this quarter. That is not the case. Now IP revenue for us is, again, 3 kind of IP revenues. One, that comes from our top customer where we have certain deals where we get a revenue share. Number two, if we go and sell a solution, which has embedded components from a partner, whether it's low code, no code related stuff or some other solution, that's the second part. Third part is our erstwhile Accelerite portfolio. I wouldn't believe knowing what I know about the business that there's anything that has material low value kind of deal from a margin perspective then. So, I would leave it there.

Chirag: Okay. And Sandeep, one more question. In terms of client engagement size is the bifurcation which you've given in factsheet. If you look at the numbers in category of US\$ 5 million-10 million range, it has increased significantly in the last 1 year. But in US\$ 10-20 million brackets, it remains stagnant. So are we targeting more lower ticket engagement size to diversify portfolio? Is there any such strategy between please?

Sandeep Kalra: No. So, I think you should read it in conjunction with the number of customers in the US\$ 20 million -30 million size as well. So, if you look at FY 22, we had two customers who were greater than US\$ 30 million. Right now, we have three. If you look at the number of customers in the bracket of US\$ 20-30 million, that has also increased. So overall, if you look at it, every category is showing progression. So, from that perspective, we are happy about it. Can we do better? Absolutely. So, I don't think there's a cause of worry, but we'll try and do better.

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Moderator: The next question is from Suraj Malu.

Suraj Malu: Hi. So, I have two questions. So, first question is our top client which is IBM. It has seen a degrowth over the past three quarters. So, could you please throw some light as to what went wrong with our largest clients who have been contributing around 20% of our revenues?

Sandeep Kalra: So first of all, I would not want to name anyone and so on, there are confidentiality issues out there right there. Now I wouldn't say there are any issues. And if you look at even whatever name you gave, the results and so on, they're doing well. So, our top client announced their results yesterday, and they are doing well, and I sincerely wish they keep doing well and even better. Now as far as our relationship is concerned, if there are revenues that go down, it may not be because of issues. It may be because - and we had clearly called out about three quarters back, there was a deal that we had for five years, which was not very profitable for us. We had worked collaboratively with them. We had folded significant part of that deal back into the top customer, and we had continued a certain percentage of T&M. So that was one part. Now over a period of time, as the macro evolves, everyone has to take a look at where their spend priorities are, where they want to spend their US\$ 100 if they have US\$ 100 to spend, whether it is on existing products, new products and so on. And so, if they are reprioritizing any of their spend, and we have to work with them, we'll happily work with them. They have been good supporters of us for the last 18 years and will continue to get the spend back as we kind of work with them on new programs. So, I won't read too much into it. And again, look, no customer will be a one-way

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lane throughout life. And relationships, as I said earlier, are more important than the spend in this quarter or the next quarter. It will come back if we have a good relationship.

Moderator: The next question is from Rishi Jhunjunwala.

Rishi Jhunjunwala: Yes, thanks for the opportunity. Just a couple of questions to understand

stuff better. Sandeep, one thing is that we have been announcing our overall TCV for past eight quarters now. And over this period, of course, macro has deteriorated. Just wanted to understand, have you seen any kind of change

in conversion of deals into these deals into revenues. So, for example, if you have on almost like \$1.1 billion worth of ACV in the past four quarters, would that translate into a similar amount over a 12-month period itself? Or have you seen delays in those conversions as well?

Sandeep Kalra: Rishi, very good question. So, look, there are delays that happen because of two things. There are delays that can happen because of customers once they sign even the ramp up the way it is, at times, it gets delayed. And there's no science to predict it before it happens. So, there is some amount of revenue leakage that happens because of that. And at times, there's revenue leakage that happens because we are not able to fulfil in time, in line with what the customer expects and that causes another set of delays. I would say, roughly, if you were to say what is the impact of it, anywhere between 6% to 8% would be the impact of this. And we try to minimize this impact because this is revenue leakage for us as well. And it also causes delays at the customer side at times. So that is where, I would say, and it is not this that it has gone one way or the other over the quarters. This has been the case because the labour market for talent that we need has been tight. And even now, while attrition has come down, even now there's pent-up demand at our end, if you could get a significant number of qualified people as of Persistent Systems Limited

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today, we could bill them and fulfil that demand, which is leading to some of the revenue leakage that may happen.

Moderator: Next question is from Mohit Jain.

Mohit Jain: Sir, two questions. One was related to the top client decline. Is there a chance that we would have booked this TCV sometime last year, which we need to revise because of the ramp down that we have seen in this quarter? That was one - and second was related to DSOs. Now operating cash flow is a little on the lower side for the first half. So, is there a change in working capital requirement for any of your clients?

Sandeep Kalra: So, the first part, I'll take first, and then I'll have Sunil address the DSO part. So, look, the decline that has happened is basically in contracts, which are renewed on an annual basis. Most of our contracts outside of the IP contracts are renewed on an annual basis in this particular case. So whatever we have lost is basically for this year because it would have got renewed in this quarter. Because most of the U.S. corporations have a Jan-December financial year. So from that perspective, there's no TCV that needs to be reversed. And by the way, to be absolutely transparent, we have already taken that hit in the ACV that we have announced. Whatever is lost, we've already deducted from the ACV and TCV that we have announced for the quarter. So, we already negated that.

Sunil Sapre: Yes. And Mohit on the operating cash flow. What happened in the first quarter of this year, particularly is that, see, this quarter typically has the company performance bonus that we pay to employees. And insurance spend that happens, which is a, you can say, once in a year kind of thing. The other aspect is also because of significant fresher addition. We had significant pay out on account of the licenses. So, these three spends basically are bunched at the start of the year because of which the operating cash flow was lower. But there is nothing beyond that, and it is not as if on Persistent Systems Limited

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the working capital, your question about whether DSO would tend to increase or something is not the reality. But market is of a nature that we need to be cons

tantly at this to ensure that customers are adhering to the payment terms we have agreed with them.

Moderator: Okay. We'll move to the next one. The next question is from Abhishek Bhandari.

Abhishek Bhandari: Hi, thank you Sandeep. Sandeep, I have just 2 small quick questions. First, can we correlate that lower revenue growth or possibly a decline in your top client is also a lever for margin improvement? And two, if you can update on your M&A thoughts, particularly in Europe, given the significant correction in market valuations. And now I think we are almost three quarters down

from our previous acquisitions. So, we should be preparing for the next ones.
Thank you.

Sandeep Kalra: I'll keep it brief. On the lower revenue growth from the top customer and margin correlations, there could be a minor impact from that, although you don't basically wish it that way. So, there could be some minor impact there. Now in terms of M&A, in terms of Europe, so we had been saying that overall, we want to pause on the M&A. We want to be able to digest what we have done in terms of M&A. And I'm very happy to say our M&A, whatever we have done, whether it is Data Glove, whether it is Shree Partners, whether it is SCI, whether it's MediaAgility, all of them have been going well on the integration part. So now in a way, we are getting ready to go back into the market and look at targets. And Europe will definitely be one area, but we'll be a little cautious about making sure that we watch the overall conflict in Europe, the macro in Europe. And if there are good opportunities in Europe that we can look at in line with our acquisition strategy, we'll definitely do that. But overall, even otherwise, we'll get active in the M&A market in the next few months.

Moderator: Next question is from Sandeep Shah.
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Sandeep Shah: Thanks for the opportunity. I wanted to understand, if you look at in FY 24, industry may witness a demand slowdown and last time we witnessed the demand slowdown as an industry was FY 21. In that year, Persistent has done extremely well. And what has gone correct in our favour was a strong positioning on the digital side, which demand has started increasing after the COVID. In FY 24, the dynamics could be different where demand on the cost takeout could be higher. So, on the cost takeout side, I think we are doing extremely well on the enterprise software ISV segment. But are we also having enough positioning in the BFSI and Life Sciences? Or we have to tweak the model? And can you describe that in terms of pipeline of cost takeout deals in all the three segments? And the last question is how to read Salesforce downgrading the guidance in terms of delay in decision making - any impact for us in terms of delaying client package implementation revenues or Salesforce as a practice for us, both for enterprise clients and Salesforce as a client?

Sandeep Kalra: Yes. So let me take the second question first, and we have, Sandeep, we have two minutes on the call. So, I'll try and give you a brief answer on both. So as far as Salesforce is concerned, our Salesforce practice is roughly about US\$ 130 million today on an annual run rate basis, roughly. And this includes Sales Cloud, Service Cloud, Marketing Cloud, MuleSoft, other things, Tableau and so on and so forth. Now part of the work we do is project oriented. Part of the work we do is also do managed services for larger implementations that we have done and that may have been done by others or the customer and so on. So as of this point in time, it's too early to say how this will pan out. As of this point in time, a significant chunk for us is also longer-term contracts. So, we'll let it pan out, and we are watching this carefully as it goes along. Now FY 24 versus FY 21, I do think we have enough capabilities. We have

enough capacity creation that we've done on cost takeout related deals over the last many years. And we have the sales leadership delivery
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leadership that understands this. And some of the deals that we have done over the last even 6 to 8 quarters have been on these lines. Although the proportion of cost takeout deals have increased in the last 1 to 2 quarters, and the pipeline is bigger there. So, rest assured, we have the capabilities. We understand both the enterprise software and the enterprise world. So, from that perspective, as a portfolio, I'm pretty confident if the industry does X, we'll only do delta X more than that and hopefully significantly more. So, with that, I think we should stop here. We are at 7:00 p.m. So, moderator, if we can take one last question, then we'll do the closing comments and go from there.

Moderator: And so, we will take the last question of Karan Uppal.

Karan Uppal: Yes. Thanks, guys, for opportunity. Just one question on ACVs. So, our ACV to TVC ratio has seen a healthy downfall in last eight quarters, which is that you are able to win larger engagements with clients. Now with current macro in mind, do you think this trend will sustain with you winning larger deals ?

Sandeep Kalra: Yes. So, our endeavor would be to do larger deals and long-term deals. That is the intent. And we have been improving on it over a period of time. And I do think the macro being where it is, it is amenable to doing longer and larger deals. So, we let it pan out, but that's where the whole endeavor is. So, with that, we will stop. So, moderator, let me just make the closing comments and then you can do the closure.

So, as we said before, we have had a good run over the last many quarters, including the last quarter. We'd like to thank our 22,400-plus team members, customers, partners and our investors for their support in our growth journey. We remain optimistic on our prospects for FY 23 and beyond. Even as we are closely watching the macroeconomic developments and staying close to our key customers, we continue to aspire to maintain Persistent Systems Limited

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industry-leading revenue growth combined with healthy levels of profitability. Thank you all for spending time with us on the call today. We wish you the best for the festive season ahead and look forward to connecting with you again in three months to provide an update on our ongoing progress. Please stay safe, stay healthy. Thank you.

Moderator: Thank you very much to the Persistent management. Ladies and gentlemen, on behalf of Persistent Systems Limited, that concludes today's conference. Thank you for joining us, and you may now disconnect your lines and exit the call. Thank you.

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Call: Jan 2023

Persistent Systems Limited, Bhageerath, 402 Senapati Bapat Road, Pune 411 016, Maharashtra, India
CIN - L72300PN1990PLCO56696
Tel: +91 (20) 670 30000 | Fax - +91 (20) 6703 000 8 | E-mail - info@persistent.com | Website - www.persistent.com

NSE & BSE / 2022-23 / 170

January 24, 2023

The Manager
Corporate Services
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai 400 051

Ref: Symbol: PERSISTENT The Manager
Corporate Services
Bombay Stock Exchange Limited
14th Floor, P J Towers, Dalal Street,
Mumbai 400 001

Ref: Scrip Code: 533179

Dear Sir/Madam,

Sub: Transcript of investor/analyst call held on Thursday, January 19, 2023
Ref: Our earlier intimation under reference no. NSE & BSE / 2022 -23 / 166 dated
January 19, 2023 ('Intimation')

In continuation to the above -referred intimation and Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the Transcript of the investor/analyst call held on Thursday, January 19, 2023 , for your information and records.

The transcript of the Analyst Call is also made available on the Company's website

The link to access the same is as follows: Analyst -Call-Transcript -Q3FY23.pdf (persistent.com)

This is for your information and records.

Please acknowledge the receipt.

Thanking you,

Yours Sincerely,
For Persistent Systems Limited

Amit Atre
Company Secretary
ICSI Membership No.: A20507
Encl: A/a
Persistent Systems Limited

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"PERSISTENT SYSTEMS EARNINGS CONFERENCE CALL,
THIRD QUARTER, FY23 ENDED DECEMBER 31 , 2022"
January 19, 2023

MANAGEMENT :

Dr. Anand Deshpande
Chairman and Managing Director

Mr. Sandeep Kalra
Executive Director and Chief Executive Officer

Mr. Sunil Sapre
Executive Director and Chief Financial Officer

Mr. Saurabh Dwivedi
Head, Investor Relations

Mr. Amit Atre
Company Secretary

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Operator: Good evening, ladies and gentlemen. Good day and welcome to the Persistent Systems earnings conference call for third quarter of financial year 2023 ended December 31, 2022. We have with us today on the call, Dr. Anand Deshpande, Chairman and Managing Director, Mr. Sandeep Kalra, Executive Director and Chief Executive Officer, Mr. Sunil Sapre, Executive Director and Chief Financial Officer, Mr. Saurabh Dwivedi, Head of Investor Relations, and Mr. Amit Atre, Company Secretary. Please note, all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after management's opening remarks. Should you need any assistance during the conference call, please raise hand from the participant tab on the screen. While asking questions, request you to please identify yourself and your company. Please note, this conference is being recorded. I now hand the conference over to Mr. Sandeep Kalra. Thank you and over to you, Sir.

Sandeep Kalra: Thank you, operator. Good evening, good morning, good afternoon to all of you, depending on where you are joining from. I would like to start by wishing everyone a very happy, healthy, and prosperous new year 2023 and I hope the new year has started well for all of you. With this, let me come to the quarterly financials. We are happy to report yet another solid growth quarter across all major business and financial metrics, despite a dynamic and rapidly evolving macroeconomic environment.

The revenue for Q3 came in at \$264.35 million, giving us a growth of 3.4% quarter-on-quarter and 32.8% on year-on-year basis in dollar terms. On a constant currency basis, this translates into a sequential revenue growth of 3.5%. This information is also available in our analyst deck, with prior quarter data available for comparison. In rup

ee terms, the growth came in at 5.9% quarter-on-quarter and 45.4% on year-on-year basis, respectively.
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Our revenue growth in Q3, though impressive, was impacted by seasonal furloughs, less working days, and certain client-specific ramp downs in our top client. Coming to EBIT, our EBIT for Q3 came in at 15.4%. This translates into an EBIT growth of 11.6% on a quarter-on-quarter and 60% on year-on-year basis. The EBIT margin expanded by 80 basis points on a sequential basis, aided by growth leverage, better lateral utilization, increase in billability as well as positive currency impact. Sunil will provide more color on the EBIT margin movement later in the call.

Coming to the order book for the quarter, Q3 was a record high for us in

order of TCV order wins. The total contract value for the quarter came in at \$440.2 million, with new bookings TCV coming in at \$239 million. This implies a robust growth in TCV of 20% on quarter-on-quarter and 30% -plus on year-on-year basis. The annual contract value component of this TCV is of the order of \$326.3 million, of which the new booking ACV component contributed to \$143.8 million. We've surpassed the \$400 million -mark in our TCV bookings for the first time, reflecting robust pipeline conversion. Please note as always, these TCV -ACV numbers include all bookings small and large, renewals as well as new bookings across existing and new customers.

Coming to the client engagement buckets, let me give you some color on the client engagement size and the behavior we saw in the last quarter. Coming to the top two customers, our top customer contributed to revenue decline in this quarter per the planned ramp down initiated on some programs in the last quarter. We are hopeful of reversing this trend and getting the top client back on the stable and growth trajectory over the next several quarters. Revenue from our second-largest customer declined slightly on account of seasonal furloughs that happen every year. Outside of the top two customers, we saw a broad-based growth on our other customers in top 50.

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I'm pleased to note that in Q3 FY23, the top-50 customers other than the top two contributed to a very healthy 7.7% sequential quarter-on-quarter and 53.8% year-on-year growth. Also, it is very heartening to see the progression of our clients across important thresholds, with two additional customers moving in the greater than \$30 million and three customers in the \$10 to 20 million revenue bracket. In terms of the geography breakup, from a geographical perspective, we saw a 1.5% sequential growth in North America market, 12% in Europe, and 10.4% in India. The lower growth during the quarter in North America during the quarter was predominantly on account of top customer decline and furloughs in couple of other large customers, as spoken before.

Coming to the people front. In Q3, we are happy to share that as a result of our significant investments in training our freshers over the past four to six months, we were able to deploy about 600-plus freshers. Just to remind everyone, we had brought on board 3,000-plus freshers in H1 of FY23. As a result of this, we were able to reduce our dependence on lateral hires, adding a net of 93 technical lateral hires while balancing our talent pyramid. This was an important margin lever for us in Q3 and will continue to provide us tailwinds on the margin front over the next several quarters. Utilization for the quarter came in at 77.6% as against 79.9% in Q2. It should be noted that excluding freshers, our blended utilization came in at 83.3%, higher by 340 basis points quarter-on-quarter. The freshers were not included in utilization metric in Q1 and Q2 of FY23, as they were still undergoing training. As already stated, going forward, the improvement in

utilization of these trained freshers will be an important lever for project ramp ups and margin improvement. The trailing 12-month attrition for the quarter came in at 21.6% compared to 23.7% in Q2. The annualized attrition for Q3 is slowly reaching a level, which is in line with our long-term average.

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We believe that the TTM attrition will continue to moderate going forward, aided by better outcomes on our employee value-related interventions and a general moderation of hiring across the sector.

Moving on from operational metrics to certain strategic highlights for this quarter - Q3, is usually the quarter in which we declare the interim dividend and I am pleased to share with you that the Board of Directors declared an interim dividend of ₹28 per share for FY23 on the face value of ₹10 per share. This compares to last year's interim dividend at ₹20 and

total dividend for last year at ₹31. It is our endeavor to maintain a consistent dividend payout ratio, while we augment growth through capability-led acquisitions.

Coming to the culture initiative, about nine months back, we had embarked on an important initiative to transform our culture in the light of the challenges associated with high growth in an environment of remote operations and work from anywhere. This involved engaging our colleagues across our multiple locations in India, Europe, Americas, and embarking on a number of long-range initiatives as a result of that, aimed at strengthening our culture and overall employee engagement. I am pleased to share that this exercise has brought together teams across locations and with diverse backgrounds to identify with the common cause of taking Persistent to the next orbit of our growth. We're pretty enthused with the progress and we'll share more details on this in the coming months and quarters.

Coming to planning and road map for our future - Building on our culture-related initiatives, we did a two-week planning workshop in Poona and Goa called The Persistent Huddle 2023 in which 300 of our global leaders brainstormed about our FY24 plan as well as the \$2 billion road map.
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This further contributed to energizing the team and has brought clarity about our goals and the journey to our next milestone. We plan on doing an investor day in second-half of calendar 2023 to share more details on our \$2 billion road map with you.

Coming to the addition of senior leadership - We are pleased to welcome Dr. Rajesh Gharpure as the Chief Delivery Officer for service lines. Rajesh has over 27 years of experience in global delivery and operations, Digital Transformation, consulting and finance at LTI. He brings with him rich industry experience running large global delivery organizations, building competencies, providing thought leadership to clients, and leading various internal transformation initiatives for organization growth and excellence.

Coming to an update on our acquisitions - All our acquired businesses over the last four to five quarters have now been fully integrated and each one of them has shown good growth including contribution to our go-to-market and operational synergies. The teams have come together as one Persistent to win large deals in Fin-tech, Insurance, Healthcare, Consumer tech, and Retail sectors. We are hopeful we can repeat the same synergy-led performance in the coming quarters and years. Given the fact that these acquisitions are panning out along expected lines, we are starting to get active once again on the M&A front. In line with our stated strategy, we continue to look for tuck-in acquisitions to expand our geographical markets and complement our current capabilities. We will report progress on this over the next several quarters.

Now coming to ESG and some other administrative updates - We continue to make good progress on the ESG front. Last quarter, we talked about our participation in Dow Jones Sustainability Indices survey. I'm pleased to share with you that Persistent has achieved a score of 47 in the Dow Jones Sustainability Indices survey this year. We have taken ambitious goals to Persistent Systems Limited

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take our score on this important metric up to 65 over the next three years. Also, for the first time, we participated in the public disclosure category of the Carbon Disclosure Project.

On the administration side in Q3, we opened several new offices including offices in Bangalore, Indore, and London. In the month of January, we inaugurated a brand new 1,200-seater state-of-the-art dedicated Learning and Development Center in Hinjewadi. The center is in line with our commitment to constantly upskill our talent and deliver best-in-class capabilities to our customers in leading technology areas and the center has been aptly named Ramanujan per our employee suggestions after the famous Indian mathematician. In the coming quarters, our expansion plans

include locations such as Jaipur, Kochi, Chennai, Calcutta, and New Jersey. Our endeavor is to provide world-class facilities to our employees and locations close to them and encourage them to work collaboratively from office a few days every week.

In summary, we are pleased with our performance in Q3FY23 with continued healthy revenue growth, record high order wins across our focus industry segments, good pipeline, and improving profitability despite the macro headwinds.

Now, I'll turn over the call to our CFO, Sunil Sapre to give a detailed color commentary on quarterly financials and related matters. I'll come back after Sunil's comment to give you some more details on key client wins, analyst awards, and other recognitions for the quarter. Sunil, over to you.

Sunil Sapre: Thank you, Sandeep and good evening and good day to all. I wish you a very happy new year and thank you for the time that you're spending with us today. Sandeep has walked you through the market outlook and business performance. I will take you through the details of financial performance for the quarter ended December 31.

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The revenue for the quarter at \$264.4 million registered growth of 3.4% quarter-on-quarter and 32.8% year-on-year. Within this revenue, the services revenue grew by 3% quarter-on-quarter, while IP-led revenue grew by 8.6%. You will notice that our IP revenue continued to grow this quarter on the back of 18.1% QoQ growth last quarter. As you're all aware, the quarter Q3 witnesses furloughs and lesser working days due to festival season, due to which services revenue grew by 3% vis-à-vis 4.9% quarter-on-quarter last quarter.

Our total revenue for first nine months stood at \$761.4 million, with Y-o-Y growth of 38.9% with services revenue registering growth of 47.3% and IP revenue showing decline of 17.6%. You will recall that last year's nine months included royalty revenue from one of the contracts that was restructured at the end of Q3 of FY22 and was converted into a T&M contract with a revised scope. Thus, IP revenue for nine months of this year does not include any revenue from the restructured contract and the revenue billed on T&M basis is included in services revenue.

Coming to revenue in rupee terms, the revenue was ₹21,693.7 million, reflecting growth of 5.9% quarter-on-quarter and 45.4% year-on-year and for nine months the revenue was ₹60,961.2 million with a growth of 49.7%. Coming to segmental growth for the quarter, BFSI grew 2.6%, Healthcare 3.1%, and Technology companies grew 4.2% quarter-on-quarter. In respect of linear revenue, the offshore linear revenue grew 3.3% comprising of volume growth of 5% and billing rate decline of 1.6%. The onsite linear revenue grew 2.5% on account of volume growth of 4% and

billing rate decline of 1.3%. The slight decline in the billing rate is also a result of our presence in nearshore centers in Costa Rica and Mexico, which get classified as onsite.

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As a result of fresher intake, as Sandeep mentioned in the earlier quarters, the net addition to lateral headcount this quarter was minimal. Improved utilization during the quarter coupled with freshers getting progressively billed helped us in managing the costs. Additionally, favorable currency also helped margin by 60 basis points. The headwind to margin in Q3 included furloughs and lesser billing days, which was partially offset by higher IP revenue and on the cost side, the headwind was in form of some increase in Travel and Facility costs.

Overall, the EBITDA came in at 18.5% in Q3 as against 18% in the previous quarter and 16.8% in Q3 of last year. EBITDA for first nine months of the year was at 18.1% as against 16.6% in the corresponding period last year. Total Depreciation and Amortization was 3.2% of revenue as compared to 3.4% of revenue in the previous quarter and for the nine months period,

Depreciation and Amortization was 3.3% vis-à-vis 2.8% in the corresponding period of previous year. So, you will notice that while we have done acquisitions, the impact of which is seen in amortization, the consistent growth in revenue has allowed us to manage the impact of amortization within a reasonable range. With this, EBIT came in at 15.4% as against 14.6% in the previous quarter and 14% in the corresponding quarter of last year.

In terms of YTD nine months, EBIT margin stood at 14.8% as against 13.8% for the corresponding period last year. Coming to items after EBIT, during the quarter, we have reversed export incentives worth ₹297 million relating to earlier periods of 2015-16 to 2017-18. The company believes that its services are eligible for export incentives and the dispute is purely an interpretation issue, given the highly technical nature of this matter. With the intention of avoiding prolonged litigation and settling the dispute, the company has requested the relevant authorities for settlement of the case and has submitted an application before Settlement Commission on Persistent Systems Limited.

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29 December 2022. While the hearing against this application is awaited, the company has recognized a provision of ₹297 million for the quarter ended 31st December.

The treasury income was ₹87 million as against ₹60.8 million mainly on account of increased interest rates and treasury size. Forex gain was ₹105.4 million as against loss of ₹91.3 million in the previous quarter. Profit before tax was ₹3,227.9 million at 14.9% as against 14.4% in the previous quarter and so far as ETR is concerned, it was 26.3% as against 25.6% in the previous quarter. With this, the PAT for the quarter was ₹2,379.5 million at 11% of revenue as against ₹2,200 million in the previous quarter at 10.7% of revenue. For nine months, the PAT was ₹6,696 million as against ₹4,894 million, reflecting growth of 36.8% and in terms of percentage to revenue, PAT is 11% of revenue as compared to 12% in the corresponding period of previous year.

EPS for the quarter was ₹31.9 as against ₹29.61 in the previous quarter. The growth in EPS is 7.7%, while growth in the reported PAT was 8.2% quarter-on-quarter. As you know, for purpose of EPS calculation, shares held by ESOP trust are excluded.

Coming to some other items, firstly the DSO, which came in at 67 days as against 60 days in the previous quarter. There are three key reasons for this increase. Firstly, in case of certain customers, there was spillover of payments to first week of January due to holidays, causing an impact of 2.5 days. In respect of certain IP deals we have in the Accelerate portfolio, we have deferred credit arrangements

with certain large enterprise customers. This has an impact of 3.5 days on the DSO. While this will take a few quarters before it starts getting normalized, these are with very good customers of good credit quality.
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Other than this, for certain customers who have December as the fiscal year-end, the services for December also got converted into invoicing, which would in normal course pass through unbilled stage for a month. This is reflected in lower unbilled revenue and this had an impact of 1.1 days in billed DSO, while there is a decrease in unbilled DSO.

Next item on the operational CapEx for the quarter, was ₹292.4 million and the cash on books is ₹16,907.9 million as compared to ₹15,719 million at the end of last quarter. Forward contracts outstanding as at 31st December was \$214 million at an average rate of ₹81.55 per dollar.

Thank you all and I hand it back to Sandeep.

Sandeep Kalra: Thank you, Sunil. I will now talk about the key deals for the Q3 quarter by industry segments. Starting with Software, Hi-tech, and Emerging industries, Persistent was chosen by a leader in online retail in the US to set up a dedicated Global Technology Center across multiple technology

tracks including infrastructure and platforms, marketing technologies, search and recommendation, and fintech and loyalty. This is one of the largest deals in our recent history with a TCV of about \$70 million over three years and embodies the key tenets of our systematic large deal program. This is a proactive deal with scope for further growth on account of vendor consolidation. Cross-functional collaboration between the various teams from acquired businesses was a key to winning this deal with significant collaboration between our data and integration business as well as Google business unit, since this online retailer has chosen Google Cloud as their predominant cloud. This also entails cost optimization play, leveraging globalization, and vendor consolidation as I mentioned earlier of smaller vendors over time while driving enterprise digital transformation at scale.

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Persistent was chosen by a global technology leader that has some of the most well-known brands used by millions of people around the world. We would be partnering in the development of niche virtualization product of the company. This is a double digit million deal spanning across three years.

Coming to Banking Financial Services and Insurance, we were chosen by a leading HR Applications Development platform company to support their next generation HR applications development and enhance the quality of existing features for a leading platform. Persistent was chosen to transform the legacy check platform and enable cloud readiness to future proof the business for one of the largest U.S. banks. This is another example of the synergy playing out with our Payment business unit formed through our SCI acquisition.

Coming to Healthcare and Life sciences, Persistent was chosen by one of the largest global instrumentation companies to modernize its technology stack and streamline its customer order orchestration financials and warehouse management platform. This is a double digit million multiyear deal leveraging our low code-no code expertise. Persistent was chosen to leverage enterprise integration expertise to improve the quality and delivery of service for one of the largest multinational medical devices and healthcare companies. This is again a multimillion, multiyear deal.

Moving on to the awards and recognitions for the quarter, Q3 saw us get continued recognition from industry-leading analyst firms and associations, to mention a few. Persistent was named as leader in Everest Group Software Product Engineering Services Peak Matrix 2023. For the 10th consecutive year, Persistent was identified

in the Leadership Position in Zinnov Zones 2022 Engineering Research and Development Services ratings. Persistent was named as a Leader in Agile Application

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Development Projects in ISG Provider Lens Next-Gen ADM Services for US for 2022.

In summary, we continue to deliver top quartile revenue growth in Q3FY23 along with healthy profitability in spite of a difficult macro environment. We continue to see good traction for our services among our client base along with new deal wins and new logo additions at scale. We remain watchful of the macroeconomic situation and are proactively staying close to our customers, aiding them in prioritizing their technology spend towards transformation and cost optimization and are optimistic about our growth momentum.

With this, I would like to conclude the prepared comments and would like to request the operator to open the floor for questions. Operator, over to you.

Operator: Thank you very much, Sir. We will now open the call for the Q&A session. We will wait for a few minutes until the queue assembles. We request participants to restrict to two questions please and then return to the

queue. For more questions, please raise your hand from the participant tab on the screen to ask a question. First question is from Abhishek Bhandari.

Abhishek Bhandari: Hello. Thank you for the opportunity. A happy new year to the management and congrats on good result. Sandeep, I had two questions. First, in the TV interview today in the morning you said the top client seems to be bottoming out over next few quarters. That, coupled with the strong tailwinds, should we assume that we should go back towards 4% to 6% kind of growth what we were doing before Q3?

Sandeep Kalra: So, two parts to the answer. The first part about the top customer bottoming out, it is pretty much bottomed out there may be a small bit of Persistent Systems Limited

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decline maybe and we will try to avoid that in the next quarter and there are some very good discussions, which may also over the next several quarters bring that trajectory back to growth in the top customer as well. So, that's the first part. Second, in terms of the growth, look, we don't give forward-looking guidance, but the endeavor would be to reach whatever percentages you said.

Abhishek Bhandari: Sandeep, the second question is on your medium-term margin guide or your margin aspiration rather, where you said you want to lift the EBITDA margin by almost 200 to 300 basis point over medium-term. So, if you could clarify what does that medium-term mean and also what are the big levers you have in terms of improving the margins significantly from here? Thank you.

Sandeep Kalra: Sure. So, if you look at it when we talk about the medium-term, we're talking about the next two to three years and if you look at our track record over the last two to three years, every quarter we have attempted to stabilize and improve the margins. So, our attempt would be to go up by 200 to 300 basis points over the next two to three years. Obviously, the levers in that are right from the scale of revenue, as we scale the revenue, some costs are not proportionately scaled with that. Second, if you look at it, we have brought in freshers at scale, we have trained them, we are deploying the freshers, and building our own talent pipeline for the longer run, building our own talent rather than going out and hiring people from the market. So, that would be the second piece of it. Third piece of it if you look at it, if you look at our client mining efforts, so even in this quarter we have moved from greater than \$5 million customers being 30 last quarter to 34 this quarter. So, that is the other part of it where we are trying to bring more service lines into the same customer, leverage our SG&A much more effectively.

y. Last, but not the least, our ability to do larger deals, longer term deals, it also has an annuity component built up, which also Persistent Systems Limited

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reduces our start-stop effect of the bench that may be and so there is a bunch of these and a few other operational things that we will do including building more and more solutions and some amount of IP, not as in a product-product, but IP that can make us better, faster, and more profitable in implementation of services. So, hopefully that gives you a color.

Abhishek Bhandari: Thank you, Sandeep, and you have a good 2023.

Sandeep Kalra: Thank you.

Operator: Thank you very much, Sir. The next question is from Mr. Bhavik Mehta.

Bhavik Mehta: Yeah, am I audible?

Operator: Yes, Bhavik.

Bhavik Mehta: Yes. So, couple of questions. Firstly, just on the margin bit again, you did 15.5% this quarter, and assumption is that without furlough you could have even touched 16%. So for CY23-FY24, how should we look at margins, where do you think is the sustainable level of margins given the growth you're projecting. So that's one and second is on hiring. So, hiring has been slowing down over the last couple of quarters. Obviously one way to look

at it is that you are increasing the fresher utilization and making them billable, which helps, but given the kind of growth you see, given the deals which you have, do you think you will have to start ramping up hiring going ahead or is this the new normal of hiring and the focus will be on just improving utilization further from hereon?

Sandeep Kalra: Sounds good. So, I'll briefly answer both of these. So, as far as the margin is concerned, look, we have been working on improving our margin over the last several years and we have made significant progress. Now, we will endeavor to do incremental progress, but that will not be at the cost of growth. So, we have to make sure that we have a pretty good growth even
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in whatever macroeconomic circumstances may exist today or few quarters from now and so on, so that is our priority #1. Now, we have already talked about the medium-term 2-3-year aspiration of taking it up by 200 to 300 basis points and we'll stick to that, so we'll keep making progress on that. In terms of hiring now, look, we have been saying very consistently over the last several quarters, we have had 3,200 freshers over the last many quarters and for the last six months, one of the biggest investments in Persistent has been in our Learning and Development investments whether it is in terms of Learning and Development staff, our own delivery leaders and their teams getting involved in training our freshers, making sure that we are building the talent the way we need in different technology tracks, the software platforms which offer online courses and so on.

So, there has been a significant investment right from hiring the people, training the people. Obviously, we are intending to deploy them and the whole attempt is to create a longer-term cycle where we not only for the last year, this year also just to give you insights, we've already offered 1,200 freshers and this will come over the next several quarters and I'm very proud to say, we are among the only companies in India today who have hired 100% and given full credence to all the offers we have given and onboarded all the people. So, from that perspective, rest assured, it is not lost on us that the growth has to be the priority, but we have to build our own talent for the longer run and look our engine. If it can hire 800 laterals to 1,200 to 1,500 laterals, we have that engine and we can activate that any day if we need to hire more laterals and our focus for the next few quarters first is to take the inventory and then we can keep bringing whatever number of laterals we need to.

Bhavik Mehta

: Okay. Got it. Thank you and congrats once again for another good quarter.
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Sandeep Kalra: Thank you.

Operator: Thank you very much, Sir. The next question is from Mr. Manik Taneja.

Manik Taneja: Hi, good evening. I hope I'm audible?

Operator: Yes, Manik.

Manik Taneja: Thank you once again for the opportunity and congratulations for the resilient performance. Sandeep, I wanted to pick your brains around the comment that you made around top customer growing going forward, so this is a customer which in absolute terms of revenues has gone nowhere for us. We've had some down years, last year it grew and this year once again it has declined sharply. So, there is some element of the IP restructuring that we did in this customer account, but if you could help us understand what's happening from a services landscape at this customer, that was question number one. The second thing is the industry essentially has seen significant tailwinds from price increases over the last couple of years. If I'm thinking now over the next 12 to 18 months timeframe, just wanted to understand how do you see the situation play out? Yeah, thank you.

Sandeep Kalra: Okay, let me take the second one first. It's an easier question and I can wrap it up quickly. So, little known fact, for the last 12-18 months we were

at it in terms of price increases. And look, nobody has a crystal ball. But, when the inflation was so high, the customers were amenable before the real cloud of macroeconomic, etc, started coming in. And thankfully, with respect to our customer cooperating with us, we had done good amount of price increases earlier itself. And that's also in a way, to add to what I said earlier, been a margin lever for us. So that has panned out well. I don't think the market would be very ripe for doing a lot of price increases in the next 6 -12 months, maybe things will change after that. So, we are well

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take n care of as far as Persistent is concerned. We have done what we needed to do proactively, and that has been the thing for us – proactive deals, proactive margin expansions, proactive fresher hiring, proactive training deployment. So, that is what has hel ped us so far. Now, coming to the top customer, look, it was a very conscious decision, as you know well. An d for other investors on the call who don't know, there was a fairly large contract which we had with a top customer , which was not very profitabl e for us, and we requested to kind of terminate it at the culmination of 5-year period of the contract. So, that's where it also contributed to the top customer revenues coming down for us significantly, to the extent of roughly about \$2 5-30 million impact is just because of that contract itself in terms of the decline. Now, the top customer of ours has bee n, obviously they have seen a CEO change, the company has done well over the last 12 -18 months. If you look at their results and performance, they are stabilizing and doing very well. So, there are many discussions which are also aligned with their forward - looking path that we have, and we are confident given our 18 -plus years of history with this customer and the strong relationship we have across the leadership, that we should be able to go back in and grow over the next several quarters. I'll just leave it there with pride that our relationships are fairly strong. Our revenues may have gone a bit sideways for certain quarters. But as long as our relationship is strong, I'm confident our relationship will lead to revenue growth as well. Manik Taneja : Thank you and all the best for the future. Sandeep Kalra: Thank y ou. Operator: Thank you very much sir. The next question is from Mr. Abhimanyu Kasliwal.

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Abhimanyu Kasliwal: Good evening , sir. Thank y ou so much Sandeep ji. Congratulations for the wonderful performance in this quarter. My question was regarding Other Income. I mean, I'm not really speaking about operations, they're going brilliantly. But I'm curious that Other Income has jumped up this quarter QoQ. Is this a sustainable increase? What does it consist of? Because, the Other Income was a good percentage o f the Net Profits, at least 10'ish or slightly more. So, what would be your take on that. Sunil Sapre: So, Abhimanyu, if you're referring to Other Income the way it appears in the newspaper advertisement, it has two components – one is the income on surp lus funds i.e. treasury income, and the other is the forex gain. So, if you see the last quarter, what happened was, the appreciation in the dollar that led to loss on hedges that we'd booked in the earlier year , whereas in this quarter, the way hedges pan ned out, that loss was less, whereas the actual gain on realisations, that when we collect the money from the customers, that came in at the spot rate which at elevated to almost 82 - 83 levels, as you know during this quarter. So, against a loss of 9 crores last quarter in terms of forex loss, this quarter there is a gain of 10 crores. So, that's where you see almost a 20 -crore swing and that's what is leading to that number that you're referring to as jump in Other Income. I hope that helps you get a perspe ctive on that. Operator: Thank you very much sir. The next question is from Mr. Vimal Go hil. Vimal Go hil: Thank you for the opportunity , sir. My question on your acquisition has

already been answered, so thanks for that. Another question that I had was on subcontracting costs. They've been unusually sticky despite the fact that the company has made a lot of efforts on opening up on -shore centres. So, I just wanted to get a sense on that. Plus, it was quite... I was quite surprised to see that particular element of our subcontracting cost not there, it did not have a mention in your margin levers. There probably

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we have one of the highest subcontracting costs as a percentage of sales in the industry right now. So, I wanted to get a sense of how will that pan out going forward.

Sandeep Kalra: Sunil, do you want to take it or should I take it?

Sunil Spare: I think what I would like to mention is, subcontracting costs for us have been in the range of 12 to 14%. And the way it has happened is, if you look at the furlough impact in this quarter, what happens is, you may have subcontractors who are continuing on these engagements, and just the fact that revenues are not there, and in terms of that, that is why it reflects in higher percentage to revenue. In terms of absolute levels at which we are operating with the subcontractors, yes, definitely there is a reason and room to see how we can optimize this. But these are across geographies and we will take the rightful approach to see how this can be consistently reduced. So, it has to be sustainable and that's where some of the challenges in the midst of people's willingness to move across zones, within the US also, has been a challenge, and we have had to continue with some subcontractors. Sandeep, if you want to add anything?

Sandeep Kalra: I think that's fair.

Vimal Goel: Sir, just on macros plus how we are sort of reacting to it, product R&D is relatively, does it seem to be more insulated in terms of how the macro is panning out in the west? And the related question to that is, the reaction from enterprises v/s ISVs. Enterprise product roadmap may have some delays, while ISVs may continue to spend on their existing bread & butter products, which will help us. So, if you could just take us through how will both of these segments pan out for you, and how will it also impact our TCV and ACV tailwinds going forward?

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Sandeep Kalra: I'll try and keep it brief, but please bear with me, because this is a very philosophical and a bigger level question for us. So, if you look at the enterprise side of the house, now there are multiple things that are happening there. On one side, the enterprises are trying to conserve cash while making sure that they are able to do the digital transformation that they had started. So, a number of these exercises started about a year, 2 years back during the COVID period. So, they're not going to be immediately stopped or anything. So, they are trying to squeeze the business-as-usual cost and still keep the transformation going.

Second part, when I talked about even, if you look at the biggest deal that we announced, so what is happening there? People are continuing on the transformation journey, but they are using more globalization. Earlier, people were willing to pay anything to get cloud, data, AI kind of technical talent here in the US. So, that is now moving, for saving cost, all of that will move to offshore or a significant amount of that will move to offshore, near shore and so on. What does that mean for the enterprises? It means cost saving. What does it mean for people like us? It means more business. Same way, if you look at it, if the enterprise spend is going to be slightly squeezed, or squeezed in different forms and shapes, whether it is transformation or BAU on software vendors, the software vendors' revenue will go down. And we have talked about it on our earlier calls as well. As far as the enterprise software companies are concerned, they go by a rule of 40, which is basically your revenue growth and profitability growth. As long as it's more than 40, you are golden. That's a very thumb rule metric. Now, if the revenue growth is not going to happen because enterprises will try and squeeze the product vendors, maybe they will

spend lesser for the next 6 -12 months or more, the enterprise software companies' revenues will come down, and their imperatives for again, optimizing their profits will go up. And if they have to continue to be Persistent Systems Limited

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competitive and they have to be on their roadmap, they need to work with people like us and optimize their costs. And again, while they optimize, there's opportunity for us. So, we have to be clearly seeing, yeah there's a cloud called the macro, there's a headwind, but there's a tailwind, the silver -lining where we can help, whether it is the enterprise or the enterprise software companies, optimize while delivering to their goals. I'm keeping it at a very high level because we could go on , on this topic for long. But the headline news here is, if we are able to analyze th e trends, if we are able to work with the enterprises or with the enterprise software companies, there's enough for a company like Persistent to do, and we are very differentiated as far as it comes to enterprise software and taking the same tenets in terms of digital trans formation to the enterprise. That should hold us very well along with the acquisitions that we have done over the last several quarters. Hopefully that answers.

Operator: Thank you very much sir. The next question is from Mr. Ravi Menon.

Ravi Menon: Thank you. I just want to congratulate you for a great show this quarter. I wanted to ask you two things. One is on the enterprise side. You have rightly said that you have seen some more move offshore for some of these, but are people cutting back on any programs at all? Are they putting some things in cold storage or shelving some of it when they are trying to conserve cash? Are there any programs that we should think about as discretionary at all, or have most of the cutbacks already happened as people w orried about recession even entering as they were going through CY22?

Sandeep Kalra: So, Ravi look, even in the digital transforma

tion programs, these are not programs that are monolithic programs. Today everyone does these programs in phases, it's all based on agile development. So, people are definitely prioritizing within digital transformation itself. If they had a plan Persistent Systems Limited

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of let's say spending \$100, they may spend let's say \$85. Part of it may be functionality decrease, part of it may be more globalization and so on and so forth . So, definitely I would be amiss if I was to say, no, everyone is doing 100% of the programs the way they were thought, 1 year, 2 years back. There is a certain amount of rationalization that is happening th ere.

There's a certain amount of support -related rationalization that is happening, and that is happening even in the enterprise software side , where products that are not necessarily the biggest margin earners, there are certain things that are being reduc ed on those as well. So obviously, whether it is transformation or business as usual, there is reprioritization, reducing of dollars, and then within that dollars, seeing how much of that dollar can be shaved off by doing more globalization and outsourcing to people like us. So, all of that is in the play as we speak.

Ravi Menon: Thanks. And one follow up on the deal that you won with vendor consolidation. Who are the vendors that are getting consolidated? Are these local subcontracting outfits or people w ho are just skill s providers who have slightly higher billings rates and are just part of this move offshore that you mentioned?

Sandeep Kalra: So, it is both. So, this deal , basically one of the largest system integrators in India , one of the largest of our peers was also involved . So, part of the work is moving away from them , part of the work is moving away from the niche vendors here in the US. It's a combination of both.

Operator: Thank you very much sir. The next question is from Mr. Mohit Jain.

Mohit Jain: Sir, I have 3 questions. One is, is there a difference that you guys are seeing in say ACV v/s TCV? ACV growth in this quarter was slightly on the lower side. Should we read it as a n aberration or is it more like people are moving

towards higher TCV and lower AC V kind of a setup for next year? Second was, I did not fully understand your remarks on receivable days, which is Persistent Systems Limited

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going up for us sharply. Should we expect it to sort of reverse? Are you guys saying it's because of holidays, that's why Q3 numbers are high, and therefore, where should we expect it, let's say, on a recurring basis? And, the third related question is also balance sheet related on the capex side. So, you are also, as per the opening remark, opening various centres, and our capex for the last 2 years is, in fact as an average for the last 4 years, is relatively on the higher side. So, should we expect that capex to remain high for the next 2 years also, or should we expect this to more or less converge to the industry as we move forward?

Sandeep Kal ra: Sounds good. So, I'll take the ACV -TCV question and I'll have Sunil answer the other two. So , on the ACV -TCV, I don't think you should read anything into it. The only thing, if I was you , I would read is, look, all of you want us to do larger deals, annuity business and so on, and we are heads down on doing longer -term deals. The more longer term deals we do, the TCV will be much higher than the ACV, and that's what is reflected in some of the quarters where we have had better longer -term deal win s. ACV -wise, we are comfortable with the ACV that came in; I don't think there's any worry there or anything much to be read into that. Overall, it's a healthy pipeline conversion over time.

Mohit Jain: Sure.

Sunil Sapre: Mohit, on the question on receivables, the situation is like this that, you will see that out of the 3 items that I spoke about, the spillover

of

collections and conversion of unbilled DSO into billed DSO, these are not something that are recurring, and this is where we have the opportunity to reduce the DSO. So, from a level of 67, in the near -term we would target to be around 65. The reason for the slight increase is, as I mentioned about the 3rd item which is deferred credit deals, where it will take some time before they normalize and the repayments start coming in. So, they may Persistent Systems Limited

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take a little longer time to come off. So, the levels that we had seen earlier of around 60 days, it will take a few q uarters to get down to those levels. , And on the question on capex, see there are two aspects playing out. In certain locations we have capex incurred on our own, and in certain locations we have plug and play kind of facilities being rented out. So, the fit-outs are done by the service provider, and that capex is not reflected in our books. If you have anything else, you can connect offline. I don't have the exact details of that right away, but I can update you on that later.

Operator: Thank you very much sir. The next question is from Mr. Chirag Kachadia. Chirag Kachadia: Hello. Congratulations on a good set of numbers in a challenging environment. Sir, I have two broad questions. In one of the clients, we are facing a ramp down in revenue growth. As we hav e an aspiration to reach 2 billion kind of revenue going forward. So, what lessons did you take from this experience , since this is a very old client , to mitigate such incidents going forward? And second, what 's our expectation as a sector and as a company from this coming budget.

Sandeep Kalra: So, I'll answer the first part quickly. The second is more philosophical and we will park that question if we have time, because we only have 12 minutes and there's a bunch of questions on the side as well. So, if you look at the first part, the lessons learnt and so on . Look, when you build a business, you are building a set of customers that you build over a period of time. If you look at our client concentration, right from Q4 FY21, if I w as to give you a data po int, our top 10 customers were 46.3% of our revenues. As of this point in time , they are 35%. So, we have brought in far more vibrance as we have gone along, and this is an ongoing exercise. And, if you look at the number of customers in the greater than \$5 million revenue bucket, for the same period Q4 FY21, there were 17 customers in greater

than \$5 million annual revenue. Today, we have doubled that to 34. So, Persistent Systems Limited

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there's a lot of growth that is happening in logos, which are not among the top few. So, if you look at my earlier comments, I've given the numbers of the growth between the top 3 to top 50, and that's a fairly good sequential growth, whether it is on a QoQ basis or whether it is on a YoY basis. So QoQ top 3 to 50 grew 7.7% and 53.8% on YoY basis. So, there's lots that going on and that's how good businesses are built. So, we are comfortable, and at the same time, we are comfortable that our top customer will also start growing back over a period of time. So hopefully that answers. On the budget question, we'll just part it because there are many questions on the side panel as well. Operator, if we can take some of the questions that have come online and then go back to the queue, that would also be good. So, let me answer a few other questions here and then we'll go back to the queue.

So, there's a question from Abhishek Sharda – What is your view on attrition rate? Is lower headcount addition a sign of weakness in demand? So, Abhishek, the attrition rate is stabilizing because, if you look at it, there are multiple things panning out. One of the biggest things that is panning out is, the macro part for some of the companies, obviously not every company is growing at the

same rate. So, for some of the companies they may be company-specific, client-specific or they're own growth-related things and so on. So, the demand for talent in several buckets, it's kind of moderating. Now, is lower headcount addition a sign of weakness in demand? For some sectors it may be, but for a company like ours, if you look at our order win, it is at an all-time high. So, from our perspective, we are not seeing a moderation in demand. But I can also tell you this - the harder we work, the better the demand gets. And so, we are at it through proactive proposals and so on. So, we don't see right now at a company level, lower headcount addition as a weakness; it is moderated between Persistent Systems Limited

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fresher deployment and laterals, and we have the engine to hire whatever we need to hire over a period of time.

Now going back to the operator, we can take some more questions and then we'll come back to the queue here as well.

Operator: Thank you very much. The next question is from Mr. Vibhor Singhal.

Vibhor Singhal: Hi. Am I audible?

Sandeep Kalra: Yes.

Vibhor Singhal: Hi Sandeep. Thanks for taking my question and congrats on great performance in a seasonally soft quarter. I had a couple of questions. One is, of course, on the overall, you mentioned about the top client bottoming out and probably even take up a growth trajectory going beyond. I just wanted some clarity on the top BFSI client, where we had also probably seen some kind of rundown. Is that also close to bottoming out, and do we see that trajectory there as well? And overall, I just wanted to get your perspective on these two sets of clients, specifically the top client, as you mentioned, why it has bottomed out. What will our endeavour be going forward? Do we see a percentage of its revenue come down over a period of time, not necessarily because the client might de-grow, but because the other parts of the company might grow stronger than the top client? Or, do you think this top client could also start growing in a few quarters and that is what we might be looking at?

Sandeep Kalra: So, a number of questions there. Let me just start by reverse order. As far as the top client is concerned, our endeavour is to grow that top client. We have fairly good relationships and we are confident we'll turn it around over the next several quarters in terms of bringing the growth back. Now, the percentage part of it, so there was a time when this top customer used to be literally 25% or more of our revenues. Today, with the diversification Persistent Systems Limited

that we've seen and the overall growth that we have seen in our customer base, for the last quarter, it was 7.4%. So, our endeavour would be to make sure we grow the customer, we grow all other customers, and as someone asked before this, so there is always prudence in having a set of client buckets so that, there are times when different customers have different priorities, we are not overly dependent on any one or the other. So hopefully, that gives you the answer on the top client part. And if you don't mind, we'll take your other questions in a little bit because there's a queue and there are only 6-7 minutes left. So, we'll come back to your other questions in a bit.

Operator: Thank you sir. The next question is from Mr. Nitin Padmanabhan.

Nitin Padmanabhan: Hi good evening, congrats on the quarter. I just wanted your thoughts on Accelerite. How are you thinking about that business? It looks like there are decent wins and all. So, I just wanted your thoughts on how that business is evolving. And, obviously, with that business growing, obviously it's an additional margin lever. So, I wanted your thoughts there. The second thing I wanted to understand was, from an overall business perspective, this quarter obviously furloughs across the board.

rd. But on a

going forward basis, do you think most of the weakness is done with and at least on a sequential basis, things should start improving, or are there continued headwinds one should expect even on a sequential basis?

Sandeep Kalra: So, I'll try and answer these questions in brief. So, as far as the Accelerite business is concerned, for people on the call who are not familiar with what Accelerite means for us, it's basically the IP business that we have, the product business that we have. Now, there is obviously growth in that because we are able to give a roadmap to the customers using those products and they are sticking more with us. And even as they grow, they are doing their through ups, so we get a revenue stream out of that. We
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are also able to sell in a few of our services customers on these products as a part of our solutions, etc; that's a second stream. And third, we are trying to repurpose the IP. So, there is definitely much more work going on to see how we can maximise the return from each part of our business, Accelerite being one of them as well.

Now, you talked about the furloughs, the weakness, etc. So, I'll just give a macro answer to that, being respective of time since there is only 5 mins left in this call. So, if you look at it, are there going to be headwinds going ahead there? There are definitely going to be headwinds going ahead. There are headwinds even now, there were headwinds last quarter as well. So, the way we are looking at it is, within these headwinds, there are patterns. There's a good intersection of Persistent capabilities and strengths and revenue pools that are available in the market. So, if we can figure out the silver-lining to the cloud of macro, and I've talked about it earlier as well, whether it is the enterprise, whether it is the software companies, I think there are deals to be had, which is a win-win for our customers and for us. And thankfully, our capabilities are pretty differentiated, especially on the digital transformation side, whether it is doing product development to support that or taking those products and doing professional services. So, look, there will be headwinds. Our task is to make sure that within that headwinds, we are proactive and we are growing to the best of our capabilities. So, I'll just leave it there.

Operator: Thank you very much sir. The next question is from Madhu Babu.

Madhu Babu: Hi sir. So just on the portfolio, what percentage of the portfolio you see as a higher risk because of macros, let's say 15-20% of the portfolio which you can assess internally? And second, even in a slowdown, can you see 3.5-4% kind of sequential growth can be maintained in the next 4-5 quarters?

Thanks.

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Sandeep Kalra: Look, we keep doing our portfolio -related analysis, etc. I can't give you a percentage of this is more prone to macro and this is not. All I can say is, we are trying to be as close to our customers, trying to understand their thought process of how they are looking at the macro, how they are optimizing for macro, how we can help them? At times, even if it to cannibalize our own revenue in the shorter run to be able to do more with them in the longer run, we've even taken those steps. Now in terms of growth, our endeavour will be to deliver somewhat what you said. All I can commit to you and other investors here is, we are at it, we are proactively working with our customers and will continue to grow in the top quartile of the industry. If it is X, we'll be at X + Delta X, whatever is that X as an average in the industry.

Operator: Thank you very much. The next question is from Mr. Rishi Jhunjhunwala.

Rishi Jhunjhunwala: Yeah. Thanks for the opportunity. Sandeep, just one question on ACV -TCV. So, in your experience in the past 3 years, have you

seen any deviation of

what you announce as ACV versus what eventually ends up being in terms of revenues? And the reason I also ask is, that even if you assume a 30% kind of attrition in your existing revenue book, based on your past 12 months ACV when you should comfortably do more than 20% growth in the next 12 months. I just wanted to understand whether either the revenue conversion could potentially be different from what you initially end up announcing as ACV, for any reason.

Sandeep Kalra: Right. So Rishi, very valid points. Yes, there is always a little bit of difference that happens in the ACV we announce and the actual revenue realization, and I'm pretty sure it's the same for every company. Now when we book a deal, there is a time to ramp up, and at times, that may get delayed a little bit, at times, different program phases may get delayed a little bit. We typically get about 6 -8% as the impact of that, especially when the Persistent Systems Limited

macroeconomic conditions are a little bit iffy. When everything is good, then everyone is on the horse to do the ramp ups as soon as possible, when the macroeconomic conditions are a little bit soft, there is about a 6 -8% kind of leakage that can happen. And our endeavour has been to minimize this, but that is the realistic number. Balance about your 20% part, all the more power to you. From your ears to God's mouth, and we'll deliver.

Operator: Thank you very much sir. The last question is from Mr. Anmol Garg.

Anmol Garg: Yeah hi, thanks for the opportunity, sir. Just one question on the Europe part. We have seen very strong growth in Europe in this year as well as the last year. So, what is the outlook over there going in the next year? And particularly within the deal wins, do you think that we have enough deal wins from the European side to grow the European revenue similar as the company's average revenue for the next year as well?

Sandeep Kalra: So in terms of the deal wins, some of the larger wins we announced over the last several quarters were from Europe. So, from that perspective yes, about a \$100 million -plus TCV over the last 3 quarters to 4 quarters has been won from Europe from big deals itself; forget the renewals and anything else. So definitely, there is certain amount of focus that has come in in Europe. We have invested in sales, sales leadership and otherwise as well in the geography. We will have to be a little cautious about the macro, how the Russia-Ukraine thing pans out. A lot of these things are also dependent on that, because it has downstream impacts on gas and other pricing in Europe, and the inflation and many other aspects. So, we are watching it cautiously, but we are optimistic of having Europe grow at the company average. I think we are at end of time, so Operator, if we can take one last question, then we'll stop here.

Operator: Thank you very much. The last question is from Mr. Sameer Dossani. Persistent Systems Limited

Sameer D ossani: Hi, am I audible ?

Sandeep Kalra: Yes please.

Sameer D ossani: Any outlook on the second largest client, because that is one of the clients that you highlighted. What is the outlook, and if you can share what has been the journey over the last few quarters? And, do you think growth will come back in this account? Thanks.

Sandeep Kalra: So, for the second largest customer, it has been a stable customer. Except for the furloughs that were there in the last quarter, it has been a fairly decent customer in terms of the revenue size, the engagement, the kind of programs etc that we do. So, no concerns there for the time being. Obviously, no one has seen the future, but good relationship, good thing going from the last, I think we started the relationship in about 2010 -2011 timeframe. So, it's been a fairly long relationship at multiple levels, multiple businesses

units, fairly stable.

So, with that we will stop. Let me once again thank our 22,500 -plus team members, our customers, our partners and our investors, all of you for your support in our growth journey. We remain optimistic in our prospects for FY23 and beyond, even as we are very closely watching the macroeconomic developments and staying close to our key customers. We continue to aspire to maintain industry-leading revenue growth combined with healthy levels of profitability. Thank you for spending time with us on the call today. We wish you the best for the new year and we look forward to connecting with you again in 3 months' time to provide an update on our ongoing process. Stay safe, stay healthy. Thank you.

Operator: Thank you very much to the Persistent management. Ladies and gentlemen, on behalf of Persistent Systems Limited, that concludes today's Persistent Systems Limited

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conference. Thank you for joining us and you may now disconnect your lines and exit the webinar.

Call: Apr 2023

Persistent Systems Limited, Bhageerath, 402 Senapati Bapat Road, Pune 411 016, Maharashtra, India
CIN - L72300PN1990PLCO56696
Tel: +91 (20) 670 30000 | Fax - +91 (20) 6703 000 8 | E-mail - info@persistent.com | Website - www.persistent.com

NSE & BSE / 2023-24 / 024

April 28, 2023

The Manager
Corporate Services
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai 400 051

Ref: Symbol: PERSISTENT The Manager
Corporate Services
BSE Limited
14th Floor, P J Towers, Dalal Street,
Mumbai 400 001

Ref: Scrip Code: 533179

Dear Sir/Madam,

Sub: Transcript of investor/analyst call held on Tuesday , April 25, 2023
Ref: Our earlier intimations under reference no. NSE & BSE / 2023 -24 / 003 dated
April 12, 2023, and NSE & BSE / 2023 -24 / 011 dated April 25, 2023

In continuation to the above -referred intimation and Pursuant to Regulation 30 of the SEBI
(Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the
Transcript of the investor/analyst call held on Tuesday , April 25, 2023 , for your information and
records.

The transcript of the Analyst Call is also made available on the Company's website

The link to access the same is as follows: Analyst -Call-Transcript -Q4-FY23.pdf (persistent.com)

This is for your information and records.

Please acknowledge the receipt.

Thanking you,

Yours Sincerely,
For Persistent Systems Limited

Amit Atre
Company Secretary
ICSI Membership No.: A20507
Encl: A/a
Persistent Systems Limited

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"PERSISTENT SYSTEMS EARNINGS CONFERENCE CALL,
FOURTH QUARTER, FY23 ENDED MARCH 31, 2023"
April 25, 2023

MANAGEMENT :

Dr. Anand Deshpande

Chairman and Managing Director

Mr. Sandeep Kalra
Executive Director and Chief Executive Officer

Mr. Sunil Sapre
Executive Director and Chief Financial Officer

Mr. Saurabh Dwivedi
Head, Investor Relations

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Mod erator: Ladies and gentlemen, good day and welcome to the Persistent Systems Earning s Conference Call for fourth quarter of FY2023 ended March 31, 2023. We have with us today on the call Dr. Anand Deshpande - Chairman and Managing Director, Mr. Sandeep Kalra - Executive Director and Chief Executive Officer, Mr. Sunil Sapre - Executive Director and Chief Financial Officer and Mr. Saurabh Dwivedi - Head of Investor Relations . Please note, all participants' lines will be in listen -only mode and there will be an opportunity for you to ask questions after management 's opening remarks. Should you need any assistance during the conference call, please raise hand from the participant s' tab on the screen. While asking questions, request you to please identify yourself and your company. Please note, this conference is being recorded. I now hand the conference over to Mr. Sandeep Kalra. Thank you and over to you, Sir.

Sandeep Kalra: Thank you, Mod erator. Good evening, good morning and good afternoon to all of you, depending on where you're joining from. As always, we would like to start this call by thanking each one of our 22,750 -plus Persistent team members and our customers for their support and continued interest. We are very happy to report yet another solid growth quarter across all major business and financial metrics despite the dynamic and rapidly evolving macro environment. This is the first financial year when we have crossed a billion dollars in our revenue , in our history. Before I and Sunil get into the further details of our quarterly and annual performance , I would like to invite our Founder and Chairman Anand Deshpande to say a few wor ds on us achieving this important milest one. Over to you, Anand.
Anand Deshpande : Thank you , Sandeep, for inviting me here. It's a real pleasure and honor to be

here at this great momentous occasion for the company as we complete a billion -dollar year. I consider myself very fortunate to have had this opportunity to be part of this 33-year journey of the company and this kind of an achievement is only possible because of the hard work and Persistent Systems Limited

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dedication o f the people involved and the support we got from the clients and other stakeholders. So , I'd like to thank all the 2 2,700 current employees and another 20,000 prior emp loyees who have all contributed to this. I'd like to thank all the clients who have steadfastly supported us all through the early days , including now and I would also like to thank all the investors for their support they have given to the compa ny. I must thank all of you for your support as we do this journey. Really, a milestone like this is important, it needs to be celebrated , but having completed a

billion, I'm sure you are looking to the next billion. I will hand it back to Sandeep to take it from here and explain to you what we have done so far this quarter and how we look at the next few years. Thank you .

Sandeep Kalra: Thank you , Anand. Now , let me get into the details of the quarterly and yearly performance. We are happy to report that the revenue for Q4 came in at USD 274.55 million , giving us a growth of 3.9% quarter -on-quarter and 26.3% on year -on-year basis . On a constant currency basis , this translates into a sequential revenue growth of 3.5% . In rupee terms , the growth came in at 3.9% quarter -on-quarter and 37.6% on a year -on-year basis. For the full year FY23 , we achieved a revenue of U SD 1,035.98 million , giving us a robust growth of 35.3% year -on-year .

Coming to EBIT , our EBI T for Q 4 came in at 15.4%. This translates into an EBIT growth of 4% on a Q-on-Q basis and 50.7% on a Y-on-Y basis. EBIT margin was consistent with Q 3 on a sequential basis , as the tail wind of higher fresher billing was largely neutralized by higher costs associated with business travel events related to an nual strategy planning , our annual employee even t amongst others. T he impact of the currency largely remained flat during the quarter. Coming to the EBIT for the full financial year 2023 - for the full FY23 , we achieved EBIT margin of 14.9% , impl ying 100 basis points improvement year -on-year . This was an account of a combination of higher cost on travel , amortization , fresher intake as well
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as lower royalty revenue in F Y23 being offset by SG &A leverage, better pricing, lower attrition and favorabl e currency movement , leading to this improvement . In absolute terms , EBIT rose by 57.4% year -on-year. Sunil will provide more color on the EBIT margin movement , later in this call .

Coming to the order book for the quarter , Q4 was a healthy set of order wins for us. The Total Contract Value for the quarter came in at USD 421.6 million with new booking TCV coming in at USD 250.3 million. This implies a healthy growth in TCV of 16.8% on year on year basis. The ann ual contract value of this TCV is of the order of USD 310.4 million of which the new bookings TCV contributed to USD 168.3 million .

On a full year basis , our total TCV crossed USD 1.6 billion. The ACV component of this is USD 1.17 billion. This translates into TCV growth of 32.8% and ACV growth of 24.1% for the full year FY23 . Please note that , as always, these TCV and ACV numbers include all bookings, small and large , renewals as well as new bookings across existing and new customers.

Coming to the customer engagement si ze, let me give you some color on the various engagement si zes. To start with , we are pleased to announce that our top customer revenue saw a healthy growth of 30.6% Q -on-Q in USD terms. This is in line with expectations that we have shared wi th you in the last quart

er and this month . This impressive sequential growth has to be seen in the context of the decline in top client revenue by 23.2% during FY23 , which was primarily on account of ra mp downs we had witnessed over the previous two quart ers. The ram p downs in earlier quarters were on account of structured cost savings program undertaken by our top customer . Since then, we have partnered closely with them to help them achieve their objectives while also explo ring meaningful win - win opportuni ties for long term collaboration .

Mode rator, can you hear us?

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Moderator : Yes, Sir, now it's clear.

Sandeep Kalra: Okay. L et me start from the engagement si ze once again. Apparently, the audio was disconnected for a bit. So , let me give you a color on our client engagement si ze. We are pleased to announce that our top customer revenue saw a healthy growth of 30.6% Q -on-Q in USD terms. This is in line with expectations that we have shared wi th you in the last quarter and this month . This impressive sequential growth has to be seen in the context of the decline in top client revenue by 23.2% during FY23 , which was primarily

on account of ramp downs we had witnessed over the previous two quarters. The ramp downs in earlier quarters were on account of structured cost savings program undertaken by our top customer. Since then, we have partnered closely with them to help them achieve their objectives, while also exploring meaningful win-win opportunities for long term collaboration. This has led to the signing of a couple of large strategic deals cumulatively totaling to USD 100 million TCV, a first for Persistent. We are hopeful of continuing with a stable and a gradually improving growth profile for our top clients during FY24. We also saw revenues from our second-largest customer recovering from the furlough impact during the Q4 quarter, registering a sequential growth of 7.6%. While the overall portfolio of our top-50 customers grew by 4.7% during Q4, the growth was partially impacted by a ramp down in a key Hyperscaler relationship, which had a ramp down of approximately USD 3 million for the quarter and approximately about USD 10 million on an annualized basis. This was in line with the Hyperscaler's overall cost management programs across the vendor partners. We are expecting the Hyperscaler account to resume growth for us over the next several quarters. The progression of our clients across multiple revenue threshold continues with two additional customers moving into the greater than USD 30 million Persistent Systems Limited

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band from the greater than USD 20 million band during the quarter and also scaling the number of greater than USD 5 million customers to 34 compared to a count of 25 four quarters back.

Coming to the geographical break up - from a geographic perspective, we saw a healthy growth across most regions led by the ramp up of recent deals. North America grew 4.8% quarter-on-quarter in USD terms, aided by growth in our top one customer. Europe revenue increased 19.7% quarter-on-quarter on account of ramp up of multiple large deals signed in earlier quarters. India revenue declined 15.6% Q-on-Q due to the decline in IP revenue compared to Q3. The whole growth has to be seen in the context of a much lower revenue base in Europe and India as compared to the US.

Coming to the people and utilization - in Q4, we added 291 people on a net basis, taking our total employee headcount to 22,889. Utilization for the quarter came in at 77.3% as against 77.6%. The growth in our billed person-months in Q4 came through a combination of existing experienced employees deployed on various services engagements, new lateral hires, and incremental addition of our freshers to billable projects. You

may be

aware that we had hired 3,000-plus freshers at the start of this financial year. They had started entering the billable pool from Q3 onwards. All the remaining freshers became a part of this billable pool in Q4, which is reflected in the increase in billed person-months and IP person-months in our fact sheet. A continued deployment of freshers on customer projects will be a good tailwind to our margins over the next several quarters.

On the attrition front, we saw a moderation in attrition with a trailing 12-month attrition for the quarter coming in at 19.8% compared to 21.6% in Q3. We believe that the trailing 12-month attrition will continue to moderate going forward, aided by a general moderation of hiring across Persistent Systems Limited

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the sector and better outcomes on our employee value-related interventions.

Moving on from operational metrics to other highlights of the quarter - we are pleased to share with you that the Board of Directors declared a final dividend of INR 12 per share for FY23. Together with the interim dividend of INR 28 per share, the total dividend for FY23 stands at INR 40 per share, which compares to the total dividend of INR 31 per share for FY22.

Additionally, the Board has decided to declare a special dividend of INR 10 per share to thank our shareholders for their support on our journey to a

billion dollars milestone. This takes the total dividend for the year INR 50 including the special dividend. It continues to be our endeavor to maintain a consistent dividend payout ratio while we augment our growth through capability led acquisitions.

Coming to the update on acquisitions and strategic investments - as reported earlier, all our recently acquired businesses have been fully integrated and are coming together as 'One Persistent' to win large deals across our focus verticals. We have again become active on the M&A front. Consumer Technology, Cybersecurity, Generative AI, European expansion and some key domains in Financial Services and Health care are the ones that we are looking for in acquisition terms and a number of these, specifically Consumer Technology, Cybersecurity and Generative AI are the ones that we have been incubating for last several months.

In particular, on the Generative AI front, we are looking to invest in Software Labs and training our employees on things including large language models, AI-paired programming such as GitHub Co-pilot and so on. We recently also announced an expansion of our existing Azure Center of Excellence with AI-based modern workplace solutions. We will report progress on this front over the next several quarters.

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Coming on to the general administrative updates - on the administrative side, in Q4 we did a groundbreaking ceremony of our new MIHAN plot in Nagpur. This will be a new campus for us in Nagpur. We also finalized the site for a 250-seater office in Kolkata as well as a new office in Jaipur. In the coming quarters, our expansion plans include locations such as Kochi and Chennai in India, Dallas, Texas, and Poland in Europe from a near-shore Eastern European delivery center footprint. Our endeavor is to provide a world class delivery network to our customers by providing best-in-class facilities to our employees in locations close to them and also to encourage them to work from the office for at least a few days in a week. In summary, we are pleased with our performance in Q4 with continued healthy revenue growth, strong order wins across our focus industry segments, good pipeline and improving profitability despite the macro environment.

Now, I would like to invite Sunil, our CFO, to give a detailed color on the quarterly financials and related matters. I'll come back after Sunil's comments to give you some more detail

on key client wins, analyst

awards and other recognitions for the quarter. Sunil, over to you.

Sunil Sapre: Thank you, Sandeep and good evening, good morning everyone and thank you for taking the time to join us today. While Sandeep has briefed you on the market outlook and how the quarter has shaped, let me take you through the details of financial performance for the quarter.

So, this was the quarter where, I mean, the much awaited one billion milestone was crossed. The revenue for the quarter was USD 274.55 million with a growth of 3.9% Q-o-Q and 26.3% Y-o-Y. You would have seen Services revenue growing by 5.5% quarter-on-quarter. IP revenue declined by 14.6% essentially due to the seasonality in this business. Our total revenue for FY23 stood at USD 1.036 billion with Y-o-Y growth of 35.3%,

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with Services revenue registering growth of 42% and IP revenue showing decline of 14.8%.

You will recall that the IP revenue for last year included royalty revenue from one of the contracts that was restructured at the end of Q3FY22 and was converted into a lesser scope T&M contract. Thus, the IP revenue for this year does not include any revenue from that restricting contract. That is partly the reason for the decline in IP revenue.

Revenue for the quarter in INR terms was INR 22,544.7 million, reflecting growth of 3.9% Q-o-Q and 37.6% Y-o-Y. The revenue for FY23 is INR 83,505.9 million, with growth of 46.2% over FY22.

On the segmental growth, BFSI growth was 3.1%. Healthcare and Life Sciences grew by 4.4% quarter-on-quarter, and Technology companies, that is a Software Hi-tech grew by 4.1%.

In respect of line ar revenue, the offshore linear revenue grew by 9.6%, comprising of volume growth of 9.3% and growth in billing rate by 0.3%. The on-site linear revenue declined by 1.2%, majorly on account of declining volume by 1.3% while the bill rate grew by 0.1%.

Now, let me walk you through the movement in the operating expenses and the impact on EBITDA. The Employee-Related expenses increased only marginally in absolute terms, while as a percentage of revenue it declined from 63.6% last quarter to 61.6%. This was an account of lesser net addition to technical headcount. We added 262 people as compared to 92 in the previous quarter, technical talent. The freshers, as Sandeep mentioned, added to the talent pool about three quarters ago are now getting progressively deployed on projects. We have also deployed some freshers in the IP-led business, which is where you see increase in the IP-led person months. All freshers are now part of the billable talent pool partly from mid Persistent Systems Limited

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of Q 3 and balance from mid of Q4, which you will find reflecting in the utilization numbers.

You might have noticed an increase in Purchase Royalty expense in this quarter. So, let me give you details around that. So, this particular item traditionally has item which is relating to IP revenue. So, it has got a partner IP, which is in the form of reseller kind of business and it is also about royalty when we are working with some of the partners. However, in the recent deals, we have had licenses as part of delivery, which we are using for the purpose of the long-term projects, the revenue for which is reflected under 'Services'. So, you will need to bear in mind the fact that the growth in the IP or the Purchase Royalty item is not directly linked to the IP-led revenue.

In terms of the absolute amount that we have, there you may see a sudden bump, which has happened because of the recent large deals and this will, as a percentage, get moderated as we go along. We don't expect this absolute amount to increase unless for the reseller deals that sometimes, you know, keep coming over the quarters.

In terms of additional e

xpenditure, as Sandeep mentioned, with respect to the annual planning event, it impacted margin by about 30 basis points. The currency was flat. So, after accounting for movement in all these expenses, you will find that the overall cost as percentage to revenue remained more or less in the same ballpark as the last quarter and hence, EBITDA at 18.5% and EBIT at 15.4%, we are at the same level as the last quarter.

EBITDA for the full year was INR 15,191.3 million growing at 58.5% year-on-year. EBITDA margin for FY23 was 18.2% as against 16.8% in FY22. There is obviously a higher expense in the form of amortization relating to the acquisitions we had done on a Y-o-Y basis. You will find that increase from Persistent Systems Limited

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2.9% to 3.2%. EBIT for FY23 was INR 12,472.3 million, which grew by 57.4% year-on-year and EBIT margin came in at 14.9% as against 13.9% in FY22. The Treasury income from the quarter was INR 129.05 million as against INR 87.02 million mainly on account of increased interest rates and increase the treasury size. Forex loss was INR 189.1 million as against a gain of INR 105.4 million in the previous quarter. This was essentially due to the dollar weakness that we saw during January and February, which caused a loss on the realization of receivables as compared to the rate on 31st December '22. On a full year basis, Treasury income was INR 366 million as compared to INR 1,052 million in FY22. The lower treasury income in FY23 is partly due to lower treasury size post payout for acquisitions done in Q4 of last year and Q1 of this year i.e. the acquisitions we did for Data Glove and Media Agility.

The interest on borrowing availed for acquisition funding and elimination of interest income from ESOP Trust to the tune of INR 1.95 million on consolidation of ESOP Trust starting April 1, '23 - well, these three factors led to the lower treasury income in FY23.

Profit Before Tax for the quarter was INR 3,405.9 million at 15.1% as against 14.9% in the previous quarter. ETR was at 26.2% as against 26.3% in the previous quarter and will remain in this range.

PAT for the quarter was INR 2,515.1 million at 11.2% of revenue as against INR 2,379.5 million in the previous quarter at 11%. PAT for the full year was INR 9,211 million as compared to INR 6,904 million, reporting growth of 33.4%. And in terms of PAT margin, it is 11% of revenue as compared to 12.1% in the previous year.

EPS for the quarter was INR 33.65 as against INR 31.90 in the previous quarter. The growth in EPS is 5.5%, while the growth in reported PAT was

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5.7%. The Board of Directors, as Sandeep mentioned, have recommended a final dividend of INR 12 per share and a special dividend of INR 10 per share.

The operational capex for the quarter was INR 1,232 million. This includes increased facilities in India locations. Total cash and investments are INR 15,199 million as on 31st March '23 against INR 15,139 million at the end of last month. The cash balance at the end of Q4 was partially after the dividend payout. I mean, it is lower because of the dividend payout and facilities cost of Hinjewadi.

Coming to DSO, the DSO came in at 68 days as against 67 days in the previous quarter. During the month of March, as a result of the crisis at Silicon Valley Bank, which is one of the banks we banked with, we requested our customers who were paying into our SVB account to redirect payments for other bank accounts. Since there were three weeks in that particular month left before exchange could be accommodated by the customers, there was some spillover of collections into April, which impacted DSO by a few days. Forward contracts outstanding at the end of March were USD 230 million at an average rate of 82.83 per dollar. With that, thank you.

Let me again hand it back to Sandeep.

Sandeep Kalra: Thank you, Sunil.

I'll now talk about the key deal wins for Q4 by industry segments.

Coming to the Software, Hi-tech and Emerging Industries, Persistent was selected by a Fortune -50 Technology company as the engineering partner for its Data Warehouse products, as well as its Mobile Application Development products. This is a USD 100 million deal over a five-year period and involves execution on a product road map as well as migration of end users to customer's next-generation platform, which we will also be

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involved in. Alongside supporting the current and forward-looking roadmap, as a part of the deal, we have licensed the source code for providing extended support for the earlier version of the product for enterprise customers who do not wish to move to the next version.

Persistent was selected by a leading Marketing Technology Solutions company to provide engineering and infrastructure services for its platform. This is a large double-digit million TCV, five yearly, through our Private Equity go-to-market.

Persistent was selected by a leading company in Supply Chain Analytics for product modernization and automation.

Coming to Banking, Financial Services and Insurance, Persistent was selected by a leading Private Equity organization to develop a procurement and contract solution for its procurement group as well as modernization of its Enterprise Data Warehouse.

Persistent was selected by a leading company in the Fractional Trading and Embedded Finance to develop an integration platform for onboarding and servicing its local customers. On the Insurance side, Persistent was selected by a leading company in

Property and Casualty Insurance to build a cloud -based Data Lake to support policy administration , claims analysis and prediction of risk levels for the underwriting process.

On the Healthcare and Life Science s side, Persistent was selected by one of the largest Pharma and Diagnostic companies to build and integrate genomic work flow management tools for all of the client 's acquired businesses leading to significant increase in their exper imental throughputs. Persistent was selected by one of the largest companies in Scientific Instrumentation to build an Enterprise Data platform to streamline governance and operations across multiple business groups including procurement , supply -chain, finance and operations. Persistent was selected by one of the largest global providers of kidney dialysis
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services to build a patient and experience management application to educate and improve patient satisfaction scores.

Coming to the awards and recognitions for the quarter - Q4 saw us get continued recognition from industry -leading analyst firms and associations.

To mention a few , Persistent was included in the Constellation Shortlist for Innovation Services and Engineering for the first quarter o f calendar 2023.

Persistent was named a Leader in 2023 Zinnov Zo nes Intelligent Automation Services . Persistent won a number of awards from ISG including being named as a Rising Star in IS G Provider Lens for U .S. 2022 , for Google Cloud partner ecosystem, the Rising Star in ISG Provider Lens for AWS Ecosystem Partners for U S region for 2022 and winner in the 2022 ISG Digital Case Study Awards for its pate nted learning solutions.

In summary, we continue to deliver healthy growt h and profit ability in Q4 despite an increasingly difficult macro environment. With this, I would like to conclude prepared comments and I would like to request the moderator to open the call for questions. Moderator.

Mod erator: Thank you, Sir. We will now open the call for the Q&A session. We request participants to restrict to two questions and then return to the queue for more

questions. Please raise your hand from the participant 's tab on the screen to ask a question. First question is from Abhishek B handari.

Abhishek Bhandari: Yeah . Hi, good evening everyone. Sandeep, I have two questions. Th e first question is on your growth outlook. You mentioned about, you know, good deal wins what you're seeing in terms of AC V and TCV growth , also finally the growth returning to our top account . At the same time, you also mentioned about, you know, some bi t of uncertainty given the macro environment. Could you tell us when do you intend to go back to your 4 % to 6% quarterly growth numbe r in FY24 ?

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Sandeep Kalra: So, Abhishek, we don't give forward -looking guidance but let me give you a color on the thing. If you look at the trailing 12 months ACV booking, if you look at the quarterly bookings, all of that has shown a hea lthy trend. So, from that perspective, you know, the booking should translate into growing revenues over the quarters .

In terms of the range , look, we have said in good times we have delivered up to 9% quarter -on-quarter as well . Here, we are looking at , in the subsequent quarters, anywhere between 3 %-5%, 4%-6%. That is the range and we'll try and stick to that.

Abhishek Bhandari: Got it. Second question , Sand eep, is on your margin outlook . You know, bulk of the improvement what we have seen in the last 12-18 months is on back of SG &A and finally we have started now seeing, you know, some bit of utilization play coming into picture . Could you tell us, you know, going forward on the margin side , what are the key levers beyond improvement on utilization, which you think could help you on both gross margin and EBIT level ?

Sandeep Kalra: There are multiple lev ers, Abhishek. So, if you look at it, whether it is scaling our existing accounts, we have been consistently scaling the

existing accounts nicely . We have taken freshers. E ven today, a significant amount of freshers are not necessarily deployed a nd they have been in the system anywhere between 9 -12 months or even more in some cases. That is the other one.

If you look at the newer areas that we are getting , whether it is Generative AI, whether it is the Cloud side where we continue to grow expertise, those are areas where w e are able to get better pricing than otherwise as well . So, there are many different levers along with scale that are there and we have said our aspiration is over the next two to three years to go up by 200 to 300 basis points.

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Abhishek Bhandari : Got it. Thank you, Sandeep and all the best.

Sandeep Kalra: Thank you .

Moderator: Thank you . Next question is from Sandeep Shah .

Sandeep Shah: Yeah , thanks . Thanks for the opportunity and congrats for the good execution continuing quarter after quarter . Sandeep, the first question is some of your peers have started talking about project cancellation , project ramp downs , delay in start of the projects as a whole . So does this worry you entering FY24 , where you believe the leakage o r completio n within that revenue could be substantially higher versus FY23 and that keeps you growing your order book higher and higher , otherwise the growth may get impacted , does that worry ?

Sandeep Kalra: So, look , there are times when the market was good and we we re growing at a fairly significant clip, we have grown at times 5 quarters at 9% . The growth has moderated and so that is partly a reflection of all what our peers are also saying and so on . So, have there been , you know , things like ramp down , if you look at our own top customer , we saw the ra mp down happen a few quarters back. It was very hard to get it back . Like that we talked about the hyper scaler where we have seen a certain amount of ramp down even in this current quarter . Bu

t look , the endeavor that we have is this is part of the game , we can't expect the market to be good to us all the time , you know . We will have to learn to live with th is and even then, grow the order book and deliver the best possible growth rates that are there . Rest assured , we are committed to that and that's what we are working on , there will be puts and takes , so like for example , this top customer that we had ram ped down or the hyper scaler , we didn't , you know, have any forecast of that coming in . Those were order wins that were there , but we have still grown . If you look at our historic track record , grown despite this and that's exactly what we are committed to. We 'll
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keep bringing in more so that even if there is leakage , whatever best we can do , and it will be higher than the industry and before you ask us what the industry growth is , everyone is talking between 7% to 10% , we will be higher , much higher .

Sandeep Shah: Thanks , thanks . Just the follow up , in one of the large deals which we have signed from European Un ion last week , there is some M &A event , which has been announced where the controlling stake could be owned by a Private Equity . So does that worry you in terms of any change in the structure of the deal , because that deal has started ramping up and that client entered within your top -10 account list as a whole , and I have two follow up s with CFO as well .

Sandeep Kalra: So, Sandeep , it doesn't worry us because the same Private Equity had earlier done a pipe which is basically , you know , if you look at the company record - so the Private Equity is not new to that company, even when we did the deal , they were actively kind of there as investors . Second , the deal construct that we have , it is basically a fixed kind of a construct for the next five years . So, that is where the thing is and if the deal was to be restructured , there are obviously restructuring pieces attached to it, so I'm not worried and ag ain it's a relationship thing , if you have to open the

contracts in a different volume , but we are not worried about it. So, the next two questions I'll let you ask

Sandeep Shah: Yeah , just two book -keeping question s to CFO. Sir, if I look at the gross block on the Software for nine -month s, it was INR 12 crores and at the end of FY23 it is INR 51 crores , so almost INR 38-39 crores being added in the gross block of software in the Q4 itself . So, what is the nature of that and 2nd in terms of your Purchase and Royalty costs , is it fair to assume the absolute amount may also decline on a Q -o-Q basis going forward ?

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Sunil Sapre: Yeah , so on the first item , the increase in Software block is actually significant investment that we have done in th e cybersecurity area for Persistent as a company , right so that is one important item . The amount in respect of Purchase Royalty you are right , there is , I mean as a percentage to revenue , of course it will moderate . In absolute terms , there may be a slight decline , but as you know , this item has got multiple components as I explained , so in absolute terms it is hard to say because there may be deal -related particularly on the res ell side. But as steady state , yes there will be slight moderation , not a whole lot. In absolute terms , it would stay in this range , little lower than this , but in percentage terms it will definitely reflect much.

Sandeep Shah: The cyber security software we are capitalizing the product development , which is under the WI P?

Sunil Sapre: I don't know what you're referring to , because this is third party software , which is bought for our own business as investment in strengthening our own , you know , cybersecurity position .

Sandeep Shah: Okay . Got it, got it . I will come in the fo

llow up . All the best .

Sunil Sapre: Sure. Thank you.

Moderator: Thank you. Next question is from Karan Uppal . Karan requesting , yeah you can go ahead Kar an. Okay, we'll take you back . Next question is from Mehta Bhavik .

Bhavik Mehta: Thank you. So, couple of ques tions . Firstly , the headwind what you saw in the hyper scaler account , how is the portfolio trending or have you seen any ramp down in the project in some other clients as well over the course of last quarter or maybe this month and the second question is going back to the license , so maybe what you explained or because of the large deal , is it possible to quantify the impact because there's also shift in the

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revenue , so that will help us understand , you know , what was the real underlying growth outside of the license fees ? Thank you.

Sandeep Kalra: Okay. So, Bhavik two parts to it. So, first on the ramp downs , look , ramp downs there's no other significant ramp down, if there was, we would have called it out . We have been calling it out , whether it was our customer or even this particular case , where the hyper scaler we have proactively got . There is no other significant material thing . There will be obviously project s end, project s start , so nothing to be worried about . Now as far as the large deal is concerned , look , the revenue from the large deal is all services . There are two parts to the services . One is the ongoing , you know , product development that we will be doing for the current product , next generation product , migrati on from the current product to the next generation product , so that is one part of it. Second is this customer does not want to , you know , provide services to the prior versions of the product because they are more interested in investing in the next genera tion and in building their own warehouse and so on , so we have taken the license and we are , because of that , starting to win large enterprise customers for the extended support of this product . People who do not wish to or who don't want to wait for the next generation of the product and want to possibly look at extending this for the next few years before deciding on next, so overall services revenue you should see significant increase and pr ofitably . So, keep in mind we are not saying that

this is a cause for profitability concern before you kind of think anything on those lines and we are committed as we said before , over the next two to three years , we are committed to taking our profitability up systematically quarter by quarter and take it up by about 200 -300 basis points. I can answer any follow up questions .
Bhavik Mehta: Thank you . That is helpful .
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Moderator: Thank you. Next question is from Manik Taneja .
Manik Taneja: Hi, good evening . Thank you for the opportunity . Sandeep , I actually wanted to pick your brains around the commentary that I heard from some of your global peers in terms of saying that they are seeing - that they expect a significant increase in offshoring from Hi-tech customer base given the kind of cuts that they've done at their own organization level over the course of the last six to nine months , that's question #1 and the second question was for Sunil , basically we've seen a significant reduction in our subcontracting expenses this quarter , how should we be thinking about this line item going forward ?
Sandeep Kalra: So, on the Hi-tech thing I would tend to agree and this is what we have been saying for the last many, many quarters . Part of the ramp ups that we have been seeing is by making sure that we are talking to the Hi-tech customers that we have and even for that matter enterprise customers . In the Hi-tech segment specifically here is what has happened . You've seen whatever is happening on the hyperscale

side whether it is Microsoft , whether it is AWS, and Google and so on , everyone has been laying off people trying to restructure their cost base in line with the macroeconomic . There was a significant amount of hiring that happened in the post -COVID era and that is being kind of recalibrated . Now, on the other side in the market , if you look at it , there are mid -market companies that went public . These are companies that were Private Equity owned or were like more importantly Venture Funded owned, which went public at huge valuations . Now, when the revenue growth is taking off and they were earlier also , you know , going very fast , but they were not profitable . Their profitability is coming under even more pressure . So, with revenue growth they bring profitability under pressure and a number of them not being globalized , that is the phenomena that is leading to larger deals for people like us and , you know , anyone who is differentiated on the
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engineering side will be a gainer of this trend and we have been a big gainer of this trend and so that will continue at least for the next few quarters and we should definitely see more happening in terms of offshore . Now, second question Sunil, if you want to go ahead and address .
Sunil Sapre: Yeah , sure . So, on the subcontracting side Manik, it is essentially the combination of two factors . One, of course , structurally we have been trying to work on reducing the dependence on subcontractors as mobility is improved , so that is one aspect . The second is of course the link to the ramp down we saw in one of the hyperscalers . So, for this quarter you may see the percentage significantly lower , but on a steady state basis , we think that the way we are winning projects and required to ramp up , sometimes we do depend on subcontractors to fill in the skill gaps , so somewhere at 12% , 12.5% of revenue is something that you should factor for and sometimes it has gone up all the way to 13 .5%-14% during the times that travel was not easy , but that's what . So, currently the percentage is sub-11%, it may not be okay to think that it will remain at that kind of level , but the structural difference from 14 % to 12% is what we are looking.
Manik Taneja: Sure. And if I can chip in with one more , if you could share your thoughts around wage increments for FY24 and when do you plan to implement that?
Sunil Sapre: Yeah , so wage increments are a function of the way outlook on inflation and how things are , so currently if you see , inflation moderation is

happening , which is reflecting in all the central banks reducing the commentary regarding further interest rate hikes and so on . So, it would be a tad lower , maybe couple of percentage points as compared to the last year where in you say 8 %-9% offshore and 3 %-5% for onsite, but we are working on it still because our wage hikes are effective 1st of July . We will update you as we go ahead.
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Manik Taneja: Thank you and all the best for the future .

Moderator: Thank you. Next question is from Prashant B illur. Prashant , please unmute yourself . Okay, next question is from Pankaj Kapoor. Pankaj, can you please unmute yourself .

Pankaj Kapoor: Yeah , hi thanks for the opportunity . My question is on the cash flows . If I look at this year, we had a close to 50% revenue growth , but it is translating to just 13% growth in our operating cash flow , so looks like your working capital has been under a lot of pressure . Maybe if you can just take us through what is causing this and how you're planning to improve things in FY24?

Sandeep Kalra: Yeah . So, Pankaj , the way it panned out was that during the period of the pandemic , the release of cash that happened during the course of FY21 and FY22 led to a significant bump up in the ratios

with respect to cash . In

FY23 what had happened is that it has to an extent normalized on one side .

There is a structural , you can say situation we faced is because of the SVB crisis in the last quarter . Had that not happened , cash flow would have looked a little better and thirdly , we had announced in Q2 and Q3 that increasing DSO that had happened from levels of 60 to 67 last quarter was on account of deals in the I P area with large enterprise customers , which have a deeper credit arrangement . So, this would take , so there are no fresh deals in that bucket happening , but it would take some time before the - these are amortized payments , it's not - so every quarter we do receive some payments and this will moderate over time . So, structurally , we are not extending larger payment terms except for some very, very large customers . So, I don't think there is a working capital blocking that is happening in a significant manner , but we are conscious of this . We will work towards improving the cash flow and bringing down , you know , the gap between both , I mean on the DSO side and on the working capital side.
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Pankaj Kapoor: Understood . So, can you just tell us what kind of a DSO trajectory you're looking at in the next 3 -4 quarters ? Do you expect it to remain flat or maybe improve by a couple of days as I believe you were hinting at the start of the call ?

Sandeep Kalra: Yeah , sure . So, we would be working towards getting it back to 64 -65 kind of levels , that would be the level.

Pankaj Kapoor: Got it. Thank you and wish you all the best .

Moderator: Thank you. Next question is from Nitin Padmanabhan .

Nitin Padmanabhan: Yeah . Hi good evening , Sandeep , Sunil , and Saurabh . Couple of questions , so, one is , see, we have had these client -specific issues considering the environment , not surprising , but other way you see , going forward , are you seeing things getting better or you see things getting worse , so that's the first one . The second one was , see, if you look at the deal wins , basically we had USD 168 million of net new ACV that includes the last deal as well of USD 100 million . Do you think that , and I think it wasn't - you didn't have such large deals in the prior quarter , so I just wanted to know, is it getting difficult in terms of the kind of sizes of deal wins overall in terms of quantum that are consistently booked , do you see that getting tougher on a going forward basis , that's the second . Third, on the Purchase and Royalty costs , if it is a pass -through is there - has there been an equivalent revenue booking or is there some revenue cost mismatch out there ? Right, those are the three questions . Thank you so much .

Sandeep Kalra: So, Nitin, I'll take part of the question and then I'll have Sunil answer the

rest. So, in terms of the environment is getting tougher , yeah it is tougher and if you look at the color commentary and the results from any of the peers who have announced so far , we'll figure that out . Now, is it going to be tougher for ever , we are expecting it to be tough for the next one to two

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quarters and then it should kind of start getting better and so on and even in tougher environment , we are not saying there is lack of opportunity, there is a good opportunity and we will have to just be alert. The order books are a reflection of that . Now, one correction I would do is the USD 100 million is that TCV on that deal, the ACV on that deal obviously is different because it's USD 100 million for 5 years , so you can extrapolate that. Now, in terms of order book /pipeline , there's a healthy pipeline . There are definitely deals that we would have liked to book last quarter , which the deals are taking a longer period of time , but there are opportunities even in tougher market and it i

s going to be tough for the next one to two quarters and there on, hopefully it gets better and comes to a normal kind . Sunil.

Sunil Sapre: So Nitin, on the Purchase Royalty side , what you should look at is , so this is not as such in a pass -through kind of a form , this is at normal margins that we would expect, you know , for the company to have on a large deal like this . The only thing that is happening is that out of this Purchase Royalty , I would say about 40%-45% of the amount presents expense in form of Purchase Royalty , which has corresponding revenue with adequate margin on the Services side . So, what you would find is there is a mismatch in that sense that while you may see this item reflected as we could have otherwise reported it as Other Direct Expenses , so in the fact sheet we don't presently have that kind of a category , it would have been very odd to mention it in that form , but that is the , you know , way you need to look at and there is no pass -through or without margin kind of thing. I hope that helps you understand the structure.

Nitin Padmanabhan: Yeah, sure. So, basically, you're saying that whatever cost is there , there's an adequate margin in line with company models and there's no really revenue cost mismatch for the quarter , which would come later , fair understanding ?

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Sunil Sapre: Absolutely .

Sandeep Kalra: And Nitin, to add to that , when we are successful in scaling our support business for the extended support , this should be a significant margin enhancer and we've already won our first deal in extended support . So, as it builds up , this is a pretty good , you know , business model along with , you know , obviously the Services revenue that we're getting on developing the next generation products.

Nitin Padmanabhan: Sure , perfect . This is very helpful . Thank you so much and all the best .

Moderator: Thank you. Next question is from Mohit Jain .

Mohit Jain: Yeah . So, two questions . One is the increase in IP -led person months , I think after long gap is there some change in thought process there or is it also related to the deal that you were explaining in the previous question ? That's one and the related part is it really part of billable when you calculate billable or these guys are separate who are not billable because they're part of IP ?

Sandeep Kalra: So, IP business is IP businesses , it is not like a T&M that, you know , it is basically you can correlate the IP -led person months to that quarter 's revenue 100% directly , it doesn't work that way . So, it is basically , sometimes we are investing in forward -looking line in doing extensions of the existing products or in this particular case it is both - we are working on developing extensions to whatever products we have , whether it was our products or otherwise and we have done a significant amount of investment in building a practice around Viva, which we also did a press release with Microsoft a few days back and we are also integrating that

with OpenAI. So that is our foray in terms of getting into the next generation technologies and so on, whether it is on the employee Persistent Systems Limited

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productivity, whether it is on generative AI and so on. So, that's where we put our money to work where we want to.

Mohit Jain: But is it also related to some product development, like are you guys starting to develop some new product as well on the IP side?

Sandeep Kalra: So, see the generative AI component and the Viva things that we have developed, these are like reusable components. These are not full-blown products, but they need people to be put onto a focused way of developing these and enhancing this and that is how we will differentiate ourselves in the market. So, these are not going to be full-blown products that are branded as full-blown products, but these are reusable components that we will take to accelerate our Services go-to-market.

Mohit Jain: Understand and on the utilization, are they billable and I'm assuming if they're not billable, then if you could give some number for employee addition in FY24?

Sandeep Kalra: So, okay. As far as the employee addition for FY24 is concerned, look, that will directly be in line with the revenue growth that we expect to come and since we don't give forward-looking guidance and we've already talked about it earlier in the call. In terms of fresher hiring, I can give you a number roughly, about 850-1,000 freshers is what we will hire in the next year, so that is where it is and from a billability perspective, yeah we do cost this whatever we are putting in the IP side as billable. You know, somewhere we are putting that cost towards the product development/reusable component.

Mohit Jain: 800-1,000 is that the right number for fresher intake?

Sandeep Kalra: 850-1,000 freshers, laterals will be obviously as we need.

Mohit Jain: And you do not see much scope of increasing utilization, this will be in sync with the revenues, revenue growth?

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Sandeep Kalra: Utilization, we have we have a good scope of, you know, that is definitely a lever for us right now. We are pretty much, if you look at it, 77% or thereabouts offshore. We can, over a period of time in a disciplined approach, there is enough to be done to take it to 82%-83% offshore and even on site we have levers. Now, obviously keep in mind this utilization figure that we are talking about includes freshers that have been brought into the billable pool over the last quarter and earlier quarters. So, as these freshers get to be productive, that's a significant margin lever for us and it will show up in the utilization metric. So, there is definitely that inventory we are carrying, the new inventory we will build up over the year with the freshers we will have and then whatever laterals we need to hire, we will hire. That should also give you the overall color commentary on what would be the total headcount additions for the next year.

Mohit Jain: Perfect Sir. Thank you very much.

Moderator: Thank you. As per time restriction, we request participants to ask one question at a time. Next question is from Dipesh Mehta.

Dipesh Mehta: Yeah, thanks for the opportunity. I just want to get sense about the M & A, you also indicated now we are back to active kind of thing, so the priority in terms of tuck-in versus scale acquisition, and if you can provide some perspective, last time we have seen some bunch of kind of things in some of the area earlier you highlighted, but if you give some sense about what we intend to do with the M & A from overall strategy perspective, because one of the things you highlighted from strategy perspective, supersizing existing accounts, so if you can give some holistic answer. Thanks.

Sandeep Kalra: Sure. So, look we've always said we will acquire for capabilities and not for revenue. So, in simple terms we are looking at adding more capabilities, which we can take to our existing customers and build more revenue in those existing customers as well as, you know, through that we get more

newer customers that we can mine for our capabilities that would be a great addition . That is what we have done earlier when we have acquired companies on the Azure side on the GCP side and so on . And just to give you a context for example , we won a USD 70 million deal in the last quarter that was a combination of our data integration capabilities , which was built on our capabilities along with the CAPIOT acquisition that we have done . It also had a significant amount of Google stack , so our Media Agility acq

uisition that we had done , which is now our Google Business Unit, a combination of our Persistent capabilities in Google work and Media Agility, so those two plus a few other combinations led to that USD 70 million -plus. So, from that perspective , we are looking at a string of pearls in areas whether it is Consumer Technology , Cybersecurity , generative AI , or in specific areas within Healthcare or BFSI and from a geography perspective in Eastern Europe from a delivery perspective . So, that is the landscape , that is what we are looking at and , you know , we will do a tuck in acquisition wherever we get in the right capability over a period of time.

Moderator : Thank you. Next question is from Karan Uppal . Yes, Karan go ahead . Okay.

Sandeep Kalra: Karan , we are not able to hear you .

Karan Uppal: In the last five years , so how are you thinking in terms of capital allocation in medium term when the macro is tougher ?

Sandeep Kalra: So, we lost the first part of your question , if you can repeat the question please ?

Karan Uppal: Yeah , I was asking in terms of capital allocation, the payout has been quite handsome this year at 42% versus average of 28% in last five years , so how are you thinking in terms of payout in the medium term when the macro is tougher ?

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Sandeep Kalra: So, look , from our perspective , this year was a special year . So, in our company's 33 -year history , this is the first time we have had a billion dollars from annual revenue perspective and we wanted to thank our investors as well , so that is the reason the payout ratio is higher . We have a very defined policy on payout ratios and as we have said we will do a good combination between providing dividends and doing tuck-in acquisitions for growth and that also should answer a question that is there on the chat . So from that perspective , rest assured , our focus is to bring in the right capital allocation towards acquisitions , which will aid our growth and which will also fuel obviously various different parameters further.

Karan Uppal: Okay . Thank you so much .

Moderator: Thank you. We will take one last question from Mr. Abhishek Shindadkar.

Abhishek Shindadkar : Hi, thank you for the opportunity . First, a clarification , the hyper scaler revenue , is it lost or it is , you know , delayed ?

Sandeep Kalra: So, it is an existing project , which was ramped down , so it is lost in that parlance and at the same time there , are many other discussions where we have said very clearly over the next several quarters , we'll recoup that amount of revenue and maybe even more . So, that is where it is . So, in simple terms , it's lost .

Abhishek Shindadkar : Okay , got it and on revenue growth , Sandeep you mentioned that you expect , you know , at least softness to last for two quarters and then you also kind of highlighted , you know , 3%-5% kind of growth . So if I reconcile those two , are we looking at a back -ended growth with softness in H1 or , you know , we are expecting a consistent growth across all the four quarters ?

Sandeep Kalra: So, a consistent and a growing trend is what I would say .

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Abhishek Shindadkar : Okay and just one follow up on earlier question , it seemed like we are going back on the end-of-lifecycle product investments to the earlier question of Bhavik if I'm correct . Is this a change in strategy that , you know , from a pure OPD focus that we were running for the past two years , are we going back to the end -of-lifecycle product investment strategy ?
Thanks .

Sandeep Kalra: So, from a strategy perspective , no. From an opportunistic perspective , if it is at a company profitability and better and gives us access to enterprise customers , where we can go and mine and sell many other services and it makes business sense for us and o

ur stakeholders , absolutely we will be opportunistic about it , but from a strategy perspective , no.

Abhishek Shindadkar : Thank you for taking my question and best wishes on a great quarter.

Sandeep Kalra: Thank you.

Moderator: Thank you very much . Thank you very much to the Persistent management. Ladies and gentlemen, on behalf of Persistent Systems Limited , that concludes today's conference. Thank you for joining us and you may now disconnect your lines and exit the webinar.

Sandeep Kalra: Thank you.

Sunil Sapre: Thank you.

Call: Jul 2023

Persistent Systems Limited, Bhageerath, 402 Senapati Bapat Road, Pune 411 016, Maharashtra, India
CIN - L72300PN1990PLCO56696
Tel: +91 (20) 670 30000 | Fax - +91 (20) 6703 000 8 | E-mail - info@persistent.com | Website - www.persistent.com

NSE & BSE / 2023-24 / 086

July 25, 2023

The Manager
Corporate Services
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai 400 051

Ref: Symbol: PERSISTENT The Manager
Corporate Services
BSE Limited
14th Floor, P J Towers, Dalal Street,
Mumbai 400 001

Ref: Scrip Code: 533179

Dear Sir/Madam,

Sub: Transcript of investor/analyst call held on Friday , July 21 , 2023
Ref: Our earlier intimation s under reference no. NSE & BSE / 202 3-24 / 073 dated
July 15, 2023 ('Intimation') and NSE & BSE / 202 3-24 / 082 dated July 21, 2023,
titled as 'Outcome and Audio call Recording of investor/analyst call held on
Friday, July 21, 2023 '

In continuation to the above -referred intimation and Pursuant to Regulation 30 of the SEBI
(Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached
transcript of the investor/analyst call held on Friday , July 21 , 2023 , for the quarter ended on June
30, 2023.

The transcript of the investor/a nalyst call is also made available on the Company's website .

The link to access the same is as follows: Analyst -Call-Transcript -Q1FY24.pdf (persistent.com)

This is for your information and record.

Please acknowledge the receipt.

Thanking you,

Yours Sincerely,
For Persistent Systems Limited

Amit Atre
Company Secretary
ICSI Membership No.: A20507
Encl: As above
Persistent Systems Limited

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"PERSISTENT SYSTEMS EARNINGS CONFERENCE CALL,
FIRST QUARTER, FY24 ENDED JUNE 30 , 2023"
July 21, 2023

MANAGEMENT :

Dr. Anand Deshpande
Chairman and Managing Director

Mr. Sandeep Kalra
Executive Director and Chief Executive Officer

Mr. Sunil Sapre
Executive Director and Chief Financial Officer

Mr. Saurabh Dwivedi
Head, Investor Relations

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Moderator: Ladies and gentlemen, good day and welcome to the Persistent Systems earnings conference call for the first quarter FY24 ended June 30, 2023.

We have with us today on the call, Dr. Anand Deshpande, Chairman and Managing Director, Mr. Sandeep Kalra, Executive Director and Chief Executive Officer, Mr. Sunil Sapre, Executive Director and Chief Financial Officer, and Mr. Saurabh Dwivedi, Head of Investor Relations. Please note, all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after the management's opening remarks. Should you need any assistance during the conference call, please raise your hand from the participants' tab on the screen. While asking questions, request you to please identify yourself and your company.

Please note, this conference is being recorded. I now hand the conference over to Mr. Sandeep Kalra. Thank you and over to you, Sir.

Sandeep Kalra: Thank you, moderator. Good evening, good morning, good afternoon to all of you, depending on where you're joining from. We would like to start this call by thanking each one of our customers, partners and investors, as well as our 23,000-plus team members for their resilience and continued trust. Let me now start with our quarterly financials. We are happy to report yet another good growth quarter across major business and financial metrics, even as the macroeconomic environment remained uncertain.

The revenue for Q1 came in at US\$ 282.9 million giving us a growth of 3% quarter-on-quarter and 17.1% on year-on-year basis. In rupee terms, the growth for the quarter came in at 3% quarter-on-quarter and 23.7% year-on-year basis.

Coming to EBIT, our EBIT

for Q1 came in at 14.9%. This translates into a growth of 29% on year-on-year basis. On a quarter-on-quarter basis, the EBIT margin declined by 50 basis points as the tailwind of revenue growth Persistent Systems Limited

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was offset by higher visa cost, higher amortization cost and doubtful debt provision. Sunil will provide more color on the EBIT margin movement later in the call.

We are happy to report that we have implemented salary increments for our global employees as per our regular cycle effective July 2023. We expect to offset most of the margin headwinds due to the wage increase through cost utilization measures, which are being set in motion from Q2

onwards. We remain committed to our goal of improving EBIT margin s over the medium -term.

Now c oming to the order book for the quarter. The total contract value for the quarter came in at US\$ 380.3 million , with new bookings TCV coming in at US\$ 237.2 million. The annual contract value component of this TCV is of the ord er of US\$ 271.9 million , of which the new booking ACV component contributed to US\$ 144.1 million . While the demand environment remained stable , there were a few instances of delays in customers' decision making , owing to which some deals got pushed out to subsequent quarters , and we are hopeful of closing these deals in Q2 and subsequent quarters. Please note that as always, these TCV -ACV numbers include all bookings - small and large, renewals as well as new bookings across existing a s well as new customer s.

Coming to the client engagement size, let me give you some color on our client engagement size . We are pleased to report that our top customer revenue saw a healthy growth of 13.4% Q-on-Q in USD terms. This was on the back of 30% plus growth in the prev ious quarter. We continue to partner closely with our top customers to help them achieve their digital transformation objectives , while also exploring meaningful opportunities for long -term transformation . Our overall portfolio of top -50 customers grew by a robust 5 .7% during Q1. A s you would appreciate , our base of Persistent Systems Limited

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top-50 customers is a portfolio of our strongest relationship s and different customers are likely to take leadership in driving growth of this portfolio in different quarter s. We are excited to report that the progression of our clients across important revenue thresholds continues , with one additional customer moving in to the US\$ 20 to 30 million band during the quarter, scaling up from the lower client revenue bracket. The total count of US\$ 5 to 10 million customers increased to 21 from 17. The total count of greater than US\$ 5 million customers is up to 38 , compared with a count of 34 in the last quarter and 26 such customers in Q 1 FY23.

On the geography side, North America grew 4.9% Q-on-Q in USD terms , while India revenue grew by 1.5% Q-on-Q. Europe revenue declined 2.8% Q-on-Q on a smaller base.

Coming to the people front , in Q1, we added 241 colleagues on a net basis , taking our total headcount to 23,1 30. We continue to increase the deployment of freshers on customer projects , though significant room still remains in improving fresher utilization , and this will be an important margin lever for us in the next few quarters.

The blended u tilization for the quarter came in at 7 8.3% as against 77.3 % in Q4 FY23 , aided partly by increased fresher utilization . On t he trailing 12 - month attrition , we saw the quarter c ome in at 15.5% compared to 19.8% in Q4. Attrition has come down to a more comfortable band compared to the last few quarters. The decline in attrition should nonetheless be seen in the context of general moderation of hiring across the sector and positive outcomes from our employee value -related interventions by our HR.

Moving on from operational metrics to certain strateg

ic highlights for this

quarter. A number of you have been inquiring about generative AI and our forays into the same, so le t's start with that. As a pioneering digital Persistent Systems Limited

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engineering firm, Persistent has been committed to innovation and staying ahead of the curve across major technological developments. We have been working in the field of AI and the related technology segments f or the last several years and have been working with several enterprise customers in their data transformation and AI programs as well as with technology companies in building the technology for enterprises. Our many AI practitioners, researchers and senio r leaders have been closely following the Generative AI developments and are enabling us to

strategically adapt to these evolutions in the field of AI and meaningfully participate in the growing opportunities of Generative AI. Over the last several quarters, we have been working on strengthening our partnership with leading hyperscalers, AWS, Microsoft and Google around their Gen AI initiatives, as you would have noticed from our earnings presentation and fact sheet. In Gen AI domain, our target is to train 16,000 of our employees over the next several quarters. We have developed playbooks to be effectively use code assess tools such as AWS Code Whisperer, Microsoft GitHub Copilot to systematically boost productivity of our Gen AI use while resolving the privacy and licensing challenges, working closely with our hyperscaler and other technology partners. An advanced level training will focus on competencies such as AI engineering, enterprise architecture, deep understanding of IP, data privacy, security, product liability, trust and identity considerations as we move deeper into Generative AI. We have and will continue to train our architects and developers to build AI-infused applications from the get-go to ensure that AI is embedded in to our work culture. We have also been leveraging Gen AI technologies in our own internal landscape as customer zero and are unlocking significant productivity across several use cases across functions such as HR, marketing and IT purposes. With all this, we are finding good momentum on the business

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side as well and are in discussion with over 50 plus clients on Generative AI-related project opportunities. These are a combination of Gen AI Advisory, Gen AI Powered Payer Program, Legacy Code Based Migration, Conversational AI, Enterprise Search, Enterprise Data Modernization, Gen AI Security as well as Gen AI broader engagements to name a few. We expect the adoption of Gen AI to pick up significantly over the next several quarter and years. At this point of time, while the revenue from this may be smaller, the adoption of this should significantly increase over the next 3 to 4 quarters and in subsequent years. Coming to the update on the M&A side. At this point, all our earlier acquisitions are fully integrated and we are proud to say we are winning deals jointly based on the joint capabilities and these are fructifying through the combination of Persistent and acquired companies. We are once again active on the M&A front and will report progress on this front over the next several quarters. On the board front, we welcomed Dr. Ajit Ranade as an Independent Director to our Board of Directors. Dr. Ranade, a renowned academician and economist brings to Persistent his impressive experience of 32+ years to help guide our strategy and accelerate our growth journey. We are looking forward to working closely with him as well as our other board members for the next phase of Persistent's growth. We have shared more details as a part of our Q1 earnings release for our investors' reference. Coming to the updates from our AGM, we recently conducted our 33rd Annual

General Meeting earlier this week on 18th July. I am pleased to share that all the resolutions that were put to vote have been approved by the shareholders with requisite majority. On behalf of all of us, I would like

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to take a moment to thank all our retail and institutional shareholders for their support in this regard. Coming to the administrative updates, on the administrative side we opened a new office in Jaipur, India as our latest COE for Salesforce-related technologies, Krakow, Poland as an extension of our nearshore capabilities in Europe and Dallas, Texas as the latest hub for our Private Equity-related competency. In the coming months and quarters, our expansion plans include locations such as Kolkata, Kochi and Chennai. Our endeavor is to provide world class

facilities to our employees in locations close to them and encourage them to work from office a few days every week.

In summary, we are pleased with our performance in Q 1 FY24 in a challenging business environment.

I would now like to invite Sunil, our CFO to give a detailed color on the quarterly financials and related matters. I'll come back after Sunil's comments to give you some more details on key client wins, analyst awards, and other recognitions for the quarter. Sunil, over to you.

Sunil Sapre: Thank you, Sandeep, and good evening and good day to all. Thank you for taking the time to join us today. Sandeep has given detailed update on the business side and the market perspective. Let me now take you through the details of financial performance for the quarter.

Before I start detailing on the quarterly financials, I would like to call out some of the changes that we have made to our quarterly disclosures, which most of you would have noticed. We have provided additional disclosures in the nature of revenue contribution from top -50 clients, the total client base with annualized revenue in excess of US\$ 250 K per Persistent Systems Limited

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annum, effort mix between Global Delivery Centers and India, and Return on Capital Employed.

At the same time, we are discontinuing certain data points including metrics across Services and IP business, such as the breakup between Services and IP revenue, Services and IP client base and Person Months, and as a result of that, breakup of Direct Cost between Employee Related Expenses, Purchase Royalty and Project Related Travel Expenses. These details are, of course, available in the detailed financials, on the face of the fact sheet, it is not there.

As our business has become more complex, comprising of Fixed Price and Managed Services deals, the breakup across IP revenue is becoming less meaningful and hence the discontinuity of this disclosure. Moreover, you will also observe that post restructuring of one of the contracts with our top client some quarters ago, the IP-led revenue as percentage of total revenue has been less than 10%. It has been ranging between 7% to 9%. In view of the same, going forward, we will be reporting the total revenue.

This being the quarter in change of disclosure, I would like to share that our Services revenue grew by 2.7% quarter-on-quarter and IP revenue grew by 8% quarter-on-quarter. The few other data points, which I mentioned above, which we are discontinuing is about the Revenue by Delivery Centers, the Billed Person Months and Onsite Offshore Utilization, while we continue to disclose Blended Utilization Rate including Trainees.

As most of you are aware, we make the changes to our metrics at the start of the fiscal year, and we have made these changes as I have just called out, keeping in mind the industry practices and based on inputs we have received from the analyst community over a period of time.

Let me now share with you details of the financial performance.

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The revenue for the quarter came in at US\$ 282.9 million with a growth of 3% quarter-on-quarter and 17.1% year-on-year in dollar terms. Revenue for the quarter in INR terms was INR 23,211.8 million, reflecting growth of 3% quarter-on-quarter and 23.6% Y-o-Y. As I mentioned, Services revenue grew by 2.7%, while IP-led revenue grew by 8%.

Coming to sequential growth for the quarter, BFSI grew 6.2%, Technology companies grew 3.3% while Healthcare and Life Sciences grew by 2.8% quarter-on-quarter. On the effort side, our blended utilization including trainees was 78.3% as compared to 77.3% last quarter and attrition was 15.5%, reducing from 19.8% last quarter.

As you are all aware and as Sandeep mentioned, we achieved US\$ 1 billion in annual revenue in FY23 and it was only possible because of continued support by our customers, partners and employees. We had organized

events across the globe to commemorate our journey with them and express our gratitude for their support. These events were well participated. The total one-time expense for these events and employee gifts amounted to INR 486 million, which impacted the margin by 2.1%. As you are aware, the board recommended a special dividend of INR 10 per share as a gesture of our appreciation of the support and continued trust by our shareholders.

Let me now give you a walk-through of other details for the quarter. As you all know, this is a quarter where we do the H1B visa filings. This cost came in this quarter and accounted for 40 basis points of impact. We have been encouraging all our employees to work from office at least 2 to 3 days a week and during the last couple of years in order to be closer to our employees and also attract talent in various parts of the country. We have opened offices in Indore, Jaipur and Ahmedabad, and as you recall with our acquisitions that we did about a year ago, we have now presence in Persistent Systems Limited

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NCR at Gurgaon and Noida. This coupled with expenses on food and travel due to increase in the offices, had an impact on margin by about 20 basis points. The slight increase in the doubtful debt provision had about 10 basis points impact on the margin.

With the above, EBITDA for the quarter was at 18.2% as against 18.5% in the previous quarter. Depreciation and amortization expenses were at 3.3% as against 3.1% in the previous quarter. Last quarter, there was final allocation of purchase consideration for acquired entities, resulting in a credit of INR 40 million in amortization expense. In the normal course of business, there is an increase in amortization on account of investment in software tools for Learning and Development and for improved cybersecurity measures. As a result, in absolute terms, amortization which was INR 434 million in Q3 and had declined to INR 404 million due to the credit as I mentioned above, is currently at INR 476 million in this quarter. With this, the operational EBIT for the quarter was at INR 3,466 million at 14.9% as against 15.4% in the previous quarter.

Treasury income for the quarter was INR 154.58 million as against INR 129.05 million, mainly on account of increased interest rates and treasury size. Forex loss was INR 64.1 million as against INR 189.1 million in the previous quarter. Profit before tax for the quarter was INR 3,070.5 million at 13.2% and if we adjust one-time expense for the US\$ 1 billion celebration expenses, the PBT comes to 15.3% as against 15.1% in the previous quarter. ETR was 25.5% as against 26.2% in the previous quarter. PAT for the quarter was INR 2,287.7 million at 9.9% from a margin perspective adjusting for one-time expense, net of tax. Comparable PAT was INR 2,649.9 million before one-time expense, which is 11.4% of revenue as compared to INR 2,515.1 million in the previous quarter at

11.2% of revenue. EPS for the quarter was INR 30.49 and adjusting for one-time expense, it would have been INR 35.32 as against INR 34.9 in the previous quarter.

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As I mentioned, we have disclosed ROCE for the quarter, which came in at 30% as against 28.8% in the previous quarter. Operational capex for the quarter was INR 140.4 million. Total cash and investments were INR 14,089 million as at 30th June 2023 as compared to INR 15,991 million as at 31st March. The cash balance at the end of Q1 was partially impacted by annual bonus payouts that happened in this quarter as well as AMCs and health insurance premiums, which is a seasonal item in this quarter. DSO came in at 67 days as against 68 days in the previous quarter. Due to long weekend in the US coinciding with the quarter-end, collections amounting to US\$ 9.8 million spilled over to first week of July, otherwise DSO could have come lower and more importantly it could have helped the cash. Forward contracts outstanding as on 30th June were US\$ 230 million at an average

rate of INR 83.53 per dollar.

Let me explain the Working Capital movement and reasons for lower cash conversion during the quarter. As mentioned above, this quarter had payout of annual performance bonus to employees which amounted to INR 1,886 million. Software License purchases and Health Insurance premium renewals amounted to INR 890 million. There was an increase in GST receivable primarily on account of the software licenses, as mentioned above, and purchases of furniture and fit outs at our new Learning and Development Centre at Pune totaling INR 570 million. The unbilled revenue went up this quarter due to delay in receipt of POs from few customers, some of which have already been received in July and have been invoiced. As regards collections, as mentioned above, due to the long weekend, collections to the tune of INR 800 million came in the first three working days of July in the U.S.

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All these factors cumulatively impacted cash conversion during the quarter. You will observe that first quarter of the year is reasonably lower for us in terms of cash conversion, but this time, higher spend on software purchases, increase in unbilled revenue and higher spillover of collections bunching together impacted the cash. This is under focus and we expect the same to even out over the next couple of quarters.

With that, I thank you everyone and hand it back to Sandeep.

Sandeep Kalra: Thank you, Sunil. I'll now talk about the key deal wins for Q1 by industry segments, starting with the Software, Hi Tech and Emerging Industries. We were selected by a leading provider of a SAS platform for Customer Service, Sales and Customer Communication. This is a large deal for us spanning over three years in which we will establish an Offshore Development Centre to undertake engineering on existing as well as new products of the customer. Persistent was elected as a strategic partner by multinational conglomerate in Digital Communications domain for engineering and support of its network services orchestration platform. This is a multiyear, multimillion dollar deal and involves vendor consolidation and transfer of work from onsite to offshore over every year. Persistent was elected as a strategic partner by one of the leading hyperscalers to develop Generative AI strategy and proof of concepts, database connectors, etc for servers, and data integration. Coming to Banking, Financial Services and Insurance. Persistent was elected by the financial services arm of a Fortune -500 automobile company to drive digital transformation of its customer acquisition platform, sales journey platform, customer service and contact centre, as well as marketing automation platform. This is a multimillion, multiyear deal encompassing

passing implementation as well as management. Persistent was elected as a digital transformation partner by a leading US-based Persistent Systems Limited

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financial software company to migrate applications from the environment of one of its acquired businesses to the customer's platform and provide managed services for such migrated applications. Persistent was elected by the US subsidiary of a leading Japanese bank as a strategic IT services partner to develop data science platform for risk management, identity and access management applications as well as regulatory and compliance applications.

Coming to Health care and Life Sciences. Persistent was elected by one of the largest Fortune -500 companies in the Healthcare domain to undertake engineering on data and machine learning platforms of the company as well as to partner with them in innovation and transformation broadband. This is a more than US\$ 50 million TC V deal for us spanning across three years. Persistent was elected by a large UK-based medical equipment manufacturing company for building and managing a unified data platform encompassing supply chain, manufacturing, regulatory, product quality

and finance functions. We were selected by a leading company specializing in the detection of early stage cancers to reengineer its platforms for curation, analytics and laboratory information management as well as migration of its Data Lake platform to the Cloud .

Coming to the awards and recognitions for the quarter . Q1 saw us get continued recognition from industry leading analyst firms and associations to mention a few. Persistent was featured in Everest Group's 2023 PEAK Metrics Service Provider of the Year awards under the Top 10 ITS challengers list. Persistent was named as a Leader in the Everest PEAK Metrics on Payments IT services 2023 . We were recognized as a Major Contender in Everest Group's Healthcare Data and Analytics Services PEAK Metrics Assessment 2023 . We were awarded by the Times Power Brands 2023 under the Excellence and Talent Acquisition category. We also won several awards from ISG including being named a Leader in ISG Provider Persistent Systems Limited

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lens, Digital Engineering Services Quadrant U.S. 2023 , a Leader in Salesforce Ecosystem Partners 2023 ISG Provider Lens, and last but not the least , Top 15 Sourcing Standout in the Q1 2023 ISG Global Index.

In summary , we continue to deliver top quartile revenue growth in Q 1 FY24 despite a challenging macro environment . We remain watchful of the macroeconomic situation and are proactively staying closer to our clients, aiding them and prioritizing the technology spend towards transformation as well as cost optimization and we are cautiously optimistic about our growth momentum. I would like to once again thank our management team and global team members who have persevered through these uncertain times and delivered yet another growth quarter for all of us. Our decision to go ahead with normal wage increase in this macro environment is a testament to our gratitude for the staff .

With this, I would like to conclude the prepared comments and would like to request the Operator to open the floor for questions. Moderator , over to you.

Operator: Thank you, Sir. We will now open the call for Q&A session. We will wait for a few minutes until the queue assembles. We request participants to restrict to two questions and then return to the queue for more questions.

Please raise your hand from the 'Participant ' tab on the screen to ask questions. The first question is from Abhishek Bhandari.

Abhishek Bhandari: Yeah, thank you. Good evening , Management Team . Sandeep, I have two questions. First is, you have been talking in the past of your aspirational growth number of 3%-5% every quarter. Good to see you still doing around 3% this quarter. But

if I heard you correctly in the CNBC interview today morning, you alluded to 2%-4% to 3%-5% depending on macroeconomics. I couldn't quite get it. Are you saying that if the macro remains uncertain, you could go below your 3%-5% number?

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Sandeep Kalra: So, look, we don't give the forward -looking guidance. But having said that, we have said it very clearly in a good economy will be between 3 %-5%, in a bad economy we may get to 2%-4% and we have persevered through it even in the current macro . You have seen all our peer results, we have persevered and we have delivered 3%. So , our endeavor is to deliver the best growth we can and we are at it and our bookings et cetera , if you look at our traditional bookings, although this quarter was a tad bit lower , a few things slipped over, not necessarily lost but slipped over and have closed or are closing. So , our endeavor is to do what we have said and we 'll go from there.

Abhishek Bhandari: Sure, thank you for that. The second question is on the margin part . You know , given that probably the growth is slowing down a bit for us , do we still believe that this year we could have a margin expansion compared to last year ? While I understand your medium term you want to go up by 200 - 300 but more from the next 4 -5 quarters, what could be the upward bias

on the margin ? And what would be the levers driving that?

Sandeep Kalra: Sure. So, if you look at the overall front and not just margins, our first priority is to make sure that we have a healthy growth momentum carry forward. That is our first thing and we are investing in our growth, whether it is on our sales and marketing side, whether it is on our capabilities on Generative AI or other technologies that we are dabbling in, Cloud, Data, Security management. So, that is the first priority.

Now, we are not hung up on optimizing the margins in the next 2-3 quarters. We have said our aspiration over the next 2-3 years is 200-300 basis points and we are at it. In terms of the levers, we still have a significant amount of underutilization in the fresher s that we took. There is 12-15 months that many people have spent with the company, they have been trained, they have been shadowing different programs. We have Persistent Systems Limited

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significant dry powder in terms of talent. So, that is one lever obviously. Then there are other things whether it is our lateral utilization, which also if you look at it today, we are in the range of 78%. If we move from 78% to the highest that we have seen in the rate of 83%-plus, every percentage of utilization gives us 30-basis points and there are many others including revenue increases and so on. So, we have certain levers, but our first priority is to make sure we grow healthily and then we'll go from there.

Abhishek Bhandari: Got it. Thank you, Sandeep, and maybe one small last follow up. You know, while you hinted at some of the AI-related initiatives both from an internal and external perspective, but if you could give some idea about any large investment you think would be needed to probably grow the service line? And if so, is it going to be more in terms of acquisitions or how you're thinking about bolstering your AI capabilities?

Sandeep Kalra: Sure. I'm sure a lot of other people are also interested in this, so let me just spend a minute on this. So, if you look at Persistent, right from the get-go, we have been working on data. The name Persistent also comes from the persistency of databases and Anand himself is a PhD in databases. That's our genesis. Over the years, we have done multitude of AI products related work, whether it is for technology companies building the technology, for the hyperscalers itself we are working on their Machine Learning-related tec

hnologies, which is the underlying thing behind all this for enterprises in Healthcare Life Sciences. We have worked with them on doing platforms for tracking the progression of renal diseases and predicting the newer patients renal disease progression or diabetes progression or in Financial Services in trade finance and many, many, many use cases. So, this is not new to us. Now, it doesn't make sense for us to go and acquire another services company because this field is pretty new. Our own capabilities are pretty good. We are working with our hyperscaler partners. We are very closely collaborating with people like AWS, Microsoft and Google to Persistent Systems Limited

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understand their foray. We are using ourselves as Customer Zero. If you look at press releases that we have done, we have collaborated with Microsoft to use Viva and Open AI in our own environment. Today for our HR, we are using that business case. Now for our own developer productivity, we have experimentation going on with AWS as well as with Microsoft. Similarly, in many of the customer environments we are working on, Bard or Open AI, we are working closely with Google on their technologies. So, there's a significant investment that we are doing in putting a team together, which is basically going to evangelize this with our customers and even internally and somewhere down the line in the next 2-3 quarters, we would have trained all our engineers on the different technologies. whether it is developer productivity, whether it is building these LLMs or foundation models or deploying them in an enterprise. We are not going to do acquisitions as of now in this because there's nothing to acquire. Everyone is learning and we are ahead of them. So, that is our

foray and we are putting investments into our own teams and their learning.

Abhishek Bhandari: Thank you, Sandeep, for the detailed answer and all the best for the year.

Sandeep Kalra: Thank you.

Operator: Thank you, Abhishek. The next question is from, Chirag.

Chirag: Hello? Am I audible?

Sandeep Kalra: Yeah, you'll have to speak a little louder but you're audible.

Chirag: Yeah. Sandeep, I have a couple of questions. During the quarter, one of our global peers reduced the guidance, so how are we reading that? And do we make any changes in our client strategy and all to mitigate such uncertainty, which can come during the year? Second, we are opening offices in Tier-2 and Tier-3 towns to attract the talent and all, so does it

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give us a lever going forward that we will have a labor cost relatively lower compared to what we get at Tier 1 cities and towns?

Sandeep Kalra: Sure. So, let me start with the first question. See, as far as our global peer is concerned who reduce the guidance and so on, look, every company is different. We can't manage other people's guidance. All we can do is perform well and within the hand that is delivered to us, whether it's a good macro or a bad macro, we are trying to do our best and this is economy in which we have to be proactive. We have to proactively, based on our understanding of our customers and prospects, we have to take a cost optimization pitch and so on and that's what we have been doing. And this is the 13th sequential quarter for us for revenue increase and profit stabilization and increase. That should give you a proof point of we are at it. We can do better, obviously, and we will try and do whatever we can but we are not giving any forward-looking guidance, reducing or increasing. We have delivered well and we'll continue to execute.

Now as far as the Tier-2 and Tier-3 cities are concerned, the basic rationale for us was as the pandemic happened, a number of our employees also moved back to their home towns and some of these Tier-2 and Tier-3 cit

ies

that we have opened offices in. Wherever we saw clusters of our own employees moving back and we also saw clusters of talent availability and to your point, yes, it could be a margin lever for us as we go ahead, because if we are taking our offices to where the talent is and not necessarily hiring in a high cost location like a Bangalore or Hyderabad or maybe even Pune, and we are diversifying our pool that we are getting the catchment area spread out to, that is the whole strategy and we are also expecting this to not just expand the pool but also reduce the attrition, both of which can be margin lever.

Operator: Thank you, Chirag.

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Chirag: Thank you. One more question, if you allow. Yeah.

Sandeep Kalra: I would request if you can join back to the queue.

Chirag: Yeah, sure.

Operator: Okay. Thank you, Chirag. The next question is from, Sandeep. You can ask your question. If you're on mute, unmute and ask.

Speaker: Can you unmute, Sandeep Shah?

Sandeep Shah: Yeah. Can you hear me now?

Sandeep Kalra: Yes.

Sandeep Shah: Yeah. Yeah. Thanks for the opportunity. The first question is, Sandeep, this time the impact on the growth looks like is more with the leaking buckets, not with maybe top clients but set of clients. Whether this phenomenon is correct and whether it is restricted to one or two verticals or is it broad-based? And second, the projects which are actually getting stopped and paused, do you believe it may come back or clients are actually rethinking in terms of not starting those projects and those may be actually canceled?

Sandeep Kalra: So, look, if one has to take a bigger picture of the organization, at an Uber level, it is not this that everything is getting impacted. There are different

shades of customers . There are customers who are getting impacted in this macro a little more than others and so we have seen some of these, including some of the strongest hyperscalers, take care of their own cost ahead of whatever it is and so we had, for example, last quarter said one of the largest hyperscalers, we had a ramp down of US\$ 3 million a quarter. And I can tell you without naming anyone else , it's not just us but most of their strategic suppliers went in with the same hand. Now, some of the weaker customers may postpone the deployment of capital . I don't think these are getting canceled. If there are any material things that get

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canceled , as we declared last quarter , openly we will come and say it. So , there may be a little bit of a pushing out . In terms of new ramp ups, there may be a little bit of spend pullback. What we are hearing from our customers is clearly the next 1 -2 quarters are where it is tough and then they are also expecting the market to open up for themselves and, hence, we are also hoping to see acceleration over the next 3 -4 quarters. That is where we are. Noting that we can say this particular vertical, this particular customer set is suffering more than others.

Sandeep Shah: Okay . Thank you . All the best.

Sandeep Kalra: Thank you.

Operator: Thank you, Sandeep. Next question is from Prajay.

Prajay: Hello ? Am I audible ?

Sandeep Kalra: Yes, please.

Prajay: Yes. Sir, I just have a small question. So , when we are saying that it's a 200-basis point to 300 -basis points of improvement, are we talking about PAT margin or EBIT margin? Just want clarification on this.

Sandeep Kalra: So, we are talking about the EBIT level , that's what it is.

Prajay: Okay , fair enough. Thank you.

Operator: Thank you. The next question is from Dipesh Mehta.

Dipesh Mehta: Yeah, thanks for the opportunity. Two questions. First of all, I just want to get some sense about the vertical. BFSI, I think , most of peers indicated challenges in

growth. We have very strong performance. HLS, we are seeing some weakness . If you can provide some sense how we look at these two verticals and Hi -Tech also? Second question is about the expenses side . Software License expenses has significantly increased as a percentage of revenue over the last couple of quarters. So , if you can

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provide some sense what is driving it and how one should model it? Thank you.

Sandeep Kalra: Sure. I'll answer the vertical -related question and I'll let Sunil answer the software licenses -related question.

Now if you look at the vertical side of it, while BFSI came in strong , first from our customer conversations , we can see that the next few quarters are going to be tad bit soft for BFSI and we'll see how it pans out in actual execution.

Now from a Healthcare Life Science perspective, the deceleration that we saw was particularly restricted to what we call Scientific Instruments and Medical Devices segment. There are four segments in Healthcare that we deal with - Scientific Instruments, Medical Devices, Payer -Provider and Pharma. Now when we look at the Scientific Instruments segment, there are a few of our customers who had seen a windfall in terms of their revenues because of their play in the COVID value chain, whether they were people who were providing reagents or test kits or equipment in the whole value chain . So their revenues are now going down and they are recalibrating to their new reality and that includes some spend with us. If you look at our bookings , from our bookings , the largest deal that we won in this quarter was with a Payer and a Tech company in the Healthcare segment. So , if I look forward from what we know today, Healthcare Life Sciences is going to be a good growth segment for us , while it may have

seen one quarter dip . Banking Financial Services will be a little tepid. As far as Technology is concerned, that is a segment where we have the strongest right to win and sit at the table. So, that is going to be a good forte for us going ahead. Hopefully that answers you and Sunil will answer the question on software licensing. Sunil, over to you.
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Sunil Sapre: Yeah. So, hi Dipesh, in terms of software licensing, there are basically, as you know, two items, one which is used in project deliveries for customer projects and the second for own use. So, own use basically we have made you can say , strengthened our own cybersecurity defense. We have also done some investments in Learning and Development related software . So, these are two areas where you can see there is an increase in that type of expenses. So, far as the delivery -related expenses are concerned, these are basically part of larger engagements where we use software of third parties, which are embedded in our deliveries. So, that is the main reason for this.

Operator: Thank you, Dipesh for your question. The next question is from Ravi Menon .

Ravi Menon : Hi, thank you for the opportunity. Sandeep just want a sense of , you know , are things slightly improving or what do you think , you know , will happen with client budgets? What we've heard from other people is budgets get allocated, but , you know clients , are just not ready to spend as they're waiting for the macro to improve. So, any improvement in the conversations over the last three months?

Sandeep Kalra: So, I would say incrementally over the last several quarters, it has been a little more pullback than actually decision -making getting accelerated. People have the money, but they are all delaying their decision. They're also, like you know a number of you are worried about the macros, they are also worried about the macro. So, there is definitely a delay in decision -making, which is leading to a little bit of stress , if you may , on the sectors

that we deal with and downstream, the revenues that we get. So, even if we look at our own revenues, there was a time, the last, if I go back in four to six quarters, we were growing anywhere between 5% to 9%. Our growth today is 3 % and it's a direct reflection of the environment, while 3% in our
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sector today I would be proud that we have delivered on the best, but obviously it has come down from the times where we were four to six quarters and so from our conversations , we are clear people are expecting this to be maybe around the bottom in the next one quarter, two quarters and then accelerate from there.

Ravi Menon : And do you think that , you know , your top customers seem to be all doing well, is that expected to sustain or are there any pockets of weakness outside this top -10 that you would want to call out or whether it's a particular geographic segment or a vertical?

Sandeep Kalra: So, look , if we knew anything that was material, we would have announced it on this call. So, there is nothing that as of today that is known to us, which is a material negative impact on us. We are at it. We are , you know, working towards maximizing our revenues, delivering well on profitability, there's nothing that is known to us , which is a material impact , whether it is top customer or top -10 or top -50 and so on.

Ravi Menon : Great. Thanks. Thank you and best of luck.

Sandeep Kalra: Thank you.

Operator : Thank you. Participant who wish to ask question can raise your hand from the participant tab on the screen. The next question is from Mr. Vibhor Singhal.

Vibhor Singhal: Yeah, hi. Thanks for taking my question. I hope I'm audible?.

Sandeep Kalra: Yes.

Vibhor Singhal: Yeah, thanks. So, Sandeep my question is basically on the revenue composition. I think for the second consecutive quarter we have seen the

top client contributing significantly to our revenue. This quarter, our top client forms 40% of our incremental revenue Q-on-Q and last quarter that Persistent Systems Limited

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number was almost 60%. So, just want to and of course in the preceding quarters before that we as a strategy had kind of ramped that client down and we were always talking about their share of business actually reducing in our overall composition. So, what is the kind of strategy that we're looking at in terms of top client and also I know you don't share that details explicitly, but the revenue from the top client in terms of margin profile, is it any different from our overall company margin profile or pretty much similar as the other projects are?

Sandeep Kalra: Okay. So, there are a number of points out there. So, if you look at it historically, we had ramped down one program with our customer which was on the IT side, which was not profitable for us, but that was done nearly a year back. Two quarters back, we had got ramped down from them and it had significantly decreased the revenue and we worked with them to understand their priorities because everyone today is trying to optimize for their business conditions. They have a bus iness to run. They had to optimize vendor spend, whether it was with us or others and we could, you know, happily work with them based on our 18 years of working with them to craft out a win-win with them and that's how we saw the revenue come back. So, now there are a number of programs, some of these may be time bound, some of them maybe longer term. So overall, from a top one customer perspective, I am not expecting from what we know today, it to be a seesaw. It is going to be steady. There may be a certain addition, there may be certain deletion depending on the programs being added or finishing and so on, but it will be a stable customer for us from what we know today and what we see. Now, as far as other margin profile etc is concerned, for a customer at that

size it's a reasonably decent

margin that we do with them and we are happy where that margin is.

Vibhor Singhal: Got it and do you, I mean just to finish up on that part, do you expect this top client, I mean and them being the large client and of course being one Persistent Systems Limited

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of the large vendors in the tech domain, could we actually at some point of time start to become a good large partner to them in their endeavor of the overall tech modernization part? I mean, increasing our share or do you think of the scope of work for them is going to be limited in the size and nature?

Sandeep Kalra: So, look, there are multiple things that you do with any customer, any of these and the top one is one of the technology giants, with them we work on developing products for them, sustaining products for them, taking those products to market in terms of doing professional services on them, and they are also dabbling into Gen AI in a different way. So, there is definitely scope for us to do more. Obviously, they have to, from a go-to-market perspective, they work with multiple different service providers because each one of us has our own niche. So, there is definitely scope to do more and today also if you look at it, we are one of their most strategic partners from what we deliver even today.

Vibhor Singhal: Okay, great. Thank you so much. Thanks for clarifying in a good manner, Sandeep. Thanks a lot and wish you all the best.

Sandeep Kalra: Thank you.

Moderator: Thank you. The next question is from Vimal.

Vimal Goel: Yeah, thank you for the opportunity, Sir. First question, I'm not sure if you highlighted this, so my apologies in advance if I'm making you repeat it.

The wage hikes are fully implemented this quarter or is there any spill over in Q2 that we might see, that is question #1 and question #2, Sandeep Sir, you mentioned the CQGR growth that we're targeting of 2% to 3% in case the macro remains or 2% to 4% in case the macro remains uncertain, that is in context after factoring in the possible slowdown in BFS and a flattish

sort of TCV ACV that you've seen or other decline of TCV ACV that we've seen in this quarter. We are factoring in both these facts, right?

Sandeep Kalra: So, let me answer both. So, wage hike is fully implemented. Wage hike is July 1st, we have stuck to it. So, we have given 7½% wage hike on average in India, 3.5% to 4% outside India and obviously this will vary on the individual, their experience, you're able to get more, you can get less, whatever it is. Now, that is implemented, we have not deferred any wage hike, we have not deferred any joining, and we are very proud to say we gave 109% corporate performance bonus at the minimum for the whole company and more. So, from that perspective, we have not optimized our margins by cutting into people's bonuses or their salary increases or deferring those. So, let's be clear about that. We are not managing margins by that, and we are very proud of it. Second part of it, in terms of CQGR, yes that is our endeavor. We don't give a forward-looking guidance. If you have put on the mat and you want to extract what we want to do that is the aspiration that we have, come in a bad economy, come in good economy, we should be in a good healthy, you know close zone and that's where our endeavor is. Yes, we will try and deliver 2% to 4% in a bad economy, and 3% to 5% in a good economy, balance will let the time come.

Vimal Goel: Just one question here. Our strengths have always been in the product engineering. Our capabilities have always been very, very superior as far as product engineering is concerned. Do you think that in such an environment, probably product engineering gets more discretionary and we might have to win more wallet share to continue growing at the pace at which we are v

ersus for pure IT services player, which is probably focusing on cost cutting projects etc?

Sandeep Kalra: So, look we, so when we talk product engineering, we do product engineering for product companies, the same tenets we take it to the Persistent Systems Limited

enterprise in terms of doing digital transformation, which may be building a platform for internal or external customers and so on. Now, cost reduction can be done in many different ways. Cost reduction is just not about internal IT, cost reduction can be if you're developing products as a product company, can you do it by leveraging more nearshore, offshore, do the same and more at a reduced cost, that's cost reduction for them and similarly in the enterprise. So, keeping long story short, I do think we'll have to have a different pitch for economy like this and that's what we have been doing. That's where we have been developing our demand and we have been delivering significantly. Now, we'll have to continue on the execution front. In all this, it's about execution.

Vimal Goel: Thank you, Sandeep. That's very, very helpful. Thank you.

Moderator: Thank you. The next question is from Abhishek.

Abhishek Shindadkar: Hi, thank you for the opportunity and congrats on a good quarter. Just one question on your top customer reported earnings, they talked about a lot of, you know, AI in their call as well. What are we participating along with them? Any color could be really helpful. The second thing is if I look at the Hi-tech growth and you mentioned that the Hi-tech growth would be one of the pillars, so ex-top customer it appears to be a little soft. Now, I know you would not dissect it this way, but just trying to understand that what are we trying to build for the non-top Hi-tech customers? So, those are the two questions. Thank you.

Sandeep Kalra: So, look I have to be cautious of our NDAs and I have to be cautious of time.

So, all I can say is with the top customer, we are working with them to understand how they're differentiating their Gen AI strategy with respect to others. Now, they were earlier on in this whole Gen AI game and the next is a different flavor that they want to bring to the enterprise, and we are collaborating with them to do proof of concepts for some other

enterprises and we will continue to go deeper with it. Now, as far as the ex-top customer and top customer is concerned, look, we look at our entire portfolio of customers as a portfolio. Now, there will be situations in a macroeconomic environment where some customers may perform better in a particular quarter versus others and as long as we are focused, as long as we are seeding each part of the customer category for growth, we are good and I'm not too worried about slight slowdown in bookings, that's a timing issue more than an issue of not happening. So, I'm relatively confident each of the customer categories with time will show a healthy growth and the sum of parts is any which ways at 3%, I'm very proud to say we have delivered among the best in the industry. I don't think anyone has delivered 3% sequential Q-on-Q and 17% -plus Y-o-Y in dollar terms and 23.6% in rupee terms. So, we are on it, we'll be on it in terms of execution and we'll try to even do better as we go along.

Abhishek Shindadkar : Thanks. Really helpful and congrats on a great quarter.

Sandeep Kalra: Thank you.

Moderator: Thank you. The next question is from Rishit.

Rishit : Hi, thanks for taking my question. So, I just had a question around your ACV and TCV, while the trailing 12-month indicates continued robust growth, even if I assume leakages, what is your view on the deal pipeline and how should we look at the next few quarters, because for the growth for the next year after that, you might need to increase your ACV TCV signings?

Sandeep Kalra: Right. So, look, this is an ongoing business. As we go along, as the revenue increases, you are absolutely right, the ACV TCV will have to increase and we have talked about how we have increased our investment in SG&A. We have talked about how we are not looking to maximize profits in the Persistent Systems Limited

shorter run. We are, you know, even now growth and sustained growth is the first priority, not maximization of profits at the cost of growth. So, we are investing in our sales and marketing. We are investing in our go-to-market partnerships, whether it is on Gen AI or other technologies, we are hunkering down with our partners to take them and become our ecosystem orchestrator of choice for our customers. So, that is where we are focused on and I'm pretty sure the ACV TCV should reflect it as we go along in terms of the increase in those metrics in line with the revenue growth that we want to see.

Rishit : Got it. Thanks, and how's your pipeline looking versus the previous quarters, do you have a healthy pipeline or?

Sandeep Kalra: Yeah. So, we don't give forward-looking guidance. I can't give you a number on the pipeline because it's as good as giving you forward-looking guidance on revenues, but from an overall perspective, the pipeline is good, but keep in mind that decision-making is slow, next one, two quarters are going to be tough, but the pipeline is fairly good and it is across the various segments that we deal.

Rishit : Got it. Thanks a lot.

Moderator: Thank you. The next question is from Rishi.

Rishi Jhunjhunwala: Yeah. Can you hear me?

Sandeep Kalra: Yes.

Rishi Jhunjhunwala: Great. Thanks for the opportunity. Sandeep, just one thing you mentioned about, you know the condition of the macro today or basically in a bad macro we'll grow 2% to 4% CQGR and I guess you know, 1Q also would be a part of that and we have done 3%. Now, some of your peer set large and small have also talked about potentially better second-half in the anticipation that some of the deals that were there potentially would have

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gotten delayed in terms of ramp up . For you, fiscal 24, do you see it to be, normal year where you end up growing largely at the same rate through the course of the year or do you also think there could potentially be some bit of acceleration in the second -half?

Sandeep Kalra: As I said before, our customers when we have discussions with them, they also believe the next one to two quarters are going to be tepid, everyone will have to optimize for their own business and then on they are also expecting the economy to recover, the interest rates etc , all these hikes to be behind us, maybe even a different interest rate regime etc. coming in and so on. So, nobody has a crystal ball, but what we can see is the next few quarters are tough, but everyone is expecting the economy to come back and that's what our peers, I'm sure they have also been pointing out.

Rishi Jhunjhunwala: Right and just secondly on the margin side you had seen a lot of growth in the last two years and a lot of incremental revenues you would have invested back into the business. If we look at FY24, how much of margin sustenance or expansion if at all is predicated on an X amount of revenue growth that we end up getting versus some of the investments that you have done , which would anyways sweat out some of the margin levers that we would have basically materialized through the course of the year?

Sandeep Kalra: Sure. We are nearly at the end of the call. I'll just keep it very brief. From our perspective, our first task of business is sustainable growth . As far as the margins are concerned on the full year basis, don't worry about quarter -to-quarter, full year basis adjusted for the spend that we did in giving gifts to our employees and doing customer events in th

e first

quarter. If you adjust for that, the first thing is grow well and be at the EBIT levels that were there for the last year. Now, as we go ahead and accelerate our business as the economy comes back, we have enough
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levers to execute to get to the 200 to 300 basis points aspiration that we have in terms of EBIT expansion and that's what we will execute.

Rishi Jhunjhunwala: Thank you so much. All the best.

Sandeep Kalra : Thank you.

Moderator: Thank you. The last question is from Anmol.

Anmol Garg: Yeah, hi. I hope that I'm audible?

Sandeep Kalra: Yes, please.

Anmol Garg: Yeah. So, just wanted to ask that what do you think about the pricing environment at this point in time , given that there is a lot of hyper competition and the enterprises are also having their own cost pressures, so are clients asking for the pricing discount and are we planning to give the same to win deals or to renew the existing one?

Sandeep Kalra: So, look there are some segments that we deal with, some of the largest customers that we deal with, there are multiple strategic partners. It becomes hyper -competitive out there and in the last few years , we have been able to do price increases. I don't think in this environment , that will be the one where in the bigger customers , we can go in and have price increases. As far as the newer bids are concerned, a number of our newer bids are proactive bids where we are coming up with ideas, where we can add value to the customer, whether it is cost optimization or otherwise, and that's where we have better pricing power based on the differentiation that we bring to the market based on our capability to lead the customer in achieving their cost optimization initiatives. So, it's about what business you go after, how you go after, how you execute your sales pursuits . At Uber level, I'm not too worried about the pricing pressure as of this point in time, except for a few large customers.
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Anmol Garg: Thanks, and just one last bit from my end is that what is our hiring outlook for the next couple of quarters?

Sandeep Kalra: So, look the hiring will be in line with the demand scenario , plus we have offered about 800 freshers who will join between August to December. We

have no intent of delaying their joining. We will honor the offers the way we have given them and keep the timing. Having said that, if we need to optimize our own talent for nonperformers and others, that is part of the game, but otherwise our hiring is going to be in line with our revenue projections and please keep in mind, we have a significant amount of freshers who have been in our system for 12 to 15 months, who are fully trained, who have been shadowing projects. So, we have a lot of dry powder from that perspective to be able to grow without necessarily going out and hiring and all.

Anmol Garg: Sure, Sandeep. Thanks.

Moderator: Thank you. I now hand the conference over to Sandeep for closing remarks.

Sandeep Kalra: Thank you. So, we'll once again like to thank our 23,000-plus team members, our customers, our partners, and our investors for their support in our growth journey. We are cautiously optimistic on our prospects for FY24 and beyond even as we manage the macroeconomic developments and stay close to our key customers. We continue to aspire to maintain industry-leading revenue growth combined with healthy levels of profitability. Thank you for spending time with us on the call today. We look forward to connecting with you again in three months' time to provide an update on our ongoing progress. Please stay safe and stay healthy. Thank you.

Sunil Sapre: Thank you.

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Moderator: Thank you very much to the Persistent management. Ladies and gentlemen, on behalf of Persistent System

s Limited, that concludes today's conference. Thank you for joining us and you may now disconnect your lines and exit the webinar.

Call: Oct 2023

Persistent Systems Limited, Bhageerath, 402 Senapati Bapat Road, Pune 411 016, Maharashtra, India
CIN - L72300PN1990PLCO56696
Tel: +91 (20) 670 30000 | Fax - +91 (20) 6703 000 8 | E-mail - info@persistent.com | Website - www.persistent.com
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October 23, 2023

The Manager

Corporate Services

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra (E), Mumbai 400 051

Ref: Symbol: PERSISTENT The Manager

Corporate Services

BSE Limited

14th Floor, P J Towers, Dalal Street,

Mumbai 400 001

Ref: Scrip Code: 533179

Dear Sir/Madam,

Sub: Transcript of investor/analyst call held on Thursday , October 19, 2023

Ref: Our earlier intimation with Ref. No. NSE & BSE / 2023-24 / 140 dated October 19,

2023, titled as Outcome and Audio call Recording of investor/analyst call held on

Thursday, October 19, 2023

In continuation to the above -referred intimation and Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the investor/analyst call held on Thursday , October 19, 2023 , for the quarter ended on September 30, 2023.

The transcript of the investor/analyst call is also made available on the Company's website .

The link to access the same is as follows: Analyst -Call-Transcript -Q2FY24.pdf (persistent.com)

This is for your information and record.

Please acknowledge the receipt.

Thanking you,

Yours Sincerely,

For Persistent Systems Limited

Amit Atre

Company Secretary

ICSI Membership No.: A20507

Encl: As above

Persistent Systems Limited

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"PERSISTENT SYSTEMS EARNINGS CONFERENCE CALL,
SECOND QUARTER, FY24 ENDED SEPT 30, 2023"
September , 2023

MANAGEMENT :

Dr. Anand Deshpande

Chairman and Managing Director

Mr. Sandeep Kalra

Executive Director and Chief Executive Officer

Mr. Sunil Sapre

Executive Director and Chief Financial Officer

Mr. Saurabh Dwivedi

Head, Investor Relations

Moderator: Ladies and gentlemen, good day and welcome to the Persistent Systems earnings conference call for the second quarter FY24 ended September 30, 2023. We have with us today on the call, Dr. Anand Deshpande, Chairman and Managing Director, Mr. Sandeep Kalra, Executive Director and Chief Executive Officer, Mr. Sunil Sapre, Executive Director and Chief Financial Officer, and Mr. Saurabh Dwivedi, Head of Investor Relations. Please note all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after the management's opening remarks. Should you need any assistance during the conference call, please raise your hand from the participant tab on the screen. While asking questions, request you to please identify yourself and your company. Please note, this conference is being recorded. I now hand the conference over to Mr. Sandeep Kalra. Thank you and over to you, Sir.

Sandeep Kalra: Thank you, moderator. Good evening, good afternoon, good morning to all of you, depending on where you're joining from. Please pardon my scratchy voice as I'm just coming off a viral infection. I would like to start this quarter's call by sharing with you that I will be completing three years as Persistent CEO on 23rd October, four days from now during these auspicious days of Navratri. I'm grateful for the responsibility that was entrusted into me by Anand and the Persistent Board of Directors and the support and guidance I have enjoyed from them during this period. Also, I would like to acknowledge the contribution of Sunil, our CFO and the entire leadership team as well as all our 22,800-plus employees in 21 countries around the globe. It has been a privilege to work with each one of them through a period which has seen Persistent grow from one pillar

of strength to the other and emerge among the growth leaders in global IT Services Industry. I would also like to thank each one of you on the call as well as our broader investor base, customers, partners for the support and continued trust in us during this period.

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With that, let me now start with our quarterly financials. We are pleased to report yet another quarter of healthy revenue growth despite an uncertain macroeconomic environment. The revenue for Q2 came in at \$291.71 million, representing a growth of 3.1% quarter-on-quarter and 14.1% year-on-year in US dollar terms. In rupee terms, this translates into a growth at 3.9% Q on Q and 17.7% on Y on Y basis.

Coming to EBIT, the EBIT for the quarter came in at 13.7%. The EBIT margin declined 120 basis points quarter-on-quarter were in primarily to the wage hike we awarded our employees from July 1, 2022. We give an average hike of 7% offshore and 3% to 4% on onsite. We were able to partly mitigate impact of the wage hike and higher SG&A investments through revenue growth leverage, higher utilization as well as lower visa cost. Sunil will provide much more color on the EBIT margin later in this call. We remain committed to our goal of improving EBIT margins by 150 to 200 basis points over the next two to three years as we have stated prior to this.

Coming to the order book for the quarter - the total contract value for the quarter came in at \$479.3 million with new order book TCV coming in at \$313.1 million. The annual contract value component of this TCV is of the order of \$315.9 million, of which the new ACV component contributed to \$184.2 million. The order book number for quarter includes some of the deal spill from the last quarter as we had alluded to in the last earnings call. While the demand environment remains uncertain, our razor-sharp focus on staying close to our customers and focus on margins aided by our healthy order bookings in Q2 has remained steadfast in our growth

Please note that as always, these Total Contract Value, Annual Contract Value numbers include all bookings, small and large renewals, as well as new bookings across existing and new customers.

Coming to the client engagement sizes - we witnessed healthy growth among various client buckets with our top 5 -customer revenue up 4.5% Q on Q, top -10 up 2.8% Q on Q, top -20 up 3.4% Q on Q, and top -50 up 3.7% Q on Q.

As you would notice, our top -50 customers is a portfolio of our marquee relationships delivering a secular growth quarter-on-quarter. In this quarter, the portfolio of the top -50 customers delivered 3.7%, which is better than the overall revenue growth of the company. The progression of our customers across various engagement sizes continues with a total of 175 customers in the greater than \$1 million bucket in Q2, an increase of 8 over Q1. I am happy with the entry of new customers in the \$1-5 million and \$10 million and \$5 million buckets, which are likely to scale up further in future quarters. As you will notice, there's a growth in customer count in all categories other than greater than \$20 million and less than \$30 million bucket, where the count reduced by due to movement of one into the higher category and one into the lower. This is normal given certain amount of project ramp ups, ramp downs across quarters. In terms of geographical breakup, North America revenue grew in line with the company average at 3.1% Q on Q in USD terms, while India revenue grew by 1.3% Q on Q and Europe revenue came in at 0.3 percent Q on Q. Rest of the World revenue was up 41.8% Q on Q on a low revenue base. Coming to the people front - in Q2, our total head count stood at 22,842 as of September-end. This is a decline of 282 FTEs from Q1. While we gave industry-leading wages

and hikes in FY24, we also took suitable measures in line with our stated policy for the bottom performers within our employee base.
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base. The gross hiring overall was a little lower than the total exit of employees in Q2, which led to the decline in employee head count leading to better utilization. We carry significant dry powder in terms of talent to be able to deliver to the growth that we aspire for and in line with the bookings that we've done. In terms of freshers, we onboarded 277 freshers in Q2 and we will focus on the deployment and existing bench while hiring for critical skills laterally based on project requirements over the next several quarters as we move ahead.

The blended utilization for the quarter came in substantially higher at 80.6% compared to 78.3% in Q1. This was aided by volume growth and decline in net headcount. We continue to focus on increasing utilization of our existing employee base while adding lateral hires to augment for critical skills. The trailing 12-month attrition for the quarter came in at 13.5% compared to 15.5% in Q1. The attrition has come down to a comfortable band compared to the last several quarters. The decline in addition should nonetheless be seen in the context of general moderation hiring across the sector and positive outcomes from our employee value. Moving on from operational metrics to certain other strategic highlights for the quarter. First on Generative AI. As a testimony to the Generative AI focus that we have had over the last several quarters and the various investments we have undertaken, we today have some exciting Gen AI customer stories to share. To give you some examples, we worked with a sports technology company that provides motion analysis and performance insights to athletes to an app-based bio mechanics coach. This is aimed at providing personalized insights and recommending specific actions to the athletes. Persistent leveraged the Gen AI technology stack encompassing AWS, Bedrock, Titan, and LangChain to help analyze the unique and large database of 350 million baseball and golf swings data and

give personalized insights summarized for its user in an intuitive way,
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ultimately helping the user finetune their skills and become better at their game and analyze the game in real time. The solution will also allow our customers to expand their addressable market beyond elite athletes to mainstream users and unlock newer streams of revenue through tiered service offerings.

We recently engaged with the Fortune 200 molecular, diagnostics, and technology solutions provider to address the productivity challenges in writing clinical study protocols using historical protocol documents, other internal content, and information available in public domain. The clinical study protocols for everyone's reference are comprehensive documents that outline detailed plan for conducting a clinical trial or a research study and this work was currently being undertaken by a 100-plus people team largely through a manual process, which was time-consuming and also prone to errors. To address this issue, we leveraged a Google Vertex-based custom Gen AI solution using Advanced Natural Language Processing and Information Rating. The solution is helping the customers streamline the protocol creation process and reducing the time requirement by up to 90%, thereby enhancing the productivity of the team, while at the same time enhancing the quality and giving time-to-market benefit for the customer. In the quarter gone by, we also worked with a top-tier biotechnology firm, which was looking to modernize its image processing application that captures images from various kinds of medical instruments. Typically, in such scenarios, the development team would manually study the source code base and have experts translate t

hat to

target technology stack and test the application.

Persistent, using our WingMate accelerator and innovative Integrated Development Environment, an IDE in technical terms, an extension that seamlessly merges traditional coding practices with the groundbreaking potential of Gen AI, powered by Azure, Open AI was tuned to automatically
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understand the legacy source code, build the test suite, and ultimately migrate the application in 30% less time compared to the manual approach. This approach also helped our customers de-risking themselves from the labor shortage on legacy skills and open a wide array of possibilities to accelerate their modernization journey across various enterprise applications.

Coming to Persistent as a Gen AI Customer Zero for assets. Embodying our commitment to innovation, we are integrating Gen AI through the various facets of our own organization, delivering new internal efficiencies, and enhancing the employee experiences with Gen AI solutions. Let me give you a brief overview of a few of these case studies. PiBOT, which is Persistent Intelligent Bot, is a digital assistant powered by Azure Cognitive Services and Open AI that houses all company related policies, processes, and brings curated guidance to our global employee base based on their geographies they operate from. This platform provides a single window to all enterprise interactions like timesheets, lead management, internal service requests, personalized learning paths, suggestions, skill progression among others. This is geared towards enhancing employee experience while reducing the dependency on shared HR services and the links. Leveraging this, any Persistent employee can seamlessly access any information needed for their day-to-day working and undertake several workflow actions without the need for any human intervention.

Moving on to another example. SMART QMS is our internal quality management platform powered by Gen AI and Azure Cognitive Search, ACS. The SMART QMS enables our developers, project managers, and architects to access engineering frameworks, Persistent proprietary tools, and other processes, and knowledge assets across organizations. This

platform is currently being used by more than 5,000 employees to re-use 1,500-plus assets across the organization. Over time, the SMART QMS will

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not just bring our engineer s better efficiency by leveraging AI systems, but will also help them benchmark their own performance with similar cohorts across Persistent while anonymizing the data. We will continue to take best practices that will learn from these internal projects t o not only become more efficient ourselves and deliver better services to our customers, but to also take these assets into our client Gen AI engagements.

On to management updates. In-line with our growth aspirations, we continue to add muscle and fortify our management with the inclusion of several well -respected industry leaders . We welcome d Rajiv Sodhi as our Senior Vice President for Hyper Scaler Business and Strategic Alliances based out of Seattle and Ayon Banerjee as Chief Strategy and Growth Officer based out of Gurgaon. Rajiv joins us from Microsoft after spending 16-plus years in various leadership roles across the US and India. Rajiv will be responsible for managing our 360 -Degree relationship with Microsoft, Google, and AWS, as well as overseei ng the strategic industry and technology analysis for us globally. Ayon joins us from ANSR, where he was a President, prior to which he was Managing Director and Partner at Boston Consulting Group, BCG leading their transformation practice within India. With more than 30 years of experience across consulting and operational rules, large enterprises, Ayon will drive Persistent strategy as we charter our journey towards our \$2 billio

n goal and beyond.

On t o strategic investments. At this point in time, al l our earlier acquisitions are fully integrated and deal wins are also fr uctifying t hrough the combined capabilities of Persistent and our acquired entities. We are once again active on the M&A front. I will report progress on this front over the next several quarters.

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Coming on to the administrative side. On the administrative side, we inaugurated a 250 -seater office in Kolkata, West Bengal in our continued efforts to reach out to locations where our employees are based. We are also in the process of opening new offices in Chennai and Cochin and also expanding our facilities in places like Noida and Hyderabad. Our endeavor is to provide world class facilities to our employees in locations close to them and encourage the m to work from office at least two to three days every week.

Let me now move to a unique achievement by Persistent , which all of us are very proud of and are excited to share. As Persistent crossed the billion -dollar annual revenue milestone in FY23, we d ecided to send a token of appreciation to our global employees for their contribution to our continued success. Among the choices given to our employees were an electronic audio device, travel accessories, bicycles, and a few other alternatives. To our p leasant surprise, 9,000 -plus of our employees opted for a bicycle, which prompted us to also initiate a Guinness World Record attempt and further encourage the fitness journeys of our employees. We are very proud to state, we have received 3 Guinness World Records that include #1 - creation of the company logo with 704 number of bicycles which is the best in class, world class . #2, we have showed our cycling awareness tutorial live by 7,348 Persistent employees and their family members con currently. #3, an online video album of people riding bicycles with 5,098 individuals contributing to it. These achievements , though small, they clearly commemorate not just the billion -dollar annual revenue milestone for us, but also reiterate our and ou r employee's commitment towards the environment and employee well -being.

In summary, we are pleased with our performance in Q2 FY24 in a challenging business environment. I'd like to now invite Sunil, our CFO to

give a detailed color on the quarterly financials and related matters.
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Saurabh will come after Sunil's comments to give you some color on the deal wins, the client awards, analysts awards, and other recognitions.
Sunil, over to you.

Sunil Sapre: Thank you, Sandeep and good evening, good day to all. Thank you for taking the time to join us today. Sandeep has walked us through the business outlook and a lot of details including market perspective. Let me now walk you through the financial details of the quarter. The revenue for the quarter at \$291.71 million implies a QoQ growth of 3.1% and 14.1% YoY. In rupee terms, the revenue was ₹24,116.7 million, reflecting growth of 3.9% quarter-on-quarter at 17.7% YoY. We closed H1 with total revenue of \$574.61 million with growth of 15.6% YoY and in rupee terms it translates to ₹47,328.5 million, with growth of 20.5% YoY.

Coming to sequential growth for the quarter in terms of segments, Healthcare, and Life Sciences grew by 7% quarter-on-quarter, Hi-Tech and Emerging Verticals grew by 3.8% quarter-on-quarter, while BFSI remained flat for the quarter. This quarter, we focused on improving utilization, Sandeep mentioned the improvement was significant from 78.3% to 80.6%. Attrition declined to 13.5% from 15.5% in the previous quarter. As you are aware, we have our regular pay hike cycle in Q2 every year that's effective 1st July and we have given pay hike to all our employees, which is about 7% to offshore employees and about 3% to 4% for onsite employees.

The total impact of pay hike was about 2.7% on the margin, which was partially offset by improved utilization, currency benefit, and the absence of visa costs. We have continued our investments in sales and marketing. There were certain marketing events this quarter such as Reinforce AWS Summit, which led to some one-off expenses in this quarter. Additionally, certain expenses were incurred on exited employees, both these one-off expense items were offset by a corresponding one-off credit on account of reduction in liability towards Persistent Systems Limited

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performance-based earnouts in one of our acquisitions. With this, the EBITDA came in at 16.8% as against 18.2% in the previous quarter. Depreciation and amortization was within range at 3.1% as against 3.2% in the previous quarter. The EBIT came in at 13.7% as against 14.9% in the previous quarter and for H1, the EBIT stands at 14.3%, vis-à-vis 14.5% in last year's H1 and in absolute terms the EBIT grew by 19.4% YoY.

Treasury income for the quarter was ₹166.28 million as against ₹154.58 million, mainly on account of improved cash flow and higher interest rates. As you know, we paid final dividend of ₹22 per share during the quarter amounting to ₹1,703 million. This was paid in July 2023. Forex gain amounted to ₹83.7 million as against Forex loss of ₹64.1 million in the previous quarter. Profit before tax for the quarter was ₹3,557.6 million at 14.8% as against 13.2% in the previous quarter and this is essentially because of one-time expense we had in the previous quarter towards \$1 billion celebration expense. ETR for the quarter was at 26% as against 25.5% in the previous quarter. PAT for the quarter was ₹2,632.7 million at 10.9%. For H1, the PAT came in at 4,920.4 million at 10.4%. Excluding one-time expense in Q1 on \$1 billion milestone celebration, the PAT for H1 was 11.2% vis-à-vis 11% in H1 of last year.

EPS for the quarter was ₹35 as against ₹30.5 in the previous quarter. ROCE for the quarter was 30.2% as against 30.4% in the previous quarter. The operational capex for the quarter was ₹355.63 million. We continue to invest in facilities as more employees are coming back as well as we also invested in IT systems for the company. Cash conversion for the quarter was strong at 119% of EBITDA and for H1, OCF to EBITDA stands at 0.55 vis-à-vis 0.54 in H1 of the last year. We are working towards OCF to EBITDA 0.7 for the whole year. Total cash and investments were ₹15,683 million

as at 30th September as compared to ₹14,093 million at the end of June. DSO came in at 66 days, one day reduction as against 67 days in the Persistent Systems Limited

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previous quarter. Forward contracts outstanding at the end of the quarter were \$240 million at an average rate of 83.92 per dollar. Thank you all. I wish you a happy festive Navratri and I now hand over to Saurabh, who will take you through the key deal wins and awards and recognitions for the quarter.

Saurabh Dwivedi: Thank you, Sunil. Let me begin with Software, Hi-Tech and Emerging Industries, our largest vertical. Persistent was selected by one of the largest communications technology conglomerates to undertake product engineering and customer support for a cloud-based security platform that limits access to all applications based on endpoint device as well as user risk profile. Persistent has been rewarded with engineering work on this core platform based on its excellent performance and other tracks. Persistent was selected by a leading media technology company as a strategic product engineering partner for its auto management platform, which is used by clients of this media company for outcome-based advertising. Persistent is also an exclusive partner for the data strategy and migration of customers applications through Google Cloud. Persistent was selected by a leading prov

ider of engineering, data, and technology solutions company to establish a Greenfield IT setup and provide managed services over a five-year period. This entity is a newly formed organization as part of a carve out done by a leading private equity firm from a leading global provider of business and Financial Information Services company. This deal also involves Persistent leveraging its Intelligent IT Operations framework alongside components from hyperscalers and leading technology vendors.

Coming to Banking, Financial Services, and Insurance. Persistent was selected by a US-based multinational financial services and wealth management company to provide platform engineering and support services for its data stack, including big data, business intelligence Persistent Systems Limited

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reporting, and data governance. Persistent was selected by a leading US-based insurance underwriter to build its Insure-tech platform and be a strategic partner across technology initiatives such as data analytics, application development and support, business intelligence, and DevOps. Persistent was selected by a leading US-based financial software company to modernize and manage its identity management platform, which will be used as a horizontal platform across all software products of the company to manage authentication, authorization, lifecycle of users, and their personal and contact information.

Finally, within our Healthcare and Life Sciences vertical, Persistent was selected by a leading Fortune 500 company in the healthcare domain to undertake modernization of its data road map across consumer applications in domains such as clinical solutions, medical networks, enterprise and pharmacy, customer support, claims and payment integrity, and revenue cycle management. Persistent was selected by a leading company in the precision oncology domain to build laboratory information management system as well as provide other product engineering services to enhance its existing cancer detection platform. Persistent was selected for its demonstrated experience in genomics, laboratory information systems, and deep capabilities in data analytics domain. Persistent was selected by a leading player in the radiology imaging services domain to build a cloud-based picture archiving and communications platform including a call center management system to transform patient engagement. Persistent was selected on account of its intelligent digital engineering platform for code evaluation extensor as well as rich pedigree in product engineering, data, cloud, and compliance

related expertise.

Moving on to the awards and recognitions for the quarter. Q2 saw us get continued recognition from industry leading analyst firms and Persistent Systems Limited

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associations. To mention a few, Persistent won The Golden Peacock Award for Excellence in Corporate Governance for the year 2023. Persistent was named as a Challenger in the 2023 Gartner Magic Quadrant for Public Cloud IT Transformation Services ahead of a number of larger peers. During the quarter, Persistent also achieved Premier Tier services partner status in the AWS Partner Network. In the low code and automation domain, Persistent was recognized as a Top partner of the year 2022 by Outsystems and also honored by UiPath with a 2023 America's Partner Award in the Innovation category. Persistent also won two awards from Constellation, including 1st - Listing on the 2023 Constellation Shortlist for Public Cloud transformation services and 2nd - Listing on the 2023 Constellation Shortlist for AI Services. Persistent was recognized in the Everest Group's 2023 Engineering Services Peak Matrix Provider of the Year Awards. Finally, Persistent was listed as a Breakthrough 15 provider in the 2Q 2023 ISG Global Index for the second consecutive quarter. This completes the section on key events and

awards and recognitions for this quarter. Thank you and back to you, Sandeep.

Sandeep Kalra: Thanks, Saurabh. In summary, we have continued to deliver top quartile revenue growth and robust deal wins in Q2 despite a difficult macro environment. We're proactively staying closer to our clients, getting them in prioritizing their technology spend towards cost optimization and transformation. I'd like to thank each one of our team members globally who have persevered through the uncertain macro conditions and delivered yet another good quarter for us. Our decision to continue with our normal wage increase cycle and pay out more than 100% in our corporate performance bonus across board in this environment is a testament to our gratitude to our employees for this effort. With this, I would like to conclude the prepared comments and would like to request the operator to open the floor for questions. Operator.
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Operator: Thank you, Sir. We will now open the call for Q&A session. We will wait for a few minutes until the queue assembles. We request participants to restrict to two questions and then return to the queue for more questions. Please raise your hand from the 'Participant' tab on the screen to ask questions. The first question is from Sandeep Shah.

Sandeep Shah: Yeah. Can you hear me?

Operator: Yeah, Sandeep, go ahead please.

Sandeep Shah: Yeah, yeah. Congratulations on a good quarter and very strong bookings and good execution. Just wanted to understand on the BFSI, I, I do agree the flattish growth is on a base of a good quarters earlier, but anything to read in terms of any further caution by any of your large clients or other clients within the BFSI and Sandeep, the recent conversation with any of your clients indicates any amount of green shoots because kind of order book you have reported, it looks like we did closures especially outside the larger deals are happening better in Q2 versus what it used to be earlier.

Sandeep Kalra: I would like to take the things in the reverse order. So, if you look at our deal wins for the Q1, that was a tad bit lower than the earlier quarters and we very clearly said some of the deal wins had moved or shifted over to the next quarter. And they have come in along with a very healthy Q2 as well. That is what contributed to the order wins. And some of these deals are longer-term deals, and that is what is the healthy part of it – the TCV to ACV ratio has improved significantly. That is as far as the deal wins for Q2 are concerned.

Now, in terms of green shoots, our pipeline is healthy. This again, in October, November, December quarter is typically a smaller quarter,

because come December 15th, things will start shutting down in our primary market, which is well-known. And so, we'll let the quarter pan out. Persistent Systems Limited

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The pipeline is pretty healthy. And this pipeline, I can say with pride, is because of the proactive efforts of the Persistent team, not because of reactive RFP responses and so on. So, we'll let the quarter pan out. The demand that we've generated for ourselves is reasonable.

Sandeep Shah: Okay. And just few things, we were earlier indicating 2 to 4% QoQ growth, it looks like despite macro issues, do you stand by that number even for the 2nd half? And, you were earlier indicating a flattish EBITDA margin for the full year of FY24. How do you see that statement in the post Q2 result?

Sandeep Kalra: Sure. So, the guidance part is a very interesting thing. We always said that we don't give forward-looking guidance, and then we were boxed into 3 to 5, 4 to 6, whatever it is. Now, from our perspective, we give among the richest data points in the industry. If you look at our data points, we are announcing the TCV wins, ACV wins, TCV new. So, you can pretty much see what is o

ur annual, ACV new you can see what the annual is. So, if you do the mathematics, I don't think you should be asking us for any guidance. You can pretty much make the guidance based on that. And, if you were to analyze the headcount trends as well, you can fairly figure out, and at a utilization of 80.6%, we have enough dry powder in our kitty to be able to execute to the order books alone. So, from here on, I would restrain ourselves from getting to the trap of giving any kind of guidance. We never used to, and then we got into this whole thing by media and others. And a number of you, yourselves, have guided us not to give any kind of guidance. So, we will refrain from giving guidance. All we'll say is, this is the 14th sequential quarter of strong growth. And if you look at our order wins, they are pretty good and they should give you a good analysis, if you were to analyze the ACV versus our revenue outflow. And I'll pause there. As far as EBITDA, EBIT is concerned, look, our first order of business is to make sure that we come in at the same levels as the last year. Obviously, Persistent Systems Limited

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quarter to quarter there are puts and takes, there are quarters where we give wage hikes, and when we give wage hikes, the margin comes down. Then we again work through operational efficiencies and revenue growth to bring it back. And, that is the historic track record, we have been able to do that. And we are reasonably confident we should be in that direction. Balance, we'll let the performance pan out whether it is our revenue, whether it is our profitability, and you should look at our historic, last 14 quarters -plus.

Sandeep Shah: Okay. Just last thing. On furloughs, do you expect higher than normal furloughs, because some of your peers have called out that.

Sandeep Kalra: Yeah, we are expecting furloughs to be in line with every other year. Every other year, there are a few companies, especially the larger ones on the banking side, there are a few others in BFSI side, and then there are a few on the tech segment which are known for these furlough trends. That is the trend that we are seeing this year. Even if it is a little bit here or there, that should not necessarily be beyond the seasonality or whatever it is. But we will again let the quarter pan out.

Sandeep Shah: Okay. Thanks and all the best.

Sandeep Kalra: Thank you.

Moderator: Thank you. The next question is from Vibhor Singhal.

Vibhor Singhal: Yeah hi. Thanks for taking my question, and congrats on the great set of numbers. I hope I am audible? Sandeep, great performance again. I just wanted to get some points from you on the Hi-tech vertical. I think the Hi-tech vertical overall, I mean, our competitors, I know our business is different from our competitors, but it has not been doing that great, maybe apart from one who has seen green shoots in the last two quarters. How are we seeing the Hi-tech vertical? Of course, it has been growing very

steadily. How are we seeing the Hi-tech vertical play out, let's say, in the next 2-3 quarters? And also, many of the hyper scalers and the Hi-tech companies, do you believe the layoffs at their end, we could be coming to an end for that, and they themselves could be more confident of their overall business environment so as to be able to give us more business?

Sandeep Kalra: Yeah, so there are multiple things there. As far as the Hi-tech vertical is concerned, a number of our competitors are predominantly players in the IT segment. We have the biggest strength, in our industry, I would tend to believe we are among the strongest in engineering in the Hi-tech segment, which is the heart of that engine. And we have developed good capabilities on the IT side as well. So our growth, if you look at it, is a combination of furthering our inroads on the engineering side in our

customers, as well as winning a number of deals, especially in the Hi-tech segment, in terms of carveouts, where we are becoming specialists in doing a standup of new carveouts, by large to mid-sized Private Equity, from larger firms. So, a combination of our progress, and including the new tooling that we are doing on GenAI, we are much ahead of our competition in this segment. So I would tend to believe, Hi-tech will continue to be a good growth engine for Persistent for times to come compared to the competition.

Now, in terms of the hyper scaler side of it, look, I can't tell who is going to do what layoffs and when they're going to stop. All we can say is, the market overall, the hyper scalers are also trying to bring their own set of growth engines, whether it is their GenAI forays. And GenAI, look, why people look at GenAI and think of open AI or Bedrock or Titan? These are pinnacle activities, these are the tip of the spear. But, they drive a lot of pull through in getting an enterprise ready from a data perspective. That also provides a lot of pull through from a cloud perspective. So overall, these hyper scalers, they are on that journey, and I'm pretty sure that has

spun off a good amount of work for people like us who are riding that wave with them and are ahead of the rest. So, there is good amount of work that can come over the next several quarters and years on that.

Vibhor Singhal: Got it. Thanks a lot for that detailed explanation. Just my second question on the top client. I think this quarter, the top client again grew. But I think the contribution that we saw from the top client towards our overall growth was, to our good surprise, much lower than the high concentration that we had in the last two quarters. And prior to that, of course, we had been talking about gradually the top client trending down. So, is this quarter's performance in line with the roadmap that we have planned for the top client in terms of how they will grow? And where will they end up being as part of our overall business?

Sandeep Kalra: We are very pleased with the way our relationship with the top client has panned out over the last many years, and even in the last several quarters, we went through a small hiccup and we are back on it. But look, the top client is the top client but the virtue of the amount of business that we do with him. So at that clip, obviously the growth rates can be different. It is like a portfolio of stocks that any of our buy side guys manage, not everything will grow at the same clip. So, we are very happy having them where they are, and the way they have grown. And the company, at times, may grow much faster than the top client may grow. But, at this point in time, we're very happy with the way the relationship has panned out, and it has contributed very well to our company.

Moderator: Thank you Vibhor. The next question is from Mohit Jain.

Mohit Jain: Hi sir. I have two questions. One is a follow up of the previous one. So, what is our outlook in top client, given that we have some fluctuations in the 3rd quarter? So should we expect, now that we are on a steady path,

or do we expect that fluctuation in the coming quarters, specifically from the top clients perspectives?

And, second is related to margins. So there's this sharp jump increase in S&M expenses over the last few quarters, and therefore, our margin expansion, possibly is not happening in FY24 versus FY23. So, what is your view from here on? Should we assume steady reversions to industry margins, or do you think for a few years, you can invest little more in S&M, and therefore, we may resume margin expansion after a gap of few quarters?

Sandeep Kalra: Let me start with the margin part and Sunil can give more commentary later. So,

see, as far as we are concerned, we've always said, we want to be having a steady revenue growth. That comes first. Margin expansion, you can always try and cut costs here and there and improve your margins. That is not where we are playing. We are seeing good demand for our services, we have added to our capabilities. Look at the recognitions we are getting from the Gartner's of this world for our cloud services. Look at the kind of management bandwidth we are expanding by bringing the best -in-class talent to aid us continue our growth journey. We have, over the last 14 quarters, whether it was COVID times, post COVID times, weak macro or whatever it is, we have been in the journey of delivering industry leading growth. That is our first forte, margin expansion can come later. Having said that, we are still committed, in the next 2 -3 years, will expand our EBITDA margins by 2 -3%, and that should flow down .

Now, as far as your other question about our client is concerned, there used to be a seasonality in certain quarter in the top client. Now, we have gone away from our dependence on revenue -sharing engagements in the top client. So, that should partly answer your question. And second, look, I would look at Persistent as a whole. As a portfolio of customers big and Persistent Systems Limited

small, top -10, top -50, top -100 and so on so forth. If we look at the disclosures we give, our growth is pretty good across all segments, whether it is our top -1, top -5, top -10, top -30, top -50 and so on so forth. So, I don't think anybody should worry. It is like, if you are investing in a portfolio, the portfolio is doing very well. Sometimes one customer may do better than the other, that's okay. And not every customer will grow every quarter at the same rate. That was my commentary.

Mohit Jain: Right. So sir, just for my understanding, you are saying Q3 seasonality that we have seen in the past, may not happen given that we have moved to a linear relationship with them?

Sandeep Kalra: That's the right understanding.

Mohit Jain: Perfect. Thank you , sir and all the best.

Moderator: Thank you. The next question is from Dipesh Mehta.

Dipesh Mehta: Thanks for the opportunity. Two questions. First, I just wanted to understand if you can provide some demand trend what we are witnessing in BFSI and Healthcare, which obviously if you can help us get some business outlook also for those two verticals. And, any sub -segment if you see area of strength and area of weakness in those two buckets, that would be helpful.

Second question is about deal wins. We have a good deal win quarter. We have partly benefited from some of the slippage which we have seen in Q1. But, if you can provide some quantification in terms of quality of deal and other things, that would be helpful. Thanks.

Sandeep Kalra: That's a lot of questions in that, but let's try. So, if you look at the segments like Healthcare, so where we are seeing more traction over the last several quarters, is the Payer segment. And in the last quarter, we also saw pretty good conversion in the Scientific Instruments and Medical Devices
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segment. There are four segments that we deal with as Persistent – Payer , Provider, Pharma and Scientific Instruments and Medical Devices.

Now, the peers are the large insurance companies and so on and so forth. So, that's where we have had very good deal wins, and these are against the who's who, tier 1s, Indian origin, US origin and so on so forth. We are actually being seen as a good disruptor with good capabilities, good agility, good solutioning, etc. and that's is what is behind the quality of wins that we are seeing in this set of segments.

Now, in terms of BFSI, again, there are customers that we have in the tier -1 banks, there are tier-2 banks and then there are other regional banks.

Then we have financial services organizations, we have insurance companies, InsureTech and other FinTech. Where we have seen a good amount of traction also, is where people are looking a little fatigued with the tier -1 providers. Wherever there are renewals coming up and they are doing a rebid, we are being brought in as a disruptor. And I'm proud to say that a small team Persistent, a billion -dollar company, is winning against \$10 billion, \$20 billion, \$30 billion companies, and that's where we are gaining market share in newer customers and even in some of our existing customers.

I hope that gives you a colour commentary. I would want to keep confidentiality of our customers. That is where our wins are, and our pipeline again, continues to be good across these segments. Dipesh, hopefully that answers.

Dipesh Mehta: Yeah. And the second question about deal win , if you can give some qualitative comment about this.

Sandeep Kalra: Yes, so I was talking about deal wins as well. So overall, the deal wins if you look at it, the spillover that happened was not necessarily the reason for Persistent Systems Limited

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the TCV being bigger. TCV is bigger because a number of these deals, let's say for example, the Payer segment deal win that I talked about. This is nearly in the range of \$75 -100 million TCV. The deal wins that we talked about in terms of carveouts, these are carveouts where we are setting up greenfield IT. There are multiple of these deal wins we have had, and these are the marquee logos that we have won against the who's who in terms of the potential competition. The competition here was, in one of the cases, multiple tier -1 of our competitors, and these are deal wins where we are setting up the greenfield IT for organizations and then doing managed services for 5 years. And these are sometimes even run by the Garters of this world and so on. So hopefully, that gives you enough colour.

Dipesh Mehta: Great. Thanks.

Moderator: Thank you. The next question is from Rishi Jhunjhunwala.

Rishi Jhunjhunwala: Yeah hi. Can you hear me?

Sandeep Kalra: Yeah Rishi.

Rishi Jhunjhunwala: Great! Thank you for the opportunity. 2 -3 questions. Firstly, over the past 12 months, as you've seen demand slowing down across the industry, I just wanted to understand what has been your experience in terms of the ACV getting converted into revenues? Has that been complete 100% or have we seen delays in that? And the reason we are asking that is, while you rightly mentioned that your disclosures on ACV, TCV are among the best, it would just help us in understanding how the deviation could potentially be if the macro remains the way it is.

Sandeep Kalra: Do you want to ask the others as well?

Rishi Jhunjhunwala: No sir, I'll ask one by one.

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Sandeep Kalra: So Rishi see, you are right. There is a certain amount of delay, that you would have noticed, from even our other peers as well, and everyone has a different dynamic. So, I would not comment on their dynamic. In our case

we are seeing, if the earlier leakage was less than 10%, in terms of the full year conversion, today it is much more. It can be in the range of, in some deals, even 10 -15%, and in rare cases, a little more than that. So, there is definitely more leakage, because there is a delay in terms of what is signed, and what is actually getting delivered because of the customer's own delays and so on. So, the ramp up that you would see, is a little bit more protracted as compared to the earlier years.

Rishi Jhunjhunwala: But, it's only a matter of time and not the quantum getting reduced, right?

Sandeep Kalra: Yeah. So, I want to be respectful of the time on this call, but when you talk of ACV, at least in Persistent, we talk of the revenue conversion for the next 12 months. So, if the ACV is \$100 for

the next 12 months and we are

able to convert, let's say, 85, in our terms 15% is leakage. It can shift in whatever way, but at least that is the way we are looking at it; the way we are announcing it.

Rishi Jhunjhunwala: Understood. The second question is just on capacity or supply. I mean, our hiring has clearly slowed down, we are focused on improving utilization.

So, what level of utilization do you think, from which we will start hiring back again in line with how our revenues are growing?

Sandeep Kalra: Look, we are not going to be throttling hiring just to bring the utilization up. But in terms of an aspiration utilization, our aspirational utilization is in the range of 83 -84%, and we have done that in the past. And for every percentage of utilization, it creates an impact of 30 bps to our PAT. So, that is the equation driving it.

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Rishi Jhunjhunwala: Understood. And just quickly on this capital payout; capital return in terms of dividends and all. Historically, our numbers or payout ratios have been lower, in the bottom half of where the industry has been. But, we saw some increase in FY23. With the kind of cash buildup that we are seeing and the potentially a large part of the acquisition is behind us, is there any intention to increase the payout ratios in this year and going forward?

Sandeep Kalra: So Rishi, look at it this way. We are focused on the total shareholder return.

The total shareholder return can come through capital appreciation and dividend payouts and everything. So, if we grow at the top clip, that provides another way of value for our investors. So, if we are not able to do further acquisitions, over a period of time, we'll revisit this. But for now, our dividend policy remains what it is. We gave a one-time special dividend because of the billion dollars. We are committed to making sure we use the capital prudently towards enabling growth in areas where we need to build capability inorganically; that is where we'll use the excess cash. And if not, as I said earlier, we'll return it.

Rishi Jhunjhunwala: Okay. Thank you. All the best.

Moderator: Thank you. The next question is from Kawaljeet Saluja.

Kawaljeet Saluja: Yeah, hi. Thanks a lot. And, congratulations on a reasonably good quarter.

Couple of questions. First is, what direction gives you comfort on improvement in profitability, let's say over the medium term, given the fact that, say, in FY24 you struggle to expand your margins? And you know, the labour market and this year has been as benign as it can get. And you have also consumed a fair bit of the, so called, perceived lever. So, any direction you want to give to that comfort on profitability improvement, that's the first question.

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Sandeep Kalra: So, directionally if you look at it, this has been a year which is not a normal year. This has been a year where, if we had to close \$100 in bookings, we had to generate maybe \$200 or more in pipeline. In a normal year, for \$100 in bookings, maybe \$150 in pipeline, qualified pipeline, would have been good enough. So, the amount of sales and marketing effort that we have put in is far more. The choice was, don't put that sales and marketing effort, degrow. That was not a choice as far as we were concerned at Persistent. We have worked very hard to bring a discipline to the growth

engine, and that's where we have invested in the right places, whether it is our SG&A, whether it is anything related to our employee hikes. We can easily do the profitability improvement like now our peers have done it, by defraying the employee increases; not paying proper performance bonuses. We paid 107% corporate performance bonuses at the least across the company. We paid 7% increase in India, 3-4% increase globally. Cut any of these, we can improve profitability and that would t

ake away

your question of the challenge of profitability improvement in this year.

We could have, it doesn't take too much to cut costs, it takes a lot to provide growth. So hopefully, Kawaljeet, that gives you the answer. And as we keep growing and as the market stabilizes, maybe the SG&A level will come down. Maybe as the revenue goes up, there are certain amount of costs that get defrayed over much bigger revenue base. There are other levers. Still at utilization we are at 80.6. If we are at 83.6, 3% yields, 1% right there, 90 bps. I just said 30 bps for every 1 bps of utilization. So, we are not done yet, and we are very inefficient as a company. We still have a lot of things to do. So, rest assured, when we say something.

Kawaljeet Saluja: Just indulge me a little bit Sandeep over here. Let's say, you never get a perfect year. Every year there will be some challenge or the other, right?

you never get a perfect year. Yeah, there is a sales and marketing leverage;

I take your point. But in your view, is that enough?

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Sandeep Kalra: I want to be respectful of time, we have 8 minutes on this call, and I'll be happy to have an offline discussion with you. But I can tell you with confidence, if we correct our inefficiencies and if we keep growing the way we are growing, there's enough to be done to improve the profitability.

And, we can and we will try and achieve what we have set out.

Kawaljeet Saluja: Fair enough. The second question is, none of us know what's going to happen on macro. But let's just assume that in a recessionary environment, how do you think, let's say if you're a CIO of a large organization, how would you go about prioritizing your spends? What type of would you prioritize and de-prioritize? But more, how would you prioritize your spends? So what goes through the funnel, what gets canned, assuming it's a recession next year?

Sandeep Kalra: So look, assuming it's a low year next year, obviously, everyone would first try to see which are the most critical projects that you need to do. The good -to-have projects will definitely be delayed or put on the back burner and so on. Second, keep the lights on. How much can you squeeze, how much can you get from there into the buffer of doing the projects that you want to do? And, the vendors that you want to have are the people who can bring the next generation technologies to be able to squeeze out wherever you want to squeeze, and to be able to accelerate where you want to accelerate faster, better, cheaper. Then, some of the vendors that you're fatigued with, and that's where you will possibly have more opportunities for a Persistent of this world to rise and shine as well.

Kawaljeet Saluja: Okay. Fantastic. Thank you so much and all the best.

Sandeep Kalra: Thank you. I can see the skepticism in your voice, but we'll let time pan out.

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Moderator: Thank you. Keeping in mind the timeframe, we'll restrict it to one question at a time. The next question is from Gaurav Rateria.

Gaurav Rateria: Hi, am I audible?

Sandeep Kalra: Yes Gaurav.

Gaurav Rateria: My question is regarding the Generative AI. You kind of provided three use cases. I just want to understand, how do these engagements really play out in terms of becoming larger project sizes, because these are pretty small projects that you talked about?

Secondly, a related question is that, some of the platforms that you talked about internally using, what can we do to our own software development

efforts to kind of really drive productivity there? And, would it not be, sort of, cannibalizing our own revenues? How do you foresee that playing out? Thank you.

Sandeep Kalra: So, there's a bunch of good questions there. So, let me start with the projects versus bigger engagements. Now, if you were to look at it, the way we are

looking at GenAI is this. Right now, we are engaging our customers in as many discussions as we can, because that's also a learning ground for us in different use cases, in different industries. And not just us, even our customers are experimenting with this. While we are doing that, we are also experimenting in-house with building tools. We're building things which are rinse and repeat, at scale. These maybe things like, for example, doing a Teradata to a Snowflake migration or taking something from our Tableau to another one, or taking consolidated reporting tools to Power BI and so on, using GenAI, which will be not necessarily people-based projects, but these are, because we are building IP, because we are using some of these models to speed up things. There is a secret sauce that we
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are building as Persistent secret sauce using GenAI. We'll be able to monetize it at scale, make it rinse and repeat.

The other part would be where there are customer-specific, segment-specific things that we will create IP on. And, there are the custom projects that we will do. So, all of this is going to flow through. But, there's a good think tank of 100-150 engineers in Persistent which are working on Persistent's specific secret sauce, that will enable us to differentiate in GenAI, and not become commoditized even in GenAI.

Now, on the software developer productivity. Look, we have tie-ups with AWS big time, where we are working with their engineering team on even evaluating things before they are released to the market. We are embracing those technologies in our landscape, taking it to our customer. Same for Microsoft's Co-pilot; we are working with them as well. And, it's not just about these tools. It is about modern application development, modern product development, and the entire toolchain. So, these are just a few, and then there's a full pipeline-related tool chain that we are experimenting. And, if we can provide productivity benefits to our customers, we'll absolutely do that, because if we do that, we'll again be seen as disruptors. If Persistent today has 23,000 employees, I'm pretty sure our biggest US-based competitors, India-based competitors are 20-30 times our size. If we can disrupt ourselves, the market for us is huge. So, we are not worried about disrupting ourselves, we are worried about providing the right value to our customers and bringing them the latest and greatest. If we do that, I'm pretty sure, for a small company that we are, we'll keep growing and we'll healthily out beat our nearest to the farthest competition. Hopefully that gives you enough.

Gaurav Rateria: Thank you for the detailed answer. That's it.

Moderator: Thank you. The next question is from Abhishek.

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Abhishek: Hi Sandeep. I just want to probe a little bit more on BFS and Hi-tech. Our advantage in our Hi-tech offerings is key player. But for BFS too, it is a vertical which is currently extremely shy of spending on technology. I mean, in this light, what is our right to win versus a bigger player with, let's say, a better offering in terms of cost optimisation, if at all? Any clarity on that would be helpful.

Sandeep Kalra: So Abhishek, inbuilt in that question is an assumption that a bigger player, by the size of being bigger, can provide a better service to a customer. This market is huge, and there's a lot of fatigue with the bigger peers of ours with many of our customers and prospects.

The refreshing change for them is, when we are able to bring automation, when we are able to bring the latest tools, the approach that we bring to them, is refreshing, and it is not just bring in more people to solve the

problem. So, there are enough avenues. And, a number of our deal wins are where we are replacing the so-called bigger peers or competitors of ours.

I don't think the size matters beyond a point in time. At today at a billion dollars, we are at a critical mass where we are clearly large enough to scale, but at the same time, the kind of management attention, the technology solutions that we are bringing, are good enough for people to give us the bids that we need. And, we are increasingly in competitive landscape with the bigger vendors. So, I'll keep it short, we're out of time at the call, but I'd happy to have an offline discussion with you.

Abhishek: Thanks Sandeep.

Moderator: Thank you. The last question will be from Bhavik.

Bhavik: So just one question. You talked about the delays in deal conversions in terms of revenues. But, is there also a delay in conversion of the deals
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itself, in terms of decision making by clients which could have pushed out these too for the quarters as well?

Sandeep Kalra: Yeah. So that is exactly what happened, and even in your note you have mentioned that. So if you look at it, that is exactly what is happening. When I said, in response to Kawaljeet also, if we needed \$100 conversion, earlier we need \$150 -160 in pipeline, today we need \$200. That's because the deals are taking more time. Sometimes, they are getting delayed even at the last minute. So yes, in short, that is happening. But that's where we have to double down more and keep our heads straight and work.

Moderator, I think we should...

Moderator: Okay. Thank you. Thank you everyone.

Sandeep Kalra: Just a last one from my side, and then you can close the call. So, from our perspective, look, the quarter gone by was a fairly strong quarter. We are optimistic about our prospects even in this uncertain environment. As we've got an uncertain environment, we are staying close to our customers, we aspire to maintain industry-leading revenue growth, and with Navratri and Diwali around the corner, we would like to wish everyone on this call and your families, a safe and happy festival season. We look forward to connecting with you again in 3 months' time. Thank you.

Moderator: Thank you very much to the Persistent management. Ladies and gentlemen, on behalf of Persistent Systems Limited, that concludes today's conference. Thank you for joining us. You may now disconnect your lines and exit the webinar.

Call: Jan 2024

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"PERSISTENT SYSTEMS EARNINGS CONFERENCE CALL,
THIRD QUARTER, FY24 ENDED DEC 31, 2023"
January 22, 2024

MANAGEMENT :

Mr. Sandeep Kalra
Executive Director and Chief Executive Officer

Mr. Sunil Sapre
Executive Director and Chief Financial Officer

Mr. Saurabh Dwivedi
Head, Investor Relations

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Moderator: Ladies and gentlemen, good day and welcome to the Persistent Systems Earnings Conference Call for the Third quarter of FY24 ended December 31, 2023. We have with us today on the call Mr. Sandeep Kalra - Executive Director and Chief Executive Officer, Mr. Sunil Sapre - Executive Director and Chief Financial Officer and Mr. Saurabh Dwivedi - Head of Investor Relations. Please note, all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after the management's opening remarks. Should you need any assistance during the conference call, please raise hand from the 'Participant' tab on the screen. While asking questions, request you to please identify yourself and your company and please note this conference is being recorded. I now hand the conference over to Mr. Sandeep Kalra. Thank you and over to you, Sir.

Sandeep Kalra: Thank you, Moderator. Good Morning and Good Evening to all of you depending on where you're joining from. I would like to start by wishing everyone a very Happy New Year 2024 and I hope the New Year has started well for all of you. We sincerely appreciate you taking time with us despite today being a holiday for most of you. Before discussing our financials, I would like to highlight two significant recognitions we received during this quarter. First, we were named the most promising company of the year at CNBC TV18's India Business Leadership Award. Second, Persistent was included in three major Capital Market indices - the MSCI India Index, S &P BSE 100 and S&P BSE Sensex Next 50 Indices. These recognitions are a testament to Persistent's strong fundamentals, growth potential and competitive edge in the global technology services market as well as an unwavering commitment to creating sustainable value for all stakeholders while maintaining high corporate governance standards. With this, let me now start the update on our quarterly financials. I'm proud to share with you that we crossed the US \$ 300 million mark in Persistent Systems Limited

revenues in Q 3, clocking US\$ 300.55 million representing a growth of 3% sequential quarter -on-quarter and 13.7% on year -on-year basis. In Rupee terms, the growth for the quarter came in at 3.6% quarter -on-quarter and 15.2% on year -on-year basis . On a constant currency basis , this translates into a growth of 3.1% sequentially.

Coming to EBIT, our EBIT margin for Q 3 came in at 14.5%. The EBIT margin expanded 80 basis points quarter -on-quarter despite the impact of furloughs , aided by higher utilization , cost optimization measures undertaken in Q 2 and lower travel cost. Sunil will provide more color on the EBIT margin movement later in this call. We remain committed to our goal of improving EBIT margins by 200-300 basis points over the next 2 -3 years.

Now coming to the order book for the quarter, the Total Contract Value for the quarter came in at US\$ 521.4 million with TC V of new bookings being US\$ 277.4 million. We crossed the US\$ 500 million TCV mark for the first time , reflecting a healthy pipeline conversion. The Annual Contract Value component of this TC V is US\$ 392.1 million , of which the ACV from new bookings contributed to US\$ 182.9 million. As most of you may be aware, 79% of our business comes from North America and we typically see higher quantum of renewals in the December quarter , leading to substantial increase in renewal

annual ACV and TCV numbers in this quarter. This corresponds to the end of financial year for most of our customers in North America. While the demand environment remains fluid , our focus on account mining and large deals were key factors that aided our healthy order bookings in Q3. Please note , as always , these TCV and ACV numbers include all bookings, small and large , renewals as well as new bookings across existing and new customers.

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Now coming to the client engagement sizes, let me give you some color on our performance across client engagement sizes. We witnessed healthy growth among client buckets with our Top-5 customer revenue up 2.1% sequential quarter -on-quarter , Top-10 up 2.4% sequential quarter -on-quarter , Top-20 up 4.7% Q oQ and Top-50 up 3.4% sequential quarter -on-quarter. Our Top-50 customers, a portfolio of our market relationships , delivered a secular growth of 3.4% in Q 3, which is better than the overall revenue growth of the company in the quarter , and reflects our continued momentum.

The progression of our customers across engagement size categories continues , with a total of 176 customers in the greater than US\$ 1 million bucket in Q3. I am happy to report the entry of new customers in the US\$ 1-5 million and US\$ 20-30 million buckets , which have the potential to scale up further in the upcoming quarters.

In terms of the geographical breakup of our revenues , from a geography perspective North America revenue grew by a healthy 3.6% quarter -on-quarter in USD terms, ahead of the company average , while India revenue grew by 6.8% quarter -on-quarter. Europe revenue and the Rest of the World revenue declined 2.8% and 15.1% quarter -on-quarter , respectively , although on a much lower revenue base .

Coming to the people front , at the end of Q3 our total head count stood at 23,336 , an increase of 494 from Q 2. 75% of this head count increase is attributable to increase in lateral head count , while majority of the remainder is owing to the fresher hiring. We've added a total of roughly 400 freshers in Q 2 and Q 3 of this year. The blended utilization for the quarter came in higher at 81.5% as against 80.6% in Q 2, as we continue to focus on increasing utilization of our existing employee base , while adding lateral hires to augment for critical assessments. Trailing 12 -month

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attrition for the quarter came in at 11.9% compared to 13.5% in Q 2. As you will notice , our attrition has come down to a comfortable band over the past few quarters. Nonetheless, this decline should be seen in the context of general moderation in hiring across the sector, slow down in sector growth over the past several quarters as also from the positive outcomes from our employee value -related interventions.

Now moving from operational metrics to certain strategic highlights from the quarter. A lot of you are interested in the progress that we have made on Gen AI, but before I get to that , let me give you an update on how we have been playing in the overall AI realm over the years. As you would remember, Gen AI is just one form of advanced AI and the market for AI and Persistent's capabilities in AI span across a longer duration of time and are much more expansive than just Gen AI. Since its inception three decades ago, Persistent has been a frontrunner in solving complex data challenges , while navigating the evolving landscape of AI. Our journey with AI started in 1990s with our partnership with the then technology leaders on engineering database products and their implementations. Our early partnership with IBM Research Labs and SPSS , a company later acquired by IBM , enabled us to work with the world's leading enterprises in solving the critical business challenges using the latest data and AI techniques. Our AI capabilities

came to the full fruition in early 2000s with us setting up Analytic Centers of Excellence for our marquee customers and taking on end-to-end responsibility across data integration, data profiling , data processing, model preparation and model maintenance and calibration . As AI technologies kept unlocking newer possibilities , we continuously engaged in niche projects such as early detection of lung cancer and chronic kidney diseases, automation of sanctions screening , processing trade finance , autonomous enterprise insights to just name a few. This paved the way for our deepening relationships with leading hyperscalers

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such as Microsoft , AWS, Google as well as data technology providers such as Snowflake and Databricks . among others. In each evolutionary stage of AI, from descriptive to predictive and now Generative AI , Persistent has gathered a treasure trove of insights and experiences and customer relationships while working with the technology leaders. Today, our Data and AI business is pretty robust and is powered by over 3,000 data engineers and experts working across a range of mission -critical customer engagements .

With this background , let me also give you an update on the latest in GenAI at Persistent . For the last 12 months -plus, our team of AI practitioners, researchers and senior leaders have been strategically adapting and actively participating in the rapidly evolving GenAI space , while being guided by industry thought from the domain. While our current engagements in GenAI are modest from a revenue perspective , there is a clear indication from our customers that this trend is on the cusp of a significant shift. I am excited to share that we are already witnessing the green shoots of large -scale opportunities at the convergence of AI , Data, Cloud Computing and Automation.

Let me now share some examples of recent engagements on GenAI. In the BFSI sector , we are collaborating with a Fortune 500 Financial Services company facing challenges due to a complex collection of thousands of analytics reports developed over the years , leveraging a multitude of technology stacks. This complexity was a significant barrier to efficient data analysis and decision making, not to mention the cost sprawl that happened due to the use of multiple technology stacks. Our team undertook a comprehensive migration project . utilizing our proprietary GenAI-powered report migration tools. This innovative approach enabled us to transition these reports to a unified modern technology stack 30% faster and with significantly higher accuracy than traditional , manual

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migration methods. It not only streamlined operations , but also allowed us to identify and rationalize unused reports , reducing costs associated with legacy technology stacks. As a result, our client can now access and derive insights more efficiently and cost effective ly.

Similarly, in the Healthcare space, we are engaging with a global healthcare company that needs to revamp its data management and AI initiatives to become more agile and inno vative . We are building a strategy along with the client that includes launching an internal market place for their users to cons ume and share information, establishing an AI Center of Excellence to explore new business use cases and automating data consumption and product development through expanded data fabric , while propagating safe and ethical AI usage. These initiatives aim to unlock the full potential of data and AI and drive innovation and achieve strategic growth objectives across the organization.

In keeping with our innovative spirit, we recently launched an innovative GenAI-powered Open Source Maintenance Service , a pioneering solution in our industry. The service targets both enterprise software as well as enterprise IT orga

nizations and utilizes advanced GenAI technologies to ensure that an organization's open source software remains current , incorporating all necessary patches , bug fixes and the latest software releases. Each of these engagements and offerings have the potential to be multi -million , multi -year deals replicable across organizations. We strongly believe that AI will be a driving force , driving significant productivity in engineering transformation and enterprise modernization and this will also spawn off much more downstream work through the need for improved data quality.

Now, coming to the Analysts Recogni tions related to GenAI. I am pleased to share with you that Persistent has been recognized as GenAI market Persistent Systems Limited

leader in the H fS Horizons : Generative Enterprise Services , 2023 report . This accolade is a testament to our rich heritage and digital engineering and data proficiency along with the early adoption and leadership in the domain of GenAI. It is a recognition of the clarity and boldness of our vision and a strong endorsement from our customers and hypersc aler partners. We were recognized by the Everest Group in their PEAK Matrix assessment as a Leader for Talent Readiness in the Next Generation IT Services , reflecting our team's preparedness for next -gen technology challenges and our comprehensive learning and development initiatives focused on cutting edge skills including GenAI, cybersecurity and overall data domain. We were also named a Leader in Everest Group 's Data and Analytics Services for Mid-market Enterprises PEAK Matrix Assessment , 2023 , acknowledging our substantial investment in next -generation technologies including dedicated AI Labs and our strong partnerships that enhance cloud capabilities and our commitment to delivering business goals.

Now coming to the updates on our hyperscale r partnerships . Keeping up the moment um on our hyperscale r partnerships , we announced a strategic collaborative agreement with AWS earlier this quarter to accelerate GenAI adoption . Through this alliance, Persistent gains an early access to AWS GenAI resources to build proof of concepts to help clients achieve tangible business goals. Adam Selipsky, the CEO of AWS , spotlighted our achievements in his keynote at the Annual AWS Re invent Conference , underscoring the strength of our partnership and our dedication to enhancing developer productivity.

Coming to our other investments in GenAI - to accelerate our co - innovation with our customers and partners , we marked a new milestone this quarter with the launch of state-of-art GenAI Studios across US, UK and India. These innovation hubs serve as a playground for Persistent , our Persistent Systems Limited

customers and our partners to lead at the forefront of AI technology and creativity, while shaping the future of industries together.

Last but not the least, I'm excited to announce the appointment of Praveen Bhadada, one of our distinguished leaders and my current Chief of Staff, to spearhead our GenAI business portfolio companywide effective immediately. In his new role, Praveen will unify our overall AI initiatives including GenAI across the organization under one umbrella, giving us the power to synergize across industries and will focus on propelling our growth trajectory in the same. With this strategic pivot towards AI-powered Digital Engineering and Enterprise Modernization, our endeavor is to be at the forefront of AI revolution and deliver unprecedented value to our customers across the industries that we service, and also have a leapfrogging of our capabilities and service offerings powered by AI across our service lines. We will continue to highlight the progress on this topic in the subsequent quarters.

Now coming to the management updates. In-line with our growth aspirations, we continue to

add muscle and fortify our management team.

We welcomed Dhanashree Bhat as our Chief Operating Officer. With her over 28 years of experience, Dhanashree will further strengthen Persistent's operations to ensure client success. She will be responsible for Talent Supply Chain, Delivery, Excellence, Learning and Development, Enterprise Risk Management, IT and Facilities among other. Prior to joining Persistent, Dhanashree was the Chief Delivery Officer of Communication, Media and Telecom vertical at Tech Mahindra.

We also welcomed Barath Narayan as our Head for Global BFSI Business as well as the Europe geography. Barath comes with over 24 years of experience and brings to us deep experience in managing large P&L units, shaping and winning large deals, managing consulting businesses and Persistent Systems Limited

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delivering complex programs that drive growth and profit. Prior to joining Persistent, Barath was heading the Digital and Cloud Business globally for Wipro.

Coming to the ESG and administrative updates - as we continue our journey on our commitment to be among the best-in-class for our ESG endeavors, I am glad to report that our Corporate Sustainability Assessment S&P Global score has moved from 47 to 60. On the Scope 1 through Scope 2 emissions, our aspiration is to become carbon-neutral by 2025 and towards this, we are working on sourcing 100% of our electricity consumption from renewable sources. Our efforts are now towards net-zero carbon emissions, much ahead of the stipulated timeline 2050 set by United Nations Intergovernmental Panel on Climate Change.

On the facilities side, we inaugurated a new office in Kochi, Kerala in November 2023 as part of our continued efforts to reach out to locations where our employees are based. We also expanded our presence in our New Jersey office in the U.S.

In summary, we are pleased with our performance in Q3FY24 in a challenging business environment. I would now like to invite Sunil, our CFO, to give a detailed color on the quarterly financials and related numbers. Sunil, over to you.

Sunil Sapre: Thank you, Sandeep, and good morning and good day to all. Thank you for taking time to join us today. Wish you all a very Happy 2024. Sandeep has shared some business outlook, let me now walk you through the financial performance for the quarter ended December 31, 2023.

The revenue for the quarter was US\$ 300.55 million, the growth of 3% quarter-on-quarter and 13.7% YoY. Revenue for the quarter in rupee terms was ₹ 24,982 million, reflecting growth of 3.6% quarter-on-quarter and Persistent Systems Limited

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15.2% YoY. For the nine months the cumulative revenue is US\$ 875.2

million , with a growth of 14.9%. In rupee terms , the revenue for nine months is ■ 72,311 million , reflecting growth of 18.6%.

Coming to sequential growth for the quarter – at the segment level , Healthcare and Life Sciences grew by 16.6% quarter -on-quarter , Hi-tech and Emerging Vertical s grew by 0.1% quarter -on-quarter, while BFSI declined by 0.7% mainly on account of furloughs . As you know, seasonally Q3 of the year is impacted by furloughs. The overall impact on the margin was 60 basis points during the quarter due to the furloughs.

There is an increase in on site effort mix which w e will observe , which is due to initial phase of the ramp up of the deals won in the previous quarter, which is also reflected in increase in sub-con expenses. The impact on margins due to the higher on site mix was about 60 basis points. So , these margin headwinds were more than compensated by margin - accretive composition of IP revenue , which contributed 80 basis points , higher utilization , and lower travel expenses , each contributing 30 basis points and SG&A rationalization in Q 3 coupled with benefit from headcount optimization undertaken

in Q 2, contributing the majority of remaining improvement in margin of 60 basis points.

Attrition continued to decline in -line with industry trend , with TTM Attrition at 11.9% as compared to 13.5% in the previous quarter . With this, the EBITDA margin for the quarter was 17.7% as against 16.8% in the previous quarter. EBITDA for nine months period stands at 17.6% vis -a-vis 18.1% for the comparable period last year .

Depreciation and Amortization was 3.1% , same as in the previous quarter.

The increase in amortization in absolute terms is due to amortization of software used for internal systems. We have been working on strengthening these to support the increased scale of operations.

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The EBIT came in at 14.5% as against 13.7% in the previous quarter. EBIT for nine months period stands at 14.4% vis -a-vis 14.8% for the comparable period last year.

As I mentioned in the earlier quarter, we have invested in sales and marketing and there is an increase in G &A expenses due to more employees working from office.

The Treasury Income for the quarter was ■ 181.08 million as against ■ 166.28 million , mainly on account of improved cash flow. Forex gain was ■ 80.9 million as compared to ■ 83.7 million in the previous quarter. Profit Before Tax for the quarter was ■ 3,893 million at 15.6% as against 14.8% in the previous quarter. ETR was 26.5% as compared to 26% in the previous quarter.

PAT for the quarter was ■ 2,861.3 million at 11.5%. YTD PAT for nine months was ■ 7,782 million at 10.8% . Excluding the one-time expense in Q1 on US\$ 1 billion milestone celebration , PAT was 11.3% . EPS for the quarter was ■ 37.83 is against ■ 35 in the previous quarter .

RoCE for the quarter was 29.3% as against 30.2% in the previous quarter. RoCE is based on trailing 12 months EBIT . The operational capex for the quarter was ■ 321.32 million .

Cash Conversion for the quarter continued to be good at 101% of EBITDA and OCF up to EBITDA for nine month period ending December 31 stands at 0.71 vis -a-vis 0.60 in the corresponding period last year.

Total, cash and investment on books is ■ 18,472 million at the end of December as compared to ■ 15,693 million at the end of September . The DSO came in at 66 days, same as in the previous quarter. Forward contracts outstanding at the end of December was US\$ 240 million at an average rate ■ 84.04 per dollar.

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Couple of other updates for this quarter - as you know, Q 3 is usually the quarter in which we declare interim dividend and I am pleased to share with you that the Board of Directors declared an interim dividend of ■ 32

per share for FY24 on the face value of ₹ 10 per share. This compares to the last year's interim dividend of ₹ 28 per share. It is our endeavor to maintain consistent dividend payout ratio while we augment our growth through capability-led acquisitions. In order to make it more convenient for shareholders to participate in Persistent stock, the Board of Directors has also recommended to the shareholders the resolution to split the face value of shares from ₹ 10 per share to ₹ 5 per share. This will be subject to shareholders' approval, which will be processed in due course.

Thank you all and now I hand it to Saurabh for covering deal wins and awards and recognitions. Saurabh.

Saurabh Dwivedi: Thank you, Sunil. I will now talk about key deal wins for Q3 by industry segments. Let me begin with Software, Hi-tech and Emerging industries, our largest vertical. Persistent was selected by one of the leading providers of remote work tools for collaboration and IT management to transform its Salesforce-based applications, connector factory and IT Service Management under a managed services model. This is a US\$ 50 million-plus TCV deal and it is another major successful event for our P

Private Equity

channel. Persistent was selected by a leading publisher to establish a greenfield IT setup and provide managed services over a 5-year period. This entity is a newly formed organization as part of a carve-out done by a leading private equity from a global media conglomerate. This is another case study of Persistent's established framework for carve-out transactions, which leverages Persistent's intelligent IT operations framework and components from hyperscalers and leading technology vendors. Persistent was selected by two of the hyperscalers as a strategic partner for the development and support of their connect or development Persistent Systems Limited

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programs. These deal wins are special because they provide us access and partnership with the next-generation tool development programs of these hyperscalers including in the Generative AI domain.

Coming to Banking, Financial Services and Insurance, Persistent was selected by one of the largest US banks to develop and maintain its applications across domains such as Capital Markets, Payments, Treasury and Customer Support. This is a US\$ 50 million-plus renewal deal where Persistent is also a beneficiary of vendor consolidation. Persistent was selected by a leading Canada-based provider of financial technology to credit unions for developing and supporting the core banking platform, which will be rolled out to more than 40 credit unions. As part of the engagement, Persistent would also manage the cloud and security operations of the customer. Persistent was selected by a large global financial conglomerate to modernize its security operation center for its American operations including providing a holistic view of security posture to the top management. This is a managed services engagement with complete ownership with Persistent and has the potential to be replicated in other geographies for the customer.

And, finally, within our Healthcare and Life Sciences vertical, Persistent was selected as a strategic partner by leading analytical instrument company to engineer their key product suite including building data analytics capabilities for the chromatography platform, instrument support solutions and algorithms for micro array images. This is a large renewal deal with one of the largest healthcare customers for us. Persistent was selected by a Fortune 500 scientific instrumentation company to undertake, upgrade and migration of the database for its clinical research group, while ensuring regulatory compliance in the US and Japan. Persistent was selected by leading pharma contract research development and manufacturing organization for development of Artificial Intelligence - Persistent Systems Limited

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led drug discovery platform. This platform will accelerate drug discovery process from molecular design to preclinical candidate selection by

creating a central , reusable repository for quick decision -making for compound synthesis and biological evaluation.

Now moving on to the awards and recognitions for the quarter from leading analyst firms. Q 3 saw us get continued recognition from industry leading analyst firms and associations. To mention a few , Persistent was recognized as the only provider to win in four different categories in the Star of Excellence Awards based on voice of the customer . The ISG Star of Excellence Awards , part of the IS G Provider Lens Research Program , is the premier industry recognition program for the technology and business services industry. These awards recognize exceptional client service experience and serve as a benchmark for measuring client -centricity in our industry.

Following were the categories in which Persistent was recognized - Persistent was recognized as I SG Star of Excellence Universal Industry , Persistent was recognized as ISG Star of Excellence BFSI Industry , Persis

tent was recognized as ISG Star of Excellence Healthcare and Pharmaceuticals Industry .

And finally , Persistent was recognized as ISG Star of Excellence Cloud Native. Additionally, Persistent was recognized as a Breakthrough 15 Provider in the Q3 2023 ISG Global Index for the second consecutive quarter.

Moving on from the IS G awards , Persistent was recognized as a Leader in IDC MarketScape Worldwide Software Engineering Services 2023 Vendor Assessment . Persistent was recognized as a Leader in the Z innov Z ones ER&D Services and Digital Engineering Services 2023 Report for the 11th Persistent Systems Limited

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year in succession. Persistent was recognized as the Best Enterprise Services Vendor of 2023 by Constellation Research .

This completes the section on key wins and awards and recognitions . With this, I would like to conclude the prepared comments and would like to request the operator to open the floor for questions.

Operator: Thank you, Sir. We will now open the call for Q&A session. We will wait for a few minutes until the question queue assembles. We request participants to restrict to two questions and then return to the queue for more questions. Please raise your hand from the 'Participant ' tab on the screen to ask questions.

Okay, the first question is from Sandeep Shah .

Sandeep Shah: Yeah , good morning. Can you hear me?

Sandeep Kalra : Yes.

Sunil Sapre : Yes, we can.

Sandeep Shah: Yeah, yeah. Congrats on a good execution. Sandeep , just wanted to understand entering into 2024 , any signs of recovery in a discretionary , small -size, faster -converting deal wins in terms of client discussion , starting some of the projects which are put on hold in any of the verticals ?

Sandeep Kalra : Look from our perspective , yeah , that discretionary spend we are seeing some green shoots , but I wouldn't say that the environment is any significantly different from the last few quarters. Most of our growth, if you see , is coming from the proactive efforts that we have had in our existing customers and new , and these are longer -range deals that we are in. So, I wouldn't say necessarily that we are seeing too many green shoots, there are some green shoots, we'll let that time pan out and see how this goes from a discretionary perspective.

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Sandeep Shah: Okay. Thanks. And Sunil Sir, looking at the margin walk which you have provided with subcontracting cost and furloughs together impacting margin by close to around 120 b ps, is it fair to assume furloughs may reverse in the fourth quarter and we can exit the fourth quarter with a 15% EBIT margin?

Sunil Sapre: Yeah. So, as I mentioned, the increase in subcontractors is on account of

the ramp up in the recent deal wins and this will continue for some time before the offshoring starts. So, you're right directionally. We are working towards multiple levels to improve EBIT margin and that's the effort to continuously improve the EBIT margin from here on.

Sandeep Shah: Okay, will come in the follow up. Thanks.

Moderator: Thank you, Sandeep. The next question is from Manik Taneja.

Manik Taneja: Hi, good morning to the leadership team. I hope I'm audible?

Sunil Sapre: Yes.

Manik Taneja: So, couple of clarification questions. Sunil, the first question is for you.

When I look at our segmental performance, what we see is that through the course of last three or four quarters, our segmental margins on the Hi-tech side have been coming off with the exception of this particular quarter. So, what is explaining the movements in terms of segmental margins given the fact that in the past, we renegotiated the deal at the large customer, which was to step up the margins for the business and also the second question is basically clarification on this large ramp up, is this largely to do with the Healthcare

business, which was a deal that you won on the Healthcare Payer side in the prior quarter?

Sunil Sapre: Yes, Manik. So, the answer to the second question is yes, that is what it is, but it is also not just that one deal, there are some other deals as you would recall, we had announced in the earlier quarter, which are also ramping Persistent Systems Limited

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up. Coming to segment margins, what you mentioned about the Hi-tech margins, basically it is a function of three areas. Hi-tech is an area where we have the larger IS V business, which includes the top customer. There are IP-related revenues that are coming over there, not just in the large customer, but also in our Accelerite portfolio and there is also the recent trend where we have seen carve-out kind of deals, right. There is also certain portion of IP revenues over there. So, the margin is a function of, if there are partner IP revenues coming in that, the margin conversion on that is lower and in this quarter, particularly, we had good accretion in our own IP revenues because of which the margin on the Hi-tech side is higher this quarter. So, it's a portfolio of customers we carry and the deals in every quarter may have you know relevance to the way margins pan out. But overall if you see the gross margin is steady and we have been able to improve the EBIT margin.

Manik Taneja: Sure. Thank you and all the best for the future.

Moderator: Thank you, Manik. The next question is from Ravi Menon.

Ravi Menon: Congratulations on a really good quarter. One question is on the Healthcare side. If I look at your breakup of customers, it looks like there is now pharmaceutical companies, payers, providers, and clinical research organizations, is this a change from the whole scientific instruments and medical devices focus that you've had maybe three years back, are most of these new customers?

Sunil Sapre: Ravi, good observation. So, if you look at our Healthcare portfolio, we have had good footprint in the scientific instruments, medical devices, that was the leading segment for us, which used to contribute a lion's share. We did have pharma customers, providers at scale. Providers is where our Salesforce business dominates in the US compared to our competition. What has happened is, there have been some good accounts super-sized Persistent Systems Limited

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in all these domains and we have invested heavily in the payer domain and some of the larger wins we are getting are additionally in the payer domain. So, now it's a very well-balanced portfolio across scientific instruments, medical devices, pharma where we play mostly on data analytics and the specialty pharma on the Salesforce front, providers where we are leaders based on Salesforce and other CX initiatives and payers, where our next generation development capabilities as well as data analytics is playing out. So, now yes, it's more diversified and scaling

in all of this.

Ravi Menon: I also see that you are beyond the top -10 customers, the traction continues. So, can you explain also that you're seeing some wins from your Private Equity channel. Anything else that you could call out, some of these customers their potential to take them to the top -10?

Sunil Sapre: Yeah. So, good question. So, if you look at the mix of the wins that we have had, so as we have grown from being a US\$ 500 million organization to a billion-dollar organization, as we have grown our capability significantly along with the addition of leadership teams and so on, we are now being invited to the much bigger bids. So, today if you look at the wins that we are having, they are against the top -5 in India, the big -5 across the globe, and so on and so forth. So, the revenue mix, the client mix is changing, and to your point, some of these customers have the propensity to absolutely become among our top

top -5, top -10 customers, and you will see the top -10 customer mix changing in terms of the names moving in there, the quality of customers moving in there over a period of time.

Ravi Menon: Yeah. One last question on the SG&A side, you used to have about 20% of your revenue as SG&A and now it's down to 16% or so. Do you think there is a further leverage possible?

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Sunil Sapre: Yeah. So, good point. Let me answer a few more things along with this.

There have been a few questions alluding to the margin side of it before and all of this comes together. So, if you look at the sales and marketing side of it, if we look at our investments in sales and marketing, we have brought in a significant rigor to sales and marketing. We have over-invested in sales and marketing as well in absolute terms, if you look at it. If you look at year-on-year comparison, not just quarter-on-quarter comparison, we may be at a higher level in terms of SG&A from a year back and part of it, whether it is direct SG&A investments, part of it are investments which are in enabling things which enable our sales to be much more productive, whether it is in our capability-build around the Private Equity side, capability-build around our AI, and Gen AI side, capability-build more deeper into certain parts of our cloud infrastructure and security and so on so, all of them are enabling the growth and there is definitely further leverage on the SG&A side as we go along.

Now, let me also take this opportunity to answer the broader margin question before everyone asks us the margin question in different forms and shapes. We have said very clearly, we will increase our margin from 200 to 300 basis points between now and the next two to three years and I do want to recognize the mistake on one of the earlier calls I had said 150 to 200, our intent is 200 to 300 basis points, I want to clarify. Now, let me build it up for you before everyone asks the same question. If you look at our utilization today, our utilization is at 81.5%. If you decipher that utilization into two distinct buckets, the laterals that we have and the people we hired from the campuses who are yet to become productive and these are, I'm talking of the volume hiring that we have done two years back. That hiring is yet to be productive more than 64% of what it was. Our laterals are running at 85%, so as a company we have the propensity if we, look forward to in charge utilization up from 81.5%, slowly up to 83%, 84%,

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and 85%. For each percentage of utilization going up, there's 30 basis points of margin that we release at the PAT level. So, keep that in mind that's one part. We talked about the SG&A leverage. So, we have invested significantly in our SG&A and not only SG&A in terms of sales folks, but if you look at the leadership hires that we have brought on board, in the last one to two quarters, those are leaders that will kick in, in high gear as we move along. They don't have the impact on the current quarters, they're just settling in, but as we move into the next financial year, we will have a leverage of it.

Then, again if you look at things like our facilities and so on and so forth, there is certain amount of leverage that will come in because we invested in certain facilities. You would have seen many announcements in India and outside and as we see our revenue growing, all of those is going to kick in. It is not going to necessarily increase in line with the revenue part, not to mention the amortization that we have from the earlier M&A that we have done, as our revenue increases that also gets defrayed over a larger base. So overall from a margin perspective, we are reasonably sure and we have initiatives inside the company where we will incrementally, whether it is next

quarter or the next few years move up. Now, obviously in certain years, when the macro is soft, we will not press that trigger on margin improvement that hard. If you look at the current year, we wanted to make sure we come in first on the top end of the growth quartile and then comes the margin initiative and as the economy stabilizes, the focus will move and it will always be cross-balance with growth being the first priority. So, with that, back to you moderator.

Ravi Menon: Thank you so much.

Moderator: Thank you, Ravi. The next question is from Karan.

Sandeep Kalra: Karan, we can't hear you?

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Karan: Hi, can you hear me now?

Sandeep Kalra: Yes, please.

Karan: Okay, great. Again, obviously congratulations on a fantastic quarter and looking forward to see what comes ahead. So, I just wanted to dig a little bit into the Gen AI pipeline and let me start with a basic question, which I know you won't answer, but I'll try it anyways and then I'll ask just one or two sort of follow up questions to that, which is, is it possible to get to sort of US\$ 100 million of revenue from Gen AI in the next two to three years, just in terms of size, scale, and scope. Of course, there's no kind of firm guidance for anything, but just in terms of how big it can be and I guess that's part of that my question would be, can you add some color on just the size of the pipeline in the sense that how many of your 176 clients have some kind of POC related to Gen AI and then related to that, what percentage of the POC's are leading to production and we've seen surveys where actually the vast majority, more than 50% of POC's will enter production, so actually the technology works broadly and I think everybody understands and realizes there's a lot of POCs out there, but they have an uncertainty around what that conversion rate will be, but the leading indicator seems very strong. So, if you can just add some color there? I know a lot of questions there, but whatever you can answer.

Sandeep Kalra: Sure. So, the first question, can Gen AI lead to US\$ 100 million business over the next two to three years? Look, anything is possible and so Gen AI is one form of AI and look, GenAI cannot be implemented beyond POC till the time you have an enterprise-wide wherever use-cases you are trying to put, clean data available to you in very simple terms and if you have to do that, GenAI you should look at it as a tip of the spear. For us to be able to deliver to any enterprise and for any enterprise to be successful in GenAI, it will spawn of many different initiatives, which will involve data

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engineering, data cleansing, many other things. So, Gen AI in absolute terms just as a simple use case, we'll have many other things. We will put all those things together, can it lead to US\$ 100 million business for us over the next three years, absolutely the answer is yes. Now, we'll let the time pan out and we are not going to get into that conundrum of now report your GenAI revenues like people used to do digital revenues and so on. I think Gen AI is going to be mainstream in everything that we do in next two to three years. So, keep that in mind as well.

Now, second part, of the 176 customers, how many POCs are we running?

Today, if I was to look at overall at Persistent, there are more than 75-plus

POCs that are running on Gen AI in different formulations. How much of those will get to production, we'll see how that flows in. Today, any boardroom, whether it is ours or our customers, there are discussions on Gen AI and that spawns off initiatives and CIO organization, CTO organizations, the business leaders are given the mandate to go and experiment with Gen AI in their own fields and that's what is leading to those POCs and that's what is also leading to the collaborative agree-

ments

that we have with Amazons of this world, the Googles of this world, Microsofts of this world to go and do more POCs, so that we can unlock the aperture and people look at different possibilities. Very hard to say how much of those 50%, 100% what will lead to production, but over a period of time, it will definitely lead to good amount of revenue uptake. One last thing, I'll say on this, not everything will lead to Gen AI. Gen AI is one form of AI, which is easy to use and so on, but also keep in mind, the bills on Gen AI can very soon go up for enterprises and there are alternate forms of AI which are available, not everything needs to use Gen AI as a use case and we have been doing that for many years. That's why in my prepared comments, I also referred to. So, we are very positive about AI being there in every part of Persistent service lines, digital engineering, to Persistent Systems Limited

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Salesforce implementations to the cloud infrastructure, security and so on, and you will see us announce many more initiatives in the next three to six months. Back to you, Moderator.

Karan: Thank you. Thank you so much.

Saurabh Dwivedi : So Sandeep, there is a question on the chat related one on Gen AI, where Gaurav Rateria is asking us have we been part of discussion in helping clients save costs somewhere else by becoming more productive and channelizing those savings in these Gen AI initiatives?

Sandeep Kalra: Yeah, so, look, every enterprise or every enterprise software company at the end of the day their ability to spend, if I may say so, their expense budget or their pot of gold is only limited. So, when a number of people are looking to forward-looking initiatives and this is nothing new, this has been happening for long. People aware and reduce the spend in business as usual and take that to more next generation initiatives, in this case it is Gen AI and there are other ways also people are looking at us to help them, whether it is enterprise software companies or enterprises right from developer productivity. Now, looking at their own implementations of developer productivity tools like Microsoft GitHub Copilot or AWS Code Whisperer to many other things that we bring to bear with our IP like report rationalization tools and there are many things that are there on cost reduction and taking that money to see how we can impact the revenue side or customer experience side of it using Gen AI. So yes, there are many initiatives.

Moderator: Sir, we will take the next question from Abhishek.

Abhishek: Hi, thanks for the opportunity and wish everyone a Happy New Year and congrats on a good quarter. Again, a related question to the topic we are discussing. So, Sandeep, there was a comment about an increase in the Persistent Systems Limited

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cost of ownership of software products in one of the industry analysts call last week related to Gen AI spend. So, first question is on that topic is are you seeing an increase in product engineering spends because you have a very strong relationship with software product companies and 2nd, is there a trend in terms of because of that spending we will see a moderation in non-AI related spending including cloud migration-related spends?

Sandeep Kalra: Yes. So, we are talking two different things here. See, the second part that you talked about the cloud migration and so on. So, that is much more relevant in the enterprise world because a number of enterprise software companies are today more and more cloud native in their new product

development and a number of them who are there from the past have already moved their legacy products to the cloud . Now, as far as the spend on Gen AI is concerned in enterprise software, is there more adoption of that and broadly AI, yes it is and everyone is trying to control their budgets, moving money from where they can squeeze

on the business as usual support side of it to doing feature enhancements using Gen AI, doing copilots, doing other things from a CX perspective, customer support perspective, and enterprise software and so on. So, yes there's a movement and we are gainers of that and it's early in the game. It's not just that today Gen AI is accounting for majority of our growth, but Gen AI and AI over the next few years will definitely account for more and more revenues for us.

Abhishek: Thanks for taking my question.

Moderator: Thank you, Abhishek. The next question is from Dipesh.

Sandeep Kalra: Dipesh, we can't hear you yet.

Dipesh: Yeah. Can you hear me now?

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Sandeep Kalra: Yes, please.

Dipesh: Can you hear me now? Okay. Two questions. First about the Private Equity genre, I think now last couple of quarters, we have seen couple of successes in Private Equity channel . So, can you just help us understand what we are doing differently , which works well for us and any specific action we have taken which drives success? Second question is about revenue composition change. We don't report service mix, so just want to get sense, let's say three years back, kind of what we used to do, how has it evolved in three years and if you can help us understand how you expect it to evolve in the future? Thank you.

Sandeep Kalra: Yeah. So, I'll take the first question , second I'll let Sunil answer. So, from a Private Equity channel, if you look at it, we have been developing this channel for the last 4-4.5 years and we have hired people who understand this channel and so our Private Equity channel is housed with folks who have worked for Private Equity or worked in companies that have serviced Private Equity. On one side, we are mapping to strategic Private Equity folks like accounts. So, look at them as accounts we manage at the highest level. On the other side, the capability at the end of the day, it's all about the capabilities that you bring to bear . So, we understand what a Private Equity firm needs and what their portfolio companies need . So, we are partnering with Private Equity right from the stage when they're evaluating deals. So, we have certain tools, techniques, methodologies that we have perfected on that. We help them analyze companies, the platform, so right using from our digital engineering capabilities to analyze the platforms that these companies that they're trying to acquire the majority of those, their hypothesis on engineering effectiveness, the capability to cost reduce using different levers and innovate using the forward-looking technology. So, we are right there when they are evaluating deals to the time the deals are brought in and there is work to be done if it is a carve-out. We have

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more and more become a carve-out specialist where we have tools, techniques, methodologies to de-risk the transition services and so on. So, across the Private Equity spectrum, right from pre-diligence to diligence to the value realization once a company is acquired to even the exit, we have a very clear set of service offerings and those are well proven along with the IP assets that we have built to deliver these . So, that's what is differentiating us and increasingly making us the preferred partner for all these large Private Equities as they go and you have seen number of our wins come from that. Now, Sunil.

Sunil Sapre: Yeah. Dipesh, so in terms of the services and IP-led revenue composition.

If you want to understand the growth profile, yes, both the parts of the business have been growing and if you take a period of three years, the

only thing that has moved is the large deal that we had, which we discussed the end of 2021. So, that's the only period when the IP-led revenue had a bump up because of that contract, but otherwise on our

own whatever

accelerators, our own IP's in the Accelerite portfolio and the new work that we have been doing in multiple areas where we are able to bundle our own solutions to customers

Dipesh: No, sir I was not looking for that service, right. I just broadly understand the change services composition of revenue, how it has changed, let's say earlier we used to have very large Salesforce skewed kind of revenue. So, over a period of time how broad based that revenue mix is changing?

Sandeep Kalra: Fine, let me take that question, Dipesh. So, if you look at our services mix, so and I alluded to that earlier in the call as well, as we have grown from being a firm which was US\$ 500 million to a firm that is beyond a billion dollars now and we have also built capabilities. Whether it was building more capabilities right from our cloud native and the digital engineering side, where we are, we have always been very differentiated. We have Persistent Systems Limited

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built on capabilities on those. We have added on application, maintenance, and support capabilities the ASM part of it. We have built on the cloud part of it in terms of doing the next generation infrastructure on the cloud, cloud ops and so on. We've built significant capabilities on data side. So, what all this brings together is when anyone is looking for at one of the, let's say Fortune 1000 companies looking at doing an RFP and wanting to bring one or two challengers in the mix as they look at their current providers, we are definitely being involved and that is where if you look at some of the larger wins we have won against the top five in India, the top five globally, and so on and so forth. So, the services mix is changing towards, a lot of people think Persistent is discretionary. I would tend to believe Persistent is lot more non-discretionary today than what it was three to four years back. So, from that perspective, long-term deals across these segments, stickier revenue, annuity revenue that is the kind of services mix that we have built over the last few years and that's where we are going while not losing the sense ethos of making these differentiated. Even our AMS, the application maintenance and support, we bring a lot of tools to bear. A lot of AI is what we are infusing in that. So, it is the next generation ops, the next generation development, and so on that is what is there, but the mix is definitely there.

Dipesh: Thanks.

Moderator: Thank you, Dipesh. The next question is from Chirag.

Chirag: Hello. Congratulations on good set of execution in challenging times. So, Sandeep, what's our M&A outlook for next two years?

Sandeep Kalra: So, if we look at our M&A strategy, it has been built on small tuck-in acquisitions, which are based on the capabilities that we want to enhance for geographical footprint that we want to acquire. So, we keep evaluating deals. Obviously, we have to make sure that the deals have the right fit Persistent Systems Limited

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both from a technology, cultural, and the valuation standpoint. From our next one to two years, we'll be focused on deals on the cusp of AI, cybersecurity, in terms of going into verticals, micro verticals within Banking Financial Services, Healthcare Life Sciences, and finally from a geographic perspective, tuck-in acquisition in Western Europe from a revenue/customer acquisition perspective because Europe is one place where we do want to scale up in terms of our revenues and the delivery in Eastern Europe. So, those are the broad contours and we are on the lookout for good targets and if anyone on the call has anyone anything to refer to us, please let us know and Saurabh also leads our Corp-Dev.

Chirag: And just one follow up, vertical wise in AI offerings, which vertical you feel we will get more revenue acceleration once client look for more deals in

AI-related areas?

Sandeep Kalra: So, our point of view is this is going to be a secular adoption of AI. Having said that, Healthcare Life Sciences has usually been a laggard in terms of adopting new technologies. We do believe Healthcare Life Sciences followed by BFSI will be the way we will see the percolation, but we'll let the time pan out and then there are several use cases like Contact Center Optimization using GenAI and so on, which are agnostic of all the verticals. So, there are certain horizontal pr opositions and there are certain vertical propositions.

Chirag: Thank you.

Moderator: Thank you. The next question is from Mohit Jain.

Mohit Jain: Sir, just one question on Hi-tech vertical. This quarter was a little slow. So, if you could share your outlook on that vertical and if you could split it between, say top client and the rest of the Hi-tech, how should we look at it going forward? Thank you.

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Sandeep Kalra: So, Mohit, as you would have seen, our top client declined a little bit in this quarter and it was a planned decline based on particular large program, it has a profile where we had a certain amount of revenue going up and then it has a certain tapering. So, that is what caused a little bit of perturbations on the Hi-tech vertical and if you look at the Hi-tech vertical , that has been a very strong vertical for us for growth and so small blips will come here and there because of one or two things and December being the quarter where there are furloughs, there were some minor things there as well, but nothing to worry ther e. If you look at our overall growth, we've said that in the past, it'll be led by Healthcare Life Sciences and Hi-tech followed by BFSI. So, that's where it is.

Sunil Sapre: So, operator, can we take the last question? We are coming to the end of the slot.

Moderator: The last and final question is from Vibhor Singhal .

Vibhor Singhal: Yeah, hi. Am I audible?

Sandeep Kalra: Yes please.

Vibhor Singhal: Yeah. Hi, thanks for taking my questions. Sandeep, just one question from my side. You just mentioned AI cybersecurity is probably the focus areas for M&A, but as you mentioned that if you look at our profile at more than a billion dollars today, do you believe those traditional areas of let's say ERP or let's say BPO , which are kind of white spaces for us, would you also be looking to expand your portfolio with them as we become full -service companies and as you mentioned, we get attracted to , invited to more and more large deals, wouldn't our, let's say, I mean I wouldn't say inferior, but let's say lesser -capability in those domains hamper our chances to win those deals? Any thoughts on that in terms of growth and whether organic or inorganic that you're looking at?

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Sandeep Kalra: Sure. So, Vibhor, valid questions, but look at it this way. We are a billion - dollar company in a much, much bigger mark et. As far as the ERP side is concerned, number one , there are many more, much more mature players in the market and second, I would tend to believe ERP basically plays the role of a system of record. There's much more that can be done on top of it in terms of systems of engagement and that's where we play. So, there is, if I am given US\$ 100 in investment, I wouldn't want to go after a red ocean, I would want to build on our capabilities and there is enough and more market there. Same for BPO, where we play in the BPO realm is we go and disrupt the BPOs. We go and disrupt the BPO using technology, using Gen AI, AI, and so on making BPO s much more effective, reducing the opex on the BPO s using technology, and that's where we have enough and more to do. Now, in terms of larger deals, when you go to large enterprise customers, they don't usually go with one single provider. So, they go with a mix o

f providers even if they're going with large or bunch of disruptors and so there is a way to partition the deals in a way where everyone brings their strength and the biggest strength that we have is on forward-looking technologies and that is where there's a significant amount of addressable market for years and years to come. So, we'll stick to our knitting, we'll bring AI into it, we'll bring differentiated capabilities much ahead of our larger peers and midcap peers. So, that's where our focus is at.

Vibhor Singhal: Got it. Thank you so much for taking my questions and wish you all the best.

Sandeep Kalra: Let me try and close this call. The key message that I want to leave with our investors today is that we have delivered top quartile revenue growth for the last 15 -plus quarters. Now, we are looking at good deal bookings converting into revenues going ahead despite a difficult macro environment. We will continue to operate as a strategic partner to our customers and enable them to drive their key business imperatives. We
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are positive on our growth prospects going forward, although we are cautiously optimistic on the macroenvironment. Nonetheless, we will watch these developments and will ensure that we remain relevant to our customers. We once again thank you for your participation and we thank our 23,300 -plus team members, customers, and partners for their support in our growth. We look forward to giving you an update in three months from now. Thank you.

Sunil Sapre: Thank you.

Saurabh Dwivedi: Thank you.

Call: Apr 2024

Persistent Systems Limited, Bhageerath, 402 Senapati Bapat Road, Pune 411 016, Maharashtra, India
CIN - L72300PN1990PLC 056696
Tel: +91 (20) 670 30000 | Fax - +91 (20) 6703 000 8 | E-mail - info@persistent.com | Website - www.persistent.com

NSE & BSE / 2024-25 / 023

April 25, 2024

The Manager
Corporate Services
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai 400 051

Ref: Symbol: PERSISTENT The Manager
Corporate Services
BSE Limited
14th Floor, P J Towers, Dalal Street,
Mumbai 400 001

Ref: Scrip Code: 533179

Dear Sir/Madam,

Sub: Transcript of the investor/analyst call held on Monday , April 22, 2024
Ref: Our earlier intimation s under reference no. NSE & BSE / 2024-25 / 016 titled as
'Outcome and Audio call Recording of investor/analyst call held on Monday , April 22,
2024'

In continuation to the above -referred intimation s and pursuant to Regulation 30 of the SEBI (Listing
Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the
investor/analyst call held on Monday , April 22, 2024, for the quarter and year ended on March 31, 2024.

The transcript of the investor/a nalyst call is also made available on the Company's website .

The link to access the same is as follows: Analyst -Call-Transcript -Q4-FY24.pdf (persistent.com)

This is for your information and record s.

Please acknowledge the receipt.

Thanking you,

Yours Sincerely,
For Persistent Systems Limited

Amit Atre
Company Secretary
ICSI Membership No.: A20507
Encl: As above
Persistent Systems Limited

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"PERSISTENT SYSTEMS EARNING S CONFERENCE CALL ,
FOURTH QUARTER, FY 24, ENDED MARCH 31, 2024 "
April 22, 2024

MANAGEMENT :

Dr. Anand Deshpande

Chairman and Managing Director

Mr. Sandeep Kalra
Executive Director and Chief Executive Officer

Mr. Sunil Sapre
Executive Director and Chief Financial Officer

Mr. Saurabh Dwivedi
Head, Investor Relations

Persistent Systems Limited

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Moderator: Ladies and gentlemen, good day and welcome to Persistent Systems Earning Conference Call for the 4th Quarter of FY24 ended March 31, 2024. We have with us on call today, Dr. Anand Deshpande - Chairman and Managing Director, Mr. Sandeep Kalra - Executive Director and Chief Executive Officer, Mr. Sunil Sapre - Executive Director and Chief Financial Officer and Mr. Saurabh Dwivedi - Head of Investor Relations. Please note, all participants line will be in 'listen only' mode and there will be an opportunity for you to ask questions after the management's opening remarks.

Should you need any assistance during the conference call, please raise your hand from the Participant tab on the screen. While asking questions, requesting you to please identify yourself and your company. Please note, this conference is being recorded.

I now hand the conference over to Mr. Sandeep Kalra. Thank you and over to you, sir.

Sandeep Kalra: Thank you, moderator. Good morning and good evening to all of you, depending on where you are joining from. I'm pleased to share that we concluded our board meeting today at our Bridgewater office in New Jersey, US. I'm joined today by our leadership team here for this call.

I would like to start by wishing a Happy New Year to all of you who are celebrating the start of a new year as per the Indian calendar. With this, let me start with a quick financial summary.

We delivered revenues of US D 310.9 million for Q4 FY24. This translates into a growth of 3.4% quarter -on-quarter and 13.2% on year -on-year basis. In Rupee terms, the growth for the quarter came in at 3.7% quarter -on-quarter and 14.9% on year -on-year basis. This is our first ever quarter wherein we crossed the quarterly revenue run rate of INR 2,500 crores, which translates

into an annual run rate in excess of INR 10,000 crores.

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On a constant currency basis, the growth for the quarter came in at 3.4%, same as the dollar revenue growth. For the full year FY24, we achieved a revenue of US D 1,186 million, giving us a growth of 14.5% on a year -on-year basis compared to FY23. I would like to emphasize, that this is purely an organic growth, which basically means that we did not have any acquisitions through the financial year.

Coming to the EBIT side, our EBIT margin for Q4 came in at 14.45%. The Q4 EBIT margin was in a narrow band compared to the last quarter. This was on account of ramp -up of larger vendor consolidation deals that we won over the last couple of quarters, with a relatively higher onsite proportion to start. The ramp -up in this quarter included a one -time transition cost along with

lower utilization and higher travel cost. This impacted the EBIT, which was compensated by a reduction in earnout liability with respect to one of our acquisitions that did not perform in line with our business case. Sunil will provide more color on the EBIT margin movement later in this call.

During the next 12 months, given the challenging macro environment, our goal is to maintain top quartile growth, while maintaining margins at the current year. We will be working towards improving utilization, onsite-offshore mix, and other operational efficiencies to ensure we keep moving towards our medium-term target of improving margins by 200 to 300 basis points over the next 3 years.

Now coming to the order book for the quarter. The total contract value for the quarter came in at \$447.7 million, with TCV of new bookings being \$302 million. The annual contract component of this TCV is \$316.8 million, of which ACV from new bookings contributed \$184.5 million. As most of you are aware, we typically see higher quantum of renewals, and hence, overall bookings in the October-November-December quarter, which corresponds to end of financial year for our North American customers. The sequential

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decline of bookings in this quarter is a reflection of the seasonality that we have observed for the last several years. Also, please note, that as always, these TCV and ACV numbers include all bookings, small and large, renewals, as well as new bookings across existing and new customers.

Coming to the client engagement size. Let me give you some color on our client engagements by buckets. Our top one customer declined by \$3.2 million quarter on quarter. This was in line with a planned partial ramp down of a large five-year deal that we had announced in FY23. We witnessed healthy growth among various client buckets with our top five customer revenue up 7.9% quarter-on-quarter, top 10 up 5.4% quarter-on-quarter, top 20 up 2.9% quarter-on-quarter basis. Our top 50 customer portfolio delivered a robust growth of 4.3% in Q4, which is better than the overall revenue growth of the company in this quarter.

In Q4, we reported a total of 178 customers with trailing 12-month revenue in excess of USD 1 million. I'm happy to report the entry of new customers in the \$30 million plus, \$10 to \$20 million, and \$5 to \$10 million buckets. All of these have potential to scale up further in the future quarters.

From a client concentration perspective, the contribution from top 10 customers reached 40% in this quarter for the first time since Q1 FY23. This is partly on account of the growth in a couple of large customer relationships across Healthcare Life Sciences and BFSI industry verticals. This is a demonstration of our ability to scale customer relationships significantly, and oftentimes, in competition with larger IT services peers.

Coming to the geographical breakup. From a geography perspective for the full financial year '24, North America revenue

grew by a healthy 16.8% year-on-year in US dollar terms, ahead of the company average. Europe grew 13.4% year-on-year, Rest of the World grew 4.3% year-on-year, while India grew by 0.6% year-on-year.

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Coming to the people front. At the end of Q4, our total headcount stood at 23,850, a net increase of 514 from Q3. Most of the headcount increase in this quarter came from lateral hires. Onsite hiring was linked to revenue ramp-up, while offshore hiring is towards revenue ramp-up as well as build-up for capacity for future ramp-ups. With this, the blended utilization for the quarter came in at 80% against 81.5% in Q3. The trailing 12-month attrition for the quarter came in at 11.5%, compared to 11.9% in Q3. Attrition has come down to a comfortable band over the last few quarters, in line with the industry trend.

Moving on from operational metrics to certain strategic highlights for the quarter. First, on Generative AI. In Q3 FY24, we had provided you with a

comprehensive update regarding our pivotal shift towards AI -powered digital engineering and enterprise modernization initiatives. As you may recall, Persistent has a long history with AI. While our experience goes beyond the current buzz around Generative AI, FY24 has helped lay a strong foundation in our journey, fueling our acceleration in this space.

I am happy to report, we continue to deliver transformative solutions for our customers, leveraging Generative AI and AI at broad. Over the course of the last quarter, multiple proof -of-concepts have been progressing towards scale production levels. AI is opening up significant opportunities for us at Persistent in two broad areas, - AI for product engineering and AI for the enterprises. Let me provide you some more details on our solution -centric approach in each of these opportunity themes.

On the engineering front, we are focusing on delivering value to our customers through productivity gains using AI and automation tools across the product development lifecycle. Over the last 30 plus years, we have been Persistent Systems Limited

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leaders in product engineering, be it scaled engineering, modernization, or sustaining engineering.

As you may be aware, most enterprise software is complex, as over 60 to 70% of the code in any enterprise software comprises of third -party open -source components, customized kernels, and most importantly, code with interdependent repositories. Recent engineering solutions such as Copilot and code -assist tools powered by Large Language Models have succeeded in offering high -quality solutions to localized coding problems. However, repository -level coding is primarily a planning problem and cannot be solved directly using these code -assist tools.

That's where SASVA, our digital engineering -powered enterprise AI platform, comes in. This is a platform that's based on a novel combination of an incremental dependency, change impact analysis, and an adaptive planning algorithm, and much more. It addresses the repository -level coding and planning. The platform harnesses the power of hybrid language models, including fine -tuned small language models, machine learning, and advanced multidimensional models . SASVA delivers significant efficiencies, quality enhancements, improved security posture, and cost savings throughout the product development lifecycle.

The key highlights for SASVA include theme -based releases, which include end-to-end planning and execution of software updates such as porting and modernization, multidimensional knowledge base for insights on complex code to the Nth level of interdependencies, digital twin reflecting key resource capabilities enabling use cases such as de -risked knowledge transition. The challenge of higher costs related with Gen -AI has been addressed by SASVA using fine -tuned small language mod

els that provide

LLM -grade results , while being hosted on a relatively low -cost infrastructure. Persistent Systems Limited

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As you are aware, we own a number of software products as a part of our Accelerate business. SASVA has been tested extensively with most of these products, yielding significant productivity gains over time and is a showcase for us and our customers' prospects alike.

Coming to the enterprise side. On the enterprise side, to accelerate GenAI -powered enterprise transformation, we continue to invest and strengthen our GenAI Hub , so that our customers can create faster, more efficient, and secure GenAI experiences at scale, anchored by the basic principles of responsible AI. Enterprises can adopt GenAI across Large Language Models and clouds with no provider lock -in, integrated with existing assets, and enabled by pre -built accelerators using our GenAI Hub.

Let me talk about the select deal wins in the GenAI Hub. First, on the engineering side. For a leading enterprise software company, we have won an outcome -linked deal encompassing sustaining engineering and feature enhancements for one of their key software products leveraging our SASVA

platform. The organization wanted to address some of the challenges around slow product releases due to legacy technologies, high technical debt encompassing issues related to poor quality, security and user experience. The code repository for this product line has over 5.5 million lines of code, and a number of third-party open-source software components. These technical challenges were negatively impacting their business growth. Leveraging SASVA and fine-tuned SLMs, we would be responsible for substantial reductions in technical debt, and the outcome metrics for us include shortened release cycles, as well as, overall lower cost of sustaining engineering, coupled with revenue acceleration metrics. On the enterprise side, we won a three-year deal to develop and design GenAI-based straight-through processing platform for a listed insurance distribution corporation in the U.S. This firm specializes in advisory, Persistent Systems Limited

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underwriting, and customized insurance solutions. Under this deal, we will be responsible for delivering enhanced end-user customer experiences, as well as, optimized straight-through processing of code, fine, and issue process, along with the operations of the same. The platform will support end-to-end processing of a variety of documents such as carrier downloads, policy contracts, employee records, and other policy administration documents. The code stack will be leveraging Azure OpenAI, Easy Vector, and multiple API gateways. This platform aims to deliver rapid expansion of the corporation across multiple lines of businesses spanning 50-plus states in the U.S.

The next win is with a large analytical instruments and specialty diagnostics corporation. Here, we are working collaboratively with them in building a GenAI-based recommendation engine. This engine will enable mapping of customer queries with a product catalog, for effective cross-sell and up-sell. The solution leverages Azure OpenAI, GPT-4 as the foundation model, and LangChain as the LLM.

The expected benefits from the solution include significant incremental revenue for the customer over a period of time as the solution gets deployed, as well as, a strong reduction in the number of FTEs required to perform these tasks over time. In addition to the above examples, there are multiple use cases of Generative AI being implemented within Persistent as a customer zero, making our operations more agile and enhancing our employee experience.

In summary, we remain steadfast in our approach to making AI and GenAI the way of working at Persistent, and with our customers. We will provide further progress on this topic in subsequent quarters.

Coming to the dividend side. I am pleased to share with you, that the Board of Directors recommended a final dividend of Rs. 10 per share on the face Persistent Systems Limited

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value of Rs. 5 per share. This dividend payout will require shareholder approval during the Annual General Meeting as per statutory norms. As you may recall, in January 2024, the Board had declared an interim dividend of Rs. 32 per share on the face value of Rs. 10 per share pre-split. It is our endeavour to maintain a healthy balance in our capital allocation through a consistent dividend payout ratio, while augmenting our growth through capability-led acquisitions.

Coming to the ESG updates. I am happy to share that Persistent was named as one of India's leading listed ESG entities for 2024 by Dun & Bradstreet. As you may be aware, our aspiration is to achieve carbon neutrality for Scope 1 and Scope 2 emissions, and 100% renewable energy sourcing by the middle of FY25, and I am happy to say we are well on the way to do the same.

We are also committed to set near and long-term company-wide emission reductions in line with science-based net zero with the SPTI. In summary, we are pleased with our performance in FY24 in a challenging business environment. I would now like to invite Sunil, our CFO, to give more colour on quarterly financials in the related months. After that, Saurabh, our

Investor Relations Head, will give you more details on key client wins, endless awards and other recognitions for the quarter. Sunil, over to you.

Sunil Sapre : Thank you Sandeep and good morning, good day to all. Thanks a lot for taking the time to join us today. Sandeep has walked us through the market outlook. Let me walk you now through the financial performance for the quarter ended 31st March , 2024.

The revenue for the quarter at \$310.9 million effected quarter -on-quarter growth of 3.4% and Y oY growth of 13.2%. Revenue for the quarter in INR terms was Rs. 25 ,905 million , which translates into growth of 3.7% quarter -on-quarter and 14.9% Y oY. For the full year, the revenue was \$1,186 million

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with a growth of 14.5% and in INR terms, the revenue was Rs. 98 ,215.9 million with a growth of 17.6%.

Coming to segmental growth for the quarter, Healthcare and Life Sciences grew by 15% quarter -on-quarter, BFSI grew by 2% while Hi-Tech and Emerging vertical declined by 0.9% on account of planned ramp -downs in a large multi -year program in the top 1 customer. Excluding this top 1 customer, the Hi-Tech and Emerging vertical segment grew by 1.6% quarter -on-quarter.

EBIT margin for the quarter largely remained flat compared to Q3. Let me now give you a walkthrough on the EBIT margin for the quarter. Revenue growth in Q4 has been led by higher on -site ramp -up in some of our large customers. This growth is driven by vendor consolidation , and we have leveraged contractors for this initial ramp -up. You will notice the contractor cost in this quarter has increased to 14.1% of revenues. There was one -time cost of transition related to this ramp -up in multiple deals , which impacted margins by 110 basis points.

During this quarter, we also added lateral hires at offshore to build capacity for future growth, and planned transition from on -site to offshore in certain projects. This impacted utilization , and in turn margins , by about 50 basis points. Further, the freshers who had joined us in Q2 , are now part of the billable pool. So, while this doesn't have a cost impact directly, the utilization number gets adjusted , because of which , overall utilization is reduced from 81.5% to 80% in this quarter. But, y ou will observe , that this capacity of lateral hires and freshers will be a margin lever for us in the subsequent quarters .

There was an elevated travel cost on account of the planning and budgetin

g

exercise for FY25 that we undertook in Q4 , which impacted margins by about 40 basis points. All of these headwinds put together , impacted EBIT margins

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cumulatively by 200 basis points , which was largely compensated by reduction in earn -out liability related to one of our acquisitions which did not perform as per business plan.

Coming to Depreciation and Amortization , it was almost similar at 3.1% , as the previous quarter. EBIT for the full fiscal year 2024 was 14.4% compared to 14.9% in FY23. And you will notice , that majority of EBIT decline is attributable to the investment we have made in building sales and marketing capacity , as well as building next -gen technology assets , including in the AI domain. These investments are critical from the perspective of driving future growth.

We are cognizant of the need to drive operational efficiencies to continue our growth journey in future and march towards the goal of expanding our margins in the medium term. To this end, we have focused initiatives that are being led by our operational l eadership. Treasury income for the quarter was Rs. 226 million as against Rs. 181.1 million , mainly on account of higher cash balance. OCF to EBITDA for the quarter was 0.76 , and for the full year OCF to EBITDA was 0.73. This compares with the last year OCF to EBITDA of 0.63. The free cash flow for the year was Rs. 7,325 million as compared to Rs. 925 million , as there were no acquisitions during the year. We had a forex

loss of Rs. 15.5 million as against a gain of Rs. 80.9 million in the previous quarter.

Profit before tax for the quarter was Rs. 3,954.9 million at 15.3%, as against 15.6% in the previous quarter. ETR for the quarter was 20.3%, mainly due to the tax credit on account of ESOP perquisite income reported by our US employees, on which the company gets a tax credit. ETR for the year came in at 24.5%, and is likely to remain in the same range for the next year. PAT for the quarter was Rs. 3,153.2 million at 12.2%. PAT for the full year was Rs. Persistent Systems Limited

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10,934.9 million at 11.1%. And this is the first year in which our PAT has crossed the important milestone of Rs. 1,000 crore.

EPS for the fiscal year 2024 was Rs. 144.87 as against Rs. 123.73 per share. This is on like-to-like comparison of Rs. 10 per share. The growth that this implies is 17.1% in EPS.

The Operational CapEx for the quarter was Rs. 295.5 million. Total cash and investments on the books are Rs. 18,585 million as compared to Rs. 18,472 million at the end of previous quarter. DSO came in at 63 days as against 66 days in the previous quarter. Forward contracts outstanding at the end of March was \$260 million at an average rate of 84.16 per USD.

As Sandeep mentioned, the Board of Directors has recommended a final dividend of Rs. 10 on the face value of Rs. 5 each. It should be paid after the shareholder's approval at ensuing Annual General Meeting. So, on a total dividend payout basis, it translates to 36% dividend payout ratio which is in line with our Board guidance.

In FY23, the total dividend paid out to the shareholders was Rs. 50 per share on the face value of Rs. 10 per share including special dividend of ₹10 per share on reaching \$1 billion milestone and compared to that, the dividend for this year comes to Rs. 52.

Thank you all. I will hand it to Saurabh now for covering deal wins and awards and recognitions. Saurabh.

Saurabh Dwivedi: Thank you, Sunil. I will now talk about key deal wins for Q4 by industry segments. Let me begin with Software, Hi-Tech and Emerging Industries, our largest vertical. Persistent was selected by one of the largest global technology companies to enable open-source software porting and validation for its flagship infrastructure offering both On Prem and Cloud. This is a mission critical offering to support large volume of data workloads

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for Fortune 500 companies. The benefit to the customer includes enhanced ecosystem play and accelerated support for various independent software vendors.

Persistent was selected by the Energy division of one of the largest European conglomerates to set up an Offshore Development Center to support research and development for its core energy instrumentation and control platform. This is the first large win for Persistent in the Energy sector in Europe. The benefit to the customer includes improved security posture and modernization of the core platform.

Persistent was selected by a leading consumer intelligence company as a strategic partner for its platform engineering and IT transformation initiatives. This includes migration from legacy middleware stack to open source technology as well as engineering, Artificial Intelligence, Machine Learning and security platforms. The benefit to the customer includes reduction in cost especially in the data capture and processing unit. Coming to Banking, Financial Services and Insurance. Persistent was selected by the financial services subsidiary of one of the largest automobile companies globally to drive new CRM experiences including automation of workflows for customer sales journey, contact center and marketing automation with real time offers. The benefit to the customer includes improved agent productivity, sales application closure time and revenue gains from real time recommendation.

Persistent was selected by a leading Fintech organization in the U.K. to build the next generation banking platform that will be marketed to neobanks and building societies in the U.K. and other emerging markets globally. This engagement leverages Persistent's digital banking solution and its digital engineering capabilities in the BFSI domain. The benefit to Persistent Systems Limited

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the customer includes revenue enhancements through new customer acquisitions.

Persistent was selected by one of the leading Indian banks to undertake transformation of its loan origination platform across different lines of businesses including vehicle finance, personal loans, consumer durable loans, housing loans, business loans and kisan credit schemes. This renewal deal is a significant testament to our capability in the digital transformation landscape in the Indian banking sector. The benefit to the customer includes substantial reduction in launching new products and cross sell and upsell of lending products. No

And, finally, within our Healthcare and Life Sciences vertical, Persistent was selected by one of the largest biopharmaceutical companies to build and launch a centralized Patient Relationship Management System that enables business capabilities such as patient enrollment and onboarding, access and reimbursement, patient engagement and operational performance reporting. The benefit to the customer includes increase in patients served and reduce turnaround time for benefit verification.

Persistent was selected by one of the largest drug wholesale company and a contract research organization as a technology partner to develop a modern data ingestion and analytics platform to support intelligent and efficient data insights requirements of the business. This deal win is unique since it involves close collaboration with one of the largest data warehousing company as well as with a hyperscaler. The benefit to the customer includes improved supply chain effectiveness.

Persistent was selected by one of the largest renal care services providers to build and support patient digital initiatives such as migration of patient facing clinical applications to a hyperscaler's Cloud platform and their integration with electronic medical record systems. The benefit to the Persistent Systems Limited

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customer includes

improved value based care to patients across all touch points.

Let me now talk about skill development and hyperscaler's partnerships. We continue to invest in training our teams on AI, ML and Gen AI tools with the current tally at around 950+ hyperscaler's and advanced certifications. 16,000+ of our developers and engineers are trained on code assist and productivity tools such as Microsoft GitHub Copilot, Amazon CodeWhisperer, Amazon Q and other modern application development tools.

Keeping up the momentum on our hyperscalers partnerships, we announced a population health management solution leveraging Microsoft Azure OpenAI service. Aligned with value based care models, the solution identifies social determinants of health to determine patients non-clinical needs and better predict the cost of care driven by clinical conditions. It helps patients receive quality care at the right time and in the right place while optimizing capacity and cost effectiveness for healthcare providers and organizations.

Lastly, we are thrilled to announce that we have expanded our partnership with IBM by signing the IBM Services Business Partner Agreement. This agreement will allow us to jointly work on deals with IBM as well as co-create end-to-end technology assets primarily focusing on the watsonx.data and AI platform.

Moving on to the awards and recognitions for the quarter from leading analyst firms. Q4 saw us get continued recognition from industry leading

analyst firms and associations. To mention a few, Dr. Anand Deshpande received Ernst & Young Entrepreneur of the Year Award 2023 in the services category. Persistent has been recognized for significant achievement in HR Excellence at the 14th CII National HR Excellence Award. Persistent Systems Limited

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for the year 2023-2024. Persistent was ranked as a leader for the second year in a row and a star performer by Everest Group for Software Product Engineering Services. Persistent has been named a Market Leader in the HFS Horizons Assuring the Generative Enterprise 2024 Horizon study. And, finally, Persistent achieved Partner of the Year with OutSystems for the sixth consecutive year for collaboration with clients for long term success delivering ROI and creating new solutions.

This completes the section on key wins and awards and recognitions. With this, let me hand it back to Sandeep.

Sandeep Kalra: Thank you, Saurabh. In summary, we continue to deliver robust revenue growth and healthy deal bookings in FY24 despite a difficult macro environment. We continue to work as a strategic partner with our customers enabling them to drive their key business imperatives. As we enter FY25, we remain confident in our ability to continue a healthy growth credit.

With this, we would like to conclude the prepared comments and would like to request the operator to open the floor for questions.

Moderator: Thank you sir. We will now open the call for Q&A session. We will wait for a few minutes until the queue assembles. We request participants to restrict to 2 questions and then return to queue for more questions. Please raise your hand from the 'Participant' tab on the screen and ask the question.

The first question is from Mehta Bhavik.

Bhavik Mehta: Hey, thank you and congrats for a good set of numbers. So, a couple of questions. Firstly, on the BFSI vertical, good to see growth coming back after a couple of quarters. I just want to understand was this broad based growth and should we expect that BFSI is bottomed out and we should see Persistent Systems Limited

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growth acceleration from here on? Any comments over there will be helpful.

Secondly, on the top client, you know, we have seen a decline for the past two quarters very sharply. So, just want to understand is there further headwinds ahead or is this the last of the ramp down we have seen? And what is the

trajectory going forward for that client?

And if a third question I may squeeze in on the margins. You know, we saw very strong growth this year but still the margins didn't expand. And, I think, for next year also we are aiming to maintain margins, so what kind of growth is required for us to see margin expansion come through? Thank you.

Sandeep Kalra: Sure. So, Bhavik, multiple questions there, so I'll try and address specifically. So, as far as the largest customer is concerned, look, some of the ramp downs are planned ramp downs. So, when we do larger deals, there are productivity things built year-on-year and so these are not any surprises. So, if there was any surprises that would have been told very clearly. So, all of this is planned ramp downs. So, we have a good trajectory, we know where we are headed. So, I don't think there is anything to worry about in the top customer or for that matter it is not a pattern.

Second part, when you talk about the margins growth, so look it is not lost on us that the market is tough outside. So, if you look at our peer results, growth is difficult to get in these environments. So, our first job is to make sure that we grow and grow at the industry leading growth rates. For that we have to do investments in sales and marketing, which are at a heightened level, coupled with the Gen AI kind of initiatives where we are all learning, we are all deploying our manpower to build capabilities on top

of the AI capabilities that we have. We have also opened Customer Experience Centers, as we announced in the last quarter across the U.S.,
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London and in Pune and so on. So, there's a lot of investment that is going in from a capability build perspective and winning against the bigger tiers and the mid tiers in difficult times. So, from that perspective rest assured as the headwinds kind of from an industry perspective subside, we have built enough muscle and the growth should take care of the margin expansion. But having said that, first focus is to make sure growth at reasonable margins is where it is.

Now coming to the BFSI side, so, again, one bigger theme that if you look at Persistent overall, BFSI, Healthcare and Life Sciences put together and even in tech companies, we are gaining ground as a challenger to the bigger firms. More and more, we are seeing a pattern where bigger customers are not very happy with the large incumbent providers that they have. We are being invited in. We are winning against these in the larger landscape and some of the ramp ups that you're seeing in different industry verticals are based on that. So, same thing is happening in BFSI as well. We have opened some fairly large accounts and they are on the ramp up.

So, that is the overall kind of commentary on the questions you had.

Bhavik Mehta : Thank you and all the best.

Sandeep Kalra: Thank you.

Moderator: Thank you. Next question is from Manik Taneja.

Manik Taneja: Hi. Thank you for the opportunity and once again congratulations for the steady execution, Sandeep. Just wanted to get your thoughts around a couple of aspects. Number one, on the Healthcare side we've seen very steady, very strong growth through the course of the last few quarters. How should we be thinking about near term growth in the Healthcare side,
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given this is largely being led by one large deal ramp up? That's question number one.

The second question was for Sunil. In terms of our revenue metrics break up, we see that the software license essentially has gone up in Q4 compared to Q3, which is unlike the usual seasonality. If you could help us understand what's driving that and how should we be thinking about this aspect? Thank you.

Sandeep Kalra: Sure. So, I'll take the first question and hand over the Sunil for the second answer. So, as far as the Healthca

re is concerned, so let me clarify. Yeah, we have had a fairly large win in a fairly large customer but that's not the only win that we have had. So, if you look at our Healthcare Life Sciences business, our team has been built over the last couple of years and we have put the muscle. I'm pretty happy with the way the team has shaped up and we have had multiple wins. So, one large win, multiple other wins in the middle kind of deal sizes is what is ramping up from our perspective. And I'm sure a lot of you would be curious, the pecking order for us for this financial year would be basically Healthcare Life Sciences followed by BFSI and Tech companies. BFSI and Tech companies will kind of, depending on the different quarters, be neck to neck or a little ahead of each other. So, that's where it is.

Sunil, over to you for the software license.

Sunil Sapre: Yeah. So, Manik, what is happening from our revenue mix perspective is the deals that we have had in the recent couple of quarters have a trend where we are taking on managed services deals. We are setting up Infrastructure Lab which require us to buy licenses on behalf of the clients. That is one.

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Second is, it's maybe a little too early and that has not reflected in the numbers but there is a trend in the market that the customers on their own, the enterprise customers are trying to convert CapEx into OpEx and when that happens that also becomes a software license cost which is coming in the purchase of software licences. So, not a heavy this one but, yes, this quarter did have all these transactions because of which you see higher cost.

Manik Taneja: Thank you. All the best for the future.

Moderator: Thank you. Next question is from Karan Uppal.

Karan Uppal: Yeah. Thanks for the opportunity. So, two questions from my side. Firstly, on M&A. The company is sitting on a decent cash balance, so any plans for M&A in FY25? And in what verticals and service lines are you looking out? That's one.

And second is on Europe. So, Europe has been soft for last you know 3-4 quarters, so what are the reasons for the same? And from strategic perspective also when management is targeting 2 billion revenue, how are you thinking about Europe's contribution in that?

Sandeep Kalra: Sure. So, from an M&A perspective, look, we have our focus on M&A. We definitely are looking at different assets at different points in time and, you know, depending on finding the right asset... And let me define our M&A strategy as well so that you can understand where we are going. So, we are looking at the cusp of Healthcare Life Sciences or BFSI and Data/AI. That's one part of it. Within Healthcare Life Sciences, we are predominantly looking at things like the payer-provider ecosystem or the payvider, if we may call it. That is one part where we are focused on. Similarly, within BFSI there are certain macro segments that we are focused on. In terms of geography, interestingly, we are looking at a Persistent Systems Limited

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combination of Western Europe from a business perspective, Eastern Europe from a delivery perspective. And in the last couple of years, given the conflict in that region, we had slowed down our M&A activity in that region but we will pick it up as we go along. And even at this point in time, as I said, at any point in time we are evaluating multiple different tuck-in acquisitions. We are not going to do acquisitions for revenue aggregation. These are capabilities, whether Gen AI, AI, Micro verticals and so on and so forth or our delivery presence in Eastern Europe. So, if we have something to announce over the next few months and quarters, we'll definitely come back but that's definitely an area of focus and that should also address some part of the void that we have in the European growth side.

Karan Uppal: The

second part was on Europe which has been soft for last 3-4 quarters.

So, any comments on that?

Sandeep Kalra: Yeah. So, from a Europe perspective, look, there is definitely focus that we are bringing onto it. So, if you look at our senior hires, we had brought in Barath to lead Europe along with our BFSI vertical. So, that's one part.

And, second, organically also we have been reinforcing the team and there will be some amount of M&A focus there as well. So, over the next several quarters we do hope to turn the corner on Europe in terms of growth.

Karan Uppal: Thanks and all the best.

Sandeep Kalra: Thank you.

Moderator: Thank you. The next question is from Abhishek Bhandari.

Abhishek Bhandari: Hi. Good morning to everyone. Sandeep, I have two questions. The first is on your growth distribution. If you look at the last two quarters, bulk of the growth is led by only Healthcare vertical. While, you know, we have seen some incremental improvement in BFSI, it is not really very material. Persistent Systems Limited

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So, if you could share some light about how you see the growth pattern across verticals in FY25.

Sandeep Kalra: Sure. So, you want to have the next question as well or...?

Abhishek Bhandari: Yeah. The next question is on the margin profile. While we understand that your medium term aspiration of 200 basis point remains unchanged but now that has got, you know, seem to have shifted by one year given that we're talking about margin remaining at current levels in FY25. Having said that, your onsite effort on this large projects may have peaked out. Do you think that may give you some near term lever to continue to invest into sales and yet give back something to the investors in terms of improvement in margin?

Sandeep Kalra: Sure. So, I think, the second question you have partly answered yourself.

So, if we look at it, yes, there are larger deals that we have won which start with certain amount of vendor consolidation at times onsite, which basically if you look at our financials and put a thread through the pattern there are some deals which are ramping up, contractor spend is going up and this is also a margin lever for us as we go ahead.

Look at the headcount that we have added. We've added significant headcount over the last two quarters, both on site and offshore. The offshore headcount is in the hope and expectation that as we do the offshore transitions, they will get deployed and so on.

So, there's a pattern if you put a thread through all this. Yes, there is a possibility of margin improvement. But, look, as I said before the market is tough, we don't expect it to be kind in terms of demand environments anytime soon and as we are also growing and as we are also competing with the large peers that we have and doing vendor consolidations, etcetera we want to keep that decision to us in terms of improving margin
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in this year versus doing the right thing by growth. Improving margin is an easier task versus getting higher growth. So, for this year we'll focus on growth and at any point in time if we can improve the margins, rest assured we'll do our best to improve the margins.

Now, in terms of the growth, while you said that HCLS is the only vertical with growth, yeah, predominantly yes. But BFSI also if you look at it, in an environment where most of our peer group, whoever you have seen the results from and what we see in the market, BFSI is a tough segment at this point in time. Squeezing out growth on a quarter on quarter basis means that there are more newer deals that are coming in. While we might be optimizing in the existing business as well, so rest assured, the focus is on different verticals, different service lines. Internally the way we are structured, there are different teams going after BFSI, different P/L leaders for Lifesciences, so and so

. So focus is on growth across, will let the year pan out but high level, Healthcare will lead the growth even for this year because of the pipeline that we have, because of the provisions that we have done, followed by BFSI, followed by Tech.

Abhishek Bhandari: Thanks Sandeep. Sandeep, maybe one last question. You know historically, our portfolio has been very discretionary in nature. Maybe in the last 3-4 yrs., we have made it more annuity-driven, long term contract driven. As things stand, in your assessment, you know how much left in discretionary amount is critical for you to hit a 14-15pc kind of growth. Do you think the pipeline is enough and the exit rate is enough for you to go to a double digit growth? Don't give me a number but you maintain that you will have an industrial rating growth in FY25. Some of your large peers are talking about a better FY25 than FY24.

Sandeep Kalra: So we have delivered, if you look at the financial year 24, we have delivered 14.5pc. If you look at the overall industry and take an average for our peers
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in the industry, whether you look at the Indian space or otherwise, it will not be more than 3-4pc at an average of all the service providers that we track. Now if you look at the last 3 yrs. as well, even before this, so the relative outperformance for Persistent has been fairly decent. And that has

been in the same environment where we have been asked this question about discretionary, non-discretionary. So rest assured, discretionary or non-discretionary, we are not waiting for the demand to come back, where we can deliver relative outperformance, we will and we are confident that this year should also pan out relatively well.

Abhishek Bhandari: Thanks Sandeep and all the best for fiscal 25.

Sandeep Kalra: Thank you.

Moderator: Thank you. The next question is from Ravi Menon.

Ravi Menon: Thank you. Sandeep, congratulations at the end of a good quarter. What I want to ask you about the top client. You said that this is a planned ramp down and that this is the last deal that you had signed in FY23. Is there any re-negotiation as well in this or this was just productivity improvement and other things that were baked in right from the time you signed the contract? Contract will say yes but the client actually changed any part of the contract or restructured it?

Sandeep Kalra: So Ravi, there is no re-negotiation. There is no contract opening. This is as per the contract we signed, as per the planned revenue profile for the years. So there is no concern on any of those kinds of issues that you talked about. So this is fairly straight forward, what was planned is what is being done.

Ravi Menon: Thanks. On SASVA, are you licensing this or are you just using this as something to bake into your bids and improve your win rights?

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Sandeep Kalra: Ya. Our clients have definitely asked us for the licensing order for this but our attempt here is not to use this as a product, but use this as an accelerator, as an IT that we will use so that we can retain the value and capture more value in services as we go around rather than just using it as another part of our Accelerite business or payments.

Ravi Menon: Thank you. Lastly on margins, can we think about margin improvement being possible when the demand environment improves? You were saying that you have over invested a bit, deliberately in sales. So can we see that normalize when demand comes back?

Sandeep Kalra: Yes absolutely and if you look at it, we have been saying this for some time and even if you were to follow our organization, if you look at the leaders that we have brought in, right from Ayon as the Chief Strategy and Growth Officer, Barath for Europe Financial Services, DB as the Chief Operating Officer and many others, so we are putting a muscle. What

ever it is a bad economy or a good economy, we are preparing ourselves to go to \$2 bn and much beyond. And so from our perspective, if the market conditions have become more amenable and the growth becomes easier because the demand comes back, you should definitely see the leverage of all these investments come.

Moderator: Thank you. The next question is from Sandeep Shah.

Sandeep Shah: Ya, thanks for the opportunity and congrats on the good set of numbers.

Sandeep, the 1st question is, entering FY25 versus entering FY24, based on client discussion, do you foresee some change in terms of the client pattern, in terms of discretionary spend because some of your peers on the hyper scalers are saying, "Cost optimization effort on the workload migration has been bottoming out." Some of your other global MNC peers who are into software products engineering. They are saying that some of the projects which were once stalled in terms of discretionary pattern have

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been coming back. Are you witnessing and if that turns out to be true, do you believe that FY25 could be better for us despite we are doing much better than the industry?

Sandeep Kalra: So we are not seeing any of that. We are seeing the same kind of demand environment that was there 2 quarters or 3 quarters back and we will be happy to see a change in the demand environment. And so should the demand environment change as I said earlier to Ravi as well, we will let it

pan out but we are preparing ourselves for a status quo in terms of the demand environment and performing relatively well within that.

Sandeep Shah: And Sandeep, coming to the margins, I think in search of changing the growth profile, from just being project based and a discretionary based, we even a managed services player. That will lead to many contracts where we may have to schedule a planned ramp down, we have to do slightly higher onsite efforts, slightly higher sub-contracting cost, so why we call out this like a one-off cost and this may postpone your margin achievement target of 200 -300bps. When do you expect that movement to start happening? Will it be FY26 or beyond that?

Sandeep Kalra: Look, there are multiple things that are happening. It is just not the large deal wins. If you look at it, we have been talking about how we are investing in Generative AI, how we have put labs together, how we have put customer experience centres together, how we have brought in overall management bandwidth and so on. So there are multiple things there and we are today preparing for an environment where we will increasingly fight for bigger deals against the bigger players. And this will become par for the course. Whatever the transaction costs are and so on and so forth. And as I said earlier, look, all these investments are to make sure we maintain our growth trajectory while maintaining the margins at where they are and as the demand environment makes it self amenable to more growth, I am
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pretty sure, with that and with time, all of these will have a better leverage and margins should improve. We remain committed to the next 2 -3yrs., 200-300 basis points and we have a line of sight to that.

Moderator: Thank you. The next question is from Mohit Jain.

Mohit Jain: Hi! First is on the TC V. It appears to me that TC V Y-o Y is little on the slower side. If I look at AC V, TCV on both sides, so is there a spillover or something that you guys are expecting from 1Q? Or is this just a reflection of the current environment we are in and this is the new normal for TC V?

Sandeep Kalra: So if you look at the TC V, you are comparing it with the earlier years and so on and so forth. The demand environment should be kept in mind. I don't think we are concerned about any slippage that happened in the last quarter which will come in this quarter and

so on and so forth. We are relatively ok with the TC V that we delivered. It can always be better and we will try to do better. But we are comfortable with where we landed with that and we have a decent pipeline.

Mohit Jay: And 2nd was on margins. You had 300 basis point margin benefit because of the earn-out reversal. But in the opening remark, I think there was this 200 basis points mentioned. So what is our recurring margin or true margin for this quarter?

Sandeep Kalra: Sunil, you want to take this?

Sunil Sapre: Ya, so the question over here is, how much of the earn-out reversal liability we have line of sight to recoup. So on multiple levers, both on the sub-contractor cost reduction because of onsite to offshore movement and purely the utilization improvement and some of the cost that we talked about were one time like the transition cost that we talked about and the travel cost that also happened in the last quarter. I think we have a good
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line of sight to have EBIT margins in the normal operations at the level of 14.5pc.

Moderator: Thank you. The next question is from Vibhor Singhal.

Vibhor Singhal: Hi! Thanks for taking my question and congrats Sandeep and team for a very strong execution yet again. Just 2 questions from my side. One is, Sandeep, I just wanted to check on the hi-tech segment. You mentioned that ex of the top client, the Hi-tech segment did grow in this quarter as well. What is the overall outlook in this segment going forward in FY25, again excluding the top client. Are the clients coming back on the spends and what is the kind of demand that we are expecting from that segment?

My 2nd question is a broader level question for Persistent as a company. Now that we are well over a billion dollars revenue in size, what are the challenges, company specific challenges that we see for ourselves? I mean we will keep aside the macro part which is of course same for everybody but as a company, I mean in terms of being able to win large managed services deal in terms of let's say, if there is more of past revenue which impacts our ability to expand margins, anything of those sorts which you believe are the things that you are probably taking at the top of your to-do list to tackle in the coming years?

Sandeep Kalra : As far as the hi-tech segment is concerned, you are right. Ex of the large customers, it definitely grew. Now Hi-tech segment is obviously facing the headwinds because of the enterprise customers. Enterprise customers face challenges in their business. Their downstream ability to buy from these enterprise software companies which is what comprises hi-tech for us pre-dominantly is under pressure. So we do expect that for the next few quarters, there will be pressure in this segment and we are trying to build our pipeline in a way that we can still deliver healthy growth and will let it pan out.

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Now coming to the company specific challenges which is fairly interesting. So I would say that it is not about challenges. It is about, as we scale, as we are invited more and more to the party in terms of being a challenge r, where there is a fatigue with the larger peers of ours, where people see a refreshing change in the technology capabilities that we have from bringing the product engineering tenets into the enterprise market or otherwise. Capabilities around generative AI, AI, other emerging technologies, where they really see the differentiation and they see a refreshing change in our agility in terms of our response. It's not just about what we do, how we do to the customer experience that we provide. It is definitely opening more doors for us. Now for us, obviously the challenge is to bring in the newer set of thinking, whether it is in terms of how do we mind our existing customers to become bigger and more re

levant or we

open newer accounts at scale where we are invited. So if you look at our management hires over the last 1yr., even in the last 2yrs., you will find that is where we have been incrementally building the muscle. I do think it's a very healthy challenge in your newer terminology and it is a very very good opportunity for us and that's where if you look at it, it is the 16th straight quarter of revenue increase and if you look at it, if you do a relative output performance in the sector, as I said, last year, the sector grew by about 3-4pc, we grew by about 14.5pc. And in the last 2yrs. and before that, we grew at 35pc each year, so I do think there is a great market opportunity for us and for us to grab it, bring the right skills, muscle and that's what we are focused on. It's all about execution now. Hopefully it answers your question.

Vibhor Singhal: Thank you.

Moderator: The next question is from Karan Danthi .

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Karan Danthi : Hi Sandeep, hi Sunil, hi Saurabh, thanks for taking my questions. SO 2 questions from me. It is interesting that your Life Sciences vertical is the healthiest because when we speak to enterprises, it's the Life Sciences vertical that use AI as mission critical. I think 9 out of 10 Top Life Sciences companies want to build LLMs by year end. So perhaps you can address the TAM, the competitive position, you know and how many more of these big deals can we win because it does seem like a vertical that's quite right for, you know businesses like yours to come in and help, hand hold through that process. that's the 1st question. The 2nd question would be, it is quite evident, if you speak to those who are close to the Cloud business that there has been an acceleration of consumption within the Cloud and the degree of acceleration can be debated but no doubt there is acceleration.

So how do we reconcile an AWS that could potentially re-accelerate to 20 - 25pc growth by year end. And the relative, I wouldn't say, it is just very neutral, I would say commentary from us on the lack of visibility ahead because it doesn't quite reconcile. Essentially the re can't be that much of a delta in the conversion rates from POCs to production, for Amazon versus you. So I would just be curious as to why this stark delta – is it just because a lot of their revenue is driven by clusters which you do not monetize as in GPU clusters which you do not monetize and it gets porous. Is the sequencing argument or you are missing something else? It will help to understand.

Sandeep Kalra: So Karan, I will be respectful of time. We have 3 minutes before the call has to finish. So I will try and answer your 1st question. 2nd, I think we can take it offline because it is a fairly long debate there. So if you look at the Life Sciences healthcare vertical overall, Healthcare vertical for us is broken into pharma /bio-pharma , scientific instruments , medical devices , payer and providers . If you look at the use d cases in terms of AI, we are involved in each one of these segments, whether it is in the research side with the Persistent Systems Limited

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pharma set of companies, whether it is providers like radiology where we are working with some of the leading firms in that, where we are working on building AI /ML solutions for them to further enhance the quality of output that a radiologist for example can bring to the market and even reduce the cost of the entire value chain right from patient recruitment to their end resulting delivered and have them increase revenue on one hand, decrease the cost on the other. Similarly in payer provider , there are multiple used cases that we are working on using AI /ML and Gen AI as well and we have talked about a few of these in our earning call today and earlier. As well as the other things are concerned, look, all the more part of the hyp

er scalers. If their revenues increase, I am pretty sure our revenues will follow as well. So we will closely watch that and we will take it offline in terms of the bigger discussion on consumption GPUs versus others and so on. Since we have only 2 minutes, I want to make sure that we take one more question before we close the call.

Moderator: Thank you and the next question is from Nitin Padmanabhan .

Nitin P admanabhan : 3 questions – so one is, couple of players I think in the earlier results have been talking about re-scoping of existing contracts that are coming up in between, so what's your thought on that within your portfolio? The 2nd thing is on BFSI. If you could just contrast BFSI in your portfolio, what it was maybe a year ago. How have the things changed in terms of dynamics? You mentioned that it continues to be a tough area but I think people have also been talking about bottoming out there, just your thoughts there with reference to your portfolio. And finally on managed services, how has managed services sort of been on the portfolio, maybe let's say 3yrs ago versus now as a percentage of revenue . Is it meaningful today than what it was? 3 questions – thank you.

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Sandeep Kalra: Nitin, we are really out of time so I will quickly go over all this. As far as re-scoping of contracts is concerned, I don't think we have seen any major re-scoping of contracts. There may be minor things which are part of the course . There is definitely you know at times, very large customers may come and, basically when your CO LA is due, try to not give the CO LA so on and so forth. We are seeing more of that rather than re-scoping. BFSI large customer dynamics, so we have been gainers of the phenomena where as I said before. Customers are not very happy with the larger incumbents . They are looking for challengers to come in and bring in the right technology capabilities and the agility that they need. That's where we have opened some fairly large logos and we are seeing some ramp-up there. That should only accelerate with time. Managed services, definitely if we were to look at it, simple things like what we are talking about, if you

listen to our earnings call in the past as well, private equity for example, we have become a private equity carveout specialist. So if private equity goes in, carves out at new co from a large company, new green field IT and then there is a managed services for the next 3 -5yrs. That's where we have won significant deals in the last 3yrs. And so there is a good proportion of managed services coming from things like that to our newer customers, existing customers and so on. So hopefully that gives you a colour . We are out of time. So I would want to, with this, take a pause here. So with this, I would like to close our call with the message that we are positive on our profits as we move into FY25. We would once again like to thank our 23,800+ team members, customers, partners, investors and all of you for support in our growth journey. Thank you for spending time with us on the call today. We look forward to connecting with you again in 3 months' time to provide an d update on our progress . Thank you. Operator, you may now close the call.

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Moderator: Thank you very much to the Persistent management. Ladies and gentlemen. On behalf of Persistent Systems Limited, that concludes today's conference. Thank you for joining us and you may now disconnect your line and exit the webinar . Thank you.

Call: Jul 2024

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July 24 , 2024

The Manager

Corporate Services

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra (E), Mumbai 400 051

Ref: Symbol: PERSISTENT The Manager

Corporate Services

BSE Limited

14th Floor, P J Towers, Dalal Street,

Mumbai 400 001

Ref: Scrip Code: 533179

Dear Sir/Madam,

Sub:

Ref: Transcript of the investor/analyst call held on Friday, July 19, 2024

Our earlier intimation under reference no. NSE & BSE / 2024-25 / 110 titled as

'Outcome and Audio call Recording of investor/analyst call held on Friday, July 19, 2024'

In continuation to the above-referred intimation and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the attached transcript of the investor/analyst call held on Friday, July 19, 2024, for the quarter ended on June 30, 2024.

The transcript of the investor/analyst call is also made available on the Company's website.

The link to access the same is as follows : Analyst-Call-Transcript-Q1FY25.pdf (persistent.com)

This is for your information and records.

Please acknowledge the receipt.

Thanking you,

Yours Sincerely,

For Persistent Systems Limited

Amit Atre

Company Secretary

ICSI Membership No. : A20507

Encl: As above

Persistent Systems Limited, Bhageerath, 402 Senapati Bapat Road, Pune 411 016, Maharashtra, India

CIN - L72300PN1990PLC05 6696

Tel: +91 (20) 670 30000 | Fax - +91 (20) 6703 0008 | E-mail - info@persistent.com | Website - www.persistent.com

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"PERSISTENT SYSTEMS LIMITED - EARNINGS CONFERENCE

CALL, FIRST QUARTER, FY25, ENDED JUNE 30, 2024"

July 19, 2024, 8:00 AM IST

MANAGEMENT :

Mr. Anand Deshpande

Chairman and Managing Director

Mr. Sandeep Kalra

Executive Director and Chief Executive Officer

Mr. Sunil Sapre

Executive Director

Mr. Vinit Teredesai

Chief Financial Officer

Mr. Saurabh Dwivedi

Head, Investor Relations

Moderator: Ladies and gentlemen, good day and welcome to Persistent Systems' Earnings Conference Call for the First quarter of FY25 ended June 30, 2024.

We have with us today on the call Dr. Anand Deshpande, Chairman and Managing Director, Mr. Sandeep Kalra, Executive Director and Chief Executive Officer, Mr. Vinit Teredesai, Chief Financial Officer, Mr. Sunil Sapre, Executive Director and Mr. Saurabh Dwivedi, Head of Investor Relations. Please note, all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after management's opening remarks. Should you need any assistance during the conference call, please raise your hand from the 'Participant' tab on the screen. While asking questions, request you to please identify yourself and your company. Please note this conference is being recorded. I now hand the conference over to Mr. Saurabh Dwivedi. Thank you and over to you, Sir.

Saurabh Dwivedi: Thank you, Moderator. Good Morning and Good Evening to everyone on this call. We're grateful for your participation and for spending time with us today. Before I hand over to Sandeep for his prepared remarks, I would like to update you of key changes to our reported metrics, which we normally do at the start of a new financial year. These changes are based on interactions with and inputs that we receive from analysts and investors throughout the year. Let me now update you of these changes. With respect to client engagement size, the new client buckets will include \$1 to \$5 million, \$5 to \$10 million, \$10 to \$20 million, \$20 to \$50 million, \$50 to \$75 million, and \$75 million plus. As you would have noticed, there are a few additional client buckets that we will be sharing going forward. We will be discontinuing the metric of top

one customer contribution as our revenues are increasingly getting broad-based and other larger customers are scaling up and entering the top 5 client bucket.

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Hence, going forward, we will be sharing revenue contribution from top 5, top 10, top 20, and top 50 accounts. We will also be sharing unbilled DSO in addition to the billed DSO information that we already provide in our analyst deck. I would like to draw your attention to the fact that, as part of our prepared remarks, we would primarily be comparing metrics to the same quarter of last year instead of focusing on quarter-on-quarter changes. Finally, let me talk about a statutory matter. Please be advised that as part of our prepared remarks and during Q&A, we may make certain statements which are forward-looking and may involve significant uncertainty. Persistent does not take any responsibility to update such forward-looking statements, and your discretion is warranted while making any decision. With this, let me hand over to Sandeep for his prepared remarks.

Sandeep Kalra: Thank you, Saurabh. Good Morning, Good Evening to all of you depending on where you're joining from. Let me begin with an important management update. Vinit Teredesai has taken over from Sunil Sapre as our new CFO. I would like to thank Sunil for his exemplary contributions to Persistent over the last 9+ years and for being a trusted partner in our shared journey at Persistent over the last 5+ years. Sunil will continue to be on our Board as an Executive Director till December 2024, when he is scheduled for superannuation. I would like to welcome Vinit as our new CFO. Vinit has had an illustrious career, most notably as CFO of LTIMindtree and KPIT. I look forward to a successful partnership with him.

over the next several years as we endeavor to take Persistent to newer heights. As we begin our journey into the new fiscal year, I am happy to report that we have achieved a strong growth of 5.6% quarter-on-quarter, translating into a 16% year-on-year growth. This marks our 17th sequential quarter of quarter-on-quarter growth.

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As always, I would like to thank our customers, partners, employees, analysts and shareholders who have contributed to and stood by us during our growth journey. In rupee terms, this growth comes in at 17.9% year-on-year and 5.7% quarter-on-quarter. EBIT for the quarter came in at 14%, an increase of 10.8% year-on-year. Profit after tax for the quarter was 11.2%. Please note that effective July 2024, we have awarded our regular salary hikes. Vin it will provide detailed color on the financials and margin movement later in this call. Coming to the order book for the quarter. The total contract value for the quarter came in at \$462.8 million with the total contract value of new bookings being \$310.8 million. The ACV or Annual Contract Value component of this TCV is \$337.3 million, of which the ACV from new bookings contributed to \$198.1 million. Please note that our revenue conversion on a quarterly basis is a function of ACV bookings done in previous quarters as well as conversion from multi-year deals that we have booked in previous years, which are included in our total contract value or TCV bookings that we report. As always, these TCV, ACV numbers include all bookings, small and large, renewals as well as new bookings, across existing and new customers.

Coming to the client engagement size:

Let me now give you some color on our client movement across various reported categories.

We witnessed healthy year-on-year growth among various client buckets with our top 5 customer revenue up 28%, top 10 up 21.5%, top 20 up 19.3%, and top 50 up by 19%. The contribution from top 10 customers is 41.5% in this quarter, an increase from 39.6% from same quarter last

year.

This is a demonstration of our ability to scale customer relationships significantly and often in competition with larger IT service providers. In

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this quarter, we reported 178 customers with annualized revenues over \$1 million.

Coming to the geographical performance:

In terms of year-on-year growth in USD terms, North America revenue grew by a healthy 18.2%, while India grew by 15.7%. Europe revenue declined 7.1% year-on-year, while rest of the world revenue grew by 65.6% year-on-year, albeit on a low base. The decline in Europe revenue is partly due to decline in our salesforce related business from that geography and rationalization of tail customers specific to the salesforce related business.

Let me now give you a color on this quarter's performance from an industry segment perspective:

This quarter's growth was led by healthcare life sciences and BFSI industry verticals. The two of them grew by 66.8% and 7.3% respectively, on a year-on-year basis. Software, hi-tech and emerging verticals grew at 2.4% year-on-year. I'm also pleased to share with you that our BFSI segment crossed the \$100 million revenue mark for the first time in our history.

Moving on from operational metrics to certain strategic highlights for the quarter:

We recently concluded our 34th Annual General Meeting, this week on 16th July. I'm pleased to share that all the resolutions that were put to vote have been approved by the shareholders with requisite majority. I would like to take a moment to thank all our retail as well as institutional shareholders for their support in this regard.

Coming to the Board updates:

The statutory term of 10 years for Ms. Roshini Bakshi as an Independent Director on our board has come to an end at our recently concluded AGM. I would like to thank her for her contributions over the years. During her tenure, Persistent has grown 4X to the current trailing 12 -month revenue of \$1.2 billion plus. The company has immensely benefited from her guidance, especially in the matters of strategy and M&A . I'm also pleased to welcome Ms. Anjali Joshi as an Independent Director on our Board. Ms. Joshi has more than 30 years of engineering and product management experience, including 13 years in senior product leadership roles at Google. She was instrumental in building and scaling several products globally, including Google Search and Google Maps. Prior to Google, she held engineering leadership positions at Covad Communications and AT&T Bell Labs. She's currently a Director at Xero, a leading cloud -based accounting software company based in New Zealand , and LocoNav , a startup in the domain of fleet management technology. She was previously a Director at Alteryx , Lattice Semiconductor, Iteris, MobileIron, and McClatchy. We look forward to leveraging her experience and guidance in the software and hi -tech domain to scale our company to greater heights.

On behalf of the Persistent family, I'm proud to share with you that our founder, Chairman, Dr. Anand Deshpande, received the 2023 Association for Computing Machinery (ACM) Presidential award for his contributions to the global computing community and ACM through his visionary leadership, strategic collaboration and commitment to advancing the field of computing science and engineering. On behalf of the entire Persistent family, I would like to take a moment to congratulate Anand on this prestigious achievement.

Coming to our strategic investments in AI :

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Our play in the AI domain has two broad vectors, AI for technology and AI for business. The AI for technology vector is all about transforming the way software gets developed. AI for business vector is about transforming enterprises right from business model t

ransformation, operational

transformation , data to insights and action, customer experience and leveraging generative AI. This approach is centered around three foundational pillars spanning across a shift to platform -based services from a human -based services approach, making strategic inorganic bets to complement our internal investments, and bringing the best of our partner ecosystem to our clients ' leverage.

SASVA is our state of the art generative and deterministic AI powered digital engineering platform that , combined with a modern engineering framework , is at the core of our AI for tech pr oposition. SASVA brings together our rich digital engineering heritage and human creativity with AI's limitless potential to deliver higher value and faster time -to-market for our customers and higher employee productivity for us. With respect to AI for business, we have developed a set of IPs and accelerators such as iAURA and GenAI Hub, which enable enterprises to speed up t he ad option of Gen AI use cases that are enterprise -grade, enterprise -safe, and enterprise -scale. We've also identified several horizontal use cases that are applicable across the industries that we service. One of such horizontal use cases around leveraging AI in the contact center space. We ha d been scouting for a suitable immediate target in this space as we continue to build internal capabilities. I'm happy to share that earlier in the month, w e announced our intent to acquire New Jersey based Starfish Associates. The integration of Starfish 's contact center platform with our existing unified communication offerings will enable us to significantly disrupt the domain and increase our traction with our existing customers on the back of AI -led innovations.

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We'll also leverage our robust partner ecosystem and their advanced AI solutions such as Google Contact Center AI, AWS Connect, advancements in Microsoft Teams to elevate our contact center modernization play with our customers. We are likely to close the transaction in the next 2 to 3 weeks and expect to start executing in line with our defined integration framework .

In Q1, we also signed a strategic partnership agreement with Google that further strengthens our hyperscaler-led offerings centered around AI-led industry solutions. This agreement will help us in driving joint go-to-market activities and accelerating digital transformation for enterprise customers globally.

Using Google's Cloud Gemini models , along with other innovative Google Technologies , we will develop industry -specific solutions to drive broad -based AI adoption. Additionally, as a specialized Global Systems Integration partner, we will be integrating and implementing Google Cloud Solutions at scale. Finally, we'll leverage the strategic partnership with Google Contact Center AI to accelerate the adoption of our integrated Unified Communications platform from our Starfish acquisition .

Let me give you a few examples of case studies from Q1 gone by.

We were selected as an engineering partner by a hyperscaler to perform audits of a multitude of solutions developed by different technology partners. Post audit by us, the certified solutions will get a badge of accreditation which will positively impact consumption of such certified solutions.

Persistent was selected by a leading American Financial Services Organization, managing over \$800 billion in assets to improve the Persistent Systems Limited

productivity of its multiple scrum teams, covering 300 + employees through the adoption of GitHub Copilot.

We are partnering with the customer in an outcome -driven engagement model and will be establishing an engineering productivity center of excellence to help adopt modern delivery practices embracing Gen AI and data -driven improvements .

We were selected by a leading

US -based payor that offers the largest not -for-profit Medicare / Medicaid Public health plan in the country with over 1.5 million members and over 8,000 providers , to modernize its aging provider -facing applications which have been hampered by outdated architecture and poor documentation. This engagement will leverage Gen AI to document existing functionality and our SASVA platform to help replace the legacy front -end with a modern interface for improved usability and maintainability .

Coming to the outlook and strategic direction on our AI initiatives. We remain steadfast in our approach to making AI integral to the entire Persistent operations , both from a service offering perspective and internal operations. With SASVA and other accelerators, we've pivoted to a platform -led services approach. Our goal in the longer term is to drive increased revenue and profit per employee as we progress through the AI adoption journey in the years to come. We will continue to provide updates on our AI initiatives in subsequent quarters.

Coming to an update on the revenue enhancement and cost optimization initiatives. As we embarked on our journey to 2 billion dollars, we've spawned off two company -wide initiatives. One focused on enhancing our service offerings and our approach in mining our strategic accounts and the other one on cost optimization.

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On the cost optimization and operational efficiency side, we have been

benchmarking our policies with respect to industry best -in-class whether on parameters like employee compensation and benefits, employee long - term incentive plans such as ESOP etc. Some of these will give us a one - time benefit while most of them are aimed at structurally balancing our cost base while enabling the right investments to fuel our growth aspirations.

In summary, we are pleased with our performance in Q1 FY25 in a challenging business environment. I would like to now invite Vinit to provide a detailed color on the quarterly financials and related matters, after which Saurabh will provide an overview of our key deal wins and awards and recognitions. I'll come back after Saurabh's comments to summarize our prepared comments before we open for the Q&A. Over to you, Vinit .

Vinit Teredesai : Thank you, Sandeep and Saurabh. Good morning , Afternoon, Evening everyone depending upon the time zone and thanks for joining this call.

First, I would like to thank Sunil for a smooth transition and helping me settle down. I would like to thank him on behalf of entire Persistent family for his significant contribution in this remarkable growth journey. I will now take you through the financial highlights for the quarter. Revenue for Q1 of FY25 was \$328.2 million and ₹27,371.7 billion registering a year -on-year growth of 16% and 17.9% respectively. EBIT for Q1 FY25 was ₹3,840.2 million growth of 10.8% year -on-year and 2.6% compared to Q4 of FY24. EBIT margin for the quarter was 14% compared to 14.9% in Q1 of FY24 and 14.5% in Q4 of FY24.

Let me give you a walkthrough of EBIT margin for Q1 compared to Q4 of FY24.

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There was a 60 bps impact on account of one -time visa costs, 210 basis point s impact of increase in subcontractor costs to support the onsite ramp up in key accounts, 70 basis point s on account of higher SG&A during the quarter.

However, as Sandeep mentioned earlier, as we started growth and our cost optimization programs for the fiscal year 2025 and beyond, the benefits will be visible strongly in the subsequent quarters. However, some partial benefits have also accrued in the current quarter. The tailwinds for the quarter are as follows :

- The increased utilization has benefited margins by 90 basis points
- Operational efficiencies contributed another 90 basis points
- Reversal of earnout credit

It pertaining to past acquisitions

contributed 60 basis points

- Change in the useful life of computer and networking assets contributed 40 basis points
- while employee benefit rationalization net of increased ESOP costs contributed 10 basis points

I would also like to elaborate on our approach to M&A. As a part of M&A business case, we assigned a part of purchase consideration for an acquisition to scalability of revenue and margin profile over a period of time.

This serves as a check and balance in case such revenue and margin uplift does not happen with our earnout liability being marked down in line with acquisition performance. Two of our acquisitions did not entirely pan out in line with our expectations and the lower consideration amount that we are liable to pay has been written back in our P&L.

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Moving on, the effective tax rate for the quarter was 23.5% compared to 25.5% in Q1 of FY24.

Profit after tax was ₹3,064.2 million, growth of 33.9% year -on-year on reported terms. As you would recollect last year in Q1 of FY24, profits after taxes reported had one -time exceptional spend impact on account of

company reaching billion -dollar revenue milestone. The growth in profits after tax in Q1 FY25 is 15.6% year -on-year after adjusting the impact of this exceptional spend net of taxes in Q1 of FY24. The PAT margin came at 11.2% in Q1 FY25. Earnings per share for Q1FY25 is ₹20 .10 per share compared to ₹15.30 per share.

Cash generation in this quarter was better compared to Q1 of FY24 despite major outflows on annual benefit payouts and renewals of few enterprise applications. Operating cash flow to PAT for Q1 of FY25 was 49.3 % compared to negative 23.5 % during same time last year. We continue to maintain our focus on operating efficiency and working capital and expect our cash generation from operations to improve in the next few quarters. Due to internal re -organization of business operations, our invoicing was delayed in Q1 of FY25 resulting in our billed DSO remaining flat year on year while unbilled DSO increasing by 4 days to 25 days year -on-year respectively. We continue to focus on invoicing in time and improve our collections in the next few quarters. Our cash and investment balance, net of borrowings were ₹18,258.4 million or \$219 million. As we continue to grow, we are committed to maintaining our focus on optimizing our cost and at the same time, make the right investments in business. The net effect of the same will result in improvement of our operating and net margins in the subsequent quarters.

Now let me give you some key operational updates.

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At the end of Q1, our total headcount stood at 23,519, an increase of 389 from Q1 of last fiscal year. Compared to the previous quarter i.e. Q4, our headcount has declined by 331. We have optimized unbilled headcount over the course of last 4 quarters by hiring selectively for billable roles . With this, the blended utilization for Q1 came in at 82.1 % compared to 78.3 % in Q1 of FY24. Utilization in the previous quarter, that is Q4 was 80 %. As mentioned earlier, this contributed to our margin performance in this quarter.

Trailing 12-month attrition for the quarter came in at 11.9 % compared to 15.5 % in Q1 of last year. Attrition has come down to a comfortable band for the past few quarters in line with the industry trend.

I am happy to share that we have published the 3rd edition of our ESG report highlighting the progress we have made against the stated ESG goals . This report is available on our website under Environmental, Social and Governance Section. We encourage our listeners to go through the report .

As we have mentioned in our earlier analyst calls, our aspiration is to achieve carbon neutrality for Scope 1 and Scope 2 emissions and 100 %

renewable energy sourcing by middle of FY25. We are also working towards net -zero carbon emissions well ahead of 2050 target set by the Science Based Targets initiative (SBTi) .

Let me now hand over to Saurabh for deal wins and recognitions during the quarter.

Saurabh Dwivedi : Thank you , Vinit. I will now talk about key deal wins in Q1 by industry segments.

Let me begin with Software , Hi-tech and Emerging Industries , our largest vertical.

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Persistent was selected by one of the largest US -based technology companies to provide engineering, deployment and support services for its cloud offering on a tier 1 virtual server platform. This is a 5 -year \$50mn + deal in which the benefit to the customer includes accelerated roadmap for its Cloud offering with predictable transition of engineering and support effort to offshore.

Persistent was selected by leading Network Lifecycle Automation company based in Europe to consolidate R&D operations spread across multiple geographies and drive productivity enhancements. Persistent's expertise

in Service Assurance, Observability and AI Ops were the key differentiators in winning this engagement. The benefit to the customer includes acceleration of AI, data and SaaS-focused roadmap through consolidation of distributed effort.

Persistent was selected by a leading application security testing business which has been carved out by leading private equity firms from one of the largest semi-conductor design software companies to undertake greenfield setup of IT infrastructure and security operations. This 5-year modernization and managed services deal is a recognition of Persistent as a trusted partner for leading private equity companies. The benefit to the customer includes on-time transition to an IT infrastructure independent of its parent.

Coming to banking, financial services and insurance.

Persistent was selected by one of the largest US-based financial services and wealth management firms to modernize customer data applications, business KPIs across Risk & Sales functions and implementation of the Gen AI roadmap. This engagement will leverage Persistent's Data and Gen AI access including iAURA and GenAI hub. The benefit to the customer
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includes engaging with a nimble strategic partner in the domain of data engineering to modernize its customer-facing operations.

Persistent was selected by one of the largest US-based Fintech companies to build a cloud-native payment rail solution to enable real-time payments for its customers. Persistent's expertise in the payment's domain and in building microservices-based architecture was a key differentiator in winning this engagement. The benefit to the customer includes building Payments as a Service platform in line with its strategy of becoming a third-party service provider for other financial institutions.

Persistent was selected by one of the largest banks in the APAC region to modernize its banking platforms to be used by 5,000+ business banking staff and end-to-end digitization of decisioning and processes for lending to business banking customers. The benefit to the customer includes modernization of legacy technology and non-digitized processes leading to improvement in business banking customers' NPS.

And finally, within our healthcare & life sciences vertical :

Persistent was selected by one of the leading precision oncology companies for the enhancement of its Assay Control Software to keep track of samples processed as well as usage of reagents and instruments. Persistent was selected for its expertise in the bioinformatics and laboratory information systems domain. The benefit to the customer includes better turnaround time and reduction of errors due to manual entry processes.

Persistent was selected by one of the largest US

-based multinational

health insurance company to migrate its current on-prem Clinical and Claim Datawarehouse to a cloud-based platform using Microsoft Azure, Data bricks and Data Build Tool (DBT) framework. The benefit to the
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customer includes efficient storage and transportation of data to run faster analytics for actionable business insights.

And finally , Persistent was selected by one of the leading US-based diagnostic companies to undertake product lifecycle management of its critical applications related to genetic condition diagnostics. Persistent was selected for its product engineering capabilities in the genomics domain.

The benefit to the customer includes partnering with a trusted offshore engineering partner for accelerated roadmap of its critical applications. Moving on to the awards and recognitions for the quarter from leading analyst firms.

Q1 saw us get continued recognition from industry-leading analyst firms and associations. To mention a few :

Persistent was recognized by ISG in the following categories :

- Persistent was ranked as a leader for Digital Engineering Services by ISG in the US and Europe 2024 , and
- Persistent has been recognized as a leader and rising star in ISG's Provider Lens TM Salesforce Ecosystem Partners 2024 report.

Persistent was ranked as a leader in HFS Hi -Tech Services 2024 for Platform Engineering Expertise.

Persistent has achieved Premier Services Partner status with Snowflake which is a testament to Persistent's expertise in building and modernizing clients ' data platforms, developing innovative solutions and migrating data on the Snowflake Data Cloud.

Persistent won the Masters of Risk Award in the Risk Governance category at the CNBC TV18 India Risk Management Awards , and Persistent was Persistent Systems Limited

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recognized for Excellence in Governance and Executive Leadership at Institutional Investors 2024, Asia Executive Team Awards.

This completes the section on key wins and Awards and Recognitions and let me hand it back to Sandeep.

Sandeep Kalra: Thank you , Saurabh. In summary, we have started FY25 on a positive note delivering a strong revenue growth in Q1. We are confident that the various revenue enhancement as well as cost optimization initiatives that we are working on , will provide us a significant boost in margins as we exit FY25. With these, our endeavor is to deliver a healthy revenue growth for the full year FY25 and a similar margin profile as we delivered in FY24. We remain committed to our margin improvement guidance of 200 -300 basis points over the next couple of years as we scale our business. With this, I would like to conclude the prepared comments and would like to request Sunil to make a few comments before we request the operator to open the floor for questions. Sunil, over to you.

Sunil Sapre: Thank you , Sandeep and would just like to take a moment to thank Anand, Sandeep and the entire Board for the trust and confidence imposed in me in my role as the CFO and also to all our senior leaders and fellow employees in our growth journey. When I joined the company, it was about \$350 million company. Today it is almost \$1.2bn+ run rate, so it has been a very satisfying kind of a period. Lot of intense activity . And I must thank you all, for all the valuable insights, insightful questions and many times keeping us on our toes and am sure you will continue to do that which is a very balancing role that you guys play. I am very happy and would like to welcome Vin it. He has been a good friend and settling down very well and am sure the company is in safe hands. So wish you all the best , Vinit and I hand it back to you , Sandeep.

Sandeep Kalra: Thank you. Operator, please open the floor for questions . Persistent Systems Limited

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Moderator: Thank you , Sir. We will now

open the call for Q&A session. We will wait for few minutes until the queue assembles. We request participants to restrict to 2 questions and return to the queue for more questions. Please raise your hand from the participant tab on the screen to ask any question. The first question is from Abhishek Bhandari.

Abhishek Bhandari: Thank you for the opportunity. First of all, Sunil Sir, all the best for your future. It was really nice interacting with you and Vin it, welcome to the new role. Sandeep, my first question is on slide 13 of your investor presentation. You know, for the last 3 quarters, bulk of our growth is led by this healthcare account. 2 questions there. 1 - how much more growth potential do you see in this vertical and the large account, what has been driving bulk of the growth here or is it broad -based, if you can clarify that? And 2, how should we think about your Hi -tech vertical which has been kind of stagnant for the last 3 -4 quarters? When do you see the growth will return in that , and what would drive a growth improvement?

Sandeep Kalra: Sure! As far as the healthcare segment is concerned, it is not just one

account. It is a multitude of accounts that are responsible for the growth. So, rest assured, it is a broadbased growth. While yes, bigger deals do drive significant part but at times, if you look at our journey, we have said it repeatedly, we have rebooted our healthcare vertical for the last 2 years. We have brought in a new set of leaders in that and we are continuing to invest on an ongoing basis. So we are confident that the growth journey will continue in healthcare and we have said this for the last several quarters as well. As far as the Hi-Tech segment is concerned, if you compare the Hi-Tech segment from an engineering perspective, we have done fairly well. The hi-tech segment comprises of various different things in that. If we look at our order book for this quarter itself, we are fairly confident that hi-tech segment will also grow. So, from our perspective, compared to the industry that we live in and we are a part of a much bigger Persistent Systems Limited

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pond. If you look at our competition, the hi-tech segment, the trend is pretty visible in other results as well over the quarters. We have done relatively better, we will try to do even better and I am pretty confident that will also return to a very healthy growth. So, from our perspective, it will be a secular growth, led by healthcare lifesciences followed by BFSI and hi-tech and look, for several years, hi-tech took the lead. So, it's going to be one or the other segment as a company, as a team. It's basically going to be like a portfolio where we will continue to grow and sometimes one vertical will grow more than the other and sometimes the other. So we are fairly confident across verticals.

Abhishek Bhandari: Thanks Sandeep. Sandeep, my 2nd and last question is on growth. You know, in the last quarter call you had said that you were aspiring for a growth similar to FY24 level with similar margins. Q1 has been on a very strong footing at 5.6 % growth and incrementally, some of the peers which have reported so far are not talking about bad news worsening from here. So, should we think, given this strong start what you had at the start of Q1, there could be a growth outlook for FY25 which is better than FY24?

Sandeep Kalra: Abhishek, you know very clearly that we don't give forward-looking guidance. All I can say is this, whether it was the covid times or thereafter, whether it was a bad macro or good, this is our 17th sequential quarter of growth. As a team, we are committed to delivering our best. We have delivered a fairly strong starting run rate and the journey well-started is half the journey done. So let the quarter pan out. We are confident of delivering good growth and as I have said before in the pre

pared

comments as well, while our margins came in at 14 % from an EBIT perspective, we have very clearly set our aspiration and that is to deliver the 14.5 % or so that we delivered the last full year and we are at it. We'll let the rest pan out.

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Abhishek Bhandari: Thanks Sandeep and all the best for fiscal 25.

Moderator: Thank you. The next question is from Mohit Jain.

Mohit Jain: Sir, just one question on margins. There were lot of one-offs in this quarter. So in Q2, how do you see some of these one-offs reversing potentially and the impact of wage hikes that we should build in for 2nd quarter?

Sandeep Kalra: Sure, I will make a high-level comment and I will have Vin answer the rest.

If you look at it, in any business, there are always going to be puts and takes. So, if you look at what we said in the prepared comments, so we said, for the last several quarters, we have been looking at benchmarking our policies whether they are employee compensation and benefits, whether they are things like how do we depreciate our assets etc., we involved a 3rd party consultant to benchmark us against the best in class. If you look at our long-term incentives, things like ESOPs etc., we are the best in class. So we need to make sure that as we have grown from being a half a billion dollar company 5 years back to a run rate of \$1.2 billion and we are competing increasingly with the best in class, tier 1s from India, tier 1s

from global, we need to benchmark ourselves. So we have re-adjusted as we started this financial year, some of our policies which will give us a one-time gain in some cases and a one-time hit in some cases, so there are going to be some one-offs on that. And structurally, there is going to be a re-adjustment of the margins going ahead on some of the things that we change. Similarly, on the M&A side, when we do an M&A, as Vinit explained, we build a business case. The business case is built on upfront money that we give, a certain amount of earnouts, which are linked to the revenue increase and the margins being delivered, and all of this is factored into the P&L. Now either these companies perform jointly with us in terms of synergy revenues and hence we see the profit and revenue go up or if that doesn't happen, then obviously we have to claw back

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whatever was supposed to be the earnouts so that we are being good to the companies that we acquired but we are also managing our P&L. So there are always going to be puts and takes, sometimes one-offs will also come but we are pretty confident, even including salary, wage increases etc., we will deliver a healthy margin for Q2 and by the time we exit the full year, our margins should be at a level where we should have come to the full year, aspirationally, at the same level as the last year and set the run rate for margin improvement for the years to come. Vinit, please give more color.

Vinit Teredesai: Ya, so Mohit, couple of things in addition to what Sandeep said. One, you know, the growth will itself take care of a lot of the margin issues. The 2nd part, while this looks to be a one-off, you will also have to look at the fact that there are 2 aspects to it. One, some of these costs don't get recurred and hit our P&L on an ongoing basis. Two, the rationalization of some of the compensation and benefit doesn't happen in one go. It happens over a period of time, depending upon the geography and depending upon the regulatory framework from which we are doing that alignment. So we have couple of other things that will also pan out during the year and have a benefit coming into it. The 3rd, as I mentioned in my opening comments, there is a cost optimization program that has been launched, whereby we are focusing on improving our operational efficiency.

That program

kickstarted in Q1. Some of the benefits, we already achieved in Q1 but the larger benefits will be coming up in the subsequent quarters. When we decided to make a change and give increments to our people, we had all factored in some of these headwinds that were going to come but at the same time, we were also going to get a lot of these tailwinds through some of these initiatives that are already ongoing. We are pretty confident, at the end of the year to not only at least meet our FY24 margins but probably even exceed it.

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Mohit Jain: Depreciation is the new run-rate, is it?

Vinit Teredesai: It is going to be new run-rate. So there is one adjustment that has happened for the quarter but this is going to be a recurring reduction in our depreciation and amortization.

Mohit Jain: Okay. And last on subcon, this number was very high for this quarter. Now should we expect, and this is also a one time, or do you think this will sustain the few quarters and then come off as part of natural growth?

Vinit Teredesai: So, see subcons are basically taken into consideration to do a quick ramp up. Eventually, over a period of time, there is a plan being put in place whereby the subcons will get replaced with our own employees. But that's a structured plan. At this point of time, more important factor is that growth is on our table. We want to capture that growth and eventually the impact of that higher cost rounding into our own FTEs and reducing our cost and improving our margins will come into play over a period of time.

Mohit Jain: Thank you.

Moderator: Thank you. The next question is from Suraj Malu.

Suraj Malu: Thank you, sir, for this opportunity . I had one question , can you just help me understand with an example , what does Starfish do , like, just a use case to understand in greater detail ?

Sandeep Kalra : Perfect . So, Suraj , Starfish basically has a platform which can help manage multiple different contact center technologies in larger, let's say fortune 500, kind of an organization. You know, there's a percolation of, let's say Teams on this side and Avaya, Genes ys and others . So, on one side, you have to manage multiple different technologies that can come into play through various acquisitions or organic system builds in different parts of the organization. On the other side, they also have the ability to migrate to the latest technologies like an AWS Connect and so on and so forth . So, Persistent Systems Limited

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the play for them so far has been managing multiple different contact center technologies, modernization of contact centers, etc. to provide better customer experience and enable business models. Where we are going to focus with them is on integrating things like Google Contact Center AI and even accelerating the path to things li ke AWS Connect and so on and so forth. So, for us, it's a much bigger play taking the technology that they are bringing in, building it along with our partner IP, whether it's Goog le, AWS or Microsoft, and helping our enterprise customers leverage the power of Gen AI as it unfolds.

Suraj Malu: Got it. Thank you.

Moderator: Thank you. The next question is from Dipesh Mehta .

Dipesh Mehta: Thanks for the opportunity. A couple of questions. First, about the employee policy change, which you referred to. Now attrition seems to be a slight inch -up. So, if you can give some sense about attrition and some of these policy changes, how employees are taking it in terms of their overall compensation and related implications ?

The second question is about Hi-Tech . You partly alluded to it in terms of engineering segment did well, but overall performance was still weak . So, if you can help us understand which area is seeing a headwind leading to muted revenue growth for the last few quarters? And Salesforc

e also, you

partly touch ed upon how in terms of where headwind were there particularly in Europe ? So, if you can give some comments about how Salesforce Ecosystem is playing out for us ? Thank you.

Sandeep Kalra : Sure . So, I'll start the reverse way and then I'll also have Vinit help me with this. So, on the Salesforce part , look , the issues that we have in Salesforce in Europe are our own. I don't think it is linked to Salesforce as a company or Salesforce as a segment . So, when we acquired the companies, if you Persistent Systems Limited

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remember there were two companies that we had acquired, one at \$13 million in revenue , one at \$6.5 million in revenue . All these acquisitions are in the last 5 to 7 years. Now, obviously, with them, we acquired a certain customer base because at that certain revenue base, their customer base comprised of companies large and small. All we are trying to do is to slowly, as the contracts come up, we are trying to basically rationalize the long tail. We are not trying to renew the contracts where, you know, the contracts are much smaller, companies don't have the propensity to grow with us and so on . So, there's a certain amount of rationalization that we have been incrementally doing over the last four years . So, that's as far as Salesforce Europe is concerned. And our endeavor is to grow accounts at a profitable clip , accounts that have a propensity t o become bigger accounts for us across multiple different service lines and so on . So, that is the part in Salesforce in Europe . Our Salesforce business across the US or in India or APAC broadly, which includes Australia, is growing fairly health ily. So, if I look at the net Salesforce business for Persistent , going very well, these are adjustments that we need to do to take care of our own profitability and growth ambitions in the right way.

The second part, you talked about the Hi-Tech side. So, look, Hi-Tech is an

interesting market when the macro goes up or down , now the enterprises don't invest that much in a bad macro in buying newer software licenses or, you know, implementing more modules, etc. that basically impacts our customers and their ability to invest. And of late , we have seen some amount of green shoot in that. Plus, we have also doubled down with our platform play. Our platform play with SASVA is being taken in a very positive manner, especially in the private equity enterprise software intersection . So, we have seen some green shoots, we have booked some good orders, and we are fairly reasonably confident that Hi-Tech , which Persistent Systems Limited

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had been traditionally a very good growth engine for us, will also become a good growth engine for us going ahead over the next several quarters. Now, in terms of the employee attrition, etc., the employee attrition went up a little bit for us. It's a combination of two things. One, you know, the market environment, which I would say is relatively stable, just a little bit green shoots emerging there for some of the providers, not all, as you may also have seen.

Second part is where we are optimizing , where if we are looking at our own talent pool, and if we look at our talent pool and see the people who are not being able to be deployed over a number of quarters, then it is upon us to make sure that we are optimizing. If we cannot give someone a career path, they are better off going somewhere else and having a career path somewhere else. And so , we are on that journey where we have made sure that we have optimized for cost, put money where our growth is, that's where our utilization has also moved up. And partly that has also led to a little lower margin, if I may say so, in the last quarter, because whatever rationalization we have done, whatever severances we have to pay, we have baked that in. And that's also a margin lever for us

going ahead in Q2

and beyond . And the policy changes that we are doing are nothing that hit the basics of the employee compensation. These are, you know, to balance , where on one side, we are giving employees the employee stock options, which have a fairly good upside for them and wherever the policies are archaic, we are taking that out . So, that's there. Vinit, if you want to add anything to it, please .

Vinit Teredesai : Well, just two things . When we look at compensation and benefit, we look at it in a holistic manner, not in a each component manner . When we look at our overall compensation and benefits compared to the industry, I think so our average compensation is far better than the industry.
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Second, as Sandeep rightly said, it includes employee stock options, which has been given to a pretty large population in Persistent. We are one of the best in class whereby we have given the stock options.

The third aspect is also to look at the fact that we are one of the few companies who has rolled out increments well in time. So, you know, people also welcome that perspective when some of these initiatives are being taken into consideration.

Moderator: Thank you. The next question is from Rishi Jhunjhunwala.

Rishi Jhunjhunwal a: Yeah. Hi thanks for the opportunity. A couple of questions , firstly on margins. So, what are the wage hike s that we have decided and when is it going to roll out?

And just in terms of the initiatives that we are taking to optimize cost, is there kind of trajectory that we can build in, in terms of which areas are going to see benefit from that over what period of time?

Vinit Teredesai : So, wage hikes while I don't want to call out the specific number, it is pretty much in the range of what the typical industry hikes have been given at this point of time, which ever companies have rolled out , our wage hikes are pretty much in line with that . And typically, you would anticipate the impact on profitability anywhere between 1 50 basis points to around 200 basis points. Now, that will get offset by a couple of these cost optimization

measures that we have talked about.

One, utilization obviously there is, while we have improved it in this quarter, there is some further scope to do utilization improvement.

Second, we are doing a lot of right-shoring. So, all these ramp ups that have happened on onsite in the beginning of the current year, those will get sort of right-shored over a period of time. So, as a part of that, that will come up as well.

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The third portion, we are also looking at our SG&A spend. We have invested sufficiently in the last couple of quarters. I think now we have reached a stage whereby our growth momentum can continue without making any incremental massive investments into SG&A.

Rishi Jhunjhunwal a: Thanks. And just a second question on revenues. Right. So, clearly you know, such strong revenue growth is also a function of the large deal ramp up that is happening, which is reflected in increased subcon costs as well, which is probably mostly onsite. So, there will be a shift that will start happening from onsite to offshore once the deal ramp up is kind of stabilized. So just wanted to understand, how many quarters do you think, after which it will start happening and whether should we expect any kind of deflationary pressures from that which will be difficult to offset, say, in the second half of the year?

Sandeep Kalra : So, Rishi, look at it this way, the deflationary pressure will come if we don't have a strong order book quarter-on-quarter. So, the way we are looking at it is, the deals that we have booked, they will have an impact in terms of offshoring over the next several quarters. It's not a bulk of it happening in one particular quarter very soon. So, these

are things that take place over a period of time. And the fact that we have been booking very good, order wins on an ACV basis, it basically will supplement the growth that we need to have. So, net-net we are confident of growing healthily between optimizing and the New Order book. So, I don't think we should be worried about it.

Rishi Jhunjhunwal a: And Sandeep, this ramp up is still ongoing or we have kind of matured in that, just trying to understand, whether it still has 1 or 2 quarter runway?

Sandeep Kalra : So, look, the fact is that this is not one customer, one large deal. This is multiple customers, multiple deals within that. Within which there may be customers, where there are multiple large deals. So, I would say a

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significant part of the initial set of large deal wins have been ramped up. There is still more headroom for us to ramp up and then our endeavor is to continue winning deals, whether in the same vertical or the other verticals. And as I said, sometimes one vertical will take leadership, sometimes the other. So, overall, I do think the growth journey will continue.

Rishi Jhunjhunwal a: Okay. Thank you. All the best guys.

Moderator: Thank you. The next question is from Kawaljeet Saluja.

Kawaljeet Saluja: Hi, Sandeep. Fabulous revenue growth performance. Congratulations! You know let's talk about something which is a little bit what I would say tad disappointing, which is on profitability. Now, if you look at the underlying EBIT in the quarter, Sandeep, it stands at 9.5% if you remove those you know, earnout provision reversals, etc., and this is even before wage revision. Now I'm just trying to understand what are the nature of contracts actually, which has brought down the underlying EBIT margin to 9.5%. Typically, strong revenue growth is associated with margin improvement but of course, I understand that there are idiosyncratic contracts. I'm just trying to understand the true profitability of the new incremental business that you are winning.

Sandeep Kalra : Yeah. So, Kawaljeet look, again, as I said, there are always going to be puts and takes and there are puts and takes that you take knowing fairly well how the entire P&L is going to pan out. And so, from our perspective, there

are order wins that we have done where there may be transition costs involved. And there are always ways and means of booking the transition costs upfront if you want to. And some people do defray the costs of transition over a period of time and so on . So, without going into too many details, there are seven minutes in this call. I would say the way you are looking at it , may be one way of looking at it, but if you look at the overall Persistent Systems Limited

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profitability of the business, the levers that we have talked about, whether it is offshoring of certain of these large deals and not just one account, these are multiple deals, multiple accounts. The deal wins that have panned out with offshoring , that will happen. And then there are the cost initiatives that we have taken on ourselves and we have also booked some cost in terms of severances, etc., in Q1. And so, if you put all of these together as operators of this business, I can say with confidence, we know that we are headed into a year where we will optimize margins despite wage hikes, and by the time we exit our run rate exit should be pretty healthy and our full year should be more or less in line with what we delivered last year. Rest , I will let the time pan out .

Kawaljeet Saluja: No, I take your point, Sandeep at the end of the day, you have to take a portfolio call, but just persisting on this you know, see, essentially some of the things on which you're getting benefit, like, let's say, reversal of earn out provision. It would not be there next year. Right? So, I'm just trying to

understand what's the true underlying nature of profitability ? I mean, you know, you've basically stopped, let's say tenure-based incentive plan on stock options for employees. So, again, there's a lumpy tailwind, right , which will not recur . I'm just trying to understand what are the true underlying profitability in FY25, as such ? I understand the call on the business and portfolio.

Sandeep Kalra : Right . So, let's just take your example in point . So, when we swap one compensation benefit for the other , so, while there is a lumpy gain on one, there's a lumpy cost on the other. The cost on the employee stock option plans , if you understand how the employee stock option plans are run, there is higher upfront cost, and we have been one of the best companies in terms of, best coverage of our employees, which we rightfully have a need to do because we are one of the best performing companies . So, when you give a broader based employee stock option plan, the hit in the Persistent Systems Limited

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first few quarters or the first year is the highest. Now, if you are swapping in the benefit for ESOPs with an archaic benefit which you have to accrue and has no meaning, it is a prudent call. It is not to be just looked at one on one side and the other on an absolute other side . So, it's basically netting off , if you net that off, we are good . So, I think devil is always in the details and I wouldn't want to bore 300 people on an earnings call with the details . So, we can have an offline discussion. But I'm pretty reasonably confident the underlying business profitability is fairly good and as I said before, we have taken certain calls which are important to optimize our costs. And when we are optimizing for costs on the employee front, we have severances, which we have paid in the first quarter . So, puts and takes 14% we have delivered . 14.5% is what we delivered last year. Our endeavor is to get full year to that, and you are also here , we are also here , we'll let it pan out.

Vinit Teredesai : Now let me add two things Kawal, to this . One, yes, if the earnout credits are not there on quarter on quarter , but you look at the fact that if the acquisitions that we have done , pan out to the way we are anticipating, they will get reflected in both our growth as well as on margins.

Second, you have to also look at that some of the , when we do the rationalization of employee compensation and benefit, some benefits come up in a quarter, but you have to also look at the fact that there is a recurring cost that is avoided from a future perspective . So, to that extent,

my forward-looking cost has also come down.

Third, these programs that we have launched, we started, as you know, any growth or cost optimization program that gets started, in the initial phase, you only get partial benefits, while the cost associated with launching that program and executing that program is much higher. The subsequent quarters, the cost sort of gets rationalized, but the benefits are

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much multifold. So, you keep that in mind, we have done our own analysis. If we go on the growth path that is being achieved, we are pretty much confident that we will be able to achieve the margin trajectory that we are anticipating.

Kawaljeet Saluja: Okay. Fantastic. Thank you so much. Vinit, you know there are some rough edges, which I'll just clarify with you maybe post the earnings call. But thanks a lot for the detailed explanation both Sandeep and you.

Moderator: Thank you. The next question is from Sandeep Shah.

Sandeep Shah: Yeah, thanks for the opportunity, Sandeep wanted to understand if the 5.6% growth was in line with your expectation at the start of the quarter, or because there are higher on-site efforts also which might have led to this? And is it also the pass-through sales being higher because the

cause the

software license cost has gone up to 7% from 5.8%? And if it is higher than your expectation, is it led by a pickup in the discretionary IT spend? That's question number 1.

Question number 2 is an extension to a previous question. The margin heavy lifting might have to be done in the second half versus first half. And we are expecting a healthy run rate on EBIT margin in the 4th quarter. So, is it fair to assume the 4th quarter EBIT margin would be a long-term sustainable margin, or will have also some one-off, which may lead to a tight margin walk again in FY 26?

Sandeep Kalra: So, there is a bulk of questions in that, and we have two minutes in the call. So, I'll go rapid fire and we can follow up. So, in terms of the margin, look, by the time we hit the Q4, the margins that we will have are sustainable long-term margins. So, that is the endeavor, that is the entire effort. And we are fairly confident we have a full plan in place, and we'll execute it.

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Second part of it is the ramp up, or the 5.6% growth in the first quarter was in line with our expectations or higher than our expectations. Look, our business, it's very hard unless you have, you know, pass-through revenue scaling up to change things at the last minute. And the pass-through revenue is not what is the reason for this. So, if it is a traditional business scaling up on the back of multiple large deals in multiple large customers, scaling up, that's what it is. And so, it is fairly predictable. And so, we pretty much know by the middle of the quarter where we are going to end in the end of the quarter because we are building on or executing to the order book we have had, our in-quarter book, and bill is relatively smaller as compared to what we deliver from the bookings from last few quarters. So rest assured, it's not by accident, it's by plan, and it's not based on passthroughs and so on.

Now the discretionary spend coming back, look, I have always maintained, despite many of the analysts believing or self-believing that Persistent is discretionary spend-based. We have come a long way in the last 15 years or so. Today, we are winning against some of the bigger providers. We are doing vendor consolidation, including consolidating some of the bigger providers. And it is both a build and a maintain kind of a work, cost optimization kind of an initiative where we are more and more invited to not just new builds. So, so rest assured, discretionary, no discretionary, it is more execution discipline that is getting us this and the muscle that is being built in that. So, with that, I will stop. I think we are out of time. So, moderator if you can please close the call. From our perspective the only

other thing I would say is we have started FY25 on a positive note. We are confident of our growth trajectory. We are confident of delivering the margin trajectory and we are confident of our customers scaling with us.
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With that, I will once again thank all of you and our 23,500 plus team members. We look forward to providing you an update in the next three months' time and connecting back with you. Thank you.

Sandeep Shah: Thank you.

Moderator: Thank you very much to the Persistent management . Ladies and gentlemen, on behalf of Persistent Systems Limited, that concludes today's conference. Thank you for joining us and you may now disconnect your line and exit the webinar. Thank you.

Please note that this transcript has been edited for readability.

Call: Oct 2024

Persistent Systems Limited, Bhageerath, 402 Senapati Bapat Road, Pune 411 016, Maharashtra, India
CIN - L72300PN1990PLCO56696
Tel: +91 (20) 670 3 5555 | Fax - +91 (20) 6703 6003 | E-mail - info@persistent.com | Website - www.persistent.com
The Manager

Corporate Services

BSE Limited

14th Floor, P J Towers, Dalal Street,
Mumbai 400 001

Ref: Scrip Code: 533179 NSE & BSE / 2024-25 / 179

October 27, 2024

The Manager

Corporate Services

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra (E), Mumbai 400 051

Ref: Symbol: PERSISTENT

Dear Sir/Madam,

Sub: Transcript of investor/analyst call held on Tuesday, October 22, 2024

Ref: Our earlier intimation with Ref. No. NSE & BSE / 2024-25 / 175 dated October 22,

2024, titled as 'Submission of the Outcome and Audio Recording of the

investor/analyst call held on Tuesday, October 22, 2024'

In continuation to the above -referred intimation and Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby submit the transcript of the investor/analyst call held on Tuesday, October 22, 2024, for the quarter and half year ended September 30, 2024.

The transcript of the investor/analyst call is also made available on the Company's website.

The link to access the same is as follows: Analyst -Call-Transcript -Q2-FY25.pdf

This is for your information and record.

Please acknowledge the receipt.

Thanking you,

Yours Sincerely,

For Persistent Systems Limited

Amit Atre

Company Secretary

ICSI Membership No.: A20507

Encl: As above

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"PERSISTENT SYSTEMS LIMITED - EARNINGS CONFERENCE
CALL, SECOND QUARTER, FY25, ENDED SEPTEMBER 30,
2024"

October 22, 2024, 7:00 PM IST

MANAGEMENT :

Dr. Anand Deshpande

Chairman and Managing Director

Mr. Sandeep Kalra

Executive Director and Chief Executive Officer

Mr. Vinit Teredesai

Chief Financial Officer

Mr. Saurabh Dwivedi

Head, Investor Relations

Mode rator: Ladies and gentlemen, good day and welcome to Persistent Systems Earnings Conference Call for the Second quarter of FY25 ended September 30, 2024. We have with us today on the call Dr. Anand Deshpande - Chairman and Managing Director, Mr. Sandeep Kalra - Executive Director and Chief Executive Officer, Mr. Vinit Teredesai - Chief Financial Officer and Mr. Saurabh Dwivedi - Head of Investor Relations. Please note, all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after management's opening remarks. Should you need any assistance during the conference call, please raise your hand from the 'Participant' tab on the screen. While asking questions, request you to please identify yourself and your company name. Please note, this conference is being recorded. I now hand over the conference to Mr. Saurabh Dwivedi. Thank you and over to you, Sir.

Saurabh Dwivedi: Thank you, Vandit. Good Evening and Good Morning to everyone on this call. We're grateful for your participation and for spending time with us today. We hope you have had the opportunity to review the results that we published a few hours ago. Let me quickly outline the agenda for today's call. Sandeep will begin with an overview of our results and commentary on business. Vinit will take you through the financial details and some of the key operational metrics for this quarter. I will then provide an overview of our key deal wins and awards and recognitions in the second quarter of FY25. Post that, with Sandeep's closing comments and summary of prepared remarks, we will open the conference for questions. Let me also remind you that as part of our prepared remarks and during Q&A, we may make certain statements which are for

ward looking and may involve significant uncertainty. Persistent does not take any responsibility to update such forward-looking statements and your discretion is warranted while making any investment decisions. With this, let me hand over to Sandeep for his prepared remarks.

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Sandeep Kalra: Thank you, Saurabh, and greetings to everyone joining us on the call today. With this, let me now start with a quick financial summary:

We achieved a healthy revenue growth of 18.4% year-on-year and 5.3% quarter-on-quarter to reach \$345.5 million in Q2 of fiscal 2025. This marks our 18th sequential quarter of quarter-on-quarter growth.

In rupee terms, the growth for the quarter came in at 20.1% year-on-year and 5.8% quarter-on-quarter.

The EBIT margin for the quarter came in at 14%. In rupee terms, this translates into an EBIT of INR 4,062.3 million, an increase of 22.8% year-on-year.

The Profit After Tax for the quarter was at 11.2%. Vinit will provide detailed color on the financials and margin movement later in this call.

Now, coming to the Order Book for the quarter:

The Total Contract Value for the quarter came in at \$529 million with TCV of new bookings being \$389.8 million.

The Annual Contract Value component of this TCV is at \$348.3 million of which ACV from new bookings contributed \$218.60.

As always, these TCV and ACV numbers include all bookings, renewals as well as new bookings, across existing and new customers.

Please note that our revenue conversion on a quarterly basis is a function of Annual Contract Value bookings done in previous quarters as well as conversion from multi-year deals that we have booked in previous years,

which are included in our reported TCV bookings.
Now, moving to the client engagement size.
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Let me give you some color on our client movement across various reported categories :

We witnessed healthy year -on-year growth among our client buckets with our Top 5 customer revenue up by 31.5%, Top 10 up by 24.6%, Top 20 up by 22.1% and Top 50 up by 20.9%. As you would notice, this is a secular growth across all customer segments whether it is Top 1 or Top 50. The contribution from Top 10 customers is at 41.5% in this quarter - an increase from 39.5% same quarter last year .

In this quarter, we reported 184 customers with TTM revenues over \$1 million compared to 178 in the same quarter last year .

All our top client buckets have shown good growth this quarter . On a year -on-year basis , the number of customers in the \$1- \$5 million bucket increased by 5, while those in the \$10-\$20 million bucket increased by 4. This is a clear demonstration of our ability to scale customer relationships significantly over a period of time.

Coming to the details on our geographic performance :

In terms of year -on-year growth in USD terms, North America grew by a healthy 21.6%, India grew by 11.7%, while Europe revenue declined by 1.3% year -on-year. However, on a sequential quarter -on-quarter basis, Europe grew by 6.6%. Rest of the world grew 19.2% year -on-year, albeit on a very low base.

Now , let me give you this quarter's performance from an industry segment perspective :

This quarter's growth was led by HLS and BFSI industry verticals , which grew by 71.2% and 15.3% respectively on a year -on-year basis . Software, Hi-tech and Emerging vertical s marginally de -grew 0.5% year -on-year.
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Now, moving from operation al metrics to certain strategic highlights for the quarter.

Launching our T100 Program :

Recently , we got together 250 of our senior leaders and customer -facing team members for a strategic offsite in New Jersey. During this event, we launched the T100 Program - an initiative focus ed on our Top 100 clients. This program is designed to drive, enhance cu

stomer value, deepen customer intimacy and unlock the next wave of opportunities for both our clients and for us.

The T100 Program is centered on four key pillars :

Talent amplification - herein we are developing a high caliber workforce to deliver premium services and expand mindshare with our clients.

Value maximization - this focuses on leveraging our core strengths and we are committed to enhance client ROI and foster long term strategic partnerships.

Focusing on AI -driven innovation - wherein we deploy advanced AI and platform -based solutions to create a differentiated, high impact services based on the latest innovations in Gen AI and otherwise.

Ecosystem leadership - within this , we are positioning Persistent as a key orchestrator of choice in the partner ecosystem to bring disruptive value to our customers, not just based on our solutions but based on the power of the entire partner ecosystem that we bring today. This program underscores our ongoing commitment to innovation and customer value creation and will lay the foundation for our 2 billion goal and beyond.

Moving on to our strategic investments and updates on AI :
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Our comprehensive AI strategy continues to be built on two key vectors - AI for technology and AI for business. This dual approach has been driving our innovation and growth and I would like to elaborate on how we have advanced in the past quarter on each of these areas.

First, coming to AI for technology.

As most of you know, SASVA is our flagship AI-driven platform designed to enhance software engineering services across the product development lifecycle. With the launch of SASVA 2.0, we have made substantial progress in our journey of platform-driven software engineering. You may have seen the press release in this regard.

Let me now highlight some key impact areas of SASVA 2.0.

Starting from a comprehensive assessment wherein SASVA evaluates a product engineering project or a product holistically providing insights on the product, people, process maturity, security, posture and technology debt.

Coming to the efficiency and value maximization - SASVA identifies high impact areas for productivity gains, accelerated time-to-market and cost reduction based on the current status and wherein AI could be applied in this platform.

Intelligent backlog management and roadmap planning - SASVA leverages historical data and market trends to create prioritized, context-driven, near and long-term roadmaps and release plans aligned with team's strengths and capacity. This can be very effective not just for Engineering but for Product Managers who are leading the entire product lifecycles.

Context awareness release planning - herein SASVA prioritizes tasks, estimates effort, recommends optimal frameworks and technology stacks
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aligning with the team's strengths and capacity while intelligently distributing tasks between human developers and AI agents. It also supports integration of external development tools for seamless experience.

SASVA also plays a critical role in customer support and professional services activities complementing the engineering activities and product development or application development, wherein SASVA provides real-time and context-aware insights into projects, issue history, client specific knowledge, best practices continuously sync ed with project management tools, service tickets and knowledge bas es.

Let me share two case studies that demonstrate the real-world impact of these advancements.

Persistent was selected by a leading provider of full-stack observability platform to partner with them on their product engineering as well as data engineering for their core application performance monitoring and observability platforms. Our advanced delivery frameworks leveraging SASVA an

d other accelerators and the depth of our universi ties, learning and development platform were key differentiators for us in winning this engagement. The benefit to the customer includes accelerated roadmap and the establishment of a core R&D team in India for them to continue their leadership positioning in the observability domain.

Persistent was selected by a leading financial analytics firm based in North America to accelerate the roadmap of its flagship products in the domain of pricing and profitability management solutions. SASVA platform's identification of the accumulated technical debt with clear actionable roadmap items was instrumental in Persistent winning this engagement. The benefit to the customer here includes acceleration of the go-to-market
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for faster releases, upgradation of latest technology stack and optimized delivery model powered by SASVA.

These case studies highlight how SASVA 2.0 is driving tangible improvements in efficiency, cost effectiveness, time -to-market across different industries and making us win more in competitive bids.

Now , let me talk about our AI for business vector .

We've seen rapid adoption and expansion of our GenAI Hub and iAURA platforms across various industries. We have expanded our GenAI Hub library of prebuilt AI models and use cases by over 50% since Q1 FY25. Also, our iAURA platform has been upgraded with advanced data quality assessment tools and automated data pipeline in generation tools.

The impact of these developments can be seen in key customer case studies which I will highlight now.

We are helping one of the largest global pharma companies to accelerate their drug discovery process by integrating complex biomedical databases into our Gen AI -enabled knowledge graphs.

Our iAURA solution has reduced query response times, in this case by 60% , for a global clinical research provider, a CRO, which makes tracking patients ' health and status of trials extremely efficient.

For one of the leading construction companies out of Europe and Australia, we are building a data lake ETL pipeline and Gen AI model to use historical construction data including design, material , labor , site condition and schedule to enable better decision making for the ir inflight and upcoming projects.

Moving on to our acquisitions and partnerships :

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As you would have noticed, we recently announced our plan to acquire Arrka, a Pune-based company focused on data privacy management. Arrka's solutions will enhance Persistent's offerings by helping customers manage data privacy risks and comply with various legal and regulatory requirements globally. This acquisition will also significantly bolster our AI governance and cybersecurity capabilities. Among other initiatives, we are integrating Arrka's expertise with our SASVA and iAURA platforms to provide enhanced data privacy features in SASVA's security assessments, improved AI governance mechanisms in iAURA's data management processes and comprehensive cybersecurity measures across both platforms , to give you a few examples. Arrka's capabilities will complement our existing AI offerings and platforms and in meeting the growing demand for comprehensive digital solutions that are both trustworthy and ethical. It aligns perfectly with our commitment to be responsible or to develop responsible AI and positions us to better serve clients in an increasingly complex regulatory environment.

Second, following our Q1 announcement, we have fully integrated Starfish. We are enhancing our contact center portfolio with AI -enabled administration and call flow assistance and we expect to report by the end of next quarter some early deal wins from this portfolio. We have had strong collaboration with all hyperscalers and are jointly developing solutions with their teams. T

his includes development of connectors and integrations for Gen AI offerings of hyperscalers as well as taking their solutions into different horizontal use cases such as contact center AI and document processing and so on.

As a part of these initiatives , we recently co -hosted the Google Gemini Summit in Pune, featuring top leadership from Google platform and Persistent. Throughout Gemini week, our teams engaged in comprehensive training initiatives, emphasizing certifications and hands - Persistent Systems Limited

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on experiences to harness the full power of Gemini. As a premier Google Cloud partner, we are uniquely positioned to help businesses across industries innovate, scale and achieve their digital transformation goals. As we move forward, AI remains integral to both Persistent's operations and our clients digital transformation journeys. Our platform led services

approach exemplified by SASVA, GenAI Hub and iAURA position us to enhance productivity and fuel our growth capturing a decent market share in these initiatives at our customers' side.

In summary, we are pleased with our performance in Q2 FY25. I would now like to invite Vinit to give a detailed color on the financials and related matters after which Saurabh will provide an overview of our key deal wins and awards and recognitions. I will come back after Saurabh's comments to summarize our prepared remarks before opening the call for Q &A. Over to you Vinit.

Vinit Teredesai : Thank you , Sandeep. Good evening and good day to all. Thank you for taking time out to join us today. Let me now take you through the financial highlights for the quarter gone by. Q2 FY25 revenue stood at 345.5 million US dollars registering a year -on-year growth of 18.4 %. In rupee terms, it translates to 28,971.5 million, growth of 20.1 % year on year. This quarter, effective July 2024, we awarded regular pay hikes to all eligible employees. I am glad to announce that despite this, we have delivered an EBIT margin of 14 %, a 30 basis point improvement year on year. In rupee terms, EBIT for this quarter was 4,062.3 million rupees, translating to a growth of 22.8 % year on year.

Now let me provide some commentary on the quarter -on-quarter margin walk. Let me first start with the headwinds.

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Wage hikes this quarter have impacted our margins by 210 basis points. As I had called out in the previous quarter, we had taken some policy rationalization initiatives, the benefit of which was visible last quarter. In the current quarter, the absence of that benefit has impacted our margins by 130 basis points. There was a fresh issuance of ESOPs in the latter half of Q1. The impact of which was only partly visible last quarter. In the current quarter, there was an incremental impact of 60 basis points. This quarter, we also had a lower earnout credit as compared to the previous quarter. This has resulted in a headwind of 60 basis points.

Coming to tailwinds for the quarter .

Last quarter, I spoke about our revenue growth and cost optimization programs that are in action for the fiscal year 2025 and beyond. Am happy to share that the benefit of these programs are reflecting in the current quarter and we expect them to continue in the subsequent quarters. While our revenue has grown by 5.3 % quarter -on-quarter, it is important to note that this has come on the back of reduced head count of 282. This has led to an improvement in utilization from 82.1 % in Q1 to 84.8 % in Q2 which has helped our margins by 120 basis points. Additionally, reduction in sub -contract cost resulted in the benefit of 70 basis points, lower re -sale business helped by 50 basis points and balance 130 basis points benefit came on account of combination of factors like pricing and right -shoring . Favorable currency movement has helped our margins by 30 basis points this quarter

. An absence of H1B visa cost this quarter has given an additional tailwind of 60 basis points. In a nutshell, all the tailwinds stated above have helped nullify the effect of headwinds enabling us to maintain our EBIT margin at 14 %.

With the growth and cost programs that we are running at Persistent, we are well placed to continue our journey of margin improvement in the Persistent Systems Limited

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subsequent quarters. Please note that going forward, in our investor presentation, we will be merging the CSR spends with general and administration expenses and doubtful debt provisions with the sales and marketing expenses. Other income stood at 176.9 million rupees as against 172.5 million last quarter. We had a one -time gain of 80 million rupees on account of pre -closure of some of our leased premises in Pune and Indore which were under -utilized and have additionally invested in newer facilities in Chennai and Hyderabad. Overall treasury income was lower

than last quarter, owing to payouts for acquisition and payment of final dividend for FY24 during this quarter. There was a foreign exchange gain of 106 million rupees against a loss of 7.3mn rupees in Q 1. Effective tax rate for the quarter came in at 25.2 % compared to 23.5 % in Q1. This increase is due to higher profits in high -tax geographies. We expect our overall ETR for the year to remain in the range of 23.5 % to 24.5 %. Profit after tax was 3,25 0 million rupees, a growth of 23.4 % year on year. This translates into a margin of 11.2 %

Earnings per share stood at Rs.21.20 per share compared to Rs.17.90 per share, same quarter last fiscal, a growth of 18.3 % year on year. Return on capital employed for the quarter came in at 38.1 % versus 37 % in Q2 of last year. Total cash and investment stood at 17,916.2 million rupees as on 30th September 2024. Forward contracts outstanding as on 30th September were 270 million US Dollars at an average rate of Rs. 84.80 per dollar.

Operating cash flow to PAT for Q2 FY25 stood at 108.3 % compared to 49.3 % in the previous quarter. Our overall DSO has remained flat this quarter with billed DSO at 68 days and unbilled DSO at 24 days.

Now let me give you key operational updates.

At the end of Q2, our total headcounts stood at 23,237, an increase of 395 from Q2 of previous fiscal year and a decline of 282 quarter -over -quarter. Persistent Systems Limited

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As highlighted earlier, the blended utilization has improved from 80.6 % in Q2 of FY24 to 84.8 % this quarter. In the foreseeable future, our endeavor is to maintain this in the band of 83 %-85%. Trailing 12 months' attrition this quarter came in at 12 % compared to 13.5 % in Q2 of last fiscal . Coming to ESG updates for the quarter.

We are delighted to announce that we have achieved carbon neutrality for Scope 1 and Scope 2 emissions ahead of schedule. This significant milestone reflects our unwavering dedication to sustainability. Our renewable energy consumption which includes our extensive rooftop solar installations and windmills now accounts for an impressive 39 % of our total energy usage across our global operations. We are also proactively working towards achieving net zero carbon emissions well ahead of the science -based target initiative goal of 2050. In terms of our ESG performance, we are thrilled to report that our S&P Dow Jones sustainability Index ESG rating has risen to 85, up from 61 while our SES ESG rating has improved to 77 from 72. Additionally, we have made commendable progress in our MSCI ESG Rating advancing from double B to triple B. We are also proud to be recognized amongst India's top 50 Most Sustainable Companies for 2024 by BW Business World, a leading business publication in the country.

On the social front, we are excited to highlight the launch of our Women Leadership Program – Aspire 3.0. This initiative underscores our commitment

to fostering diversity and empowering women within our organization.

Let me now hand over to Saurabh for commentary on key deal wins and awards and recognitions that we have received during this quarter.

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Saurabh Dwivedi: Thank you , Vinit. I will now talk about key deal wins for Q2 by industry segments.

Let me begin with software hi tech in emerging industries, our largest vertical.

Persistent was selected by a leading US -based cyber security company to set up a global technology centre for product engineering, customer support, professional services and FedRamp support services. Persistent was selected on account of its product engineering expertise in the cyber –security domain. The benefit to the customer includes accelerated product roadmap and productivity enhancements across customer support and professional services.

Persistent was selected by a global leader in food services and facilities management based out of Europe to build a data lake on the Azure platform and build an integration layer for exchange of data across different enterprise applications. Persistent's strength in data engineering and automation of key tasks using Persistent's iAURA platform were critical in us winning this engagement. The benefit to the customer includes standardization of data handling across the organization leading to enhanced employee utilization, improved stock prediction and reduction in food wastage.

Coming to banking, financial services and insurance, Persistent was selected by one of the largest US-based fintech companies to modernize the user experience of its Cloud based accounting software platform and its report generation capabilities. The benefit to the customer includes improved user experience and enhanced business efficiency leading to increased revenues.

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Persistent was selected by a large financial institution with presence in Japan, APAC, Americas and EMEA for modernization of its front office and regulatory technology to bring them under a common technology framework. The benefit to the customer includes technical debt reduction, efficiency enhancement and end user experience improvement.

And finally, within our healthcare and life sciences vertical, Persistent was selected by a leading life sciences and scientific instrumentation company for establishing an AI enabled software engineering capability hub and a scalable and modern Cloud infrastructure. Persistent's capabilities and experience in the scientific instrumentation and medical devices domain and the compelling value proposition in the private equity carve-out space were instrumental in us winning this engagement. The benefit to the customer includes standardized product management and engineering across all its product lines and setting up of its modern IT infrastructure to exit the current transition services arrangement with its erstwhile parent company.

Persistent was selected by a leading US-based Precision Medicine and Omix Analytics Provider for transition of their core R&D center to India. Persistent's 30+ years of product engineering heritage combined with our strategic focus on clinical diagnostics, bio-informatics and life sciences research along with the centre of excellence, we have built around user experience, Cloud and Gen AI have been instrumental in us winning this engagement. The benefit to the customer includes accelerated, risk-free and cost-effective transition of their R&D center to India with no adverse impact on customer deliverable and revenues.

Persistent was selected by a leading UK-based medical device manufacturer that specializes in organ preservation and transplantation devices. The engagement involves development of core applications for Persistent Systems Limited

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customer on-boarding, device management

and monitoring, report management and CRM integration. The benefit to the customer includes systematic on-boarding of customers, centralized monitoring of all devices for regulatory compliance and potential for penetration into new geographical markets.

Moving on to the awards and recognitions for the quarter from leading analyst firms.

This quarter saw us get continued recognition from industry-leading analyst firms and associations. To cite a few, Sandeep Kalra was named The Best CEO in the IT Services Emerging Companies' Category by Fortune India. Sandeep's leadership in driving industry leading growth and shareholder value creation was critical in winning this award.

Persistent upgraded to version 3 of CMMI Maturity Level 5 Certification that places us among the elite group in the industry. This top tier level of

maturity signifies Persistent's commitment to setting new benchmarks in quality and efficiency and being a pioneer in the adoption of advanced technologies.

Persistent was recognized as a challenger for the 2nd year in a row in Gartner Magic Quadrant for Public Cloud IT Transformation Services 2024. This recognition highlights our strategic use of AI and automation stacks in key business and domain expertise, our ability to provide personalized client experiences.

Persistent was named a leader in Everest Group's, BFSI specific software product engineering services, PEAK Matrix Assessment 2024. Persistent's robust BFSI -specific intellectual property suite including underwriting, digital banking, payment automation and claims processing was instrumental in winning this recognition.

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Persistent was named a leader for the 2nd consecutive year in ISG Provider Lens for Google Cloud Ecosystem Partner 2024 Report. Persistent was recognized for its robust services portfolio and our expertise in implementing the Google Cloud Ecosystem.

Persistent has been included in Constellation Shortlist 2024 for demonstrating expertise in services relating to public cloud transformation services, AI services, custom software development services, and customer experience operation services.

Persistent was cited as the fastest growing Indian IT services brand by Brand Finance with 327% growth in brand value since 2020. Persistent's people-centric culture, excellent service delivery, and alignment with client needs, and its adaptability to dynamic market needs are key factors that helped win this recognition.

This completes the section on key wins and awards and recognitions.

With this, let me hand it back to Sandeep for his closing remarks.

Sandeep Kalra: Thank you, Saurabh. In summary, we are happy with our performance in this quarter. Before I conclude and open the conference for questions, I would like to share a professional milestone. Tomorrow, October 23rd, marks my fourth anniversary as the CEO of Persistent. It has been an incredibly satisfying journey and I sincerely thank all our employees, customers, partners, investors, and our board for their unwavering support over these years. Leading our esteemed company with its world-class capabilities and a motivated team has been a privilege, and I'm excited about the future as we continue to strive for an industry-leading performance.

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With this, I would like to conclude the prepared comments and would like to request the operator to open the conference for questions. Operator, over to you.

Moderator: Thank you so much. We will now open the call for the Q&A session. We will wait for a few minutes until the queue assembles. We request participants to restrict themselves to two questions and then return to the queue for more questions. Please raise your hand from the Participant tab on the screen to ask the question.

The first question is from Mehta Bhavik.

Mehta Bhavik: Thank you. So,

a couple of questions. Firstly, Sandeep, you know, obviously we have seen very strong growth over the last couple of quarters, but going into the second half, which is typically a seasonally weak period as such due to furloughs and lower working days, how should we think about the growth trajectory from a sequential perspective over the next couple of quarters? And also, if you can highlight how the demand environment has changed versus, let's say, three months ago.

The second question is to Vinit. You know, incrementally from here on, we are targeting to expand margins in the 2nd half. Incrementally, what levers do we have which can, you know, help drive margin expansion over the

next couple of quarters? Thank you.

Sandeep Kalra: So, Bhavik, as far as the seasonality, et c., is concerned, 2nd half is concerned, so those are events as regular. And if you look at it from our perspective, October, November, December, we see some furloughs in financial services in some other customers, and a couple of customers in the high-tech sector. That has traditionally been the things. And this is something that we always plan for. If you look at our order book, order book has been pretty healthy for the last several quarters. We have a Persistent Systems Limited

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decent pipeline. Obviously, as the quarter goes through, we'll convert those as well. Overall, we are looking at a healthy growth. And quarter-on-quarter, there may be a little bit fluctuation here or there, but we are relatively confident of continuing the healthy growth that we've had. As far as the demand environment is concerned, I think this is a moot question by now, because there are many things happening in the world which are not in our control. But what we have done is we have mastered the art of figuring out the patterns. Within these markets, which are tough, there are always revenue pools and profit pools available, and we have been pivoting as per the market demands. And that has been reflected in our 18 sequential quarters of growth. So we are relatively confident, whatever the market conditions may be, we'll pivot as a team and we'll deliver a healthy growth.

With that, I'll hand over to Vinit. Vinit, if you can answer the second question.

Vinit Teredesai: Yeah. Bhavik, see, a couple of things that are still working in our favor. As I mentioned in my comments, we will continue to maintain our utilization in the 83% to 85% band. At this point of time, the labor market is soft and we do not see any urgency at this point of time to go and build up a bench or hire ahead of time.

Secondly, if you look at our SG&A as a percentage of our overall spend, we have made significant amount of investments in the last couple of quarters. Now we think, going forward, the pace of investments into SG&A will not be the same, and we'll be able to basically reap the benefits that we have made out of the investments in the last couple of quarters. Again, right-shoring, pricing, and obviously the growth momentum that we are seeing at this point of time and the foreseeability that we have at this point Persistent Systems Limited

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of time of the growth, will continue to help us in terms of maintaining and improving our margins going forward.

Mehta Bhavik: Okay, thank you.

Moderator: Thank you. The next question is from Nitin Padmanabhan.

Nitin Padmanabhan: A couple of questions. One is a little philosophical one. So I think yesterday, Microsoft spoke about how scaling laws are sort of doubling computing power every six months versus two years under Moore's. So your thoughts on shouldn't this ideally lead to higher business velocity, right? So that's one.

Second is from a utilization perspective, you may mention 80% to 84%. I remember pre-COVID, you had sort of went into massive hiring, had a good view on when the model will pick

up and so on and so forth. Looks like at this point in time, you're not seeing that. So just wanted your thoughts. Is this a very near-term sort of view or is it a slightly longer view?

Third thing is you had a view that margins sort of expand by 200 to 300 basis points over the next two years. Do you still stick to that or do you think that sort of takes some more time?

I have a lot more, but I'll just push in one more. Let's say the technology vertical, what's your view there? Do you think that's sort of bottoming out or that sort of continues to be a pain point?

Sandeep Kalra: Perfect. So Nitin, good questions. I'll take those. And from here on, our request to people asking questions is to please limit them to two because

we want to take questions from everyone. And then we can always circle back . So quickly, as far as the scaling is concerned, look, if you look at it in the last several quarters, we have been saying that we want to be a platform -driven services company. So we are using AI to develop platforms. And that also links to your second question about utilization, Persistent Systems Limited

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hiring, and so on. So our endeavor is , as we become a platform -driven services company , our revenue per employee goes up because we bring something which is very differentiated. We are using AI platforms to deliver more value to the customers and also partaking part of that. So our revenue per customer, profit per customer over a period of time, as we deliver disproportionate value compared to the industry, that should help us. And that should also mean that we need to hire lesser people to deliver higher revenue . So keep that in mind when you do any hypothesis philosophically.

Now, as far as the tech vertical is concerned, we do think it is bottoming out. Based on the pipeline, based on the deal wins, we do think coming in the next one to two quarters , because some of these programs will take time to ramp up ... these are complex programs which we have won based on the platform -driven approach that we have taken, we are relatively confident all of our verticals will kick in. All of the verticals will have secular growth, including the tech vertical. And please keep in mind, there may be cyclical things. There was a time when tech vertical was leading the growth , there's a time when healthcare is leading the growth. But overall, as a company, we are confident all three will kick in. All three will be growth enablers. And we are fairly confident of expanding the margins over the next two to three years based on whatever Vinit said, and our approach of using platform, driving higher revenue , higher profitability per employee .

Nitin Padmanabhan: Thanks a ton. I'll jump back in the queue you. Thank you.

Moderator: The next question is from Ravi Menon. Hi, Ravi. Requesting you to unmute and ask the question.

Ravi Menon: Oh, sorry about that. So now we have 3 75 million + customers. Is it fair to say there is one from each vertical now?

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Sandeep Kalra: Yes, it is absolutely fair to say.

Ravi Menon: And do you still see headroom for growth even from here with at least some of these customers? Or should we think that this is where it kind of tops out , or we are fairly close to topping out with some of these top customers at least?

Sandeep Kalra: There's enough headroom in these customers for us to grow. There are many of our competitors who are there. So , I'm pretty sure there is headroom. It's upon us to deliver more value and grow. And this also demonstrates , philosophically, if we look at our earnings call over the last several years, there has been a debate whether Persistent can have more than \$100 million customers, more than \$7 5 million customers. So if you look at our trajectory , we have proven we are worthy of our customers giving us more at scale c

ompared to some of our tier 1 competitors / peers.

So there is enough and more headroom.

Ravi Menon: Thanks so much. Best of luck. I'll come back in the queue.

Moderator: Thank you. The next question is from Chirag Kach hadiya.

Chirag Kachhadiya: Congratulations for the solid numbers. I have one question that , in H2, from margin perspective, what headwinds are we looking at? And second, the target to reach to the \$2 billion kind of top line, do you think that we will achieve that ahead of the time than our stated guidance?

Sandeep Kalra: As far as the \$2 billion top line is concerned, Chirag, we do believe we are on a decent trajectory and we'll let the time pan out . Because there are things in our control which we are performing, but let's have the time go about .

As far as the margins is concerned, Vinit, do you want to comment on the H2 margin headwinds?
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Vinit Teredesai: Yeah, no, I think so, as you know that typically there are seasonal furloughs that come up in the 2nd half. That only is probably the ... at this point of time, we do not anticipate them to be anything different than what we have seen in the last year. So that's the only probable potential headwind that we have at this point of time.

Chirag Kachhadiya: Okay, thank you.

Moderator: Thank you. The next question is from Sandeep Shah.

Sandeep Shah: Yeah, thanks for the opportunity. Just wanted to understand, Sandeep, in this quarter, if we look at new business to total TCV, it is close to 74%, one of the highest in any quarter. Is it fair to say the client decision-making on our discretionary projects have picked up? That's question number one. Question number two is if I look at the 1st half reversal of earnout, that has been close to 190 bps. And if I'm not wrong, we called out, it may continue in the 2nd half as well. So Vinit, are you worried in the next year absence of this, with wage inflation, it could be a big headwind to maintain margin in FY26? Thanks.

Sandeep Kalra: I'll take the first question and I'll have Vinit answer the second part. So as far as the new business is concerned, look, we have explained on many earnings calls, when people look at Persistent and say we are discretionary spend-based or dependent on that, I don't think we agree to that. Many of the deal wins that we have had are with various sectors, whether it is the healthcare life sciences or the tech segment and BFSI, where we are working on platforms which are revenue-bearing. Whether it is like setting up large teams for some of these where we are even transitioning works from some of the incumbents, whether they be our bigger peers or it is new work being outsourced to us which is revenue-bearing and so on and so forth. So, the bulk of the work that we do is critical to these companies
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and it's not necessarily discretionary. I wouldn't basically correlate our order books being healthy to discretionary spending coming back and so on and so forth. I would say it is basically our ability to deliver more value with respect to our competitors, and even minimize our customers more effectively. So that's where I would do it and Vinit, earnout out reversals and headwinds.

Vinit Teredesai: Now see, if you look at the cost optimization program that we are running within the organization, we are making structural changes to our cost base. And some of the expenses that we are today incurring in order to support that cost optimization program, will not be there in the next year. So we have a couple of tail winds also that will be coming into our help when we enter FY26. And as a result of that, we are pretty confident that our margin improvement trajectory that we have talked about, will continue to happen.

Sandeep Shah: Thanks and all the best.

Moderator: Thank you. The next question is from Kiran Atluri.

Kiran Atluri: Hi team, thanks for taking my question. I had a couple of questions, please.

So the first one is on ACV. Can you maybe help us understand how this will trend going forward and how much of this ACV is AI driven? That was my first question.

And then the second one is you spoke about SAS VA and iAURA helping you win deals. Could you maybe talk about what the attach rate of those is in the deal wins and what is the ideal target?

And just as a follow on for that, is the profitability of these deals, i.e. the margin profile of SAS VA and iAURA higher than the base business?
Thanks for the question.

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Sandeep Kalra: So let me take that question. As far as the ACV is concerned, so ACV ... look, we don't give forward-looking guidance in terms of revenue or order books. So I would say, look at our historic journey. ACVs have been pretty healthy. And this quarter for us, the October, November, December quarter for us, given the fact that 80% of our revenues come from the US, is a quarter where we have seasonally, if you look at last several years, a higher order book for renewables. Couple that with the new er wins. Typically, this is a quarter where we'll see a little higher ACV, but we'll let it pan out.

The second part of it, you talked about how much of the ACV is AI driven? How much of the attach rates can we basically attribute to SASVA, iAUR A, and so on? Look, we don't want to get into the business of defining how much is our AI revenue. We are trying to infuse AI into everything that we do and we do believe AI will become table sticks in terms of getting infused, how well you use it is where the differentiation will be. So, that is as far as the attach rate question is concerned. In terms of profitability, yes, the profitability of these deals going ahead will be higher and that's where to my earlier comment, the revenue per employee, the profit per employee over the next several years, that is where we are trying to disproportionately move and that will also help us in our goals of overall improvement in the coming months. Hopefully this answers your question.

Kireet Atluri: Yeah, got it. Thank you.

Moderator: Thank you. The next question is from Vibhor Singhal.

Sandeep Karla: Vibhor, we can't hear you.

Vibhor Singhal: Okay, can you hear me now?

Sandeep Karla: Yes please.

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Vibhor Singhal: Yeah, sorry for that. Yeah. Hi. Thanks for taking my questions and Congrats on solid execution once again. Sandeep, just I mean most questions I think have already been answered, just quick take on basically post the interest rate cut that we have seen in US, is there any change in conversation specifically in the BFSI segment or let's say in more of leverage segments in which clients might be talking about maybe higher tech spends if not today, tomorrow day after tomorrow, anything on that, that has changed and leading to that any early conversations regarding how the furloughs would be this year as compared to last year, and of course, how the tech budgets for next year could be? I know it's too early for that, but I guess if any color on that would also be helpful, then I just one follow up question for you.

Sandeep Karla: Sure. So as far as the furloughs are concerned, as Vinit articulated, we are expecting them to be in the same range as the last year for us. So, we are not expecting it to be anything different based on what we see today, but you know typically these decisions get crystallized towards November and December, December -mid. That is the time when these things finally come together and there's always a discussion between us and the customer on how to tackle it. So, that is as far as that's concerned. Now, interest rates and you know and things around that I think it's

too early to say about

interest rates impact right now because there's other dynamics like the elections etc. that are there in the US, so I think it is too early to call one way or the other. So, we'll let it pan out and that will also impact the third part of your question, which is the technology budgets and so on, but look, having said all of this, today as a company we are in a position where we have performed in good times or bad, whether it was COVID, whether it was post-COVID, whether it is, you know, whatever happened over the last several months, so our endeavor would be even in a difficult time, we will try to be in the best performing quartile for that. So, that's where I leave it. Any follow-on questions Vinit will take.

Vibhor Singhal: Got it, Sandeep. Thanks a lot. Vinit, one quick clarification. The earn out reversal has contributed to almost, if I get my math right we were on 230

basis points in the last quarter , around 150 basis points in this quarter, what more of this reversal is left to be captured and will it be captured only in FY25 or will it spill over into FY26 also?

Vinit Teredesai: So, what whatever is pertaining to the acquisitions that we have done in the last couple of years, we can anticipate the balance reversals to happen in this current financial year itself . The recent acquisitions that we have done, obviously they are in the very early stages. So, if there is anything
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pertaining to that, that will be coming up only in the next year and we'll see at that point of time.

Sandeep Karla: Just to answer your question slightly differently, in addition to what Vinit has said, look and this is to others as well who you know wonder about these, earnout reversals. Why is the earnout not paid ? An earn out is not paid because the hypothesis of the revenue growth or the profitability for acquisition did not pan out in line with whatever it was supposed to be . We have done 7 acquisitions or more in the last five years in the time that I have been here and within that, some have panned out very, very well. So, there are smaller acquisitions which have now been fourfold, and we have paid them even an upside. When an acquisition does not deliver to the performance , doesn't mean that Persistent does not deliver to the performance . Persistent, as a team , invests in sales and marketing , invests in additional efforts still delivers the industry leading growth and that comes at a cost and that cost is offset by the reversals that we do. So, please look at both sides of the coin . If we are delivering industry -leading growth , last four years, we've delivered 24% CAGR and this is a 16% relative outperformance to the sector if you compare the Indian IT services sector. If you've delivered that outperformance and we have done these puts and takes knowing fairly well if something is not going to perform, we have stepped up, invested, still delivered the performance. So, to be fair, you should have the puts and takes like a debit and credit and look at the holistic picture . That's my request to you and the other analysts and investors on this call.

Vibhor Singhal: Got it, Sandeep. Thanks a lot for taking my questions and that detailed explanation. Wish you all the best.

Sandeep Karla: Thank you.

Moderator: Thank you. The next question is from Varun Gandhi.

Varun Gandhi: Hi, Sandeep, many congratulations on your professional milestone. Just a disclaimer, I'm not a techie , so please correct me if my understanding is wrong. My view is that right now the value is in building models , analytical models like SASVA, but later on , in near future when the value shifts from building to inferencing what kind of value can we unlock , can Persistent unlock from clients?

Sandeep Karla: Sounds good. First of all, thank you. Now, if you look at it,

SASVA is not a model. SASVA is actually a platform that leverages multiple models under neath. So, it leverages the combination of large language models
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which are open -source customized by us in a secure manner, and combined with some small language models etc. etc. So, SASVA work is not a model -building exercise. We are too small to build newer models which are large language models and invest in all of them. All we're trying to do is leverage the technology that's being available , made available by these larger companies. Some of it is open sourced, some of it is like open AI through Microsoft and so on and so forth , and we are doing engineering , inferencing in your loosely held terms based on that and taking actions. So, we are on the second step of it and that's where the value is.

Varun Gandhi: Right, right. I see. Thank you for explaining it simply.

Sandeep Karla: Thank you.

Moderator: Thank you. The next question is from Abhishek Kumar.

Abhishek Kumar: Yeah. Hi. Good evening. Thanks for taking my question. Two questions.

One, I heard in couple of the deals that we have won this quarter, there was an element of us setting up centers for our clients. So, is this phenomenon relatively new where we are helping them set up a GCC or something of that kind and are these kind of slightly longer in tenure, and therefore it impacts ACV versus TCV kind of calculation that is my first question, then I will follow up.

Sandeep Karla: Yeah. So, when we talk of setting up centers, these are offshore development centers people make call it, global technology centers and so on. These are basically things where we are scaling teams in our parlance, even managing the end-deliverables out of that in conjunction it's a co-engineering that we do on behalf of our customers. We are an extended team and that's where it is. The GCC definition can vary. The GCC can be where you are doing it for someone else in their premises, etc. We participate in that as well, but most of our deals that we're talking about are offshore development centers, extended engineering or IT arms to our customers, longer term relationships and that's where the ACV to TCV ratios are different. These are three to five year engagements, which are you can simply put, look at them as capacity, which is a hardcore engineering capacity that delivers value on an ongoing basis in a planned manner for our customers. So, that's where it is.

Abhishek Kumar: My second question is, you know, the onsite effort share has gone up, looks like some of the deals, large deals that we won last year were ramping up. Now, as we talk right-shoring that can have a deflationary impact on the revenues. So, how does that pan out in the second half on top of furloughs and other headwinds that we have?

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Sandeep Karla: Yeah. So, to your point, look we have won over the last five years, at least 35 plus large deals and large deals are all relative terms, you know what ACV TCV depending on the size. We are seeing multiple cycles where we are winning newer deals, which have more onsite centric because we may be doing multi transition, initially even taking over the third-party vendors related you know people and then offshore it. So, these are cycles. So, as we are winning newer deals, we are offshoring, so that deflationary impact of that is already being addressed by the newer deals that we win. So, that is not a concern and we have been managing this for the last five years and layering our revenues based on the larger deals, longer term deals that we've been winning over a period of time, I won't be worried about it.

Vinit Teredesai: I'll just add to this. I did mention it is right shoring and not offshoring. The right shoring means not necessarily everything coming to offshore. It also means something from offshore also going and becoming on shore.

Abhishek Kumar: Great, very clear. Thank you so much.

Moderator: Thank you. The next question is from Abhishek Bhandari.

Abhishek Bhandari: Yeah. Thank you. Thank you for the chance. Sandeep, you know, if I look at your sales and BD head count, you know it has dropped by around 18 people or call it 4% quarter-on-quarter and this is the first drop since the last 12 quarters. If you could explain, what is happening on your sales and BD team - is the downsizing more happening on the sales part and is also a reflection that the sales report are normalizing because I remember you saying consistently for last few quarters, the sales efforts are trailing almost 2X of normal times?

Sandeep Karla: Yeah. So, if you look at it Abhishek, FY23, we ended with 414 people in sales and business development. In FY24, we moved from 414 at the end of FY23 to 484 at the end of FY24, and in the last quarter we were at 510 and as we have been saying all through, we have over-invested in sales and business development because we need it. We are comfortable at this point in time with where the numbers are and there's no downsizing that is happening. You do performance management, if something is not yielding results, you take money out of there and deploy wherever you need to, where you have better ROI as a company. So, I won't be worried and as Vinit said, look, this should actually give us a leverage. Even with this investment and a little bit more, the percentage for SG &A should

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decrease over a period of time as we grow the revenues and win more deals . So, from our perspective, we are very comfortable and confident this is the right trajectory. We'll keep adding as we need.

Abhishek Bhandari: Got it. Thanks, Sandeep. My last question is you know some of your very recent senior hires like your Chief Strategy Officer , you know they have quit very quickly. So, you know is it a broad -based trend amongst your recent hire s that their attrition numbers have been higher or is it one off and I don't want to know the reason behind one candidate but is it like a more widespread thing what you see?

Sandeep Karla: Yeah. So, as you rightly said, one candidate does not make it trend. So, that's where I will leave it. Look, people join and they also have aspirations. They also have their own path and we also have expectations and I won't say that it was any case of anything going wrong. People have choices to make as to where they want to take their own career and their own personal conditions in life, which I don't want to elaborate . So, overall I don't think it reflects on the candidate , it reflects on Persistent , both are good and we have a company to run. We'll keep hiring more people with the right aspirations and we'll keep scaling .

Abhishek Bhandari: Thanks, Sandeep and wish you Happy Diwali.

Sandeep Karla: Thank you.

Moderator: Thank you. The next question is from Sum eet Jain.

Sum eet Jain: Yeah. Hi. Am I audible ?

Sandeep Karla: Yeah.

Sum eet Jain: Yeah. Thanks for the opportunity. So, just Sandeep, first want to understand, you mentioned that you don't have very high discretionary demand exposure and there's a general consensus that next year with the US Fed rate cuts, the discretionary demand will revive. So, will it actually help your business and if yes, then which key verticals?

Sandeep Karla: So, Sum eet from our perspective, if you look at it this way, when the discretionary demand is not that high or the discretionary spend is not that high, we have delivered good revenue growth . In our segments, healthcare life sciences , I would tend to believe , is much more, you know non-related to the discretionary spend, whatever needs to be done in

healthcare . Yeah, there are some pockets which are related, but usually you will see that is a more resilient sector . BFSI in the middle . Tech suffers when discretionary spend does not happen because ultimately, when your Persistent Systems Limited

projects are not happening and people are conserving their cost, they're spending lesser on their technology procurement in terms of software licenses etc. and that impacts . So, we are hoping that with the things easing out, that will also have an impact on some of these things , but that is not what we are banking on. We're banking on our effort to see the trends, to see where the revenue pools, profit pools are available , go structurally after that , use technology like our AI driven and the platform driven strategies that we have , and our 18 quarters of sequential growth should give you enough confidence. So, not worried. If it opens up, it will be only good for us.

Sum eet Jain: Right. No, that's helpful and secondly, since you're involved with hyperscalers on building their Gen AI platforms and connectors, once the Gen AI opportunities scale up for the industry with you know, wider system integration projects, will it actually help you more than your peers?

Sandeep Karla: It should and you know, we'll let the things pan out. We're not giving any forwarding looking guidance. We are at it. We have delivered industry - leading growth and as I said, we have delivered disproportionately with respect to the industry and we expect that our efforts should continue in that direction.

Sum eet Jain: And lastly, for the \$2 billion target, have you given any sort of timelines or is it like a long -term outlook?

Sandeep Karla: Yeah, we have said by FY27 end, which basically is March 2027 end is what

we've said is our aspiration , balance we'll let that time pan out . With that,
I think we should stop the call. We were sharp at 8 o' clock . Moderator.
Moderator : Thank you. Thank you very much to Persisten t's Management team .
Ladies and gentlemen, on behalf of Persisten t System s Limited that
concludes today's conference. Thank you for joining us and you may now
disconnect your lines and exit the webinar. Thank you.
Sandeep Karla: Thank you.

Please note that this transcript has been edited for readability.

Call: Jan 2025

Persistent Systems Limited, Bhageerath, 402 Senapati Bapat Road, Pune 411 016, Maharashtra, India
CIN - L72300PN1990PLCO56696
Tel: +91 (20) 670 3 5555 | Fax - +91 (20) 6703 6003 | E-mail - info@persistent.com | Website - www.persistent.com

NSE & BSE / 2024-25 / 237

January 28, 2025

The Manager
Corporate Services
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai 400 051

Ref: Symbol: PERSISTENT The Manager
Corporate Services
BSE Limited
14th Floor, P J Towers, Dalal Street,
Mumbai 400 001

Ref: Scrip Code: 533179

Dear Sir/Madam,

Sub: Transcript of investor/analyst call held on Wednesday , January 22, 2025
Ref: Our earlier intimation with Ref. No. NSE & BSE / 2024 -25 / 231 dated January 22, 2025

In continuation to the above -referred intimation and Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby submit the transcript of the investor/analyst call held on Wednesday , January 22, 2025, for the quarter and nine months ended December 31, 2024.

The transcript of the investor/analyst call is also made available on the Company's website .

The link to access the same is as follows: Analyst -Call-Transcript -Q3-FY25.pdf

This is for your information and record.

Please acknowledge the receipt.

Thanking you,

Yours Sincerely,
For Persistent Systems Limited

Amit Atre
Company Secretary
ICSI Membership No.: A20507

Encl: As above
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"PERSISTENT SYSTEMS LIMITED - EARNINGS
CONFERENCE CALL, THIRD QUARTER, FY25, ENDED
DECEMBER 31 , 2024"
January 22 , 2025, 6:00 PM IST

MANAGEMENT :

Dr. Anand Deshpande
Chairman and Managing Director

Mr. Sandeep Kalra
Executive Director and Chief Executive Officer

Mr. Vinit Teredesai
Chief Financial Officer

Mr. Saurabh Dwivedi
Head, Investor Relations

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Moderator: Ladies and gentlemen, good day and welcome to Persistent Systems ' Earnings Conference Call for the third quarter of FY25 ended December 31, 2024. We have with us today on the call, Dr. Anand Deshpande - Chairman and Managing Director, Mr. Sandeep Kalra - Executive Director and Chief Executive Officer, Mr. Vinit Teredesai - Chief Financial Officer and Mr. Saurabh Dwivedi - Head of Investor Relations. Please note, all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after Management's opening remarks. Should you need any assistance during the conference call, please raise your hand from the 'Participant' tab on the screen. While asking questions, request you to please identify yourself and your company. Please note, this conference is being recorded. I now hand over the conference to Mr. Saurabh Dwivedi. Thank you and over to you, Sir.

Saurabh Dwivedi: Thank you, Vandit. Good Evening and Good Morning to everyone on this call. We're grateful for your participation and for spending time with us today. Before we continue with our prepared remarks for Q3, we would like to show you a short video that our team has put together.

[Video played]

Hope we were able to add a unique and interesting element to your experience of our analyst call today. Now, let me quickly outline the agenda for today's call. Sandeep will begin with an overview of our results and commentary on business. Vinit will take you through the financial details and some key operational metrics for this quarter. I will then provide an overview of our key deal wins and awards and recognitions in the 3rd quarter of FY25. Sandeep will come back for a quick summary of the prepared remarks, post which we will open the conference for questions.

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Let me

also remind you that as part of our prepared remarks and during Q&A, we may make certain statements which are forward-looking and may involve significant uncertainty. Persistent doesn't take any responsibility to update such forward-looking statements and your discretion is warranted while making any investment decisions. With this, let me hand over to Sandeep for his prepared remarks.

Sandeep Kalra: Thank you, Saurabh. Let me start with wishing all of you and your loved

ones a very happy and prosperous new year.

Coming to our financial performance for Q3 FY25 :

We achieved a healthy revenue growth of 19.9 % year -on-year and 4.3 % quarter -on-quarter to reach US\$360.2mn in Q3 of fiscal 2025. This marks our 19th sequential quarter -on-quarter growth. Please note that this growth is net of the furlough impact that we saw during the quarter. In constant currency terms, the growth for the quarter came in at 4.6 % quarter -on-quarter. In rupee terms, growth for the quarter came in at 22.6 % year -on-year and 5.7 % quarter -on-quarter. EBIT margin for the quarter came in at 14.9 % translating into an EBIT growth of 25.5 % year -on-year. The profit after tax for the quarter came in at 12.2 %. Vinit will provide detailed color on the financials and the margin movement later in this call.

Coming to the order book for the quarter.

The Total Contract Value (TCV) for the quarter came in at US\$594.1mn with TCV of new bookings coming in at \$333.6mn.

The Annual Contract Value component of this TCV is US\$428.3mn, out of which the ACV from new bookings contributed to \$195.6mn.

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As always, these TCV and ACV numbers include all bookings, renewals as well as new , across all existing and new customers. Please note that our revenue conversion on a quarterly basis is a function of our Annual Contract Value bookings done in previous quarters as well as the conversion from multi -year deals booked in previous years which are included in our TCV bookings that we report on a quarterly basis.

Coming to the client engagement size, let me now give you a color on our client movement across various reported categories. We witnessed healthy year -on-year growth among our client buckets with our top 5 customer revenue , up by 31.7 %, top 10 up by 22 %, top 20 up by 18.7 % and top 50 up by 21 %. The contribution from top 10 customers is 40 % in this quarter compared to 39.3 % in Q3 FY24. In this quarter, we reported 189 customers with trailing 12 month revenues of over US\$1 million compared to 176 in the same quarter last year. All our top client buckets have shown good growth in this quarter. On a year -on-year basis, the number of customers in the \$1 to \$ 5 million bucket increased by 4, those in \$5 to \$10 million bucket increased by 3, those in \$10 to \$20 million bucket increased by 7, those in the \$50 -70 million bucket increased by 1 and finally , customers in the \$75 million + category increased by 1. All of these movements are a demonstration of our ability to scale customer relationships significantly over a period of time.

Coming to details on our geographic performance :

In terms of year -on-year growth, in US dollar terms, North America revenue grew by a healthy 21.1 %, India revenue grew by 12.1 %, Europe grew 10.3 % and the rest of the world grew 66.5 %, although on a low base.

Now let me give you this quarter's performance from an industry segment perspective.

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This quarter's growth was led by Healthcare and Life Sciences followed by Banking and Financial Services Industry verticals which grew by 52.6 % and 22 .0% respectively on a year -on-year basis. Our Software , Hi-Tech and Emerging verticals saw a growth of 3.2 % year on year . I'm pleased to share that our Healthcare and Life Sciences vertical crossed the \$100 million dollar quarterly revenue

run rate this quarter.

With this, each of our industry verticals have crossed the \$100 million quarterly run -rate threshold.

Coming to an update on the interim dividend.

I'm pleased to share with you that the Board of Directors has declared an interim dividend of Rs.20 per share on face value of Rs.5 per share. It is

our endeavor to maintain a consistent dividend payout ratio while we augment our growth through capability-led acquisitions.

Moving on to the progress we have made on our AI roadmap.

As we have articulated in our earnings' calls in earlier quarters, our AI strategy is built around 4 foundational pillars.

- Pivoting to an AI-led platform-driven services approach,
- Engaging with customers increasingly on outcome-based business models,
- Leveraging our partner ecosystem,
- Making strategic inorganic bets to bolster our capabilities wherever we have white spaces.

As we progress on our AI-led platform-driven services roadmap, I'm proud to share that we have filed 20+ patents across various categories including core AI, agentic AI, personalized AI, repository-level AI and productivity measurement.

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Let me describe a few of them in more detail.

Our core AI patents address fundamental challenges in AI and software development life cycle. By optimizing workflows such as internet traffic management, data compression and intelligent routing, enabling scalable and high-performance AI solutions.

Our agentic AI patents, power intelligent collaborative ecosystems by enabling the creation, orchestration and customization of AI agents leveraging in-memory integration and persona-based configurations. These agents dynamically collaborate to automate complex business processes from streamlining supply chains to managing customer onboarding and so on.

Our personalized AI patents enable customer-centric personalization of data, providing personalized recommendations while maintaining strict data privacy.

These patents are a demonstration and re-affirmation of our commitment to innovation and transformation of our service offerings through an AI-led platform-driven approach.

Let me now give you more specific details about our AI for tech platform – SASVATM.

Persistent's AI-led technology strategy is delivered through SASVATM, our generative, deterministic and secure AI-powered digital engineering platform. SASVATM enhances end-to-end software development lifecycle delivering more value and faster time-to-market for our customers while boosting our employee productivity and predictability of outcomes.

I'm pleased to share the recent enhancements to our SASVATM platform which include the integration of autonomous AI agents and enhancements of its robust quality engineering capabilities.

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- SASVATM's latest quality engineering (QE) capabilities simplify complex processes, reduce testing time, improve defect detection and accelerate software delivery through features such as actionable insights, automated test creation, multi-Cloud testing, Gen AI-driven code validation and legacy framework migrations.
- SASVATM now incorporates the integration of autonomous AI agents designed to revolutionize workflows by performing complex multi-stage analysis and seamlessly executing end-to-end tasks. These agents can dynamically interact with multiple data sources, tools and platforms ensuring comprehensive and efficient task completion.

To give you an example, in a multi-stage analysis, these agents can automate the entire bug-fixing workflow. They can identify issues from the GitHub repository, generate code patches using AI-assisted workflows, create comprehensive test cases to ensure functionality, validate the fix against pre-defined parameters and prepare a

detailed pull request with complete contextual information

for

seamless team collaboration.

These enhancements enable us to deliver improved solutions in product engineering, application development maintenance and application modernization aligning more closely with the needs of our customers.

Now coming to our AI for business vector .

Our AI for business vector is driven by our investments in our platforms – iAURA and GenAI Hub.

The iAURA platform offers a complete set of solutions and accelerators to streamline the data life cycle including modernization, operations, Persistent Systems Limited

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quality , and insight generation. The latest version of iAURA powered by Agentic AI enhances business workflows with improved personalization , contextual intelligence and strong privacy safeguards.

iAURA simplifies operations by integrating disconnected systems, addressing gaps in data management and its human -in-the-loop capabilities, enhance workflows in areas like incident management, platform administration and so on.

The Gen AI Hub introduces new features aimed at improving the creation and deployment of Agentic AI workflows. The latest updates built on its enterprise -ready foundation offer smooth integration with tools and frameworks such as AutoGen, CrewAI, and Langflow to simplify complex workflows. With these additions, Gen AI Hub enables advanced workflows in areas such as precision oncology, loan underwriting, credit assessment, customer support, clinical research and incident management - to give you representative examples. These capabilities enhance traditional operations by delivering AI -driven solutions that are focused on achieving better outcomes.

Coming to our strategic acquisitions and partnerships .

In the previous quarter , we had talked about our recent acquisitions of Arrka and Starfish as key initiatives to bolt on to our AI roadmap.

On one hand, we are integrating Arrka's capabilities onto SASVATM, iAURA, Gen AI Hub kind of platforms to ensure that we are incorporating AI governance into the solutions we are building for our customers and on the other hand, we are also integrating data privacy as part of our key offerings across our industry verticals and service lines.

With Starfish, we are building integrations and partnerships with communication platform providers like NICE, Five9 , Amazon Connect, Persistent Systems Limited

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Google Contact Centre AI , and others , while building out our integrated AI platform for contact centre modernization.

We are seeing good traction with our customers for contact centre modernization deals and will share with you as our wins in this domain materialize in the coming quarters.

Coming to our hyper scaler partnerships and engagements .

In this quarter, we have continued to build on our strong collaboration with all hyperscalers and joint development solutions with their teams.

As you would have seen in the video at the beginning of this call, earlier this month, Microsoft organized the Microsoft AI Tour in Bengaluru to demonstrate industry -wide AI adoption use cases by Indian enterprises.

Across the country, 6 companies were selected for demos with just 2 from the IT services industry. We presented Contract Assist , our GenAI -enabled contract management solution built on Microsoft and open AI stack at this event, and we are very proud to say that this was featured by Satya in his keynote address.

ContractAssist simplifies workflows, enhances collaboration , and reduces operational complexity, enabling enterprises to achieve greater efficiency in managing contracts and deriving meaningful insights from them.

Last quarter, we co-hosted the Google Gemini Summit in Pune featuring top leadership from Google Cloud Platform and Persistent. We have partnered with Google to co-develop healthcare and life sciences innovation in AI, knowledge graphs, bio-medical imaging and computational drug design

. One of the outcomes of this partnership is the launch of Pi-OmniKG and advanced AI-driven knowledge graph solution developed with Google Cloud technology. This solution empowers healthcare and life sciences organizations to accelerate bio - Persistent Systems Limited

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medical research, streamline data mining processes and deliver insights with greater speed and accuracy. We are proud to say that Google's HealthAI group has officially listed Persistent as a preferred implementation partner for creating applications using Google's Foundation models. Additionally, this quarter we also earned prestigious accolades including the "Google GenAI Exchange Hackathon Winner 2024" and the "2025 Partner All Star Award for Artificial Intelligence". Coming to AWS – we continue to build on our AWS partnership with our selection as one of the 12 partners globally for AWS's exclusive Game change rs Program for showcasing how industries are being transformed with GenAI. As a part of this program, we had the opportunity to feature some of our success stories at AWS Re :Invent 2024 . One such success story was for a sports technology company which was facing challenges in delivering actionable insights about player performance at scale. By integrating Generative AI with their existing sensor data, we were able to provide personalized insights and recommendation about players' performance.

Coming to our partnership with Salesforce - We continued our commitment to excellence and innovation in the Salesforce ecosystem while crossing the milestone of 1,000 Salesforce AI Associate Certification. We are partnering with Sales force AgentForce , using our SASVA platform and are working on multiple proof of concepts with leading customers in healthcare and life sciences space. One of these proofs of concepts is with a Fortune 100 healthcare company where we have implemented an Agentic Chatbot for their diabetes care product to improve customer experience.

As we look forward into the future of technology services, our endeavor over the next several quarters and years is to transition increasingly Persistent Systems Limited

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towards platform-driven services and shift our business model to outcome-based engagements. This strategic pivot will leverage our proprietary IP as well as IP built in collaboration with hyperscalers and other ecosystem partners.

In summary, we are pleased with our performance in Q3 FY25. I would now like to invite Vinit to give a detailed color on the quarterly financials and related matters. Vinit, over to you.

Vinit Teredesai: Thank you, Sandeep. Good evening and good day to all. Thank you for taking time out to join us today. Let me now take you through the financial highlights for the quarter gone by. Q3 FY25 revenue stood at US\$360.2 million registering a year-on-year growth of 19.9%.

In Rupee terms, it translates to Rs. 30,622.8 million, a growth of 22.6% year-on-year. Impact of furloughs on the revenue was approximately 100 basis points, in line with our expectations.

This quarter, we have integrated the financials of our acquisitions Starfish, Arrka and S oHo. All put together, their contribution to our revenue was about 35 basis points in Q3. Our acquisition of S oHo is a part of vendor consolidation exercise with a large customer. Most of the revenue was already included in our existing run rate prior to the acquisition as part of a sub-contracting arrangement.

EBIT margin came in at 14.9%, 90 basis points improvement sequentially

and 35 basis point improvement on a year -on-year basis. In rupee terms, EBIT for the quarter was Rs. 4,557.3 million translating to a growth of 12.2% quarter -on-quarter and 25.5% year -on-year.

Let me now give you a quarter -on-quarter EBIT margin walkthrough.

Let me first start with the headwinds.

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here were 2 major headwinds for us in th is quarter.

- Furloughs, which impacted our margins by 60 basis points , and
- Lower quantum of earnout credit versus the previous quarter which resulted in a headwind of 100 basis points. The quantum of reversal for this quarter is Rs. 152.24 million.

Coming to the tailwinds for the quarter.

- Our utilization has improved from 84.8% in Q2 of FY25 to 87.4% this quarter.
- Another key improvement that has played out in this quarter is with respect to rationalization of contractor costs with a large healthcare customer. Our plan to offshore the effort of this engagement is proceeding along expected line s as we continue to grow revenue with this customer. Both these factors, i.e. the improvement in utilization and rationalization of contractor cost, coupled with other operational initiatives have led to a 140 b ps improvement in our EBIT margin.

- Strong dollar has led to a cross -currency tailwind of 50 basis points this quarter.

- Lower res ell revenue and improved pricing has helped our margins by 40 basis points , and finally,

- Lower ESOP cost s this quarter have resulted in a tailwind of 20 basis points.

All these headwinds and tailwinds put together resulted in a net increase of 90 basis points in our EBIT margin sequentially as mentioned earlier. Other income, net of finance cost, was Rs. 118.4 million as against Rs. 176.9 million last quarter.

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There was a foreign exchange gain of Rs. 144.7 million as against Rs. 106 million in Q2.

Effective tax rate for the quarter came in at 22.6% compared to 25.2% in Q2. Based on our revised estimates, we expect our overall ETR for the year to remain in the range of 23% -23.5%.

Profit After Tax was Rs. 3,729.9 million, a growth of 30.4% year -on-year. This translates to a PAT margin of 12.2%.

Adjusted for stock split, Earnings Per Share was Rs. 24.30 per share in Q3 of FY25 compared to Rs. 18.90 per share same quarter last fiscal, a growth of 28.4% year -on-year.

Excluding cash from capital employed, return on capital employed for Q3 FY25 came in at 38.1% versus 35.8% same quarter last year.

Total cash and investment stood at Rs. 246.1 million as of 31st December, 2024.

In this quarter, billed DSO came in at 64 days, an improvement of 4 days, and unbilled DSO came in at 22 days, an improvement of 2 days compared to Q2 of FY25.

I would like to make a clarification on OCF to PAT ratio that was reported as 108.3% for Q2 of FY25. We had a reclassification error which has now been corrected. As a result of this correction, our revised OCF to PAT ratio for Q2 of FY25 stands at 80.7%, while for Q3 of FY25 , the OCF to PAT ratio was at 84.4%. It is our endeavor to continue to improve our cash flow conversion and we will share our progress in this regard in the coming quarters.

Forward contracts outstanding as of 31st December were USD 300 million at an average rate of Rs. 85.30.
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Now, let me give you some key operational updates .

- At the end of Q3, our total headcount stood at 23,941, an increase of 605 from Q3 of previous fiscal year.

- Trailing Twelve Month attrition this quarter came in at 12.6% compared to 11.9% in Q3 last year and it continues to be within our acceptable range.

I'm pleased to share with you that , in line with our endeavor to maintain a consistent dividend payout ratio, the Board of Directors have declared an interim dividend of ₹20 per share on a face value of ₹5 per share for the financial year 2025.

We are pleased to inform that ICRA has rated Persistent as AA+ (Stable). This credit rating will serve as a key enabler in Persistent's bid pursuits with larger clients who often require vendor partners to demonstrate strong financial robustness as part of their selection criteria. The AA+ (Stable) rating provides a credible assurance

of Persistent's financial health, further enhancing the company's ability to secure strategic engagements and expand its footprint in the enterprise market.

Coming to ESG updates for the quarter.

Persistent has achieved two prestigious recognitions from the Institute of Company Secretaries of India.

- We have been named "Winner in the Service Sector " at the 3rd ICSI National Awards for Business Responsibility and Sustainability, which highlights our dedication to upholding the highest standards in corporate governance, compliance, sustainability and ethical practices ensuring transparency and accountability across all levels of our organization.

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- We have also been recognized as the "Best Governed Company (Listed Segment : Medium Category)" at the 24th ICSI National Awards for Excellence in Corporate Governance, an accolade that underscores our steadfast commitment to the highest standards of corporate governance, compliance, sustainability and ethical practices.

We are happy to share that Persistent has been included in the Dow Jones Sustainability World Index , with an impressive score of 85 this year, placing us amongst the global leaders in sustainable business practices. This recognition reaffirms our dedication to uphold highest ESG standards, create long -term impact and positively benefit all our stakeholders.

Persistent's near -term and Net -Zero emissions target by 2050 have been approved by Science -Based Targets initiative (SBTi) under their Net -Zero standard criteria.

Let me now hand over to Saurabh for commentary on key deal wins and awards and recognitions we have received during the quarter. Thank you.

Saurabh Dwivedi: Thank you, Vin it. I will now talk about key deal wins for Q3 by industry segments.

Let me begin with Software, Hi -Tech and Emerging industries, our largest vertical.

- Persistent was selected by a U.K. -based private equity -owned leading software company to transform its R&D operations, which include a portfolio of multiple SaaS products. This is a 5 -year, \$50 million + deal with SASVATM license and customization as the core tenet for transformation of product engineering for the customer. Our SASVATM-led product development approach along with Day 1

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readiness were key differentiators in us winning this engagement. The benefit to the customer includes standardization of development processes through product-centric squads, rapid and reliable product modernization leading to annual recurring revenue growth and optimization of R&D costs.

- Persistent was selected as an engineering partner by a leading IT Service Management, observability and database performance solutions provider to help alleviate business risks arising due to geopolitical volatility and undertake talent pool globalization. Persistent's 3+ years of relationship with the customer coupled with strong knowledge of the product helped us win this engagement. Our SASVATM-led, AI-infused engineering practices will benefit the customer by accelerating the roadmap of its IT Service Management product leading to improved product management, fixing of product security issues and revenue and margin enhancements.

- Persistent was selected as a data engineering partner by a food services and facilities management leader to standardize data handling across the organization and initiate data centricity as a strategic initiative. Our differentiation demonstrated by iAURA along with our exceptional stakeholder management with the customer were key factors that helped us win this deal. The benefit to the customer includes modernization of the core platform for their facility management business and reduced efforts in integrating it with their ERP and HR Management Systems. Coming to Banking, Financial Services and Insurance. Persistent S

ystems Limited

- Persistent was selected by a leading American Financial Services company that provides financial record keeping, tax advantage savings and retirement plans to modernize its legacy systems. This is a 7-year, \$150 million plus deal and is the largest transformation deal signed by Persistent till date. Persistent's existing engagements with the customer in the infra space and demonstration of SASVATM and GenAI hub capabilities were instrumental in winning the engagement. The benefit to the customer includes modernization of its legacy systems, reduction in technology debt and improved developer productivity through SASVATM-driven build and release processes.

- Persistent has been chosen as a technology partner by one of the largest global payment technology companies to revamp their Enterprise Gateway Services, a key entry point for all payment rails. Persistent's deep expertise in payments coupled with our differentiated delivery experience to the customer has helped us win this engagement. The benefit to the customer includes improvement and optimization of gateway performance ensuring scalability, reliability, efficiency with low latency and millisecond response times to support services such as Real-time Authorization and Clearance.

- Persistent was selected by one of the largest US-based insurance companies to provide enhancements to the automation of insurance and claims processes within the company. Strong insurance domain knowledge coupled with mature automation practice helped us win this engagement. The benefit to the customer includes development of innovative solutions, accelerators, frameworks, and GenAI-based approaches for higher ROI on automation initiatives. And, finally, within our Healthcare and Life Sciences vertical : Persistent Systems Limited

- Persistent was selected by one of the largest healthcare companies in the world to modernize their platform focused on patient care and pharmacy. This deal initiated a new relationship for the U.K. geography with the customer. Our track record of delivering outcomes in modernization projects and our engineering heritage were key factors in us winning this engagement. The benefit to the customer includes improved patient experience, reduction in technology debt and improved business agility.

- Persistent was chosen by a global leader in specialty injectables, drug compounding and anesthesia to replace their legacy Contract Management System with a new Revenue Management Solution. Our strong relationship with the customer coupled with their confidence in us as a dependable delivery partner led to this being a sole -source d deal where the customer did not float an open bid to other vendors. The benefit to the customer includes alignment of the new solution with legacy dashboards while providing cost reduction in license cost and improvement in system performance.

- Persistent was chosen by one of the largest global contract research organizations to migrate their applications from MuleSoft to Azure Data Factory. Our existing relationship with the customer coupled with SASVATM-led approach for migration were key factors in us winning this engagement. The benefit to the customer includes enhanced developer productivity, improved code quality, reduced project timelines and delivery well ahead of the deadline , redefining the approach to large -scale migrations with improved operational efficiency.

Persistent Systems Limited

Moving on to the awards and recognitions for the quarter from leading analyst firms.

This quarter saw us get continued recognition. To cite a few,

- Persistent earned top honors in the '2024 ISG Star of Excellence™ Award ' for superior customer experience , including the prestigious Overall Award. Persistent was the only company in 2024 to win in four different categories based on the 'Voi

ce of the Customer '.

- Persistent was named a leader in 2024 ISG Provider Lens Generative AI Services (Global). Persistent was recognized for its ability to empower enterprises with tailored AI strategies, strength in guiding clients from initial exploration t o strategic deployment , and deep AI expertise coupled with modern engineering practices.

- Persistent was recognized at the 16th TISS LeapVault CLO Awards in 4 categories including ,

- o Gold for Best Corporate University,
- o Silver for LND Team of the Year,
- o Silver for Best Employee Engagement Program and
- o Silver for Best Chief Learning Officer of the Year

- Our Founder and Chairman, Dr. Anand Deshpande, has been inducted as a fellow of the Indian National Academy of Engineering during its Annual Convention, 2024.

- Our CEO, Sandeep Kalra, was featured in Business World's article, 'Sandeep Kalra's \$2 Billion Powerplay for Persistent Systems', outlining his bold leadership and discipline d strategy. The feature
Persistent Systems Limited

highlights Persistent's AI -first approach, powering its verticals and sub-verticals and its forward -looking vision.

With that, let me hand over to Sandeep.

Sandeep Kalra: Thank you, Saurabh. Before I request the operator to open the floor for questions, I would like to provide an update on our annual planning exercise known as the Huddle. The Huddle concluded about 2 weeks back. This was a comprehensive exercise that took place in Pune and saw participation of over 350 of our senior global leaders across sales, delivery and our enabling functions. During this exhaustive exercise , we not only planned for FY26 but also reviewed our progress towards our aspiration of achieving \$2 billion in annual revenue by the end of FY27. We remain confident in our trajectory towards this near -term aspiration and as a team have set our sights on our next aspiration, achieving \$5 billion in revenue by FY31.

To support this audacious, ambitious goal we have developed a strategic roadmap that includes categorizing our three core verticals into sub -verticals with a focus ed plan to scale each of them meaningfully over time. Additionally, several key initiatives have been outlined such as doubling down on our Top 100 customers, which give us roughly about 80% of our revenues, expanding alternate channels including private equity and sourcing advisors and enhancing our focus on global capability centers as they become even more relevant in our ecosystem.

All of these efforts will be driven by our commitment to infusing AI into every aspect of our vertical and service line offerings as we highlighted earlier in this call and leading with the platformization of services. We'll provide further insights into our roadmap to our aspiration of \$5 billion by 2031 over the next several quarters.

Persistent Systems Limited

With this, we conclude our prepared comments. Operator, please open the floor for questions.

Moderator: Thank you, Sir. We will now open the call for Q&A session. We will wait for a few minutes until the queue assembles. We request participants to restrict to 2 questions and then return to the queue for more questions. Please raise your hand from the participant tab on the screen to ask the question.

The first question is from Mehta Bhavik.

Mehta Bhavik: Hi, thank you. Two questions. Firstly, one of your peers have highlighted that they have faced headwinds because of productivity benefit being asked by one of the hyperscale r clients and obviously Persistent works with all the hyperscalers in the world. So, have you also seen any such asks from the client which could drive some headwinds on revenues and margins over the next two quarters?

And the second question is, if I look at the utilization, it has gone up sharply and even the headcount has g one up, so what level of utilization you're comfortable w

ith operating at and how should we think about the headcount additions going forward? Thank you.

Sandeep Kalra: Thanks, Bhavik. So, I'll go reverse gear on this. Utilization, yeah, it is at 87% plus a t this point in time. We are comfortable keeping the utilization in 85% band. As far as the headcount addition is concerned, obviously in the shorter run that means that there are contracts that we are working on to fulfill , and the pipeline also - the confidence reflects on that. So, I'll leave it there.

As far as the headwinds are concerned, look, if we are able to use tools to provide better productivity to our customers and so on and so forth, that should also reflect in more business over a period of time. I am not going
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to comment on what our competitors said. We are confident if we use

our tools - Things like SASVATM, things like iAURA, GenAI Hub, etc. We have seen if we are adding more value to the customer, the customer lets us partake better value out of that. It is not a race to the bottom where we have to necessarily develop all this IP, deliver more value and pass on everything. That is not the way we are looking at it and that's not the way our customers are looking at it.

Mehta Bhavik: Okay, thank you.

Moderator: The next question is from Abhishek Bhandari.

Abhishek Bhandari: Yeah, thank you, management team, and good to see broad-based growth in this quarter. I have two questions. Sandeep, first to start with you. While I understand third quarter is generally heavy on renewals, but if I look at the ACV and the new business ACV, the growth rates on a YoY basis from a deal perspective appear to be a tad weaker one. They're in single digit, 9% and 7% respectively. So, is it because of certain timing issue in terms of closing of projects or is this on your expected line? And if you could also comment on the pipeline while you answered that.

Sandeep Kalra: Sure.

Abhishek Bhandari: And the second question is for Vinit. So, Vinit you know we have probably exhausted all the traditional levers in terms of utilization and optimization. So, going forward, how should we think on the margin improvement? I remember the comment that on a year-on-year basis, we want to be as close as possible to last year number - we'll probably end there, but on a go forward basis say FY26 and 27, aligning to your medium-term aspiration of 200 basis point improvement in margin, how should we think about it?

Sandeep Kalra: Sure. So, I will take the first question, Abhishek. So, if you look at our revenue conversion, I made that comment earlier in the call as well. Our revenue conversion is sum of our ACV conversion and the TCVs that we have announced over a period of time. Even if you look at some of the deal wins now. So, we announced a deal win where we announced a 150 Persistent Systems Limited

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million + 7-year deal and that could only go up with time. So, if you look at deals like that, there are at least in the last five years, there are at least 45+ deals that are multiyear deals where you may not necessarily see the renewals come in the ACV side of it and if you look at the backlog of Persistent, it has been increasing over a period of time. We don't announce backlog. We don't intend announcing backlog in the shorter run. All I can say is if you look our growth, the layering of the TCV is what is basically giving us the revenue growth consistently over the last 19 quarters. So, we are comfortable with whatever the ACV growth is. We will always aspire to do better and we are confident in our growth journey. We don't comment on the pipeline that much, but the pipeline remains healthy. I'll note quantify the pipeline. Vinit, over to you for the margin commentary.

Vinit Teredesai: So, Abhishek, yes, your point is absolutely valid. The

utilization is at a

peak level, but I will also say at this point of time, while our comfortable band remains to be in the 83% to 85% range. It's not that in the short run this utilization is going to come down to that level. We are comfortable, at least in the short run, to continue with a little bit of high utilization levels. The second leg on the cost optimization part, there are many other levers that we are still working upon. I'll just give one or two examples. One - in terms of pricing. We are working with multiple customers in terms of implementation of the COLA clauses, in terms of getting some change request, wherever possible, we are also going and basically trying to get nonlinear revenue. As more and more AI levers get utilized, the nonlinear revenue is another factor which can help us in terms of improving our margins and last, not the least, the SG&A, as you see that our SG&A as compared to our peers is on a higher side, so there is a scope of optimization that is still available there. So, these are all the factors that will continue to do that and finally, at the end of the day, as we continue to grow, a lot of these problems will also - the margin problem will also get sorted out.

Sandeep Kal ra: So, I'll just add one thing there. So, Abhishek, I'm sure you are one of the best analysts out there. You can see your spreadsheets. If we were to deliver 1 4.5% for the full year, that means an exit run rate at a different level. That exit run rate for the year becomes an entry run rate for the next year. Then , couple that with whatever Vin it said and as you know, we mentioned the more we bring IP /differentiated capabilities, we are able to get a differentiated pricing and if you were to look at our pricing with respect to the industry , we have been able to , over the last several years, command a premium . So, all of that put together along with our disciplined operational execution as much as we do disciplined execution
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on the revenue side, we are confident of whatever we have set on margin trajectory and we'll let the time pan out.

Abhishek Bhandari: Thank you and all the best for calendar 25.

Sandeep Kal ra: Thank you .

Moderator: Thank you . The next question is from Sandeep Shah .

Sandeep Shah: Yeah . Thanks for the opportunity and congrats on good execution .

Sandeep, just wanted to understand entering FY26 or CY25, are you worried about demand in Healthcare with a change in US administration because some of your peers are highlighting the same in terms of uncertainty .

Sandeep Kal ra: Okay. So, if you look at it, I'll give a philosophical answer first and then we'll come to this. So, macroeconomic environment, all of these other environments – look - they are given to everyone. How one reacts and how an organization reacts , is where the maturity comes in. If you look at the last four years, we've gone through COVID, where we grew despite the sector not growing. We came through post -COVID where we grew even at 35% and we had five quarters of 9% sequential. We saw post - COVID, where people talked about macro being bad, even this last quarter gone by , a lot of people said whatever it is. So, all we can say is even when there is a, you know, tough environment for a particular sector, there are going to be opportunities if you are able to analyze the sector . If there is pressure on that sector for IT services companies like ours or technology services companies like ours, there's a cost optimization opportunity. When the market becomes better, there's a revenue enhancement opportunity. So, are we worried? You know worry doesn't get us anything. We are keenly looking to see what happens , where does it throw up opportunities for us , how do we kind of partner with our customers, get even more closer to them specially our top 1

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customers who give us 80% of our revenues , and so we are relatively confident we will sail through this as well. We have to just analyze as the Trump administration settles in. What are the actions, h ow does it impact , and how do we partner with our customers for their success? So , I'll leave it there.

Sandeep Shah: Yeah, and just a last quick follow up on what you said, so in terms of pipeline and the deal wins, the proportion of cost takeout versus discretionary, are you seeing any tilt towards discretionary ?

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Sandeep Kalra : So, it's too early to say . I can only say that the mood is changing in certain business cycles or certain business you know, places where people are more buoyant about the investments that may happen in the US because of the you know, government policies and so on, so forth. But it is too early for that to convert into pipeline and into closures . So, we will have to give it a little bit of time . The mood is buoyant, but nothing to reflect in discretionary coming up big time . We will wait for another quarter to two quarters before that and so far it is business as usual . We h ave to find our own opportunities within the things .

Sandeep Shah: And just the last clarification , margin aspiration to improve by 20 0-300 bps in medium term remains, right because t here are no comments in

the opening remarks ?

Sandeep Kalra : Yeah. Because see if you look at the exit run rate as I said to Abhishek, if you analyze our, you know things right now and I'm sure you can do your mathematics , 14.9% is what we delivered . There were headwinds and tailwinds. There was a furlough impact of 0.6%. You can put your mathematics together . Hopefully that bodes into a margin improvement for the next quarter , that becomes an entry run rate for the next year and then we have to execute . So, that should give you confidence on what I'm saying .

Sandeep Shah: Thank you.

Moderator: The next question is from Vimal Gohil .

Ravi Menon: Hello. This is Ravi Memon.

Vimal Gohil: Yeah , hi. Can you hear me?

Moderator: Ravi , we will take Vimal first and then

Vimal Gohil: Yeah . Thanks for the opportunity, Sir, and an excellent quarter .

Sandeep, my question is to you . Just wanted your comments on the autonomous AI delivery that you spoke about, which is again SASVATM led, very encouraging to see deal wins coming through on that . While you've shared that how do the benefits that we get to partake with the clients , you already shared that aspect . I want your comments on what happens to the long -term planning of headcount addition for the company going forward ? What kind of headcount, are we looking to add ? How will the pyramid change? How will the onsite offshore ratio get impacted? On that, basically the operational aspect, how will that change? Thank you so much.

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Sandeep Kalra: Yeah. I'm smiling because this is a longer discussion, but if you look at it in a very short this thing, look, we have been a leading technology services company. We have led by adopting technology ahead of our peers. So, that would mean that we will need to have a 2 -tiered economy within the company . There are people who are focused on market share gains here and now, and there are people who are focused on building platforms for the future, which everyone in the company will embrace , our learning and development will gear up. They will basically take the platforms that we are building, whether it is our own IP, whether it's IP built on our partner ecosystem, the hyperscale rs, our specialized partners and then train the rest of the manpower. So, the pyramid etc. is going to change over a period of time, not necessarily next quarter, but over the next several quarters and years, you will see the pyramid concept

fading away. You will see more outcome -driven kind of business models evolving at least as far as Persistent is concerned. You will see us partaking more value not passing on 100% of the benefits and just getting into a race to the bottom. So, you will see a number of these changes, but we'll let the things pan by. It is going to be a multiyear journey . While we all talk about agentic AI, while we all talk about how we are progressing, for enterprises, beyond a certain set of enterprises who are technologically savvy for others to adopt, it will take months and quarters and years. So, from that perspective, all the comments that you have said are valid, but we see an opportunity because we don't have the innovator 's dilemma , we don't have to worry about a legacy, we don't have, you know, hundreds of thousands of people. We can happily nibble at other people's you know, market share by going and disrupting what they do by 100 people over a period of time , maybe we can do it by 50 or less. So, there is enough opportunity for Persistent. We are not worried about any of these things . We have to invest ahead of the curve better than the others . So, that's where we are and that's why we even are looking at a very differentiated journey over the next 6 -7 years. So, I'll leave it there.

Vimal Gohil: Thanks . Thanks. Thank you, Sandeep Sir. Just one bookkeeping question for Vinit Sir . Vinit, anything noteworthy on the provision for doubtful debt this quarter ?

Vinit Teredesai: Obviously while we don't call out, it remains within the normal range. So ,

there are no material pluses , minuses that are happening .
Vimal Gohil: Thanks . Thanks, gentlemen. Thank you so much .
Moderator: The next question is from Ravi Menon.
Persistent Systems Limited

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Ravi Menon: Hi, thanks for giving an opportunity. Sandeep, congratulations on really broad-based growth and the deal wins as well . You spoke about it at a micro vertical level . I just want to understand the seasonality of these bookings . I mean last year Q3, I think we had some you know very strong bookings . This year again Q3 is very strong . What drives the seasonality in Q3?

Sandeep Kalra: Sure . So, Ravi, you are aware of Persistent business mix very well . In our fact sheet , if you look at it, 80% of our revenues come from North America, predominantly the US . So, if 80% of our revenues come from a geography in which the financial year is driven by calendar year. So, calendar year ending in December means most of our larger renewals etc., which are annual renewals happen in the October, November, December quarter. So, you see a spike in the renewals - that combined with whatever we do on new, whether in existing or you know, net new customers that is basically the sum of the entire bookings that we do and if you look at traditionally last several years, you will see Q3 being seasonality-wise, more stronger for us on the bookings front .

Ravi Menon: Thanks. And you're talking about some sort of pickup that we might see slightly and this year I've heard that decisions, you know about budgets are yet to be made, probably will be made only by February . Is that right and would we then you know likely to see a bump up in bookings in Q4?

Sandeep Kalra: So, look, if the budgets get decided in February that by the time that has an impact on pipeline , that is an impact on bookings etc., it will be a little bit more time . But look, we are building the business on an ongoing basis and if you look at our trend over the last several quarters, our year-on-year , the revenue part is increasing. That's a combination of the bookings that we do now and as I said earlier over the last several years, whatever backlog we have been able create . So, it is trending in the right direction, but from a market perspective, I think

it is too early to celebrate green shoots victory and so on . One has to just focus and with our own capabilities, mine our own customers , and cultivate the right new logos .

Ravi Menon: Thanks so much and congrats again and best of luck for your FY31 journey .

Sandeep Kalra: Thank you .

Moderator: Next question is from Manik Taneja.
Persistent Systems Limited

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Manik Taneja: Thank you for the opportunity and congratulations for the broad-based performance in the current quarter . Sandeep, you touched upon the fact that we are looking to pivot to a software or operating or change in the commercial model . Do you think this can help us decouple from the typical headcount led growth in our business ? And the second question is that does this also accelerate the margin expansion journey that you are striving for , given some of the productivity or the efficiency gains that you will see from this initiative ?

Sandeep Kalra: Yeah. So, good direction . So, if you look at it, yes, that is where the industry, the people who adopt the AI part and are able to leverage it and build differentiated service offerings, IP, etc . will go . So, there definitely will be a decoupling, but again my only caution would be , please don't expect it next quarter , next to next quarter , and so on . This is going to be a multi quarter , multiyear journey , and it'll also need certain amount of investments to be done and while we have said on one side we will do margin optimization, the play for differentiated tech services companies, let's say five years, seven years from now would be the margins would look very different from what they are right now , and that is the

opportunity, but in the short run, while we optimize for margins, we'll keep investing to build those differentiation so that we can ride that wave, we can decouple the headcount growth from the revenue growth, and hence have more revenue per employee, profit per employee over the next several years and then you know obviously what you're saying is where we would be.

Moderator: The next question is from Abhishek Kumar.

Abhishek Kumar: Yeah. Hi. I hope I'm audible. Sandeep, you mentioned that you know you are very confident of your FY27, \$2 billion revenue run rate - revenue aspiration. That is pretty much a giveaway you know of what to expect next two years in terms of growth. My only question is does this include any inorganic contribution from here on, or given the order backlog we have, you are pretty confident of achieving it organically?

Sandeep Kalra: Okay. So, let me paraphrase. So, \$2 billion by 2027 financial year end is an aspiration. What we are saying is this. We are on that trajectory. We don't want to be overconfident. Having said that, when you're running a large organization and today we have become a semi-large organization, we have 24,000 of us. A few years back, we started saying our aspiration is \$1 billion. We met that in time. Then we started saying \$2 billion, we are on that track and so we are also aspirationally, you know, ambitious people. We want to do the right by our customers, but we also want to grow and we see an opportunity that AI is giving us to compete against Persistent Systems Limited

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the biggest, whether it is the largest in the US, Europe, or India and so we want to move the goal post on our aspiration and that's why we have moved the goal post so that we have a bigger picture for all of us, a bigger career path for all our employees and team members globally, and so it is not a giveaway that we are saying that it is guaranteed that will be \$2 billion by FY27, we still have a lot of work to do. All we are saying is, we are confident of the trajectory, we will be at it, we will deliver that, but our bigger goal post is now \$5 billion by 2031, which will make

us one

of the fastest growing tech services company, should we be able to achieve that aspiration, which we will give our best.

Now, the other part of inorganic. Inorganic has never been a revenue accretion game for us. It has always been a capability build up kind of thing for us, whether it is, you know, Arrka is just a 20 -people acquisition, but in the data privacy domain which is paramount in today's AI kind of a thing. Any services company that does not focus on that cannot go to the customer straight face talk about implementing AI solutions. Similarly, Starfish was a very small acquisition but gives us a totally new addressable market in contact center optimization. So, our foray will be like that. The only place where we might do a slightly scaled acquisition is Europe, where we are at 8% to 9%. Our aspiration is, you know, 12% to 15%. So, outside of that, you will see us stick to our knitting, do focused acquisitions, and investments, giving us technology to become even bigger, better version of ourselves, much more differentiated than our peers. Hopefully, that answers.

Moderator: The next question is from Vibhor Singhal.

Vibhor Singhal: Hello. Am I audible?

Sandeep Kalra: Yes, please.

Vibhor Singhal: Yeah, hi. Thanks Sandeep. Thanks Vinit. Thanks for taking my question and congrats on a very solid performance yet a gain. Sandeep, just want to pick your brain on the FY31 target that you have set. I know, in the subsequent quarters you mentioned you are going to come up with a proper roadmap to it, but just on the preliminary thoughts, I mean, what will it take for us to do differently from what we are doing at this point of time to reach that goal? I mean, can we continue doing the same that we are doing and reach there or do you see some different kind of opportunities? For example, a lot of your peers have called out this big opportunity in the ERP refresh cycle, is there anything that something of that sort that we're looking to do? Just some color on that would be helpful. I'm sure you would come with a detailed plan later on, but any

preliminary thought will be really helpful . Then I have a follow up question for Vinit.

Sandeep Kal ra: We have two minutes in the call, so I'll just keep it very , very brief . So, essentially, look, doing more of the same doesn't get us different results .

So, o bviously , we have to gear up differently . We have scaled verticals to nearly \$0.5 billion across verticals, give or take - healthcare, life sciences at \$400 million run rate right now - 100 m illion a quarter ; financial services just above t hat, you know, tech above that . So, first and foremost, each of these vertical s is an ocean. Dividing that and creating 12 to 15 subvertical growth engines starting from there , focusing on the top 100 customers , going much deeper in the top 100 customers, mining them effectively , bringing the net new engine at a different scale through sourcing advisors or private equity – private equity i s a very scaled play for us, very differentiated play for us . We all u nderstand , in Persistent, there's a set of people who understand private equity like nobody else in our industry does . Very f ew companies in our industry understand private equity like that. So, there are many such things , many such motions, but we'll leave it for another day because there's hardly one minute left . If you can ask the final question to Vinit, t hen you know, we'll try and wrap up the call .

Vibhor Singhal: Sure . Thanks, Sandeep . Vinit, just on the earnout reversal provision that we have taken . So, have we seen the end of it or do you believe there could be more of it in the next quarter or something will spill over in FY26 as well ?

Vinit Teredesai: At this point of time, and I think, I mentioned

this in our last quarter's call

also that our anticipation is that this will end by the e nd of this financial year .

Vibhor Singhal: So, Q4 there might be something more , but in Q1 they won't be any ?

Vinit Teredesai: As of now, yes, that's what .

Nupur Singhal: Yes, right. Got it, got it . Thank you , Sandeep . Thanks for taking my question . I wish you all the best.

Sandeep Kal ra: Thank you . So, with this, let me close our call with a message that we are positive about our growth prospects as we move into the next quarters .

We continue to work with our customers proactively engaging and partnering with them to help develop solutions for their forward -looking strategies .

Persistent Systems Limited

Thank you all of you for spending time with us on the call today and we look forward to connecting with you again in three months' time to provide an update on our ongoing p rogress . Thank you .
Operator, we can close the call .

Moderator: On behalf of Persistent Systems Limited, that concludes today's conference . Thank you for joining us and you may now disconnect your line and exit the webinar . Thank you, everyone.

Please note that this transcript has been edited for readability.

Call: Apr 2025

Persistent Systems Limited, Bhageerath, 402 Senapati Bapat Road, Pune 411 016, Maharashtra, India
CIN - L72300PN1990PLC 056696
Tel: +91 (20) 670 3 5555 | Fax - +91 (20) 6703 6003 | E-mail - info@persistent.com | Website - www.persistent.com

NSE & BSE / 2025-26 / 029

April 30, 2025

The Manager
Corporate Services
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai 400 051

Ref: Symbol: PERSISTENT The Manager
Corporate Services
BSE Limited
14th Floor, P J Towers, Dalal Street,
Mumbai 400 001

Ref: Scrip Code: 533179

Dear Sir/Madam,

Sub: Transcript of investor/analyst call held on Thursday , April 24, 2025
Ref: Our earlier intimation with Ref. No. NSE & BSE / 2025 -26 / 023 dated April 24, 2025

In continuation to the above -referred intimation and pursuant to Regulation 30 read with Schedule III (Para A) (15) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to submit the transcript of the investor/analyst call held on Thursday , April 24, 2025, for the quarter and year ended March 31, 2025.

The transcript of the investor/a nalyst call is also made available on the Company's website as follows:

Analyst -Call-Transcript -Q4FY25.pdf

This is for your information and record.

Please acknowledge the receipt.

Thanking you,

Yours Sincerely,
For Persistent Systems Limited

Amit Atre
Company Secretary
ICSI Membership No.: A20507

Encl: As above
Persistent Systems Limited

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"PERSISTENT SYSTEMS EARNINGS CONFERENCE CALL,
FOURTH QUARTER, FY25 ENDED MARCH 31 , 2025"
8:00 AM IST, Thursday, April 24, 2025

MANAGEMENT :

Mr. Anand Deshpande
Chairman and Managing Director

Mr. Sandeep Kalra
Executive Director and Chief Executive Officer

Mr. Vinit Teredesai
Additional Director (Executive Member) and Chief Financial Officer

Mr. Saurabh Dwivedi
Head, Investor Relations

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Moderator: Ladies and gentlemen, good day and welcome to Persistent Systems Earnings Conference call for the fourth quarter of FY25, ended March 31st, 2025. We have with us on the call today, Dr. Anand Deshpande, Chairman and Managing Director, Mr. Sandeep Kalra, Executive Director and Chief Executive Officer, Mr. Vinit Teredesai, Chief Financial Officer and Mr. Saurabh Dwivedi, Head of Investor Relations. Please note that all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after Management's opening remarks.

Should you need assistance during the conference call, please raise your hand from the participant tab on the screen. While asking questions, request you to please identify yourself and your company. Please note this conference is being recorded. I now hand over the conference to Mr. Saurabh Dwivedi. Thank you and over to you Sir.

Saurabh Dwivedi: Thank you, Vandit. Let me quickly outline the agenda for today's call. Anand will open the call with his opening remarks. Sandeep will then share an overview of our results and commentary on business.

Vinit will take you through the financial details and key operational metrics for this quarter. I will then provide an overview of our key deal wins and awards and recognition for this quarter. Sandeep will come back for a quick summary of the prepared remarks, post which we will open the conference for questions.

Let me also remind you that as part of our prepared remarks and during Q&A, we may make certain statements which are forward-looking and may involve significant uncertainty. Persistent does not take any responsibility to update such forward-looking statements and your discretion is warranted while making any investment decision. With this, let me hand over to Anand for his remarks.

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Anand Deshpande : Thank you, Saurabh . This year marks the 35th anniversary of Persistent Systems, a journey that we began in 1990 with a simple but ambitious vision to build a technology company from India that delivers global impact. Over the past three and a half decades, we have stayed true to that vision, growing steadily and shaping ourselves into a digital engineering leader trusted by customers worldwide.

Within that larger journey, this month we celebrate a special milestone, 15th year since our listing on the National Stock Exchange on April 6, 2010.

This is a moment to pause, reflect and to express deep gratitude. This journey has been about building with purpose, combining technology, talent and trust to solve real-world problems.

It has been about staying resilient and future focused. I want to take this opportunity to thank all those who have walked alongside us, our passionate employees, committed leadership, forward-looking customers and dedicated partners. A special word of appreciation to our investors and the analyst community.

Your confidence, insights and support have been invaluable in shaping our growth story and fueling our ambition. To give you a sense of what we have collectively achieved, Rs. 1 lakh invested in Persistent shares at the time of IPO would be worth over 70 lakhs today, excluding dividends. I consider myself to be incredibly fortunate to have been part of this journey.

With that, let me now hand over to Sandeep for the quarterly and annual updates. Thank you.

Sandeep Kalra: Thank you, Anand. Before I start with the update on the quarter, I am pleased to share with you that our CFO, Vinit, has been inducted as an additional director on the Persistent board. I look forward to working with him for the continued success of our company.

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Let me now start with a quick financial summary.

Coming to Q4 FY25 first, we delivered revenues of USD 375.2 million. This translates to a growth of 4.2% quarter-on-quarter and 20.7% year-on-year. In rupee terms, the growth for the quarter came in at 5.9% quarter-on-quarter and 25.2% year-on-year.

In constant currency terms, this translates into a quarterly growth of 4.5% quarter-on-quarter. This quarter marks our 20th sequential quarter of revenue growth. The EBIT margin for the quarter came in at 15.6%, translating into an EBIT growth of 10.9% quarter-on-quarter and 34.9% year-on-year.

The profit after tax for the quarter came in at 12.2%.

Coming to the full year financial year 25:

We achieved revenues of USD 1,409.1 million, giving us 18.8% year-on-year growth. In rupee terms, this translates to year-on-year growth of 21.6%. The EBIT margin for FY25 came in at 14.7%, compared to 14.4% for FY24. The profit after tax for the full year came in at 11.7%.

Vinit will go over the detailed color on the financials and margin movement later in this call.

Now coming to the order book for the quarter:

The total contract value for Q4 came in at USD 517.5 million, with TC V of new bookings coming in at USD 329 million. The annual contract value of this TC V is USD 350.2 million, out of which the ACV from new bookings contributed to USD 198.1 million.

The total contract value for full financial year came in at USD 2.1 billion, while the corresponding ACV was USD 1.5 billion. Most of you are aware that we typically see higher quantum of renewals and hence booking in the Persistent Systems Limited

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December quarter, given the fact that 80% of our revenues emanate from the US. And this period corresponds to the end of financial year for our North American customers.

The sequential decline of bookings in the quarter reflects this seasonality that we have observed in previous years as well. Also, please note that our revenue conversion on a quarterly basis is a function of annual

contract

value bookings done in previous quarters, as well as the conversion from multi-year deals booked in previous years, which are included in our TC V bookings that we announce on a quarterly basis.

Coming to the client engagement size:

Now let me give you some color on our client movement across various reported categories. This quarter, we witnessed healthy year-on-year

growth among our client buckets, with our top five customer revenue growing by 35.3%, top 10 by 27.3%, top 20 by 25.1%, and top 50 by 23.3%. The contribution from top 10 customers is 42.2% in this quarter, compared to 40% in Q4 FY24. All our top client buckets have shown good growth in this quarter compared to the same quarter last year. Customers with annual revenues more than 75 million plus increased from 2 to 4 on a year-on-year basis. Those with 50 million-plus annual revenue increased from 3 to 4. In 10 million-plus, the bucket increased from 17 to 21. And I'm also very pleased to highlight that we saw a significant jump in customers with annual revenues more than \$5 million, with the number of customers in this category increasing from 40 to 55 over the last one year. Finally, the number of customers with annual revenue more than \$1 million increased from 178 to 191. These numbers demonstrate our ability to scale customer relationships significantly over time. Coming to the details of our geographic performance.

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In terms of year-on-year growth this quarter, in USD terms, North America revenue grew 21.3%, Europe grew 30.6%, India grew 10.6% and the rest of the world grew 8.6%. For the full year FY25, North America grew 20.6%, Europe grew 7.4%, India 12.5%, and the rest of the world grew by 34.5%. Now let me give you this quarter's performance from an industry segment perspective.

Compared to the same quarter last year, healthcare, life sciences and banking financial services industry verticals grew by 33.6% and 26.6% respectively on a year-on-year basis. Our software, high-tech and emerging vertical registered a growth of 9.7% year-on-year.

For the full year FY25, healthcare and life sciences vertical grew 54%, banking & financial services grew 17.8%, while software and high-tech vertical grew 3.7%.

Coming to an update on the dividend side.

Our board of directors recommended a final dividend of Rs. 15 per share. This is in addition to the interim dividend of Rs. 20 per share that was declared in January 2025. It's our endeavor to maintain a consistent dividend payout ratio while we augment our growth through capability-led acquisitions.

Coming to an update on our customer events.

In keeping with our tradition, we mark the end of each financial year by organizing customer events in major cities, connecting with our customers and expressing our gratitude towards the strong partnerships that they have with us. Our New York event this year was hosted in the iconic Nasdaq Tower, which was well-attended by our key customers, partners, and employees. On this occasion, we also mark the US launch of the Persistent Foundation with a million-dollar commitment towards the same. We will

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also be having similar events in the Bay Area as well as Seattle over the next one week.

Coming to the progress we have made on our AI roadmap across the two key pillars, AI for technology and AI for business.

As previously discussed, our AI strategy is anchored around four pillars :
 - First, coming to AI for technology. Here we are pivoting on two sides. On one hand, we are working with leading technology companies and hyperscalers in helping them engineer their platforms, leveraging our core expertise in product development as well as creating robust backend connectors, enabling seamless integration and scalability for our enterprise customers. Our work with these companies is

foundational to the ability to enable agentic AI in enterprises over time. Another paradigm of this AI for tech pivot includes building our GenAI-enabled platform, SASVA, to accelerate software development for technology companies as well as application development for our enterprise customers. SASVA has

end-to-end capabilities natively built into the platform and also integrates with third-party ecosystem partners across the software development lifecycle, helping our customers leverage their existing investments.

- Our second anchor is with respect to AI for business, as a part of which we are incorporating an Agentic Reasoning Layer to transform traditional backend business logic into dynamic agent-driven workflows. Our investments in Gen AI Hub and iAURA platforms are accelerating our agentic AI roadmap with our enterprise customers. Our solutions span across industry verticals, delivering agentic experiences such as fraud detection and loan origination in banking and drug discovery, patient engagement and prescription refills in healthcare, just to give you some examples. Building these agentic workflows is also spawning off a significant amount of data plumbing and engineering engagement for us

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with our enterprise customers. A testament to this is the 50% plus growth of our data and AI practice in each of the last two years on the back of significant wins across Fortune 1000 customers on such programs.

- The third pillar of our AI strategy is undertaking inorganic investments to enhance our capabilities. The acquisition of Starfish has given us the ability to disrupt the contact center domain from a horizontal solution perspective and is very relevant to our customers in the tech domain or banking financial services or healthcare life sciences. Adding on to that was our acquisition of Arka that enables us to add important capabilities with respect to data privacy and governance, whether it comes to our platforms and offerings or our offerings based on third-party platforms.

- Finally, the fourth pillar is to use all our AI-related investments and capabilities to transform business models in which we engage with our customers. Our endeavor is to get into more outcome-driven and other differentiated commercial models so that while we create significant value for our customers, we are also able to retain a relevant part of this benefit for ourselves and invest in increased R&D as we go along. This should reflect in revenue and margin per employee on our end getting enhanced over a period of time.

Let me now share with you some details on the progress we have made on SASVA and some key case studies.

In terms of SASVA, we have filed 15 new patents this quarter, taking the total patent count to 35, covering innovations like backlog prioritization, LLM-driven security simulations, and dynamic data pipeline orchestration. In addition to these patents, recent feature updates to SASVA include OSS remediation factory for automated open-source vulnerability management, modernization factory for such structured application migration and tech debt remediation, AI-powered L0 to L3 support

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integrating GenAI into enterprise support workflows. We are seeing SASVA adoption in customer programs such as technical debt remediation, tech stack modernization, language upgrades, core product transformation and automated bug fixes. One of the largest deals that we have won in this year in this domain and which is in current execution is for a large SaaS provider where we are helping them adopt SASVA enterprise-wide, enabling modern ways of product development, boosting developer productivity and accelerating product release cycles in a major multi-year engagement. Now coming on to strategic partnerships :

In terms of the various partnerships that we have with

hyperscalers and

others, just a brief update on that.

- We have established a strategic partnership and integrated GenAI hub with NVIDIA Inference Microservices (NIM), for agent-based AI using NVIDIA's AI Foundry models.

- In terms of Google, we continue to enhance our partnership and we have been recognized as an implementation partner for Google's

Healthcare AI Developer Foundation and we are working closely with Google to launch AI solutions specific to healthcare and life sciences. An example of such a solution is our Pi-OmniKG aimed at accelerating biomedical research for healthcare companies. This was launched in Q4 in collaboration with Google and Neo4J.

- In terms of IBM, we were awarded as the first runner-up in the 2024 Call for Code Ecosystem Engagement based on our IBM WatsonX AI-powered sustainability platform.

- In terms of Salesforce, we have successfully completed 10,000+ Salesforce certifications and also expanded Agentforce adoption across 32+ of our customers.

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- Coming to data and AI specific partnerships, we have developed an agent-based AI framework and solution for managed services offerings leveraging iAURA for Databricks and Snowflake platform-led engagements.

In summary, we are very pleased with our performance in Q4 FY25. I would now like to invite Vinit to give a detailed color on the quarterly financials and related matters.

Vinit Teredesai: Thank you, Sandeep. Good day to all of you. Thank you for taking time out to join us today. Let me now take you through the financial highlights for the quarter and year gone by.

Q4 of FY25 revenue stood at 375.2 million US dollars, registering a year-on-year growth of 20.7 percent. In rupee terms, it translates to Rupees 32,421.1 million, a growth of 25.2 percent year-on-year.

Revenue for the full year FY25 was 1,409.1 million US dollars with a growth of 18.8 percent year-on-year. In rupee terms, the same stood at 119,387.2 million rupees, a year-over-year growth of 21.6 percent.

EBIT margin for Q4 FY25 came in at 15.6 percent, 70 basis point improvement sequentially and 110 basis point improvement year-on-year. In rupee terms, EBIT for this quarter was 5,052.9 million rupees, translating to a growth of 10.9 percent quarter-on-quarter and 34.9 percent year-on-year.

EBIT for the full year FY25 stood at 14.7 percent as against 14.4 percent in FY24.

Let me now give you a quarter-on-quarter EBIT margin walkthrough.

Starting with the tailwinds this quarter,

- Improved utilization helped margins improve by 20 basis points.

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- Reduction in sales, general administration cost has helped us for margins with 30 basis points.

- A marginally higher earn-out credit versus the previous quarter helped margin improve by 20 basis points. Please note that all earn-out related adjustments for the acquisitions done till FY24 have now been accounted for.

- Finally, favorable currency movement helped margin improve by 40 basis points.

- Certain multi-year managed services deals which include lab setup for the customer along with procuring third-party tools and licenses have increased the component of IP revenues this quarter, some of which contributed to lower margins leading to a headwind of 40 basis points.

All these headwinds and tailwinds put together resulted in a net increase of 70 basis points in our EBIT margin sequentially. Also taking into account company performance for FY25, one-time realignment was made between ESOP costs and salary wages and bonus offsetting each other with no material impact on the P&L.

Other income net of finance costs stood at 153.5 million rupees against 118.4 million last quarter. Some of you may remember that we had invested Rs. 430 million rupees in fixed deposit of IL & FS for which we had subsequently taken 100% provisi

on in Q4 of FY20, given that IL &FS went through an insolvency process. As a part of NCLT process, we have now received 21.2 million rupees during Q4 of FY25, which has partly contributed to the increase in other income. We will update all of you if we receive any more payments in future against this investment. There was a foreign exchange loss of 154.3 million rupees as against a gain of 144.7 million rupees in Q3, primarily on account of rupee appreciation towards the end of the quarter, which results in restatement of our Persistent Systems Limited

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outstanding receivables and our outstanding hedges. Effective tax rate for the quarter came in at 21.7% compared to 22.6% in Q3. Effective tax rate for the full year FY25 was 23.2% and we expect our overall effective tax rate to remain in the range of 23 to 23.5% going forward. Profit after tax was 3,957.6 million rupees, a growth of 25.5% year -on-year. This translates to PAT margin of 12.2%.

Earnings per share were Rs. 25.60 per share in Q4 of FY25 compared to Rs. 24.30 per share in the previous quarter. Year -on-year growth in EPS was 23%.

We registered a full -year PA T of Rs. 14,001.6 million in FY25, translating to a growth of 28% year -on-year. PAT margin for the full year FY25 stood at 11.7% as against 11.1% in the previous year.

EPS for full year FY25 was at Rs. 91.20 per share with a growth of 25.9% year -over -year.

Excluding cash from capital employed, return on capital employed for Q4 FY25 came in at 39.7% versus 35.7% same quarter last year.

Total cash & investments stood at 270 million as of 31st March 2025.

In this quarter, billed DSO came in at 58 days, an improvement of 6 days compared to the last quarter, while unbilled DSO came in at 23 days, an increase of 1 day compared to Q3 of FY25.

Our OCF to PAT for Q4 FY25 stands at 108.4%. Forward contracts outstanding as of 31st March 2025 were 300 million USD at an average rate of Rs. 86.3 per dollar.

Now let me give you some key operational updates.

At the end of Q4, our total headcount stood at 24,594, an increase of 744 from Q4 of previous financial year. Trailing 12 months attrition this quarter Persistent Systems Limited

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came in at 12.9% compared to 11.5% in Q4 of last year and it continues to be within our acceptable range.

I am pleased to share with you that in line with our endeavor to maintain a consistent dividend payout ratio, the Board of Directors has recommended a final dividend of Rs.15 per share, taking the total dividend for the full year to Rs. 35 per share. This is to acknowledge the 35th anniversary of the company and 15th anniversary of listing on the National Stock Exchange of India. This translates into a dividend payout ratio of 39%. The final dividend recommended by the Board is subject to approval by the shareholders at the ensuing Annual General Meeting.

Coming to ESG updates for the quarter.

- Persistent was featured on the Nasdaq Market site Tower in Times Square for winning awards at the ICSI Business Responsibility and Sustainability Awards and National Awards for Excellence in Corporate Governance.

- Additionally, we were recognized at the Institute of Chartered Accountants of India Sustainability Reporting Awards 23 -24, highlighting our dedication to responsible and transparent practices.

- Persistent has been included in the top 10% of S&P Global 2025 Sustainability Yearbook, reaffirming our commitment to responsible business practices and long -term ESG impact. Out of 7,690 companies assessed, only 780 across 62 industries were included in the 2025 Sustainability Yearbook based on the S&P Global Corporate Sustainability Assessment Scope.

- Since February 2025, we have achieved 100% renewable energy

sourcing for all our own locations in Pune, Nagpur and Goa through solar rooftops, wind energy and green tariffs from DISCOMs.

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Let me now hand over to Saurabh for commentary on the key deal wins and awards and recognitions we have received during the quarter.

Saurabh Dwivedi: Thank you , Vinit.

Let me begin with software high -tech and emerging industries, our largest vertical.

- Persistent was selected by one of the leading security service edge companies, providing security products to large banks and Fortune 500 companies to accelerate its product engineering roadmap. Persistent's strong relationship with the private equity owner of the company and strong security domain credentials were instrumental in winning this engagement. The benefit to the customer includes acceleration of its product roadmap across data loss prevention and hybrid secure web gateway offerings as well as improved product robustness and compliance.

- Persistent was selected by one of the leading software providers to non-profit organizations to set up an offshore research and development center. Persistent's product engineering heritage, along with the experience of working with private equity sponsored technology companies, was instrumental in winning this engagement. The benefit to the customer includes AI -driven innovation across product lines and driving operational efficiencies through the offshore research center of excellence.

- Persistent was selected by one of the leading cyber security companies to take over its offshore security operations center. Persistent's existing capabilities in the SOC domain were instrumental in winning this engagement. The benefit to the customer includes 24 x7 monitoring of the customer SOC, service -level benchmarking and its continuous improvement.

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Coming to banking, financial services and insurance

- Persistent was selected by a global leader in tax accounting and cash flow management software to develop, enhance and maintain an AI -driven analytics platform for its analysts. Persistent's long -term engagement and understanding of the client's technology architecture was instrumental in winning this engagement. The benefit to the customer includes the availability of curated data to improve the productivity of business analysts who are leading automation and insighting initiatives.

- Persistent was selected by one of the largest US -based financial services firms to create a data platform for regulatory compliance. Persistent's capabilities in and successful delivery on multiple data and analytics projects for the customer was instrumental in winning this engagement. The benefit to the customer includes smooth integration across multiple applications and improved accuracy of regulatory reporting.

- Persistent was selected by a leading UK -based payment solutions provider to undertake architectural assessment, followed by development and modernization of its payments platform. Persistent's capabilities in the payments domain and in cloud and contact center space were instrumental in winning this engagement. The benefit to the customer includes enhanced compliance and security, improved integration with contact center and other platforms in the payment network.

And finally, within our healthcare and life sciences vertical

- Persistent was selected by one of the largest healthcare companies in the world for migration of data assets from Teradata platform on -

premise to Databricks and Snowflake on the Azure cloud. Persistent's
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successful track record in the migration domain and AI and machine learning capabilities helped in winning this engagement. The benefit to the customer includes scaling AI adoption for enhanced patient data management, faster claims processing and advanced analytics across the organization.

- Persistent was selected by one of the largest contract research organizations to become a product engineering partner to its research and development solutions organization.

Persistent's SASVA -led solution approach coupled with successful delivery across other projects with the customer was instrumental in us winning this engagement. The benefit to the customer includes 30% faster releases, improvement in engineering productivity and quality assurance.

- Persistent was selected by one of the leading contract research and development organizations to transform its IT infrastructure and provide managed services support. Persistent's extensive experience with contract research and development organizations was instrumental in winning this engagement. The benefit to the customer includes Gen AI -led operational efficiency and compliance with good manufacturing practice in the life sciences services industry.

Moving on to the awards and recognitions for the quarter.

This quarter saw us get continued recognition from industry-leading analyst firms and associations. To cite a few ,

- Persistent was named a leader in the 2024 ISG Provider Lens for Advanced Analytics and AI Services - US, and featured in the Gartner Market Guide for Generative AI Services for banking. This highlights our expertise in delivering Gen AI solutions for efficiency, risk mitigation and digital transformation.

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- Persistent was named as a leader in Everest Peak Matrix Assessment on Customer Application Development Services 2025 Global. We were commended for SASVA - our AI powered platform that delivers productivity gains and automation across the customer application development lifecycle.

- Persistent won the Google Cloud Infrastructure Modernization Partner Award for successful execution of one of the largest Google cloud migrations. We were recognized for migrating 6,000 plus micro services, 100 plus petabytes of data and large scale AI/ML workloads for a leading E-Commerce platform to Google cloud.

- Persistent was cited a leader in 2024 ISG Provider Lens - Insurance IT O services mid-market North America.

- Persistent was recognized for deep domain expertise built through collaboration with leading insurers, third party administrators, fintechs and diverse industry players .

- Persistent made a powerful debut with top rankings for client satisfaction in innovation in the European IT outsourcing study by Whitelane Research. Persistent was ranked fourth in the overall ranking and second in the category of transformative innovation.

- Persistent was named a leader in 2024 ISG Provider Lens Intelligent Automation Services - US.

- Persistent was recognized in the prestigious Economic Times Human Capital Awards 2025 across multiple categories underscoring our excellence in people practices .

- And finally , our CEO, Sandeep Kalra , was honoured as a Tech Titan at BT India's Best CEO Awards 2025.

With that , let me hand it back to Sandeep.

Sandeep Kalra: Thank you, Saurabh.

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Let me conclude my prepared remarks by saying that we will continue to strengthen our capabilities in the upcoming areas such as AI as well as in our sales channels and proactively engage with our customers while striving for top quartile growth in our sector. During the recent developments in geopolitics and macroeconomic factors around that, we see an increased level of caution in decision making from our customers and prospects. However, as always we are focused on being close to our customers and prospects helping them solve their business challenges, be it growth or cost optimization. We remain committed to our goal of reaching 2 billion dollars by end of FY27 and are well on that trajectory. With this, let me request our operator to open the floor for questions. Moderator: Thank you, Sir. We will now open the call for Q&A session. We will wait

for a few minutes until the queue assembles. We request participants to restrict to 2 questions and then return to the queue for more questions. Please raise your hand from the participant tab on the screen to ask the question.

The first question is from Ravi Menon.

Ravi Menon: Hi, thanks and congrats on a good quarter.

So, wanted to ask you about the healthcare vertical in particular, there are concerns that providers and payers are under a lot of pressure because there are unexpected costs in Medicare customers and also lower payments from the US federal government. I know that you have literally small wallet share in these customers, but do you see this as an opportunity, or do you think there are possible headwinds in these accounts?

Sandeep Kalra: Thanks, Ravi. Very valid points. From our perspective if you look at it - we have continued to grow in the healthcare segment very nicely. There are Persistent Systems Limited

puts and takes with DOGE attempts and the US AID attempts to cut costs in various departments and that is downstream also leading to certain amount of our customers getting impacted. But I am pretty sure in a bigger picture if we look at it this is going to emanate newer opportunities for us to help our customers optimize their costs and so on. So overall we are bullish on the healthcare sector and again as a company if you look at it last year healthcare grew very well and towards the last two quarters we saw the banking financial services as well as you know the tech sector come up very nicely for us. So, as sum of parts we are very confident of overall growth and even within healthcare we are pretty confident that we will have a decent trajectory. There maybe a few quarters here or there because of all these macroeconomic and DOGE and USAID impacts to our customers. But overall, both healthcare and the company should do well.

Ravi Menon: Thanks, Sandeep. And on banks specifically, you know, BFSI we have seen very good results by the banks but people are worried that their too spending might actually have an impact on discretionary programs. I think there is an overall a perception that Persistent is perhaps more exposed to discretionary programs you know and when it comes to cost takeout you may not benefit, could you talk a bit about that.

Sandeep Kalra: So, I think, Ravi, it has been many, many quarters we have clarified many times, you know, whether it is a good economy or a bad economy we have proven over the last several cycles - We are not dependent on discretionary spends. And if you look at it, in the last quarter when we announced a fairly large win from a financial services customer, it was a vendor consolidation among other things that we did with them. And so we are very well poised for cost optimization, vendor consolidation and the like. And even our platform like SASVA if you look at what we are trying to do there, they lend themselves very well to bring in more productivity gains, not just through labor arbitrage but through technology usage. So, Persistent Systems Limited

we are very confident that we have to figure out our own revenue pools with our existing customers and new ...I don't think discretionary spend should be a concern for our investors.

Ravi Menon : One last question – you were talking earlier about how you want now to let the S G&A leverage play out because we have made heavy sales investments over the last couple of years when the market had slowed down. This year looks like the market will still be slow. So, do you want to continue to invest in sales maybe even if it means the margins don't improve.

Sandeep Kalra: So, two parts to that . If you look at our margins, I will start with that. Our exit run rate is 15.6% from an EBIT perspective, our full year is at 14.7%, and our last to la

st year was 14.4%. So, 14.4 to 14.7 year -on-year, last quarter exit 15.6 , if we execute in a disciplined way even if we were to look at the investments that we plan to do, and we do plan to invest in sales and marketing. If we invest in line with our revenue growth that we intend to have, growth will always be priority number one, margin improvement priority number two. But we are on a decent trajectory, at an entry run-rate of 15.6% for the year even if we were to keep it flat or tad bit lower we will still deliver a 100 basis point s - aspirationally that is our goal, but we will let the market conditions and other things pan out. We control what we control from an operational perspective , we 've had a good year . So, I will leave it at that.

Ravi Menon: Thanks so much and best of luck.

Moderator: The next question is from Sandeep Shah .

Sandeep Shah: Yeah . Thanks for the opportunity and congrats on good execution in a difficult environment.

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Just wanted to understand, Sandeep, regarding one of your large accounts in the healthcare has given a profit walk just a few days back. So, did it create any uncertainty though you sounded optimistic about healthcare, may it result into some large clients ' specific issue in this account. And also in terms of your view in the sector vertical -wise growth in the coming year, given the macro uncertainty being higher on . Then I have a couple of questions for Vinit.

Sandeep Kalra: Sure. So, at a high level if you look at it, yeah I understand what you are talking about the large customer. But our healthcare vertical obviously the large customer is there and then there are many others. And within the large customers that we have we have multiple different programs that we are engaged on. So some of these are long range programs which are spanning multiple years. So as at this point in time we don't see a reason for us to be worried on that, we are working very closely with our customers large or small in understanding how we need to help them in their challenges. Now, outside of that if you look at it, if I was to peck the order , Persistent is a sum of parts of these three industry verticals – healthcare, life sciences on one side and BFSI and tech. In my mind, BFSI and tech should lead the growth in this year followed by healthcare and lifesciences. And healthcare lifesciences has led the growth for the last six quarters so it is in fairly good shape but I do believe that BFSI and Tech should lead the growth for the coming year .

Sandeep Shah: Yeah, last couple of questions, Vinit, this year if you look at intangible asset and their development has gone up and includes a 250 bps to the revenue on an incremental basis , what I am saying is the entry which is reflected on the balance sheet rather than the P&L. So, what is the nature of the same? And second, on the operating cashflow , I feel that the improvement has

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not been in line with the revenue growth. So, any aspirational target entering FY26 in terms of cash generation.

Vinit Teredesai: Sandeep, in terms of intangible assets it is on two counts, one we did acquisitions during the year as a result of which there is an addition to the intangible assets. Second, as Sandeep mentioned in his opening comments we will continue to invest on SASVA our AI platform and as a result of that there are many patents that have been filed. So, there is a lot of intellectual property that also is getting developed as part and parcel of the overall organization, and as a result of that there is some increase there.

The second part in terms of your OCF, operational cashflow, if you look at this quarter it has improved to 108.9% and this seems to be our range, we want to be on the 100 to 120 % range if you compare it with the

last quarter

it has shown a significant amount of improvement. If you look at our DSO which is a major driver to our OCF it has improved by 6 days, the billed DSO has come down by 6 days. Our aspiration continues to remain that OCF should continue to be above 100% and we are working on that.

Sandeep Shah: Thank you and all the best.

Moderator: The next question is from Manik Taneja.

Manik Taneja: Thank you for the opportunity. Congratulations once again for a steady performance. This question was with regards to our healthcare vertical once again, when I look at the revenue split up by customers it appears that the top single customer has once again grown while we have seen a sharp decline in rest of the healthcare portfolio. If you could talk about that as well as the potential margin implications of some of the onetime deals that we saw in FY25 not being there, in that context what will be the levers to drive margin expansion in line with our three year strategy.

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Sandeep Kalra: So, if you look at the healthcare vertical as we said before there are multiple factors happening there. On one side there is DOGE impact on the Department of Health Human Services and so on. The other side is that USAID funding is getting cut for various folks across the globe including the US and others, so as a part of that if you talk to many of the stakeholders in the healthcare ecosystem anyone who was doing research and was funded by the government, all that funding has vanished overnight. And similarly if you look at it that funding was used to buy software equipment, services for clinical trials, many other things from the various parts of the ecosystem. That's putting a little bit of a stress on the system and that also is putting stress on government funded healthcare plans. So, one of our customers did have a little bit of a ramp down and adjusted for that also healthcare vertical for us grew. So, if I look at our overall pipeline, if I look at our overall scaling of healthcare and overall company and as sum of the parts if I look at the BFSI vertical if I look at the tech vertical, we are fairly confident the company will grow. Healthcare - we have a very decent pipeline outside of our bigger customers and any of those impacted customers by whatever I said. So, we are reasonably confident and we live in a bigger macro we will let it pan out but we are confident that the company will grow. And again we have proven in the last 3 cycles across the last 5 plus years, our ability to pivot in different kinds of environment, so I will leave it there. So, in terms of the margin levers I will let Vinit talk about it.

Vinit Teredesai: And at the end of the day if you look at it, you know, even if healthcare doesn't grow as much as what it has grown in FY25, there are other verticals which are growing and they are growing at a pretty decent pace and they are generating enough margin. There are many levers at this point of time as I said, our utilization is high. At this point of time we anticipate that this will remain in a heightened range for some more period

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of time till the uncertainty prevails. There are pricing levers that we work on very, very diligently to improve and get incremental benefit on our revenue. So, these are all the things which will continue. SG&A - while as a percentage is closely watched. We continue to make investment and at

the same time the investment also gives benefits in terms of the goals that we are delivering. So, net-net we are pretty much confident and we are pretty much on track in terms of delivering our aspirational target of improving our margins by 200-300 basis points as we hit the 2 billion dollar revenue target by FY27.

Moderator: Thank you. The next question is from Abhishek Pathak.

Abhishek Pathak: Yeah, hi, am I audible?

Sandeep Kalra: Yes, please.

Abhishek Pathak: Hi, Sandeep. Congrats again on a consistent quarter. So, I had a couple of questions. Firstly, you know as you say you are still on track to hit that 2 billion dollar revenue run rate by FY27. How shall we think about the growth split between FY26 and '27? I mean in the context of the current macros should we expect a bit of short-term snags and then maybe an acceleration in '27. Or are you confident that your deal wins and your pipeline gives you probably an even split between now and let's say FY27, right, that's one. And the second question is on the healthcare deal, I understand that there could be offshoring that might come in from next quarter. Do you think this probably gives us an added benefit in terms of margins going forward and how do we model this particular event going ahead. And just a last question on the platform led revenues and SASVA. Do you think the current sort of development kind of pushes back the uptake of your platform services by let's say you know a few months and is there any way to quantify what percentage of our incremental revenues Persistent Systems Limited

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are coming from platform services and how they should let's say evolve going forward. Thank you so much.

Sandeep Kalra: Abhishek, there is a bunch of questions in that, let me first address that.

So, let's start with the basics, the quarter we delivered was 375.2 million.

If we multiply that by 4 - we are at a run rate of 1.5 billion dollars. Now you take the growth rate on that if we were to deliver a certain growth rate over the quarters, I am not just looking at one quarter two quarters, the life we are living in right now the macroeconomic things changes on a day-to-day basis and we don't give forward looking guidance. So, it will be unfair for us to put out any number for this year versus next. All we are saying is we have eight quarters to reach the destination that we have aspirationally of 2 billion dollars and that's an aspiration, that's not a guidance but we can clearly see the path to that. So, we are on that path and whether it happens more in the next quarter or in the next several quarters that an acceleration happens, it will happen and we have proven over the last 20 quarters the ability to increase revenues in different kinds of environment, that's the first part. I am not going to give you a split but we are relatively confident we will be there.

Now the second part of it, the healthcare deals offshoring and so on, as I have repeatedly said over the last several quarters it is not one deal it is multiple deals, multiple parts of one customer plus multiple deals in other parts of the healthcare ecosystem. Now if you look at it this offshoring also we have said it has started to happen, it is happening every quarter and we are winning newer business also in the biggest customer and other customers. So, I won't be too worried about that. Does it give us a margin lever? Yes, it does. So if you look at it, you study our financials this quarter itself, our sub-contracting cost went up and that went up in this quarter because we basically did a vendor consolidation with a large BFSI deal win Persistent Systems Limited

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that we had announced last quarter. And that also gives us a lever. In a running business there are multiple things that are happening which provide you the levers. And please keep in mind if our entry run-rate is 15.6% and we work diligently towards improving it, it already is at a good clip with respect to the last year. I'll leave it at that and I sincerely you know believe we are on a good trajectory both on a revenue and a margin

perspective and we will deal with the macro as it comes. Our intent would be to give it our best, grow better than the sector

and we will see.

Now in terms of SASVA part of it, look SASVA is a good tool for anyone whether it is an enterprise software company or an enterprise - To look at doing the same with less and so I sincerely think if we are able to execute the way we are thinking the percolation should happen at the same pace as we would have thought and tough macro would actually give an incentive to companies whether they are PE portfolio companies having multiple products to adopt SASVA or enterprises to do that. But we will let things pan out. We are fairly confident of the traction that we are seeing in the market. Obviously if the macro becomes tougher, the growth rate you know will be relative but we will let it pan out.

Abhishek Pathak : Thanks a lot, Sandeep, thanks for that. If I could just have one small follow up, on the 5 billion dollar FY31 aspiration, any update on acquisitions over there , and are we closer to finalizing anything over there, what areas are we looking at, just a small update would be very helpful. Thanks.

Sandeep Kalra: So, look, if there is an update we would clearly call it out , we may even do a call – if we do something .

Now in terms of our acquisitions strategy just to remind everyone, there are 2 or 3 pivots there.

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First , we have very clearly said - we want to do a revenue diversification - so if we do a scaled acquisition , it may be in Europe or related areas Second , we have said we will look at capability -led acquisitions in the US to basically further our journey in the AI space or in the micro verticals or some vertical of BFSI or healthcare kind of verticals. And third, there are parts of horizontal use cases in Gen AI like we did in contact centre space or we did in the Arrka acquisition to bring in more capabilities to round up our Gen AI offerings , so those are the pivots. If we have anything to announce , we will call for a call and announce . But at any point of time we are evaluating multiple assets that's all I can say.

Abhishek Pathak: Thank you, all the best, thanks.

Moderator: Next question is from Dipesh Mehta.

Dipesh Mehta : Thanks for the opportunity. I just want to make sense about the macro uncertainty, whether there is some kind of delay in ramp ups, deal closure / decision making elongated as well as some cancellations . If you can give some sense in 3 months , how are we finding overall situation. You indicated some caution in the pipeline but if you can give some more detail on it and whether it could have an implication in terms of deal signing. We have seen very strong deal signing over the last few quarters, whether you expect some bearing on it because of overall condition. And second question I have is on SASVA . If you can give some sense about how SASVA contributes to the overall revenue - any quantified number or qualitative colour compared to let's say 4 quarters how SASVA is impacting overall deal pipeline, deal booking or revenue . If you could give some context there.

Sandeep Kalra: Okay, so lots of questions there, I will try and you know summarize it faster because we have 8 minutes on the call. So 2 -3 things, in terms of the

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macroenvironment, when the US election results were announced there was a euphoria around the certainty being there , and people had started looking at a positive economic uptick and so on and so forth. So, the discussions had started becoming healthier and newer things were being thought about. But in the last month or six weeks the way the things have gone, there are fears in the customers' mind and they are really seeing an uncertain kind of environment and things are very kind of fluid if I may say so. Having said that, we have not seen any cancellations, let me put it straight - we have not seen any cancellations

tions, we are seeing a certain amount of feet dragging in terms of deal closures. I do believe personally in our industry we will need more pipeline to be able to do the bookings whether it is Persistent or somebody else. And so we are at it, and we may do investments in sales and marketing and in our go-to-market accordingly. And I will leave it there but from overall perspective again these are fluid things that will change over the next one two months but things have slowed down, so that's where I will put it.

Now in terms of SASVA we have no intent of announcing SASVA revenues, etc., we are using SASVA two ways. We are using SASVA to enable deal wins at scale and implementation at scale, and a number of times when we pitch SASVA the customer may not necessarily buy SASVA but customers understand our capabilities, they may leverage our capabilities to help them build a SASVA-equivalent micro platform for their own business space or in their overall let's say data plumbing data engineering kind of a thing. To give you an example, right now if I look at the last 12 months our data practice has gone up to 56% against the company growth rate that we are seeing. There are multiple benefits of that and there are use cases where we are going to software companies and taking over entire products on an outcome basis for you know leveraging SASVA
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productivity gains and so on. So, that is where it is and it is a significant part of us growing at the levels we are.

Moderator: Thank you. The next question is from Vibhor Singhal.

Vibhor Singhal: Yeah. Hi. I hope I'm audible. Thanks for the opportunity and congrats Sandeep and team for a very rock solid quarter yet again.

Sandeep, my question was related to the macro and I know you have answered it in multiple parts before but if we hear the commentary of the players up till now. I think manufacturing and retail verticals are the two verticals that seem to be hit the most because of the tariff uncertainty and because of the input costs that we are looking at. Now these are the two verticals which of course we don't have much of a presence and that kind of insulates us from being impacted to a large extent. But given our target of 2 billion dollars and 5 billion dollars and our plans to maybe incubate new verticals, where are we on the plans to basically look at these verticals and how are we looking at this and how do you see them playing out. Any I mean let's say milestones that we could see on these in the next one or two years?

Sandeep Kalra: Okay. So, two parts to it, first the key pivot for us going to 2 billion and beyond to 5, is going into micro vertical in the existing verticals that we have. I have said it multiple times, in any economy, in any GDP if you were to dissect it, BFSI and healthcare are the largest sectors and we have a fairly good business but a small business as compared to many of our players, so we believe whether it is that or the capability that we have historically on our product engineering side gives us enough addressable market to be able to grow at a significant pace. So, that is the thing first and from an organic perspective and even tuck-in perspective we will do this. Second, if we want to go into the newer verticals whether it is manufacturing or
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others we may do as we go along acquisitions so that we enter it with a dominant force rather than incubate and be a weaker player in that. So, we have clearly laid out our aspirations we are on the path, if you look at it, we are pretty much midway to 2 billion dollars and we will keep executing on each one of these. And we talked about our M&A strategy earlier on this call as well.

Vibhor Singhal: If I could just delve maybe get a bit more, given the revenue that we have at this

point of time, I think the path to 2 billion dollars is fairly visible. Do you think I mean I know you mentioned probably look at other verticals. But do you think these 3 verticals can actually take us to that 5 billion dollar mark, or to reach that mark we will definitely need some new

greenfield verticals .

Sandeep Kalra : So, these verticals have enough addressable market for us to keep going for the next several years. And between now , if you look at it we are at FY25, we are talking about FY31, we have time to take decisions on adding a vertical or multiple verticals as we go along. For now , we are heads down in execution, we have rolled out a sub-vertical strategy within the company , we have hired the leadership for sub -verticals in many places and we are on that path to execute on that, and as opportunistically if we get a very good acquisition target which fulfills the various criteria we t we have laid out - we will execute on that. But rest assured , look at the last 5 years – 481 million dollars was our revenue for FY19 -20 in that range, right. We have tripled the company from there in 5 years.

Moderator: Thank you. The next question is from Nitin Padmanabhan.

Nitin Padmanabhan : So wanted your thoughts on the utilization - it is at an all-time high, how is that operationally changing for us , we have never operated at these levels.

So, is there a new band that we can operate at? So that is number one.

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Number two, is this - wanted your thoughts on the GCC business that we have? How large is this and how has this sort of evolved since we have started . So, that's the second thing. So, I think these are the two primary questions.

Sandeep Kalra: I will try and quickly answer this, we have just two minutes left on the call.

As far as the utilization is concerned we are comfortable in this band. So, there are two parts to it, one I can say with pride there are enough and more people who would love to join our company so we have come to a point where our ability to hire is not a question. Two, the market environment is such that there are only a handful of companies which are growing, so the war for talent at that footing that we need t o have a big bench and so on and so forth. So, we are fairly comfortable where we are a and these are things we will keep tuning in line with the macro -economic environment both from a cost and demand perspective, we will see where it goes.

In terms of GCC, GCC s are a fair play for us for fairly long period of time , if you look at any of our top customers, we have co -existed, we have cooperated with there GCC and their parent, I can't quantify a percentage for you on this call, but maybe we can get back to you on this.

So, with that, operator, I would just want to summarize the call and then you can pretty much close the call.

It is a tough macroenvironment out there. We have a good pipeline, we have a good set of customers, we have scaled our customers whether you look at any of the categories we talked about whether it is greater than 5 million or greater than 75 million - we are confident of delivering within the same macro, have better than industry results and whatever is given to us we will try to do our best in that. So, with that we will stop here and

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we will look forward to meeting you and giving you an update in the next three months. Thank you.

Moderator: Thank you very much to Persistent Systems Management Team . Ladies and gentlemen, o n behalf of Persistent Systems Limited, that concludes today's conference . Thank you for joining us and you may now disconnect your line and exit the webinar . Thank you, everyone.

Please note that this transcript has been edited for readability.

Call: Jul 2025

Persistent Systems Limited, Bhageerath, 402 Senapati Bapat Road, Pune 411 016, Maharashtra, India
CIN - L72300PN1990PLC 056696
Tel: +91 (20) 670 3 5555 | Fax - +91 (20) 6703 6003 | E-mail - info@persistent.com | Website - www.persistent.com

NSE & BSE / 2025-26 / 103

July 29, 2025

The Manager
Corporate Services
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai 400 051

Ref: Symbol: PERSISTENT The Manager
Corporate Services
BSE Limited
P J Towers, Dalal Street,
Mumbai 400 001

Ref: Scrip Code: 533179

Dear Sir/Madam,

Sub: Transcript of investor/analyst call held on Wednesday , July 23, 2025
Ref: Our earlier intimation with Ref. No. NSE & BSE / 2025 -26 / 100 dated July 23, 2025

In continuation to the above -referred intimation and pursuant to Regulation 30 read with Schedule III (Para A) (15) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to submit the transcript of the investor/analyst call held on Wednesday , July 23, 2025, for the quarter ended June 30, 2025.

The transcript of the investor/a nalyst call is also made available on the Company's website as follows:

Analyst -call-Transcript -Q1FY26.pdf

This is for your information and record.

Please acknowledge the receipt.

Thanking you,

Yours Sincerely,
For Persistent Systems Limited

Amit Atre
Company Secretary
ICSI Membership No.: A20507

Encl: As above
Persistent Systems Limited

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"PERSISTENT SYSTEMS EARNINGS CONFERENCE CALL,
FIRST QUARTER, FY26 ENDED JUNE 30 , 2025"
7:00 PM IST, Wednesday, July 23, 2025

MANAGEMENT :

Dr. Anand Deshpande
Chairman and Managing Director

Mr. Sandeep Kalra
Executive Director and Chief Executive Officer

Mr. Vinit Teredesai
Executive Director and Chief Financial Officer

Mr. Saurabh Dwivedi
Vice President, Finance and Strategy

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Moderator: Ladies and gentlemen, good day and welcome to Persistent Systems Earning Conference Call for the first quarter of FY26, ended June 30, 2025. We have with us on the call today, Dr. Anand Deshpande, Chairman and Managing Director, Mr. Sandeep Kalra, Executive Director and Chief Executive Officer, Mr. Vinit Teredesai, Executive Director and Chief Financial Officer and Mr. Saurabh Dwivedi, Vice President, Finance and Strategy. Please note, all participants' line will be in listen -only mode and there will be an opportunity for you to ask questions after Management's opening remarks. Should you need any assistance during the conference call, please raise your hand from the participant tab on the screen. While asking questions, request you to please identify yourself and your company. Please note, this conference is being recorded. I now hand over the conference to Mr. Saurabh Dwivedi. Thank you and over to you Sir.

Saurabh Dwivedi: Thank you, Vandit. A very good day, good afternoon and good evening to everyone on this call. Let me quickly outline the agenda for today's call. Sandeep will begin with an overview of our results and commentary on business. Vinit will take you through the financial details and key operational metrics for this quarter. I will then provide an overview of our key deal wins and awards and recognitions for this quarter. Sandeep will come back for a quick summary of the prepared remarks, post which we will open the conference for questions. Let me also remind you that as part of our prepared remarks and during Q&A, we may make certain statements which are forward -looking and may involve significant uncertainty. Persistent does not take any responsibility to update such forward -looking statements and your discretion is warranted while making any investment decisions. With this, let me hand over to Sandeep for his prepared remarks.

Sandeep Kalra: Thanks, Saurabh. Good morning, good evening to everyone on this call. I hope all of you are doing well. Let me now start with a quick financial summary.
For Q1 FY 2026, we delivered a revenue of US \$389.7 million, a healthy growth of 3.9% quarter -on-quarter and 18.8% year -on-year.
- In rupee terms, growth for the quarter came in at 2.8% quarter -on-quarter and 21.8% year -on-year.
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- In constant currency terms, this translates into 3.3% quarter -on-

quarter.

- This marks our 21st sequential quarter of growth.

The EBIT margin for the quarter came in at 15.5%. This translates into an EBIT growth of 2.5% quarter on quarter and 34.8% year on year in absolute terms despite unfavorable currency movement this quarter .

Profit after tax for the quarter came in at 12.7%, a growth of 7.4% quarter on quarter and 38.7% year on year in absolute terms.

Vinit will provide a detailed color on the financials and margin movement later in this call.

Coming to the order book for the quarter

- The Total Contract Value (TCV) for the quarter stood at USD 520.8 million, with TCV of new bookings coming in at USD 337.0 million.

- Annual contract value of this TC V is USD 385.3 million, out of which the AC V from new bookings contributed US \$211.8 million.

As highlighted in earlier calls, our revenue conversion on a quarterly basis is a function of AC V bookings done in previous quarters, as well as the conversion from multi -year deals booked in previous years, which are included in our TC V bookings that we announce on a quarterly basis.

Now let me give you some color on our client movement across various reported categories.

This quarter, we witnessed healthy year -on-year growth in US dollar terms among our various client buckets, with

- the top 5 customers' revenue growing by 22.8%,
- top 10 by 20.2%,
- top 20 by 23.1%,
- top 50 by 22.7% , and
- top 100 by 22.4%.

As you would notice, there is a secular increase in revenue across all categories in our top 100 accounts.

Coming to the year -on-year movement of customers across various reported buckets in trailing 12 months revenue terms .

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- Customers with greater than 75 million revenue increased from 3 to 4 on a year -on-year basis.

- Customers with 50 million plus remained at 4.

- Customers in the 20 million plus category increased from 10 to 12.

- In the 10 million plus category increased from 19 to 22.

- Customers in 5 million plus category saw a significant increase from 41 to 56 over the last one year.

- Customers in 1 million plus category increased from 178 to 190.

The healthy growth in various client categories is reflective of the trust our clients put in us and our ability to build stronger scalable relationships with them over a period of time.

Coming to the performance across geographies .

In terms of year -on-year growth this quarter in USD terms,

- North America grew by 17.4%,
- Europe by 37.5%,
- India by 18.3%,
- Rest of the world declined by 1.7%.

Now let me give you this quarter's performance from an industry segment perspective.

- This quarter's growth was led by BFSI vertical followed by software high -tech and emerging industries and healthcare life sciences, which grew 30.7%, 14.1% and 12.4% respectively on a year -on-year basis.

- You would have noticed that our healthcare life sciences vertical declined by 2.1% quarter -on-quarter for Q1. This decline was majorly on account of revenue impact due to the planned transition of effort from on -site to offshore in some of the larger customers.

Coming to a couple of important organizational updates .

- Yogesh Patgaonkar, our Chief People Officer, will retire from his role effective July 31, 2025. We extend our deep appreciation to him for his invaluable contributions in shaping and adv

ancing our talent

agenda during the pivotal phase of our scaling.

- Rajiv Nathani, who joined us in February 2025, will assume the role of Chief People Officer effective August 1, 2025, as part of a planned succession. Rajiv will drive talent transformation, harnessing AI-driven Persistent Systems Limited

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intelligence and people -first practices to build a high -performance, future -ready workforce for us.

- We also recently welcomed Shimona Chadha as our new Chief Marketing Officer. She will be driving our global marketing strategy, strengthening brand positioning and enabling business growth through integrated marketing initiatives. Shimona will be based out of our New Jersey office in the U.S.

Coming to the celebration of our 15th anniversary

As you would know, Persistent went IPO 15 years ago .

Last quarter, we org anized multiple customer events including one at the iconic NASDAQ Tower and another one in Silicon Valley. In continuation to these events , this quarter, we are proud to be ringing the closing bell at the National Stock Exchange tomorrow, that is July 24th. This occasion is a testament to the hard work, commitment and loyalty of our long -standing team members and we are deeply honored to share this celebration with them .

Coming to the updates on our AI progress

As articulated previously, Persistent is pivoting to an AI -led platform -driven strategy, structured primarily around two core areas.

- The first one being AI for Technology, wherein we are focusing on enhancing engineering productivity and modernizing tech stacks to deliver faster time to market and competitive differentiation for enterprise software companies, as well as enterprise IT or technology arms.

- AI for Business , focusing on enabling enterprises to become AI -ready and adopting agentic AI thereafter to reimagine business processes, customer experiences and operational workflows.

Let me first give you a little bit of color on AI for Technology.

- In the q uarter gone by, we launched SAVA 3.0, a transformative upgrade to our generative, deterministic, AI -powered di gital engineering platform, SASVA . In the new release, this streamlines the software development lifecycle, right from product definition, coding, release management and support, thereby defining and delivering significant productivity gains.

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- Since enterprises are able to leverage SA SVA train and customize the platform for building their enterprise applications and business use cases in a seamless and secure manner. This is even more relevant to an important in the context of highly regulated industries, such as banking financial services and he althcare and life sciences.

- SASVA is built using multiple custom language models and can function using a limited number of GPUs, thereby containing the cost involved in scaling enterprise adoption as compared to hosted models.

- The innovations in SASVA are powered and backed by 55 -plus patents across data intelligence, AI infrastructure, productivity, autonomous agents and security, up from 35 in Q4 FY25.

- As a fun fact, I would like to call out that SA SVA 3.0 was built leveraging SASVA itself, demonstrating its self -improving productivity promise.

- We are seeing good traction with our customer base for engineering productivity across verticals, driving significant improvements in tech debt remediation and software release frequency.

To giv e you an example of AI for tech - For a large capital market s software provider, we rebuilt their core risk management platform in less

than six months using SASVA's AI-assisted assessments, planning and implementation versus traditional methods that would have taken us more than 18 months. This resulted in accelerated tech remediation on one hand and a faster go-to-market, leading to revenue acceleration for our

customer on the other.

Coming to AI for business :

In our AI for business focus, we're working on two pivots.

1. Getting enterprises ready for product-based AI adoption and number two, developing agentic AI capabilities for specific use cases across our industry verticals .

As you would know, large enterprises typically grow over a period of time with a combination of organic growth as well as acquisitions and this leads to a number of disparate systems that leverage legacy technologies and may not communicate well with each other. As a first step towards an enterprise-wide AI adoption, we've been working with a multitude of Fortune 1000 customers on modernizing their data architecture as well as building custom platforms to
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address their business needs, leveraging platforms and technologies from our hyperscaler partners as well as other technology companies such as Databricks and Snowflake in addition to our own IPs.

To give you an example of some of these industry-specific agentic solutions, looking at the financial services segment, we have built an underwriter agent based on Salesforce Agentforce platform for loan origination. This agent automates first stage of document verification and leverages a reasoning engine to process the documentation to take decisions autonomously and fast-tracks the loan document verification as well as significantly enhancing human underwriters work efficiency.

Similarly, in the healthcare life sciences space, we have leveraged the Google agentic platforms for building an agent that we're calling SciMitra Agent . This agent accelerates scientific discovery in complementing our Pi-OmniKG , which is a knowledge graph-based solution .

Enabling our foray into AI for tech and AI for business are our investments in building capabilities around a Digital Trust Layer in all our platforms encompassing the tenets of Responsible AI, security, and governance. Our acquisition of Arrka last year has strengthened this capability and is tightly integrated across all our platforms around SASVA, iAURA, and GenAI Hub.

With this, in summary, we are happy with the progress that we are making in our AI journey and we will continue to build on the momentum that we've already established.

Let me now invite Vinit to share with you the financial details for the quarter . Vinit, over to you.

Vinit Teredesai: Thank you , Sandeep. Good evening and good day to all. Thank you for taking time out to join us today.

Let me now take you through the financial highlights for the quarter gone by.

- Q1 FY26 revenue stood at US dollars 389.7 million dollars, registering a year-on-year growth of 18.8 percent.

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- In rupee terms, it translates into 33,335.9 million, a growth of 21.8 percent year-on-year.

- EBIT margin for Q1 FY26 came in at 15.5 percent, 150 basis points improvement year-on-year.

- In rupee terms, EBIT for this quarter was Rs.5,178.1 million,

translating to a growth of 34.8 percent year -on-year.

Let me now give a quarter -on-quarter EBIT margin walkthrough .

Starting with the tailwinds this quarter :

- There was a lower ESOP cost which helped the margin by 230 basis point s

In terms of headwinds :

- Absence of earn -out reversal this quarter has resulted in headwind of 60 basis point s.

- In some of our accounts where we had planned transition from on -site to offshore, we have continued to retain our on -site resources in order to de -risk the project. This will get normalized over a period of time. Additionally, we witnessed delayed ramp -ups in some of our accounts. All of these together have impacted our margins by 100 basis point s.

- Higher amortization cost impacted margin by 40 basis point s.

- Unfavorable currency moments impacted margin by 40 basis point s.

All these put together resulted in a net

decrease of 10 basis point s in our

EBIT margin sequentially.

Historically, we have rolled out our annual wage hike in the month of July. In view of the current uncertain business scenario, we have decided to postpone our wage hike by a quarter.

Other income, net of finance costs, stood at Rs. 187.3 million as against Rs.153.5 million last quarter. There was a foreign exchange gain of Rs. 188.7 million this quarter versus a loss of Rs.154.3 million in Q4 of FY25 primarily on account of mark -to-market gain on outstanding hedges and realization and restatement of our credit loss.

Effective tax rate for the quarter came in at 23.5% compared to 21.7% in Q4 of FY25. We expect our overall effective tax rate for the year to remain in the range of 22.5% to 23.5% going forward.

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Profit after tax was Rs. 4,249.4 million, a growth of 38.7% year -on-year.

This translates to a PA T margin of 12.7%.

Earnings per share were Rs.27.4 per share in Q1 of FY26 compared to Rs. 25.60 per share in the previous quarter. Year -on-year growth in EPS was 36.5%.

On the back of better collections, our total cash and investment saw an improvement this quarter and stood at Rs.307.8 million as on June 30, 2025.

Return on Capital Employed (RoCE) , excluding cash from capital employed for Q1 FY26 came in at 43.8% versus 38.7%, an improvement of 510 b asis point s from the same quarter last year.

In this quarter, billed DSO came in at 56 days, an improvement of 2 days compared to the last quarter while unbilled DSO came in at 20 days, an improvement of 3 days compared to the last quarter.

Our operating cash flow to PA T for Q1 FY26 stands at 98.6%.

Forward contracts outstanding as of June 30, 2025 were 440 million US Dollars at an average rate of Rs. 86.90 per dollar .

Now let me give you some key operational updates.

- At the end of Q1 FY26, our total headcount stood at Rs. 25,314, an increase of 1821 resources from Q1 of previous fiscal year and 746 quarter on quarter .

- Trailing 12 -month attrition , this quarter came in at 13.9% compared to 11.9% in Q1 last year and it continues to be within acceptable reach.

All our resolutions placed in this year's Annual General Meeting were passed with the requisite majority. I would like to take a moment to thank all our shareholders for their continued support.

Coming to ESG updates for the quarter :

- We are delighted to announce the release of fourth edition of Sustainability EHG Report for FY24 -25. This latest report is prepared in accordance with the Global Recruiting Initiative (GRI Standards) 2021 and complies with the Business Responsibility and Sustainability

Reporting requirements set by Securities and Exchange Board of India. Our BRSR report is included in the 35th Annual Report for FY24 - Persistent Systems Limited

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25 and the BRSR core KPIs have undergone a reasonable level of assurance by an independent third party.

- Persistent received Climate Action Award in the service category from Bangalore Chamber of Industry and Commerce, acknowledging our steadfast commitment to environmental sustainability and our proactive efforts in combating climate change.
- Persistent was recognized as the 'Best Employer - Emerging Inclusive Companies (Large Company)' by Confederation of Indian Industry (CII) and applauded for its inclusive work environment.

Let me now hand over to Saurabh for commentary on key deal wins and awards and recognition we have received during the quarter.

Saurabh Dwivedi: Thanks, Vinit. Let me now talk about key deal wins for the quarter by industry segments.

Starting off with Software, Hi-tech and Emerging Industries, our largest vertical.

- Persistent was selected by one of the largest technology companies in the world to replace its legacy on-prem data warehouse and analytics product which was declared E

nd of Life. Our long-standing

relationship with the client along with proactive development of the design and delivery of the new product were instrumental in us winning this engagement. We are building a modern AI-enabled and cost-efficient solution which is compatible with the legacy system thereby providing continuity and a migration path to end customers. We will be responsible not only for the software roadmap but also its compatibility with the underlying hardware as well as on-field and remote support. This deal has a revenue-sharing commercial construct with a significant opportunity over the next two years.

- Persistent was selected by a global leader in software quality tools for a 360 degree engagement which includes takeover of their cloud testing platform, extension of existing product engagements and transformation using agentic AI use cases. Our SASVA platform capabilities were instrumental in us winning this engagement. The benefits to the client include building of new products and augmentation of existing products with AI-infused features leading to growth acceleration for the client.

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Moving on to Banking, Financial Services and Insurance

- Persistent was selected by leading US-based federal corporation to replace its legacy debt issuance application with a robust scalable platform and also provide UI/UX, DevOps and system integration capabilities. This is an example of a proactive deal sourcing by Persistent where we showcased our AI capabilities through custom use cases built using our SASVA platform. Benefits to the customer include a future-ready debt platform for debt issuance, enhanced customers experience and automated business processes.

- Persistent was selected by a UK-based banking and wealth management leader to co-engineer the launch of a digital banking platform for its clients. Our digital banking expertise, strong partner ecosystem and platforms such as SASVA, iAURA and Persistent Digital Banking Studio were key factors in us winning this engagement. The benefits to the customer include faster releases and a market-leading digital experience to its clients, thereby helping grow the liability business and assets under management for the customer.

Moving next to our Health care and Life Sciences vertical

- Persistent was selected by a leading life sciences and scientific instrumentation player to establish a software center of excellence in India. We won this engagement on the back of our strategic partnership with the customer and strong capabilities in program governance including tracking of KPIs such as system utilization, process compliance and adoption maturity. The benefits to the customer include optimization of business processes, enhanced leadership cadence and resolution of post-transition issues.
- Persistent was selected by a global leader in Clinical Research to build a centralized Serious Adverse Event (SAE) tracking and safety report distribution portal. This win was on the back of our strong expertise in pharma safety and co-vigilance and clinical trial management system. The benefits to the customer include engineering of a workflow tracking application with secure document exchange while enhancing regulatory compliance and operational efficiency.

Now coming to the awards and recognitions we received during the quarter .

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- Our Founder and C chairman , Dr. Anand Deshpande , was conferred with the Eminent Engineer's Award 2024 by Engineering Council of India as a recognition of his visionary leadership and pioneering India's digital engineering success story.
- Persistent was named a 'Leader ' in ISG Provider Lens™ 2025 for Digital Engineering.
- Persistent was ranked as a 'Leader ' in Everest Group Talent Readiness for Next-Gen Application Services PEAK Matrix® Assessment

nt 2025 ,
recognizing our investments towards skill -based talent practices and focus on building AI -enabled workforce.

- Persistent was acknowledged as the 'Most Honored Company' in the 2025 Asia (ex -Mainland China) Executive Team Survey by Extel. Among the combined buy -side and sell -side analyst rankings , prominent positions include :
- o First position in the category of Best CEO , Company Board of Directors and Overall ESG
- o Second ranking under 'Best IR Program ' , and
- o Third ranking under 'Best IR Team '
- Persistent was recognized as the 'Next Leader ' by IiAS highlighting our continued focus on transparency responsible disclosures and robust corporate governance practices.

With this let me hand it back to Sandeep.

Sandeep Kalra: Thanks , Saurabh . Let me conclude the prepared remarks by saying that we are happy with our performance in Q1 FY26 despite the increased caution that we saw among our customers due to macroeconomic and geopolitical uncertainties in this quarter.

We'll continue to strengthen our AI capabilities as well as our sales channels and proactively engage with our customers while striving for top-quartile growth in our sector.

We remain committed to our goal of reaching 2 billion dollars by end of FY27. With this let me request the operator to open the floor for questions.

Moderator: Thank you , sir. We will now open the call for Q&A session. We will wait for a few minutes until the queue assembles. We request participants to restrict to two questions and then return to the queue for more

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questions. Please raise your hand from the participant tab on the screen to ask questions. The first question is from Mehta Bhavik.

Bhavik Mehta: Hi, thank you. So a couple of questions. Firstly Sandeep, you know we have seen the constant currency sequential growth slow down significantly this time to 3.3 versus an average of 4.5 in the last few

quarters. Now obviously there was a mention of delayed ramp up to an extent but how should we think about the trajectory going forward given how the macro is behaving right now? Is 3.5 to 4 the new normal or should we expect to go back to that 4 - 4.5 we used to enjoy a couple of quarters back?

Sandeep Kalra: So first of all, look, we don't give forward-looking guidance, so I'm not going to give you a number per se. All I can say is, if you look at the overall growth, it was 3.9% in USD terms. The constant currency, the currency movements are not necessarily in our hands. I'll leave it there but if you look at the order book - order book is healthy. If I look at the pipeline - pipeline is healthy. We don't quantify the pipeline for people so I'm not going to give you a number on that. All I can say is, the environment has been cautious. Decision making has been slow. If the environment becomes a little bit better and not just for us, for everyone, I think things will be easier. So, if we can deliver good growth in a tough macro, I'm pretty sure that as things move through the next several quarters and if the market improves, you can yourself do the math.

Bhavik Mehta: Okay, got it. The second question is, obviously it was very good to see strong growth in BFSI and Hi-Tech but on the Healthcare side, how should we think about the trajectory going forward given the onshore to offshore movement being seen in the top line? I mean, will this vertical remain under stress for a few more quarters before we start seeing growth coming back?

Sandeep Kalra: I don't think there will be further degrowth in the vertical. It will definitely be a growth vertical for us during the year. Some of these are planned movements as well and I'm pretty reasonably confident all the three verticals will grow and we have said publicly in our last earnings calls as well. BFSI will lead the growth for us this year, followed by hi-tech, followed by healthcare life sciences but all of them should grow.

Bhavik Mehta: Okay, thank you.

Moderator: Next question is from Manik Taneja.

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Manik Taneja: Hi, thank you for the opportunity and congratulations for the steady performance. Sandeep, on the healthcare vertical, we see that the top customers seem to have declined sequentially and you mentioned in your opening remarks this might be driven by certain offshore shift of projects. While we saw strong growth in healthcare outside of the top customers, could you essentially talk about what drove the sharp growth there? That's question number one. And the second question is, when I look at your segmental margins despite this offshore shift, the margins on the healthcare vertical have actually come off on a sequential basis. And a related question to this one, how should we be reading the aspect of delayed wage increments for us given historically we continue to retain the timelines? That's it.

Sandeep Kalra: Sure. So first of all, if you look at the healthcare vertical, healthcare vertical for us is basically a combination of four different things. Scientific instruments, medical devices, think of equipment makers, diagnostic companies and so on and so forth, pharma companies and biotechs, third one is providers, fourth one is payers. And if you look at our overall growth in healthcare, it has been very strong over the last several quarters, over the last couple of years as well. Now, if you look at the largest customer that you're referring to, obviously we have grown very well and as a part of the entire exercise, we have done vendor consolidation. We have to move certain amount of work over a period of time offshore to give back the benefits in terms of reduced cost and so on. And when you do that, there's a certain overlap that you have as well. You don't necessarily have a cutover in one day. You basically do an overlap of cost and if you look at our headcount growth as well, last two quarters, we've sequentially added headcount offshore predominantly. Now if you were to look at that, our subcontractor cost also, if you look at it, it's flat.

So, if we are adding headcount offshore, moving work offshore, we are

not declining our subcontractor headcount, which is vendor consolidated. So, there is a certain overlap that you can match with the second part of your question, which is - the margin coming down a little bit in healthcare. So, that's the thing out there.

We have a fairly good pipeline across various subsegments of healthcare and depending on how those orders close, we are relatively confident of healthcare continuing the growth. Will it continue the growth at the 30 %, 40%, 60% year-on-year that we had last year, may not be, but there'll be definitely growth in healthcare as well.

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Now, in terms of the wage part of it, look, the market conditions are such right now that there is a lot of uncertainty whether it was uncertainty caused by India -Pakistan situation for a little bit, whether it was the Iran situation after that, whether it was the tariff situation after that. So, there is a little bit of uncertainty continuum that is happening and the order book is dependent on people taking decisions. So, as I said before, pipeline is good, we'll let it pan out. And as a cautionary measure to make sure that we are being prudent, we have delayed the increase by a quarter. And if need be, if everything goes very well, we'll take a call at the end of the year if we compensate people for that or how it pans out.

Manik Taneja: Sure. Thank s and all the best for the future.

Sandeep Kalra: Thank you.

Moderator: Thank you. The next question is from Sandeep Shah.

Sandeep Shah : Yeah, thanks. Thanks for the opportunity. Sandeep, if I just look at book -to-bill, we were consistently

at 1.5 -1.6 in last many annual years versus last two quarters we are between 1.3 -1.4. So, does that give you some amount of discomfort where near-term growth could be slightly lower than our strong history of Q on Q growth? Though the growth is still better but could be relatively lower versus our own history? And how do you see the TCV opportunity in the coming quarters? Can we go back to book-to-bill of 1.5 -1.6X?

Sandeep Kalra: Yeah. So, two parts to it. See, our revenue conversion, when we look at it, revenue conversion is ACV conversion and TCV conversion. What you don't see and what we measure ourselves is the executable order book. And, so, we are reasonably confident of the growth journey. I don't want to put a number to it because we don't give forward-looking guidance. Now, can we do better in terms of the TCV to ACV ratio going ahead? That's the endeavor at any point in time. And I can only tell you this, the pipeline of larger deals is there. Again, we'll let the quarter s pan by. And as we announce the results, you should see whatever comes out. But we

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are confident of growth, we are confident of larger deals in the pipeline and so on. So, overall, relatively confident in the environment that we are. And if the environment improves, obviously it will improve for everyone.

Sandeep Shah : And just the last question on margin. Last Earnings Call, we said we can be in this year a margin similar to the fourth quarter exit. So, do we still stand by it? And just wanted to understand what could be the major tailwind, especially on the ESOP cost because it was much higher in the Q4 in FY 25? How to model that in FY26?

Sandeep Kalra : Yeah, Vinit.

Vinit Teredesai : So, Sandeep, we still continue to maintain our stand in terms of improving our trading margin. We have mentioned in the past that it needs to be improved by 200 -300 basis point by the time we reach FY27. If you look at our last year, it was 14.7. Last two quarters, it is 15.6 and 15. So, we are pretty much confident that from a going forward basis we are pretty much on the track as far as the margin trajectory is concerned. As far as the stock options cost is concerned, I had called out in my opening comments that there is a reduction in the stock option cost. That

reduction has already happened. Now , this will continue to remain flat for the next couple of quarters before you'll see further reduction. On the initiatives, we'll continue to track. There are many initiatives in terms of pricing, in terms of utilization. We'll continue to maintain the stand. It will continue to remain high for probably next couple of quarters. We are looking at SG&A leverage. We have made investments , they are yielding results for us. So , as the revenue grows, while we invest , in percentage terms our SG&A doesn't need to go up at the same pace.

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So, there are multiple levers on which we are working - our operational efficiency, our programs continue to deliver the necessary results that are expected out of them .

Sandeep Shah: Okay, thanks and all the best.

Moderator : Thank you. The next question is from Aditya Vikram.

Aditya Vikram : Hello. Am I audible?

Moderator: Yes.

Aditya Vikram : Yeah. Hi, Sandeep. Congratulations on a good set of numbers. I know Vinit answered this question partially earlier but does it suffice to say if the ESOP cost would have not been there we would have seen a significant margin compression?

Sandeep Kal ra: So, ESOP cost has been there for the last several years. It depends on the cost that basically comes in, depending on what ESOPs are given in what year because there's a Black -Scholes valuation and so on. So, it's not that it came all of a sudden and so on so forth . So, it's a part of our overall operating fabric. So , there are

options that we have given , there's a time where we covered 80% of our employees. There are , outside of that, about 800 odd employees covered in significantly differentiated options depending on their responsibilities, et cetera. So , it's a part of our operating cost. I wouldn't want you to think about this being delinking from that. The cost will vary over a period of time.

Aditya Vikram : Okay , thanks. And the second question is that the attrition rate has gone higher and now we are basically delaying our increment by another quarter , right. How do you see that impacting the business ? And do you

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see any significant challenge or this is one -off quarter and we will move back to our original attrition rate ? What's your thoughts on that?

Sandeep Kalra: Look, I don't think it is a question of this wage hike decision that has impacted this attrition. Overall, if you look across the industry, there's a slight uptick in attrition and that may be to do with the GCCs being more active, the product companies coming here and setting up their own captives and large banks, large enterprises, et cetera. So , I wouldn't link the two that strongly. We don't have any such analysis that we have done, which points to this two being correlated. And, again, forward looking attrition, we can see the trends because the notice periods, et cetera, show up. We don't see anything which points to a much higher attrition in the near future.

Aditya Vikram : Okay. Thank you very much.

Moderator : Thank you. The next question is from Nitin Padmanabh an.

Nitin Padmanabh an: Am I audible?

Sandeep Kal ra: Yeah, Nitin.

Nitin Padmanabh an: Yeah, super . Yeah, h i. Good evening. Are you seeing any near -term headwinds to margin? I'm asking from the perspective that you have pushed out the wage hikes but at the same time I do see that some of these costs will reverse, right . The higher onsite resource costs , that should reverse. And so from that perspective, is there anything that you're seeing as a headwind in the near term? That was the first question.

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The second thing was, which verticals are you basically seeing this prevalence of delayed ramp -ups? Is it very homogeneous or is it specific to any vertical?

And, finally, is this higher amortization? What's driving that? And is it sort of an ongoing number we should assume or is there a one-off there?

What's driving it?

Vinit Teredesai: Yeah. So, Nitin, I have mentioned actually the near-term headwinds.

What I mentioned will not be headwinds, these will get normalized over a period of time. As a result of that, this will benefit us in terms of our margin going forward. But I don't want you to count everything that will go in margin. On the way as we grow our company, we have to also make investments. So, some portion of that will get back into investments.

The second portion in terms of higher amortization, as we closed a couple of our asset acquisitions, et cetera, last year like the SoHo, et cetera, after the full valuation report came in, the full impact of that amortization has started as a result of that full report. And you should assume that this will continue without any substantial increase going forward. Yeah, over to you.

Sandeep Kalra: So, on the delayed ramp-up, it was basically in healthcare life sciences and I wouldn't want to paint a picture for the whole industry. I would say it may be a case of our own customer-related delayed ramp-up and that basically will happen over a period of time. I don't want you to take it as an industry trend for others as well. So, it's basically some of our customers, they have their own nuances. And it was a one-off where we saw a delayed ramp-up, so I don't want you to take too much from it.
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Nitin Padmana

bh an: Sure. Perfect. Thank you so much. Just one last one, if I may. The utilization seems to be running very high and with the kind of growth that we have. Is it because just in-time is extremely easy at the moment or do you think this will run so hot going forward?

Sandeep Kalra: So, look, attrition, utilization, growth of other companies, growth of the overall sector, all of these are kind of different parts of the equation in how easy it is to hire or retain or other things related to that. So, as of this point in time we don't see a reason for us to loosen on the overall utilization side. And, look, if we need to go down on utilization, it's a very easy lever for us. So, we'll take a call depending on the supply-demand situation. And so we are comfortable where it is and if we need to change, as I said before, we will.

Nitin Padmanabh an: Sure. Perfect. Thank you so much, and all the very best.

Moderator: Thank you. The next question is from Vibhor Singhal.

Vibhor Singhal: Yeah, hi. Thanks for taking my question and congrats on a solid quarter again. Sandeep, two questions from my side.

The BFSI segment reported a very strong growth in this quarter. We've seen this vertical basically pick up over the past 4 quarters from a single-digit YoY growth to almost 30% growth in this quarter. So, any color on basically what is driving, which sub-segments of BFSI are driving this growth? You mentioned that BFSI will lead the growth, do you expect this kind of momentum to continue in coming quarters as well?

Second question is on the healthcare vertical. You mentioned again that this will be the lowest growing vertical in the 3 segments but it will still be a growth. Have you seen any, a part from the client impact that we saw in this quarter, in your conversation with this vertical client are you hearing
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any concerns about the big bill that the Trump administration had brought in and if that could impact the healthcare spends of some of the clients in the segment? And how they are looking at it from a forward -

looking point of view?

Sandeep Kalra: Sure. So, let me take the healthcare segment first. If you look at the healthcare segment, there are multiple segments within this or sub-segments within healthcare. So, if you look at scientific instruments, medical devices depending on where the tariff levels settle in, especially with China, because a lot of the supply chains are linked to China. Anyone who is an equipment manufacturer is dependent on China for the equipment manufacturing, for the supply chain components, nine yards. So, if the tariffs hit them badly then obviously the stress on the cost part will become even higher. And that's what we saw in the last 2-3 months. People looking at alternative plans, people looking at even supply chain movements and so on and so forth. So, there is definitely stress because of the tariff part and we will see where it resolves.

Second part in the healthcare side is the impact of the federal or the DOGE part of it. The DOGE part of it impacts the research funding to universities, the funding across various countries, the USAID, et cetera. All of these things, at the end of the day when the universities were doing medical research or healthcare-related research, they were consuming products and services from our customers. So, a lot of these uncertainties definitely are playing more in the healthcare life sciences sector where the name of the game right now is Plan B for cost control, looking at vendor consolidation, more offshoring and so on. So, the pipeline is more towards that.

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Now, if I look at banking financial services on the other side, again little less cautious as compared to that. We are seeing larger deals there, AI discussions, optimizations. We've been brought in

as challengers to look

at the existing landscape of much bigger players and seeing if we could partake a part of that, how would we do it differently and so on and so forth.

So, different dynamics of different verticals. This year, for sure the way we have our BFSI segment, it will grow well. Again, future growth obviously will depend on how the pipeline converts and we don't give forward looking guidance and so I wouldn't comment beyond this year for this.

Vibhor Singhal: Got it, got it. If I could just have one last question to Vinit. Vinit, the ESOP cost that came down in this quarter, will the ESOP cost be at similar level through the year or do you think it can vary in the coming quarters as well?

Vinit Teredesai: Based on the grants that have been given so far, it will continue to remain at the same level. Any incremental grants that will be given in the coming quarters will have an impact on the ESOP cost.

Vibhor Singhal: And will this come down further in FY27 over FY26, that the general amortization of ESOP cost happens?

Vinit Teredesai: That's right.

Vibhor Singhal: Got it, got it. Perfect. Thank you so much. Thanks for taking my questions and I wish you all the best.

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Moderator: Thank you. The next question is from Ravi Menon.

Ravi Menon: Hi, thanks for the opportunity. Sandeep, you spoke about how there were some delays in decision making ...

Sandeep Kalra: Ravi, your voice is cutting out. We can't hear you.

Moderator: Maybe if you can repeat your question again.

Ravi Menon: One second, I will try again. Hear me now?

Sandeep Kalra: Let's go ahead.

Ravi Menon: Yeah. So, I was saying, you spoke about some delays in ramp-ups, could we also say that there were some delays in deal awards as well? And if so, then can we think about some improvement in deal wins next quarter

because some have actually slipped from this quarter to the next?

Sandeep Kalra : So, the way I would put it is not deal award delays , I would say overall decision making cycle is a little longer. And, so, you need a little more pipeline if you want to continue to do the bookings the way you are for any company. So , from our perspective, please don't treat it as all of a sudden the next quarter is going to be a big windfall and so on. So , we'll let the quarter pan by. And the market environment is such, it is taking more. If there is certainty in the market, if these tariffs are behind us, there are more positive things that come out in the U.S., it definitely will impact the bookings and hence the revenues going forward. But too early to say anything like this.

Ravi Menon : Right. And the second question is on the healthcare side. You talked about how there was an offshore shift and you kept the onshore Persistent Systems Limited

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contractors to make sure that the risk is minimized. So, can we say that some of that cost will go off next quarter?

Sandeep Kalra : So, look, as we have grown over the last 5-6 years from being a half a billion dollar company to nearly a 1.5 billion dollar run rate company, we are also fighting bigger deals. As we fight bigger deals, this will become a flywheel motion where something comes down in terms of cost and something goes up. So , we'll have to get used to an environment where at any point in time if we are ramping up deals, we may do vendor consolidation, we may have subcontractors onshore and so on and so forth. So, I won't paint a picture that all of a sudden next quarter this cost will go down. Over a period of time this cost will definitely come down but maybe something else will come up. If we win larger deals and we wrap up on that. So I'll just leave at that .

Ravi Menon : Thanks so much. Alright. Best of luck.

Moderator: Thank you. The next question is from Dipesh Mehta.

Dipesh Mehta : Yeah. Thanks for the opportu-

ity. Am I audible?

Sandeep Kalra : Yes, please.

Dipesh Mehta : Yeah. I have just two questions. First of all, if I look at the hedge position, there is a sharp increase , so is there any change in terms of the way we look at our hedge strategy?

And second question is about the SASVA . Can you provide some sense about, let's say, SASVA influence d deal intake, deal pipeline, revenue, whichever way you can provide some sense around it ? And how it is changing compared to maybe a year back?

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Sandeep Kalra : Sure. So, you want to talk the hedge and then I will talk.

Vinit Teredesai: So, Dipesh, there is no change in the policy. We constantly keep on looking at our hedge position on a regular basis. There is a well -defined policy within that and we continue to take our positions on a regular basis. All these numbers are pretty much within that range.

Sandeep Kalra : Now, coming to the SASVA part of it . We don't necessarily give any data points with respect to SASVA bookings or SASVA influence d bookings and so on. SASVA is a flagship platform for us. It helps us do two things. One, wherever there is a use case where the customer is willing to adopt SASVA , we are able to leverage SASVA to deliver things faster, better, provide more productivity, reduce cost for our customers, and so on. Where the customers are wary of taking a third -party platform like ours, it basically gives us a capability showcase and we are able to leverage technologies from other providers whether it's Microsoft, whether it's a GitHub Copilot, whether it is a Cursor, Windsurf or any other tool, which is an engineering productivity tool.

There are further use cases of SASVA , for example, in private equity.

We've been working with multiple different private equity using SASVA as a part of their tech due diligence evaluating platforms, building tech debt reduction business cases based on which we are winning businesses and

so on.

And anywhere where we have taken SASVA , whether it's banking financial services, whether it's healthcare life sciences or tech companies, we definitely have got very good reception in terms of the curiosity around it, in terms of understanding our capabilities and that should bode well for us . Whether people buy SASVA or not, whether people SASVA -based services or not, it kind of lands us in a very good, Persistent Systems Limited

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competitive, differentiated position in our business. So, it's definitely helping us in our growth journey .

Dipesh Mehta : Understood. Thanks.

Moderator : The next question is from Abhishek Kumar.

Abhishek Kumar: Hi. Good evening and thanks for taking my question. My question is again on SASVA . We have heard from most of the peers that product development is where AI -led productivity has been the highest and many of these players have been proactively passing back those productivity gains and our sense is , that results in some revenue deflation. But for us, it seems that, given our core a lot of what we do is product development . This is resulting in net new revenue for us. Just wanted to understand if I'm thinking right . And if so, what is driving this? Are we taking wallet share, market share or is SASVA helping us unlocking new opportunities?

Sandeep Kalra : Yeah. So, first of all, it is definitely helping us unlock newer opportunities.

As I said before, SASVA is the pinnacle of how you can use AI and it is much beyond just the coding aspect of it. It is how we define the requirements, how we groom the requirements into a backlog, how we code it, how we test it, how we release it, how we support it. It's also about technology modernization , from legacy platforms or legacy technologies on to new. There are many different use cases of SASVA and the way we have been able to articulate that to our customers, our customers

definitely see us as a company that can lead from the front using AI to help them do this. Even after all this, if they want to do a GitHub Copilot implementation and productivity gains through that, we have even won a number of those things.

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So, from our perspective, SASVA definitely is helping us expand our addressable market and is getting us good traction.

Second, in terms of revenue deflation, we have not necessarily seen revenue deflation from existing customers. Now, I talked about in one of the case studies that I talked about as well, wherever customers are willing to give us work in an outsourced manner and allow us to use our platform, we are able to deliver significant productivity gains. But if you look at the regulated industries, whether it's healthcare life sciences, whether it's banking financial services, it's not just that the bigger companies are adopting these platforms big time right now. They're all experimenting. We are doing proof of concepts, but it'll take some time for their CISOs and their IT organizations to be comfortable before they adopt any of these platforms at scale. But definitely, we are ahead of others and it should bode well for us.

Abhishek Kumar: Okay. My second question is, you indicated that you need bigger pipeline given the slowdown in decision making, etc. Do you see, therefore, a revenue and margin trade-off going forward? Are you willing to sacrifice margin to make sure that your pipeline is larger and you achieve your \$2 billion goal by FY27? Thank you.

Sandeep Kalra : Well, look, two parts there. One, is there a hurry to reach to a \$2 billion mark or any billion dollar mark? There's no hurry to reach there. We want to reach there in a healthy manner. We'll deliver revenue growth but a profitable revenue growth. It's not about achieving revenue growth at any cost.

At the same time, if it is about diluting the margins , a small bit , to create

capabilities that can get us larger deals, we'll take a prudent call. But it will not be that all of a sudden we drop our margins and we are in a rush

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to get to a \$2 billion mark or outcompete anyone. We don't care whether we are the 9th largest or the 12th largest company in the industry as long as we are the best ones from a technical capability .

And in our discussions, the Tier-1s of tomorrow are not going to be based on size. There are many companies in the U.S. who are like \$15 billion, \$16 billion and their market caps are less than \$4 billion and they do revenue very well. So , the fun is not in being any size or run after size , it's about bringing good capabilities, having good customer relationships, delivering good value and that's what we are focused on.

Abhishek Kumar: Great . Thank you and all the best.

Moderator : The next question is from Suraj Malu.

Suraj Malu : Hi, thank you for this opportunity. If I look at the client -wise revenue and if we check th is plate like the 6th to 10th customer or be it 11th to 20th customer's bucket, these customer buckets have grown at like double digit 10%, 12% QOQ whereas the top 5 customer's bucket is flat. And I understand that's because of the largest client in healthcare. So , if one were to remove that largest client in healthcare, how would the rest 4 customers revenue look like, the growth?

Sandeep Kalra : Yeah . So, look, we don't bifurcate like that. Today it's a question of how would the rest 4 be, tomorrow it could be in another bracket. So , look, it's like a portfolio of customers that you have. Just like in any good investment strategy, you have a portfolio of investments that you need. At the end of the day, Persistent is some of the parts. These customers are those parts - the verticals, the sub -vertical s, geographies. The way we are looking at it is , our endeavor is to grow every par

t of it but there will

be quarters when one customer may not grow at that extent that the

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whole company does. So , this is a part of the entire game. So, we are okay with where we are. We know we are growing heavily.

Overall, if you look at the top 100 customers, on a year -on-year basis 22.4% growth in current environment. We're very happy with that and we'll try and do better.

Suraj Malu : Got it. And my second question is, if you can throw some light on some new areas or verticals that you are working on like be it cybersecurity or telecommunication or anything.

Sandeep Kalra : Yeah. So , look, we work in 3 industry verticals - Software hi -tech , second part is our banking, financial services and insurance , third is healthcare , life scienc es. We have said it in our Earnings Call as well, healthcare , life scienc es and financial services are two of the top spenders in any GDP whether it's the U.S., whether it is other countries. Each of these segments has multiple sub -segments under it. The first endeavor that we have is to basically go deeper into these verticals. And as we grow these verticals over the period of next 1-3 years, we'll see if we need to go into other verticals - whether it is auto, whether it is industrial, whether it is others. And if we need to, we'll look at whether we do it inorganically or we are able to spawn some of that organically.

So, for now, we are focused on these and we'll keep evaluating the opportunities that come across.

Suraj Malu : Understood. Thank you very much.

Sandeep Kalra : So, Operator, we are nearly at the end of the thing, so we can take one more question and then we conclude.

Moderator: Thank you. The last question is from Dhanashree Jadhav.

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Dhanashree Jadhav: Am I audible?

Sandeep Kalra : Yes, please.

Dhanashree Jadhav: Yeah. Congrats on good set of numbers. My question is again regarding our aspiration of \$2 billion in revenues. So, just wanted to understand like is there any specific plan laid out for this in terms of how it will be inorganic and organic mix ? I mean, since we are leveraging more AI - related platforms and all, so if you can give more color on your own whether we will be growing more organically ? And if inorganic component is there, then what would be the size that we are looking at?

Sandeep Kalra : Sure. So , if you look at it, where we are today, we have to get to \$2 billion by FY27, which is ending in March, 2027. We need a compounded annual growth rate in the range of 19 %-20%. We are tracking to that and definitely within that, between now and then, we will do tuck -in acquisitions or if we get a good scalable acquisition in geographies like Europe, where we have clearly said that we want to be 15% in revenue terms as we go ahead in the next 2-3 years, we'll look at that.

So, the way to look at acquisitions for us would be, most of these would be capability -led, smaller acquisitions. The only place where we would do a scaled acquisition would be if we get some good asset in Europe. And a combination of these two should lead us to the growth aspiration that we have of \$2 billion.

Again, please keep in mind , that's a growth aspiration. We are in no hurry to get there at any cost. It will be at a profitable, sustainable revenue and a combination of organic and non -organic.

Dhanashree Jadhav: Yeah, great. Yeah, great. Thanks.

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Sandeep Kalra : Thank you. So , with that, we come to the end of this call and thank you everyone for spending time with us today. We are looking forward to connecting with you in 3 months' time to provide an update on our progress. And , with this, we will close the call. Thank you.

Moderator : Thank you very much to Persistent Systems Management team. Ladies and gentlemen, on behalf o

f Persistent Systems Limited, that concludes today's conference. Thank you for joining us and you may now disconnect your lines and exit the webinar. Thank you.

Please note that this transcript has been edited for readability.

Call: Oct 2025

Persistent Systems Limited, Bhageerath, 402 Senapati Bapat Road, Pune 411 016, Maharashtra, India
CIN - L72300PN1990PLC 056696
Tel: +91 (20) 6703 5555 | Fax - +91 (20) 6703 6003 | E-mail - info@persistent.com | Website - www.persistent.com

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October 20, 2025

The Manager,
Corporate Services,
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex, Bandra (E),
Mumbai 400 051

Ref: Symbol: PERSISTENT The Manager ,
Corporate Services,
BSE Limited
P J Towers, Dalal Street,
Mumbai 400 001

Ref: Scrip Code: 533179

Dear Sir/Madam,

Sub.: Transcript of investor/analyst call held on Tuesday , October 14, 2025
Ref.: Our earlier intimation under Ref. No. NSE & BSE / 2025 -26 / 150 dated October 14, 2025

In continuation to the above -referred intimation and pursuant to Regulation 30 read with Schedule III (Para A) (15) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to submit the transcript of the investor/analyst call held on Tuesday , October 14, 2025, for the quarter and half year ended September 30, 2025.

The transcript of the investor/analyst call is also made available on the Company's website as follows:

Analyst -call-Transcript -Q2FY26.pdf

This is for your information and records.

Please acknowledge the receipt.

Thanking you,

Yours sincerely,
For Persistent Systems Limited

Amit Atre
Company Secretary
ICSI Membership No.: ACS 20507
Persistent Systems Limited
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"PERSISTENT SYSTEMS EARNINGS CONFERENCE CALL, SECOND QUARTER, FY26 ENDED SEPTEMBER 30, 2025"
6:00 PM IST, Tuesday, 14th October, 2025 MANAGEMENT: Mr. Anand Deshpande Chairman and Managing Director Mr. Sandeep Kalra Executive Director and Chief Executive Officer Mr. Vinit Teredesai Chief Financial Officer Mr. Jaideep Dhok Chief Operating Officer Mr. Saurabh Dwivedi Corporate Vice President, Finance and Strategy
Persistent Systems Limited
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Moderator: Ladies and gentlemen, good day and welcome to Persistent Systems' Earnings Conference Call for the 2nd Quarter of FY26 ended September 30, 2025. We have with us on the call today, - Dr. Anand Deshpande - Chairman and Managing Director, - Mr. Sandeep Kalra - Executive Director and Chief Executive Officer, - Mr. Vinit Teredesai - Executive

Director and Chief Financial Officer, - Mr. Jaideep Dhok - Chief Operating Officer, and - Mr. Saurabh Dwivedi – Corporate Vice President, Finance and Strategy. Please note, all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after management's opening remarks. Should you need any assistance during the conference call, please raise your hand from the Participant tab on the screen. While asking questions, I request you to please identify yourself and your company. Please note, this conference is being recorded. I now hand over the conference to Mr. Saurabh Dwivedi. Thank you and over to you, sir. Saurabh Dwivedi: Thank you, Vandit. A very good day and good evening to everyone. We sincerely appreciate your presence and participation in today's call. I will quickly outline the agenda for today's call. Sandeep will begin with an overview of our results and commentary on the business. Vinit will take you through the financial details for the quarter. Jaideep will provide an overview of our operations and the progress we have made on our AI roadmap. I will then provide an overview of our key deal wins along with the awards and recognitions for this quarter. Sandeep will come back for a quick summary of the prepared remarks, post which we will open the conference for questions. Let me also remind you that as part of our prepared remarks and during Q&A, we may make certain statements which are forward-looking and may involve significant uncertainty.

Persistent does not take any responsibility to update such forward-looking statements and your discretion is warranted while making any investment decision. With this, let me hand over to Sandeep for his prepared remarks. Sandeep Kalra: Thanks, Saurabh. Good morning, good afternoon, good evening to everyone joining us today, depending on your location. It is good to be with you once again to give an update on our quarter gone by. Let me start with a brief financial overview.

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- In Q2 FY26, we delivered revenue of \$406.2 million, reflecting 4.2% quarter-on-quarter growth and 17.6% year-on-year growth. This marks our 22nd sequential quarter of growth, bringing our trailing 12-month revenue above \$1.5 billion and our annualized run rate to \$1.6 billion plus. - In rupee terms, the growth was 7.4% quarter-on-quarter and 23.6% YoY. - In constant currency terms, the growth for that quarter stood at 4.4% quarter-on-quarter. - Our EBIT margin reached 16.3%, driving 12.7% QoQ and 43.7% YoY growth in absolute terms. This translates into 230 basis points improvement over the prior year's same quarter. - The profit after tax for the quarter was 13.2%, up 11% quarter-on-quarter and 45.1% year-on-year in absolute terms. Vinit will give you a detailed color on the financials shortly. Turning to our order book: - The total contract value for the quarter came in at \$609.2 million, with new bookings at \$350.8 million in TCV terms. - The annual contract value totalled \$447.9 million, including \$254.4 million from new bookings. As always, these figures encompass all bookings, small and large, renewals, as well as new bookings across existing and new customers. Also, as highlighted in our earlier calls, our quarterly revenue realization draws from prior ACV bookings and multi-year TCV conversions. Coming to the client metrics: We saw robust year-on-year growth across key cohorts with: - Top five clients' revenue up 23.4%, - Top 10 up 22.4%, - Top 20 up 22.7%, and - Top 50 up 21.4% In terms of year-on-year movement in client tier: - Our clients exceeding \$75 million annually rose from 3 to 4, - \$50 million-plus held steady at 4, - \$20 million-plus grew from 10 to 12, - \$10 million-plus grew from 21 to 25, - \$5 million-plus grew from 43 to 56, and

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- \$1 million-plus grew from 184 to 191. This reflects our ongoing success in fostering deeper and more strategic partnerships with our customers. In terms of geographic performance in YoY terms, - North America grew by 15.4%, - Europe grew by 37.9%, - India grew by 19%, and - The rest of the world grew by 19.8%. In terms of industry segments, this quarter's growth was led by BFSI, followed by software hi-tech and emerging industries, and healthcare life sciences, which grew by 30%, 15.5%, and 6.6%, respectively, on a year-on-year basis. Coming to a couple of important organizational updates: - I am pleased to announce that effective October 1, 2025, we have implemented merit increments for all our global employees. Vinit will share more details on this later. - Additionally, earlier this quarter, effective August, we promoted Jaideep Dhok to Chief Operating Officer. He previously was the Senior Vice President for BFSI, and now will oversee delivery excellence, talent supply chain, learning & development, alliance and partnerships, while also leading Asia-PAC while advancing our AI strategy. With this, let me invite Vinit to give you a detailed color on quarterly financials and related matters. Vinit, over to you. Vinit Teredesai: Thank you, Sandeep. Good evening and good day to all. Let me now take you through the financial highlights for the quarter gone by. - Q2 FY26 revenue stood at \$406.2 million, registering a year-on-year growth of 17.6%. - In rupee terms, it translates to Rs. 35,807.2 million, growth of 23.6% year-on-year. - EBIT margin for Q2 FY26 came in at 16

.3%, 230 basis point improvement year-on-year. - In INR terms, EBIT for this quarter was Rs. 5,837.4 million, translating to a growth of 43.7% year-on-year. Let me now give you a quarter-on-quarter EBIT margin walkthrough.

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Starting with the tailwinds this quarter. - Cost associated with software licenses related to one of our large multi-year customer engagement, has now gone to zero starting Q2 of this fiscal year and is not expected to come back. This planned reduction has helped the margin by 80 basis points. - Favorable currency movement helped the margin by 60 basis points. - We also benefited to the extent of 30 basis points from planned offshoring in one of our large customers in the healthcare domain. In terms of headwinds: - Higher provision for doubtful debts impacted margin by 50 basis points. - Utilization declined by 50 basis points to 88.2%, leading to an impact of 20 basis points on EBIT margins. - Due to increased Capex on facility and IT, depreciation and amortization expenses increased by 20 basis points. All these headwinds and tailwinds put together resulted in a net increase of 80 basis points in our EBIT margins sequentially. Other income was Rs. 58.9 million during this quarter compared to Rs. 187.3 million in Q1 mainly due to lower mark-to-market gain on investments. The rupee depreciated significantly during Q2 compared to the previous quarter. As a result, we had a higher foreign exchange gain of Rs. 272 million this quarter as against Rs. 188.7 million in Q1. Effective tax rate for the quarter came in at 23.5%, in the same range as last quarter. As discussed in the previous quarter's earnings call, the effective tax rate for FY26 is likely to remain in the

range of 22.5% to 23.5%. The effective tax rate needs to be looked at on a yearly basis as all the seasonal elements will be taken care of only on a yearly basis. Profit after tax was Rs. 4,714.7 million, a growth of 45.1% year-on-year. This translates to a PAT margin of 13.2%. Earnings per share was Rs. 30.3 per share in Q2 compared to Rs. 27.4 per share in the previous quarter. The year-on-year growth in EPS was 43%. Excluding cash from capital employed, return on capital employed for Q2 came in at 45.5% versus 43.8% in the previous quarter. Total cash and investment stood at Rs. 24,957 million as of September 30, 2025. In this quarter, billed DSO came in at 54 days, an improvement of 2 days compared to last quarter, while unbilled DSO came in at 21 days, an increase of 1 day compared to Q1. Our operating cash flow to PAT for Q2 stands at 114.3%.

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Forward contracts outstanding as of 30th September 2025 were \$475 million at an average exchange rate of Rs. 87.8 per dollar. As highlighted earlier in this call by Sandeep, effective October 1, 2025, we have rolled out increments to all our employees. The increments have been in line with the previous years. We anticipate an impact of 180 basis points on next quarter's margins due to wage hikes. However, on an overall basis, up to 80 to 100 basis points of this impact is expected to get offset through a combination of other margin levers, including offshoring, utilization, sub-con rationalization, SG&A optimization, and ESOP cost reduction. Coming to updates on ESG: I'm thrilled to announce that our consistent efforts towards enhancing our ESG efforts have been recognized by multiple leading rating agencies over the last few quarters, elevating us to the best rated amongst the peers. Let me give you highlights of some of the recognitions we have received from these rating agencies: - We have been rated AA on the latest MSCI ESG ratings, moving up from BBB, which is a jump of two levels in ranking. - NAC Sustainability Ratings and Analytics has awarded Persistent an ESG rating score of 77. - SES ESG Research Private Limited has awarded Persistent an ESG score of 81.7. - Dun & Brads

treet has named Persistent as one of India's Leading ESG Entities for 2025. These ratings highlight Persistent's leadership in effectively managing environmental, social, and governance risk and opportunities within the industry, and compare us favorably amongst the best-in-class peers globally. With this, let me now hand over to Jaideep for commentary on operational aspects and AI progress. Jaideep Dhok: Thanks, Vinit. I'm honored and grateful to be part of this exceptional leadership team, and I'm delighted to interact with all of you for the first time in this forum as we discuss our performance and the road ahead. Let me start with the key operational updates. - At the end of Q2 FY26, our total headcount reached 26,224, up 884 from the last quarter. - Trailing 12-month attrition improved slightly to 13.8% from 13.9%.

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- Utilization stood at 88.2%, down 50 basis points. - We are committed to individual employee growth through our learning and development unit called Persistent University that offers continuous upskilling and reskilling programs tailored to our business needs. Besides a strong pursuit of internal certifications, we also prioritize external partner certifications. By quarter end, we achieved over 23,550 certifications across key hyperscalers such as Microsoft Azure, AWS, Google Cloud, and Salesforce. - Our AI Academy has advanced workforce transformation with a comprehensive AI learning framework spanning experience levels, roles, and market demands. This has yielded over 4,600 partner certifications and over 8,300 internal AI certifications positioning us well for holistic AI adoption. Before I begin to share the AI updates, I would like to share an exciting update with you all. We recently inaugurated our state-of-the-art experience transformation studio in Pune. This creatively infused purpose-built space is designed to accelerate AI-powered transformation by integrating design thinking, business strategy, and engineering in an immersive environment that fosters innovation and breakthrough business outcomes. Let me now move to the AI updates. As you would recall, over recent quarters, we have shifted to an AI-led platform-driven strategy built on three core pillars: - AI for Technology that drives engineering hyper-productivity for software companies and enterprises, accelerating AI engineering for efficiency and faster time to market. - AI for Business that delivers domain-based business hyper-productivity by reimagining workflows including autonomous AI agents across functions and industries. - And finally, Enterprise Data Readiness for AI that builds secure AI-ready data foundations with enhanced quality, governance, and overall data lifecycle management. These pillars are further powered by foundational managed AI services that include AI infrastructure services for scalability, workforce transformation for upskilling and operating model shifts, and responsible AI for security, privacy, and overall AI governance. Let me now dive deeper into each of these pillars. Starting with AI for Technology updates:

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We are empowering clients via SASVA, our Generative AI digital engineering platform, which streamlines the software lifecycle for measurable gains. Key differentiators of SASVA include the on-premise deployment for regulated industries and optimized GPU infrastructure to cut the scaling costs. This quarter, we filed 20 new patents, taking the overall count to 75 for SASVA. To share a recent viewpoint for AI for Technology, for a global cybersecurity firm, we are transforming the key product lines leveraging SASVA, reducing the total cost of ownership and go-to-market timelines significantly, while boosting the top line, NPS in a highly complex setup. We continue to advance our ecosystem with new partnerships in this space. We partnered with Digital Ocean, a provider of secure, scalable, and affo

ordable private cloud for AI deployments. And we also partnered with Anthropic for best-in-class models to drive our solutions across AI for technology as well as business. Moving to AI for Business updates: We are transforming domain workflows into agentic processes such as credit risk and fraud detection in banking, drug discovery and patient management in healthcare, and customer onboarding and support across multiple industries. We leverage our AI-powered solutions such as ProcessIntel that are powered by platforms that include the likes of Google AgentSpace, Salesforce Agentforce, Azure AI Foundry, and Amazon Q. ProcessIntel slashes the process to agentic blueprint time from weeks to hours for measurable cost and efficiency gains. To share a few examples: - For a US-based financial institution, ProcessIntel analyzed and optimized workflows across identified commercial customer onboarding processes. This helped to uncover inefficiencies, ensure compliance, and achieve

significant savings through agentic implementations. - For a global diagnostic firm, the AWS Bedrock-based agents enabled our client on conversational knowledge retrieval and monitoring of over 150 instrument types, boosting the productivity for lab technicians and minimizing human interventions. Let me now share updates on Enterprise Data Readiness for AI: Enterprises face complex data challenges in quality, pipeline, governance, and overall costs arising through both organic and inorganic growth, leading to various siloed systems and data sources. We are helping Fortune 500 firms with accelerators like iAura for AI data orchestration and GenAI Hub for Generative AI prototyping to specifically solve these problems and make our clients ready for wider AI adoption.

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Let me share two such examples. - For a leading US healthcare organization, we modernized their legacy data systems to advance technologies such as Azure Fabric and Snowflake, migrating thousands of users for AI readiness, at the same time yielding year-on-year savings via cost efficiencies. - And for a global travel management firm, we consolidated multi-vendor data on Databricks stack, redesigned the models and revamped their user experience for highly scalable analytics. Coming to AI usage within Persistent as an enterprise. Internally at Persistent, we are embedding AI across functions via agentic framework that we call 'Persistent Asslst'. I'm glad to inform that it won two CII National AI Awards 2025 that included: - Best Industry Application for Persistent Asslst Framework, and - Best AI Solution Showcase for IT Asslst, which is an AI-based IT support assistant. We have launched 50+ agents in various internal functions such as delivery excellence, finance, legal and talent supply chain, gaining measurable savings in turnaround times. I'm pleased to announce that we have successfully completed the audit process for AI management systems and have been recommended for the ISO 42001 certification. This audit process is a structured and multi-stage assessment meant to evaluate and certify an organization's AI management systems and reflects our deep commitment as well as outcomes in responsible, ethical and effective AI governance. We're also recognized as the emerging leader in Gartner's Generative AI Consulting Quadrant as well as the leader in Everest Group's 2025 Talent Readiness for Cloud Services PEAK Matrix. In conclusion, we are pleased with the advancements we are making in our AI journey and are confident of accelerating the momentum we have created. I would now invite Saurabh for the key deal wins and awards and recognitions. Saurabh Dwivedi: Thanks, Jaideep. Let me now talk about some key deal wins for the quarter. Starting with software high-tech and emerging industries, our largest vertical: - Persistent was selected by one of the fastest growing cloud infrastructure providers to accelerate its transformation from a s

mall and medium business focused player to an enterprise-grade provider of AI infrastructure and services. This is a large multi-

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year deal for our AI for Tech initiative led by SASVA, wherein we have established a 360 degree collaboration with the customer to not only provide engineering services, but to also build out its cloud and AI infrastructure platforms for enterprise customers, and are also embedding their platform in our offerings to Persistent customers. - Persistent was selected by one of the largest global energy technologies companies to take over the development and maintenance responsibilities for its critical grid technology platform from one of the existing vendors. The underlying work includes setting up an R&D offshore development centre for maintaining and developing the asset management platform associated with transformers and switchgears. Our track record of successfully delivering on transformation projects related to distribution control systems and our SASVA platform capabilities for mitigating the transition risk from existing vendors were instrumental in us winning this engagement. Moving on to Banking Financial Services and Insurance: - We were selected by a leading American financial services player that provides financial record keeping, tax-advantaged savings and retirement plans for IT and business process transformation across its product engineering and operations. As part of the deal, we will leverage AI tools for tech debt remediation along with revamping user experience and developing mobile responsive design platform. You may remember that we had won a large multi-year deal with this customer against a large tier 1 peer a few quarters back. This latest deal win was on the back of our successful track record of delivery on the larger engagement and was not part of a competitive process. - Persistent was selected by one of the largest US-based full-service wealth management firms to reimagine its business operations using AI and to modernize its platform to improve customer experience. Key outcomes for the customer include Gen AI-based relationship management assistant which leverages incident history and service insights for the field advisors, and also building a Gen AI environment with reusable components and auto sandboxing to fast-track development of AI use cases. Moving next to our Healthcare and Life Sciences vertical: - We were chosen by one of the largest healthcare companies in the world to modernize its digital presence and elevate engagement with its commercial healthcare clients. The deal scope includes legacy modernization, features enhancement and upgrades adhering to changing regulatory and compliance requirements.

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- We were chosen by one of the largest non-profit health systems in the US operating a vast network of hospitals, senior living facilities and healthcare services to modernize, standardize and consolidate its imaging applications. The benefits to the customer include data integrity, reduced outages and seamless interoperability between clinical imaging and related ancillary applications, thus resulting in improved experience across patients, radiologists and caregivers. Now moving on to awards and recognitions we received during the quarter: - Persistent won the ISG Customer Experience Star Performer Award across six categories based on voice of the customer. These showcase Persistent's deep domain expertise and its ability to enable clients across various industries to stay ahead in adopting emerging technologies. - Persistent received Growth Honor of the Year at the Everest Groups Elevate 2025. This is an acknowledgement of our market-leading revenue growth amongst publicly listed global service providers. - Persistent was commended for building a future-ready high performing talent ecosystem and has received multiple recognitions including the following:

o We were awarded America's Greatest Workplaces in Tech 2025 by Newsweek and Plant-A Insights Group. o We received top three honors at the People Matters InfinIT Awards 2025 in Tech-Enhanced Workforce Planning, Talent Acquisition Team and HCM Innovation. o We also won Brandon Hall Gold Award for our architect competency development program under the "Best Competency Management Strategy category". With this, let me hand it back to Sandeep. Sandeep Kalra: Thanks, Saurabh. I would like to conclude the prepared remarks by saying that we are pleased with the consistent performance that we have been able to deliver despite the continued macroeconomic and geopolitical uncertainties through the quarter. We remain committed to strengthening our capabilities, including infusing AI across all our offerings and proactively engaging with our customers to bring the latest innovations to them. We are making steady progress towards our aspiration of reaching \$2 billion by end of FY27. I would also like to take this opportunity to wish all of you and your loved ones a very happy and prosperous Diwali. With this, let me now request the Operator to open the floor for questions. Operator.

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Moderator: Thank you, sir. We will now open the call for the Q&A session. We will wait for few minutes until the queue assembles. We will request participants to restrict to two questions and then return to the queue for more questions. Please raise your hand from the Participant tab on the screen to ask the question. First question is from Prateek Maheshwari.

Prateek Maheshwari: Hello Management and hello Sandeep. Thank you so much for the opportunity and congratulations on a strong quarter. I've got two questions. So one is first on growth. So another good quarter. I wanted to check on the TCV. TCV has picked up quite well, 15% growth YoY. However, if you look at the cut to it, it's driven by the ACV growth which is quite strong, and also it is actually driven by the existing business growth. So just wanted to understand that, while this year again probably it's going to be a strong growth year, how do you think this decline in the new TCV would fare us for next year which is a \$2 billion target. So, first question is that. Sandeep Kalra: Yeah, so if we were to look at the TCV versus ACV, out of the TCV of \$609.2, \$350.8 is new business. Out of the ACV of \$447.9, \$254.4 is the new business. And if we were to look at historically the ACV, TCV for new, this bodes well. And please remember, if you look at the ACV part, the ACV is what is the next 12 months. And when we look at the TCV, it is more than 12 months. So, the revenue realization for any period, whether it is any quarter, any year, any years, will be a combination of ACV already booked, in-quarter ACV that we will book from here till that period, and the multi-year deal conversion that comes from the TCV. So, we are relatively confident, unless the macro and other things pan out differently, this bodes well for the future growth. Prateek Maheshwari: Okay. Thanks. Thanks, Sandeep. That's comforting. Just attached to that, just wanted to ask that, is it... the color to this TCV and ACV number, is it related to specific one or two clients, or is it broad based? And then I had one question also on margins. So basically, you guys have done really well on the margins 230 basis point improvement YoY, and I think 16% was the target, and you guys have already around there. So just wanted to ask whether, how would the decision be for... would you guys now punch more for the growth and reinvest more? Just wanted to ask on that as well. Sandeep Kalra: Sure. So, the short answer on the second part is, yes, on the margin trajectory, we have traversed very well. We had said two years back that we wanted to be 200 to 300 basis points above where we were, and we are nicely trajectory on that. At some point in time, you know, we have to obviously not try to opt

imize beyond a certain percentage. We have grown very well. We need to continue the growth. The growth happens, everything else comes along with it. And this is a changing environment. AI will need investments. So, we are happy with the progress. We will take it a little bit higher as we can, and we'll make sure that we are investing in the growth and capabilities as we go. So that is the part on that.

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And in terms of the bookings, et cetera, so it's not driven by one or two customers. It's a broad-based growth. And so, we are pretty happy with the way the quarter turned out and the way the pipeline is. It's also a pretty broad-based pipeline. Prateek Maheshwari: Thank you, Sandeep. Moderator: Thank you. The next question is from Sandeep Shah. Sandeep Shah: Yeah, thanks. Thanks for the opportunity and congratulations for an all-round show in this quarter. And Sandeep, first question is, this is the sixth quarter in a row where we are doing significantly better in terms of BFSI and Europe, where both these segments have grown at a high single-digit for six quarters in a row. So, what different we are doing and what is leading that? And are they inter-related to each other? Sandeep Kalra: So, Sandeep, they're not related to each other. The growth in Europe is driven by some of our hi-tech customers where we're doing... where we had won significantly large deals and they have ramped up. So, that is as far as the de-linking between the BFSI Europe growth is concerned. As far as BFSI is concerned, again, as Jaideep mentioned in his comments, we had won certain deals in different set of customers. So, we had won a fairly large deal, a consolidation deal against a tier 1. Similarly, about two years back, we were brought in as a challenger in one of the fairly large Fortune 100 customers from a financial services perspective. That has also ramped up very well for us. And the existing customers, the fintech customers, et cetera, that we have. So, it's a pretty broad-based set of wins which have ramped up. And on an overall quarterly basis also, we have added to the wins. So, it's broad-based wins across fintech, banks, other aspects of financial services, etc. Sandeep Shah: Okay. And just the last follow-up question. In the healthcare, we were calling out some client-specific issues. That pain is largely over or you still believe healthcare can continue to remain dynamic? Sandeep Kalra: So, I wouldn't characterize it as we were suffering from any 'pain' or something. When you book larger deals, larger deals typically go through those cycles of where you're ramping up, you're offshoring, you're optimizing, and then you are carrying on with more wins, etc., and so on. So, if you look at what we had said the last quarter as well, we had said that over a period of time, healthcare will also grow back. So that's where it is. And we are offshoring in some of the larger wins we had, and we have a fairly good pipeline. So, nothing to worry about any particular customer or any set of customers in healthcare. Sandeep Shah: Okay. Thanks and all the best. Moderator: Thank you. The next question is from Nitin Padmanabhan. Nitin Padmanabhan: Thanks for the opportunity, and congrats on the quarter. Sandeep, last quarter, you were a little worried about uncertainties. How do you see things now? Have things

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improved directionally? Deal wins also seem to be pretty good. So just want your thoughts on how do you see the broader outlook, at least from a demand perspective? Does it seem to have improved? Any color from a vertical perspective will be helpful. Sandeep Kalra: As far as the demand environment is concerned and the bigger macro is concerned, the macro remains interesting and it keeps on going through its own challenges. You may have heard the multiple news that keeps on coming up weeks and quarters in the US. So, I wouldn't say that the environm

ent is changing that much, but I think the people are getting used to working in that environment. And so, the pipeline is good. The pipeline, I would say it's broad-based and that is reflecting in our order wins. And I'm hopeful that the industry should also be showing good order wins as we go along. So, from that perspective, things are changing. People are opening up a little bit more. And we should see across the various industry verticals. And we have said earlier as well, as far as we are concerned, we are seeing BFSI lead the growth based on the wins that we have, the ramp ups that we are seeing, the future pipeline that we are seeing, followed by hi-tech. We have some nice wins that we had in the quarter gone by and we have a good pipeline. And healthcare is going back to growth after one quarter of a dip, which was more kind of to do with few deals, offshoring and so on and so forth. So overall, we are relatively confident. Within the same environment, we should be able to work closely with our customers. It's about execution. Whoever can execute better in this environment will do better. So, that's where it is. Nitin Padmanabhan: Super, that's very helpful. Thank you so much, Sandeep, and all the very best. Moderator: Thank you.

The next question is from Ravi Menon. Ravi Menon: Hi, thanks for the opportunity and congrats on a pretty broad-based growth. We wanted to understand what's the impact of AI on, especially the renewals where you're signing. Is there enough velocity to offset any productivity benefits that you're giving? Sandeep Kalra: Yeah, so I would say it's early days for AI to be significantly impacting the renewals. The way it is happening is, yes, we are proactively, even before renewals come. So we are not waiting for renewals for someone to come and wake us up and say, hey, this is a renewal deal and now what will you do with AI? Wherever we can go proactively to our customers, and we have a program in the company where we are focused on the top 100 customers in a very rigorous manner, top 100 customers give us 82% plus of our revenues, we are proactively taking AI-led propositions, whether it is our existing book of business, whether it is newer ideas that we have. So, from that perspective, the proactivity has helped us. We are positioned very well to capture unfair market share of the AI initiatives in our customer base. And that's where if you look at our order wins as well, whether it's a TCV, ACV, and the consistency of converting that TCV and ACV to revenue over several, several quarters, that's where our efforts proactively, whether it's

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AI or otherwise, has helped us. So far it has not negatively impacted us and we hope it remains that way by proactively approaching the customers. Ravi Menon: Thanks so much for that. And given your margins have improved, I'd say, much better than we had expected and earlier, when do you think we need to cool down utilization a bit? Because where we are now, subcontracting has moved up a little bit right now. And if demand comes back, would you be still comfortable with this level of utilization? Vinit Teredesai: So, Ravi, utilization is just a factor of the demand and supply situation. At this point of time, looking at the market, looking at our ability to hire from the market and deploy it back on these positions, I think we are very much comfortable. So, we will continue to remain in this range for quite a while. And we have mentioned that over a period of time, the comfortable utilization position will be somewhere between 83 to 85%. At this point of time, at least for the next few quarters, we anticipate the utilization levels to remain pretty much at that rate. Ravi Menon: Thanks so much. Best of luck. Moderator: Thank you. The next question is from Manik Taneja. Manik Taneja: Hi, thank you for the opportunity and congratulations for the steady performance. I actually just wanted to get your thoug

hts on a couple of internals. If I look at our revenue split up, we had basically seen a significant increase in our software license revenues through the more recent quarters. And this quarter, that number essentially has come off. And with the comment that you made around completion of pass-through or software licenses with some large customer, are those two things related? That's question number one. The second question was with regards to, while you called out for the quantum or the impact of wage hikes that you are implementing for your workforce, if you could help us with the quantum of wage hikes and how do they compare with, possibly, what you've given in the more recent past? Vinit Teredesai: So, there are two things. When you are talking about the revenue reference to the software license, there are two components of it. One, as you know, that we have a couple of proprietary products and plus our SASVA licenses, which are sold in the form of licenses. So that constitutes the revenue part. Many times they are sold off in a direct fashion and that's where they are sort of visible there. Sometimes they are basically incorporated as a part and parcel of our overall large deal. So, it's not an apple-to-apple comparison necessarily on that. The aspect which I mentioned in reference to the cost, it is not linked to the revenue that you are getting. This is a part and parcel of a larger commitment that we had made a couple of years back as a part of the large deal. And that license commitment is now coming to an end. It's not necessarily that every license that we consume is basically in the form of a resell. Sometimes it's part and parcel of our own consumption also.

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Manik Taneja: Vinit, just a clarification on this one. So, we've seen the purchase of software license and support charges go up to almost between 6.5% to 7% of revenues and 6% in the current quarter compared to possibly 2.5% to 3% in the prior years. Do we think this number goes back to those historical numbers? Vinit Teredesai: It all depends upon how some of the deals get structured and the commercial construct around it works around. So, I don't want to right now call out that there is any specific trend that we need to focus upon. The current range what you have seen for the last couple of quarters is what you can assume will continue in the next few quarters also. Sandeep Kalra: So Manik, let me just add to that. So, if you look at it, this entire tech services industry is moving in a slightly different manner going ahead. So, if you've heard of a concept called 'software as a service', now people are talking of 'service as a software'. What it means is if you are to do AI-led transformations, some of the things people will basically have where you will bundle an entire end-to-end solution, which includes a software. Software ARR will also flow through providers like us. The service is on top and you are responsible for

the outcome. Maybe you are pricing on an outcome basis, but you're bringing the entire stack together, whether it's a Salesforce stack, whether it is a startup related stack, whether it's your own homegrown solutions that you're pricing as a part of the whole thing. So, the future is in that direction. Having said that, obviously that is the direction that will be over the next several quarters and years. So, right now, too early to say whether 6 goes to three or 6 goes to 16. That will depend on where the entire AI plus other transformation and the business models move. Manik Taneja: Sure. Thank you, Sandeep, for those thoughts. Vinit Teredesai: Yeah, with reference to your second question, with reference to the wage impact, as I said that the wages are in line with what we have provided. They are in line with the industry standard and pretty much in line with what we have provided to our employees last year. Manik Taneja: Thanks, Vinit. Moderator: Thank you. The next question is from

Vibhor Singhal. Vibhor Singhal: Yeah. Hi. Thanks for taking my question and congrats team for a very solid performance yet again. Sandeep, just wanted to pick your brain on the Healthcare vertical. It has been basically the cornerstone of our growth over the past few quarters. Going forward, of course, I'm sure it's going to pick up in momentum again. But at the macro level, there have been concerns about some of the headwinds that the vertical is facing, especially in the government spend front because of the big beautiful bill. What is our conversation in this vertical like with the clients? And how do you see the pipeline of deals in this vertical standing where we are today?

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Sandeep Kalra: So Vibhor, you are right. So, this sector has been an impacted sector, if I may say so, in simple terms, from the various decisions under the Big Beautiful bill and other things that the new regime has undertaken. Now, the reaction from that from our customers is that's the hand that has been dealt to them. Now, they have to deal with that in the best possible way, whether it is about redoing their supply chains, whether it is about redoing their cost basis. Because if a number of our customers, let's say scientific instruments and medical devices, where these people, their equipment, their software is consumed by research labs, universities, many other systems, hospital systems and others who have grants and so on, which are impacted by whatever has happened in the last, you know, 3-6 months. Now, if they have to optimize for it, they need to be much more efficient. And that's where we are trying to be a part of the solution, working closely with them. And so the pipeline is good. We have to execute. And overall, wherever... you know, in any industry, if there's a stress or there's an acceleration, there is good work for tech services. So, we'll have to figure out our own, you know, revenue pools, which we are working on, and they should work well for us. Vibhor Singhal: Great, that's great to hear. So, any diversification strategy that you are planning, because of, let's say, this may be a temporary headwind? Maybe in healthcare vertical, you want to diversify into some other domains which we have not charted into, or some other vertical beyond the three verticals that we have already? Sandeep Kalra: So, see, healthcare, again, it's not one monolithic vertical, there are four different, you know, segments in that. There's scientific instruments, medical devices. These are right from equipment makers for the hospitals and so on, so forth, to smaller medical devices. The second one is pharma. The third one is payer. The fourth one is provider. Each one of them has a different dynamic, somewhat cross-linked as well. So, we have distinct teams, as we had said on earlier earnings calls. Today, our healthcare vertical is at \$100 million a quarter. We are sub-verticalizing this. And as we get to our \$5 billion over the next 4-5 years, we should be at, you know, \$100 million per quarter in every sub-vertical. So, we are going deeper with respect to our capabilities, etc. And we are seeing a good response from our customers, good pipeline being developed. So, I don't think it is a question of now, in the shorter run, trying to have more verticals and being sub-scale in every vertical. It is about going deeper into verticals and sub-verticals and becoming more predominant. So that's where it is. Vibhor Singhal: Got it, got it. Just one last quick question for Vinit. Vinit, with the strong margin performance that we have shown, our guidance of 200 to 300 basis point margin expansion over the next 2-3 years, does that also stand? Or basically, where are we on that? Vinit Teredesai: Yeah, I would say, if you look at it, last year, we delivered a margin of 14.7%. If you look at that trajectory, we are probably in the 15 point... somewhere around 15.9 to 16%.

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Next quarter, there might be a little bit of an impact on the account of the points I mentioned, particularly on the wage impact. But on an overall note, if we are looking at our current trajectory, we are looking at 100 basis point improvement in FY26, and probably another 100 basis point in FY27. That's what we have mentioned. So pretty much on track as far as that trajectory is concerned. As Sandeep called out, after that, we'll take a call in terms of the focus and priority will be on growth. But at the same time, we'll try to see if there are any levers available and opportunities available, we'll try to optimize on the margins also, wherever possible. Vibhor Singhal: Got it, got it. Great, thank you so much for taking my questions, and wish you all the best. Moderator: Thank you. The next question is from Shrenik Mehta. Hi Shrenik, requesting you to unmute and ask your question. Shrenik Mehta: Hi, so fantastic results. Thanks for such a great performance. Just wanted to ask how much of this margin expansion that we are seeing here is coming from your realized pricing piece versus other components like a mix or offshore or a pyramid kind of a rebuild piece? Vinit Teredesai: So, if I understand your question correctly, you want a dissection in terms of how much is driven by offshoring and how much is driven by pricing, etc., right? Am I right? Shrenik Mehta: Actual price increases that you do with your customers. Vinit Teredesai: See, in terms of offshoring, if you look at it, our ratio in terms of our offshore headcount has been in the 85% range that has been largely driven... you know, that has remained in that range of more 85%. And we think it's at the optimum level and continue to remain at the optimum level. Anything in terms of pricing, we continue to go. We have COLA clauses that are being defined as a part and parcel of our contract. We take the customer into confidence before we implement that. We go with the right role, right pricing strategy whereby we go and ask the customer for tenured resources who have been working with them for a longer period of time, go and ask for incremental pricing if these resources need to continue for even longer period of time. So, all of these levers are at play at multiple points of time. There is no specifically one focus area that continues to remain. I can only say, if you look at all the realization and the cash conversion that is happening, all of our profits are basically getting converted and getting realized also. Shrenik Mehta: Yeah. I mean, your margins in the last 3-4 quarters have been improving. So, you see that

trajectory in a similar manner in the next few quarters? Vinit Teredesai: So, see, we don't give forward-looking guidance. We have mentioned, aspirationally, we wanted to improve our margin by 200 to 300 basis points. We are already running 100

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basis points up this year. There's a possibility of another 100 basis point we will try to improve in FY27, which will bring us to that 200-300 basis point improvement range. After that, as Sandeep has called out, growth will be priority. And on the way, if we can improve the margins, we'll focus on that. Moderator: Thank you. The next question is from Aditya Vikram. Hi, Aditya, requesting you to unmute and ask your question. Aditya Vikram: No, all my questions are answered. Thank you very much. Moderator: Thank you. The next question is from Mehta Bhavik. Bhavik Mehta: Hi, thank you. So, a couple of questions. Firstly, we had very strong deal wins this time. So, do you expect that the growth momentum could accelerate in the second half because of that? Or do you think the normal season will be played out and hence we shouldn't expect much acceleration? Sandeep Kalra: Bhavik, you know, we don't give forward-looking guidance. So, I won't kind of comment on that. Facts and figures are there in front of you. Bhavik Mehta: Okay. The second question is on AI

. I understand that you're proactively providing to clients with solutions, doing proactive reach-outs. I'm sure clients will be asking for productivity benefits leading to pricing deflation. Is that a fair assumption to make right now? Or you're not seeing much pricing deflation play out as of now? Sandeep Kalra: I don't think it's a question of pricing deflation. So, the way it works in some other cases is it's the scope, inflation-deflation, that is the case. It is not about the pricing per unit. So, if you look at the overall scope, if we are able to impact that by doing AI-led transformations or by bringing in SASVA if we can do things better, faster, and lesser human manpower-related thing, it brings the overall cost there. But if you look at our billing rates as well, whatever we give us realization if you look at the details of whatever we share, it's fairly consistently moving up. Bhavik Mehta: Okay. Got it. That's helpful. Thank you. Moderator: The next question is from Abhishek Kumar. Okay. I think we have lost Abhishek. The next question is from Manik Taneja. Manik Taneja: Hi. Thank you for the follow-up opportunity. This question was with regards to our segmental margins. When I look at our segmental margin trends over the course of last several quarters, it appears you've made a significant improvement on the tech side. If you could help us understand what may be driving that, that will be helpful. Sandeep Kalra: So, I'll take a stab, and Vinit, if you want to add. So, if you look at the tech side, that is where if you look at the deal wins we have been announcing, we've been announcing deal wins which are based on our utilization of AI tool that we have developed, the platform that we have developed like SASVA. Now, when we do that, we are able to win

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the deals against competitive landscape, use lesser manpower combined with technology, but we are able to get the realization which is better than just, you know, plain simple, what people realization would have been. So that's where our profitability improvement is coming. So hopefully that makes sense to you. Manik Taneja: The last one, Sandeep, basically from my end is that, if I look at our headcount split across geographies, we see that over the course of last 12 months, we've seen a significant improvement or increase in our India-based headcount as compared to the trend that we are seeing in the prior 18 to 24 months when we stepped up the North American headcount. Given the current situation, do you think what we've seen in the course of last 12 months is what is going to continue over the foreseeable future? Sandeep Kalra: Yeah, so look, there are structural changes that will happen in our industry, whether it is because of the H-1B regulations or otherwise. And if you look at Persistent, we were never dependent on H-1Bs. So having said that, the headcount in a geography like US also depends at points in time based on the larger deals that we win. Initially, we need higher headcount there, then we optimize, and then comes the next deal and so on and so forth. I don't foresee, as of this point in time, any major change for Persistent per se. We may invest in near-shore centers or onshore centers, but as we are growing in percentage terms, I don't think it will be structurally very far from where we are. The headcount may increase, but the percentage-wise, it may not increase significantly differently. It may have a few percentage points here or there. Moderator: Thank you. The next question is from Abhishek Kumar. Abhishek Kumar: Yeah, hi. Good evening, Sandeep and very good quarter. You know, all the larger peers are also talking a lot about investing in AI platform, AI-led services, etc. Now, we have won a large deal in financial services against a tier 1 incumbent. The question is, when it comes to taking on these larger peers, what is our right to win? Is it that our AI proposition is better than t

hem, because they have the mindshare of those large customers, they have the domain expertise, and now they are talking about AI? Or is it just nimbleness and sales focus? Sandeep Kalra: Yeah, so Abhishek, good question. But if you look at a slightly longer range, if you look at the last four years, our compounded annual growth rate is about 25%. So, if you look at that last 8 quarters, 16 quarters, CQGR, there's a significant outperformance Persistent has set. So, when I said four years, the reason I wanted to say four years is AI fever that we see everyone talking about AI is the last two years. And I would still believe that the AI-led revenues for everyone are not in double-digit percentages as of this point in time. So, so far, we have had the capability over the last several, several years, even from the time we went IPO till now, if you look at it, we have had 17%+ CAGR. So that is relatively much different than many of the others. So, whether it is traditional work or AI-related work or capabilities, whether it was software or OPD kind of work, or it is data and AI, we have been consistently building capabilities. So, I'm not worried about anybody and

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everybody building AI capabilities. It has to be the way. That is the way the whole industry is going, so everyone has to build those capabilities. We have to build them faster than the fastest competition and move faster in terms of our go-to market, be closer to our customers and provide them differentiated services, differentiated experience. And that's what has led to us being brought in as a challenger in the Fortune 500 kind of landscape in the last several years. And if you look at the scaling we have done, it's all based on good customers for capabilities. So, everyone can build AI. We'll build it faster than them. Abhishek Kumar: No, that's good to hear. Thank you. That's all from my side. Thank you so much. Moderator: Thank you. In

case there are any closing comments... Sandeep Kalra: I think we are at end of hours. So, from our perspective, look, we are confident of delivering the growth that we have done over the last several years. And we look forward to giving you the updates as we go along in about three months. Thank you for your participation and a very Happy Diwali to all of you once again. Moderator: Thank you very much to the Persistent Management team. Ladies and gentlemen, on behalf of Persistent Systems Limited, that concludes today's conference. Thank you for joining us and you may now disconnect your lines and exit the webinar. Thank you. Please note that this transcript has been edited for readability.

Call: Jan 2026

Persistent Systems Limited, Bhageerath, 402 Senapati Bapat Road, Pune 411 016, Maharashtra, India

CIN - L72300PN1990PLC056696

Tel: +91 (20) 6703 5555 | Fax - +91 (20) 6703 6003 | E -mail - info@persistent.com | Website - www.persistent.com NSE & BSE / 2025-26 / 206

January 27, 2026

The Manager,

Corporate Services,

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra (E),

Mumbai 400 051

Ref: Symbol: PERSISTENT The Manager ,

Corporate Services,

BSE Limited

P J Towers, Dalal Street,

Mumbai 400 001

Ref: Scrip Code: 533179

Dear Sir/Madam,

Sub.: Transcript of the investor/analyst call held on Tuesday, January 20, 2026

Ref.: Our earlier intimation under Ref. No. NSE & BSE / 2025 -26 / 200 dated January 20, 2026

In continuation to the above -referred intimation and pursuant to Regulation 30 read with Schedule III (Para A) (15) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to submit the transcript of the investor/analyst call held on Tuesday, January 20, 2026, for the quarter and nine months ended December 31, 2025.

The transcript of the investor/analyst call is also made available on the Company's website as follows:

Investor/Analyst call transcript - Q3FY26

Kindly take this information on record.

Please acknowledge the receipt.

Thanking you,

Yours sincerely,

For Persistent Systems Limited

Amit Atre

Company Secretary

ICSI Membership No.: ACS 20507

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"PERSISTENT SYSTEMS EARNINGS CONFERENCE CALL,

THIRD QUARTER, FY26 ENDED DECEMBER 31, 2025"

6:00 PM IST, Tuesday, January 20, 2026

MANAGEMENT :

Dr. Anand Deshpande

Chairman and Managing Director

Mr. Sandeep Kalra

Executive Director and Chief Executive Officer

Mr. Vinit Teredesai

Executive Director and Chief Financial Officer

Mr. Jaideep Dhok

Chief Operating Officer

Mr. Debashis Singh

Chief Information Officer

Mr. Saurabh Dwivedi

Corporate Vice President , Finance and Strategy

Moderator: Ladies and gentlemen, good day and welcome to Persistent Systems Earnings Conference Call for the third quarter of FY26, ended December 31, 2025. We have with us today on the call,

- Dr. Anand Deshpande - Chairman and Managing Director,
- Mr. Sandeep Kalra - Executive Director and Chief Executive Officer,
- Mr. Vinit Teredesai - Executive Director and Chief Financial Officer,
- Mr. Jaideep Dhok - Chief Operating Officer,
- Mr. Debashis Singh - Chief Information Officer, and
- Mr. Saurabh Dwivedi - Corporate Vice President, Finance and Strategy.

Please note, all participants' line will be in listen-only mode and there will be an opportunity for you to ask questions after management's opening remarks. Should you need any assistance during the conference call, please raise your hand from the 'Participant' tab on the screen. While asking questions, requesting you to please identify yourself and your company. Please note, this conference is being recorded.

I now hand over the conference to Mr. Saurabh Dwivedi. Thank you and over to you Sir.

Saurabh Dwivedi: We sincerely appreciate your participation in today's call. I will quickly outline the agenda.

- Sandeep will begin with an overview of our results and commentary on the business.
- Vinit will take you through the financial details and key operational metrics for this quarter.
- Debashis, our Chief Information Officer, will highlight how we are using AI internally at Persistent as Customer Zero.
- Jaideep will provide you an update on how we are helping our customers adopt and scale AI.
- I will then provide an overview of our key deal wins and awards and recognitions for this quarter.
- Sandeep will come back for a quick summary of the prepared remarks post which

we will open the conference for questions.

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Let me also remind you that as part of our prepared remarks and during Q&A, we may make certain statements which are forward-looking and may involve significant uncertainty. Persistent does not take any responsibility to update such forward-looking statements and your discretion is warranted while making any investment decisions. With this, let me hand over to Sandeep for his prepared remarks.

Sandeep Kalra: Thank you, Saurabh.

Before I begin, I would like to wish all of you a very happy and prosperous new year. I hope all of you are doing well.

Now, let me start with a quick financial summary for the quarter gone by. We achieved a healthy revenue growth of 4.0% quarter-on-quarter and 17.3% year-on-year, delivering \$422.5 million in Q3 of fiscal 2026.

On a Trailing Twelve-Month basis, our revenue stood at \$1.6 billion. This marks our 23rd sequential quarter of revenue growth.

In Rupee terms, the growth for the quarter came in at 5.5% quarter-on-quarter and 23.4% year-on-year.

In constant currency terms, the growth for the quarter was 4.1% quarter -on-quarter .

As you might be aware, New Labor Codes were recently announced in India, which required additional provisioning for gratuity payment and leave encashment, leading to an impact of ~2.3% on the EBIT margin and approximately 1.8% on the PAT margin. After accounting for this impact, the EBIT for the quarter came in at 14.4%, which translates into a decline of 7.0% quarter -on-quarter and an increase of 19.1% year -on-year in absolute terms.

Profit After Tax for the quarter came in at 11.6%, a decline of 6.8% quarter -on-quarter and an increase of 17.8% year -on-year in absolute terms.

Vinit, our CFO, will provide a detailed color on the financials and margin movement later in this call.

Coming to the order book for the quarter .

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The Total Contract Value for the quarter stood at USD 674.5 million with the Total Contract Value of new bookings coming in at USD 369.1 million. The Annual Contract Value of bookings for the quarter is USD 501.9 million out of which the ACV from new bookings contributed USD 255.8 million.

As always, both the TCV and ACV numbers include all bookings , small and large , renewals as well as new bookings across existing and new customers.

Also, as highlighted in our earlier calls, our revenue conversion on a quarterly basis is a function of ACV bookings closed in previous quarters as well as the conversion from multi -year deals booked in previous years, which are included in our Total Contract Value or TCV bookings that we announce on a quarterly basis.

Now , let me give you some color on our client movement across various reported categories.

This quarter we witnessed healthy year -on-year growth among our various client buckets with our :

- Top 5 customer revenue growing by 25.6%,
- Top 10 by 28.3%,
- Top 20 by 26.3%,
- Top 50 by 22.7% and
- Top 100 customers by 20.1%.

Coming to the year -on-year movement of customers across various reported buckets.

- Customers with annual revenues greater than USD 75 million increased from 3 to 4 on a year -on-year basis ,
 - Customers with USD 50 million plus annual revenue remained stable at 4.
 - Customers in USD 20 million plus category increased from 10 to 12 ,
 - Those in USD 10 million plus category increased from 22 to 28 and
 - Customers in USD 5 million plus category saw a significant increase from 47 to 61 over the last year ,
 - Customers in USD 1 million plus category increased from 189 to 195.
- Persistent Systems Limited

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This demonstrates our consistent success in cultivating deeper, more resilient partnerships with our customers over time.

Coming to the details of our geographic performance.

In t

erms of year -on-year growth this quarter in USD terms,

- North America revenue grew by 18.6%,
- Europe grew by 22.0%,
- India declined by 2.5% and
- Rest of the World grew by 37.9% although on a smaller base .

In terms of industry segments , this quarter's growth was led by BFSI vertical with 29.3% growth followed by Software Hi -Tech and Emerging Industries and Healthcare , Life Sciences which grew by 14.7% and 7.4% respectively on a year -on-year basis.

Coming to the update on Interim Dividend.

I am pleased to share with you that the Board of Directors has declared an interim dividend of ₹22 per share on face value of ₹5 per share. It is our endeavor to maintain a consistent dividend payout ratio while we augment our growth through capability -led acquisitions.

Coming to other organizational updates .

I am pleased to share an update on our annual planning exercise which we call the 'Huddle '. The Huddle successfully concluded last week in Pune. This year's Huddle brought together about 650 senior global leaders across sales, delivery and enabling functions, making it one of our most comprehensive strategic gatherings till date.

Over the course of this intensive offsite , we not only charted our priorities and focus areas for FY27 but also assessed our progress towards our long -term aspiration of reaching \$5 billion in annual revenue by FY31 and did intensive trainings on the AI side for our entire leadership.

I am also happy to share that we remain firmly on track, advancing confidently towards our aspiration of \$2 billion by March 2027 and laying the foundation of \$5 billion by March 2031.

With this, I conclude my prepared remarks and would like to invite Vin it, our CFO, to give a detailed color on quarterly financials and related matters. Vin it, over to you.

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Vinit Teredesai: Thank you , Sandeep.

Good evening and good day to all. Thank you for taking the time to join us today. Let me now take you through the financial highlights for the quarter gone by.

- Q3 FY26 revenue stood at USD 422.5 million, registering a year -on-year growth of 17.3%. In rupee terms, it translates to ₹37,782.1 million, growth of 23.4% year -on-year.

- EBIT margin for Q3 FY26 came in at 14.4%, 50 basis decline year -on-year. EBIT for this quarter was ₹5,427.5 million, translating to a growth of 19.1% year -on-year.

Let me now give you a quarter -on-quarter EBIT margin walkthrough. Starting with the tailwinds this quarter.

- Favorable currency moment has resulted in a tailwind of 30 basis points.

- Lower subcontractor cost has contributed to 20 basis point improvement in margins.

- A combination of higher utilization at on -site, pyramid rationalization and SG&A optimization resulted in a margin benefit of 40 basis points.

- As we have been sharing with you, a greater proportion of our services engagements are now driven by our AI platform and tools. Our commercials with the customers are also evolving to include a combination of people and tool -driven pricing models. Couple of engagements of this nature, which we signed in the last quarter and which are now scaling up, have contributed to an improvement in margin by 150 basis points.

In terms of headwinds,

- As we had mentioned last quarter, wage hike awarded to employees effective October 1, 2025 has resulted in a headwind of 180 basis points.

- In addition, there was a one -time impact of 230 basis points on EBIT margin on account of increased provisioning for gratuity and leave encashment in accordance with the New Labour Code announced by the Government of India. Going ahead, our provisioning will be in accordance with the New Labour Codes.

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- Furloughs have impacted the margins by 20 basis points this quarter.

All these headwinds and tailwinds put together have resulted in a 190

basis point impact on our EBIT margin on a quarter -on-quarter basis.

Excluding the one -time impact of labour code, our EBIT margin would have been 16.7% , a 40 basis point improvement over Q2 FY26.

Other Income, net of Finance cost, stood at ₹300.6 million as against ₹58.9 million in Q2 of FY26. Increase in Other Income was primarily due to earn -out credit of ₹129.8 million from one of our recent acquisitions. Foreign exchange loss of ₹78.2 million this quarter as against a gain of ₹272 million in Q2 of FY26 was primarily on account of mark -to-market losses on hedges.

Effective Tax Rate for the quarter came in at 22.2% versus 23.5% last quarter. ETR for FY26 will be in the range of 20 %-24%. The ETR needs to be looked at on a yearly basis as all seasonal elements to be taken care of on a yearly basis.

Profit After Tax was ₹4,394.5 million, a growth of 17.8% year -on-year. This translates to a PAT margin of 11.6%.

Earnings Per Share was ₹28.20 per share in Q3 of FY26 compared to ₹30.30 paise per share in previous quarter. Year -on-year growth in EPS was 16%.

Excluding one -time impact of new labor codes, our PAT would have been 13.4%, a growth of 35.7% in year -on-year terms.

Excluding cash from capital employed, Return on Capital Employed for Q3 FY26 came in at 43.8% versus 45.5% in the previous quarter. Total cash and investments stood at ₹29,046.5 million as on 31st December 2025.

In this quarter, billed DSO came in at 57 days while unbilled DSO came in at 24 days. Billed DSO increased by 3 days and unbilled DSO increased by 3 days compared to Q2 of FY26 .

Operating Cash Flow to PAT for this quarter came in at 91% compared to 114.3% in the previous quarter. This increase in the DSO and decline in the OCF to PAT ratio were driven by collection spillover to the first week of January due to the holiday season for certain customers.

Forward contracts outstanding as of 31st December 2025 were at USD 490 million at an average rate of ₹89.1 /dollar.

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Let me now give you some operational updates.

At the end of Q3 FY26, our total headcount stood at 26,711, an increase of 487 from the previous quarter. Trailing Twelve Months attrition this quarter came in at 13.5% compared to 13.8% in the previous quarter.

Coming to updates on ESG.

Our commitment to sustainability and responsible business practices continues to deliver measurable progress reinforcing our position as a trusted and forward -thinking organization.

This quarter, I'm pleased to announce that our S&P Global ESG score has improved to 86, a step up from last year's score of 85. This improvement underscores the effectiveness of our ESG strategy and the consistent progress we are making across ESG dimensions.

As we move ahead, we remain focused on embedding ESG principles into every aspect of our operations. These efforts not only strengthen our resilience but also create a long -term value for our stakeholders and communities we serve.

With this, let me now hand over to Debashis for commentary on AI progress.

Debashis Singh : Thanks , Vinit. I am pleased to join all of you today. My name is Debashis Singh and I serve as the Chief Information Officer at Persistent. My mandate is to drive enterprise -wide technology transformation in alignment with our business priorities. We are focused on accelerating a

scalable, secure and AI -driven IT foundation that enables our growth, improves operational efficiency, strengthens our risk posture and enhances employee experience.

As Customer Zero, our early investment in trusted AI platforms, combined with deep partnerships with hyperscalers like Microsoft, AWS, Google , Oracle , Salesforce have allowed us to move AI from pilots to production enabled by strong data foundations and responsible AI governance.

What we consistently observe across the industry is that successful AI program

s depend less on model sophistication and more on operational maturity, data readiness, process redesign and governance. To drive this transformation at scale, we have built a modular agentic AI platform, Persistent Systems Limited

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AssistX , which embeds domain -specific AI agents across the enterprise within our system of records, system of intelligence and system of action. Our system of records, including Oracle, Microsoft SharePoint and Salesforce, serve as the enterprise's single source of truth. The system of intelligence powered by Microsoft Azure Lakehouse, along with AWS, Google and Azure Fabric based models, provide consistent, accurate and trusted insights.

AssistX , our system of action, enables autonomous fulfillment through AI agents across sales, sales operations, legal, delivery excellence, finance, HR, IT, procurement and the talent supply chain. AssistX is governed by our AI management system, aligned with ISO 42001, ensuring responsible and secure AI operations at scale.

At its core, AssistX is transforming how work gets done at Persistent . By eliminating manual bottlenecks and enabling autonomous fulfillment, it drives true enterprise hyper -productivity enabling employees to focus on higher -value, decision -making tasks while AI agents manage operational workloads. All AssistX agents are accessible within Microsoft Teams providing a conversational experience with human -in-the-loop oversight.

To name a few examples, AssistX includes :

- N(AI) vigateAssist and RenewalAssist in sales operations,
- PiAssist and CareerAssist in HR,
- ITAssist and ObservabilityAssist in technology operations,
- LegalAssist and ContractAssist in legal.

The breadth and maturity of these agents continue to strengthen our enterprise -wide AI operating model with measurable outcomes. Since inception, our agents like –

- N(AI) vigateAssist has reduced content search and proposal preparation time significantly accelerating development of proposals.
- PiAssist now resolves 83% of employee HR queries and workflow requests autonomously.
- ITAssist has reduced mean time to resolution for IT -related incidents from 3 hours to under 30 minutes cutting manual workload by 70%.

To further extend this value , we recently introduced P (AI)X , a unified agentic interface that enables voice -driven natural language interaction and orchestrates task fulfilment through AI agents. These innovations are not only transforming Persistent internally, becoming showcases for our Persistent Systems Limited

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customers' pursuits but also earning strong external recognition from industry -leading stalwarts and institutions.

- Satya Nadella, Microsoft 's CEO, highlighted AssistX's impact in his AI World Tour keynotes in January and December 2025.
- Rob Howard, VP of Product Management at Microsoft, showcased N(AI)vigateAssist LIVE during Microsoft Ignite 2025.
- Persistent was recently awarded the prestigious CII AI Award demonstrating our leadership for responsible and scalable Enterprise AI innovation.

In summary, leveraging our landscape we are building a future -ready AI -powered digital enterprise, strengthening operational maturity, accelerating growth, positioning Persistent as a lighthouse of innovation as Customer Zero.

Now, I will hand over to Jaideep, our Chief Operating Officer, to discuss how we are progressing externally with our customers.

Jaideep Dhok : Thank you, Deb. Let me share a few updates on how we are helping our clients adopt and scale up AI with measurable outcomes. Our AI execution strategy is anchored around three strong pillars –

- AI for Technology, focused on engineering hyper productivity.
- AI for Business, focused on business hyper productivity and
- Enterprise Data Readiness along with Responsible AI.

In engineering hyper productivity, our AI platform for engineering , SASVA , continu

es to be the central driver for our clients. Our scale out continues through two proven models –

- Assessment -led expansion, delivering 60 %-75% cycle time reduction in work streams such as due diligence for private equity clients and application as well as data modernization initiatives across organizations.

- Outcome -based managed services with end -to-end accountability to deliver measurable business and operational impacts.

Let me share an example of what SASVA achieves for our clients.

For a global bank based in Europe, we assessed their complex millions of lines of legacy code which led us to win the full-blown engagement of Persistent Systems Limited

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transformation to the modern technology stack. This engagement required on -premise deployment, which not only understood the domain but also comprehended the complexities within their banking landscape. Our SASVA platform helped us decode the legacy logic, which is otherwise scattered across the enterprise. It then helped us arrive at the modern technology -based solution along with the overall transformation plan while preserving mission critical continuity and targeting around 22% productivity as well as time -to-market improvement.

Our recent partnership with DigitalOcean and Anthropic are accelerating this scale -out further. DigitalOcean strengthens our footprint for private Cloud and sovereign deployments while Anthropic enhances access to frontier models.

Our IP portfolio continues to expand for SASVA . It's now having 105 patents filed, including 30 in the last quarter, along with over 20 research publications. Our first open -source MLX solution on Apple Silicon delivers virtual LLM -style performance significantly reducing cost and latency for agent -driven inference. These assets strengthen our competitive position in Enterprise AI and accelerate development across the software development lifecycle.

In business hyper -productivity, we continue to reimagine end -to-end workflows as self -orchestrating ecosystem of AI agents powered by our domain -driven reasoning engines. We cover the entire value chain of assessment, to adoption, to scale for agentic AI solutions with measurable business impact.

To share a recent success story, for a leading Life Sciences client we helped shorten their drug discovery cycle by using GenAI Hub and Agent Studio. The solution involved AI -enhanced biomedical knowledge graph designed specifically for their Crohn's disease R&D pipeline. The solution delivered a 60% uplift in data mining efficiency and drove up to 40% higher productivity in their drug discovery process.

Our business hyper productivity portfolio now comprises of 200+ agents developed both in -house and across our partner ecosystem, including the likes of Google Gemini Enterprise, Microsoft AI Foundry, Salesforce Agent force, NVIDIA and leading automation platforms such as UiPath, Appian, and OutSystems. This quarter, we also launched the Agent Processing Unit to support onboarding and orchestration of external

Moving on to the enterprise data readiness, which remains the single most important driver of scaled AI adoption. Our platform -oriented approach based on the pillars of responsible AI, agentic data operations and workforce enablement continues to differentiate us.

To share an example, for one of the world's leading global banks we're actively migrating a 25 -year -old legacy code data platform to a modern Snowflake and AWS -based data stack. This engagement fully leverages multiple accelerators within our agentic data platform iAURA spanning across assessment, platform development, governance, observability and the migration itself. The result is a stronger data outcome while fully addressing regulatory, governance and data sharing obligations and we are seeing overall p

rogram effort reduced by approximately 40%.

On the technology front, our strategic partnership ecosystem across the lines of Google, Microsoft, Databricks, Snowflake and Kong continue to play an important role in accelerating AI adoption and expanding the enterprise impact for our clients.

In summary, we're delivering strong momentum in our AI initiatives and our execution continues to earn strong external recognition. Persistent has been awarded as Emerging Leader in Gartner's Innovation Guide for GenAI Consulting, Leader in I SG Provider Lens for Generative AI and Leader in Everest Talent Readiness for Next -Gen Data Analytics and AI.

I would now invite Saurabh to take you through the key deal wins, awards and recognitions for the last quarter.

Saurabh Dwivedi: Thank you, Jaideep. I will first talk about key deal wins for the quarter by industry segments .

Starting with our Software Hi -Tech and Emerging Industries vertical :

- Persistent was selected by a leader in Next -Gen Manufacturing and Supply Chain Solutions for a 360 -degree partnership across engineering, Cloud operations, professional services and go -to-market collaboration. The strategic engagement involves SASVA -led scaled factory model for migrating end clients of the customer to Cloud - native ERP, ownership of AI -led engineering of the digital commerce product as well as transformation of its infrastructure and Cloud operations.

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- Persistent was chosen by an EdTech leader specializing in software and analytics for pre -kindergarten to high school education domain to transform its customer success and tech support organizations. We will help the customer enhance productivity of its support organization and deliver seamless data -driven customer experiences.

- Persistent was chosen by a global leader in materials purity and process control in the Semiconductor industry to modernize its R&D architecture. As part of this strategic engagement, we will deliver an end-to-end digital platform that will connect instruments, data and researchers working for the customer. This integrated platform will transition fragmented and bespoke R&D efforts to a cohesive strategy and streamlined architecture that will accelerate product creation and decision making. This is a first -of-its-kind strategic win in the materials science industry and will likely drive more opportunities in the broader semiconductor domain for Persistent.

Moving on to Banking , Financial services and Insurance .

- We were selected as a strategic partner by a leading global fintech and insurance firm following its recent acquisition of a major SMB payroll and HCM provider to modernize the acquired platforms.

Leveraging our proprietary SASVA and iAURA platforms, we will re - architect the payroll platform for easier maintenance, migrate HCM to Microsoft Azure for cost and performance optimization, build a secure and scalable app marketplace and deploy governance, automation and AI -led frameworks for productive insights.

- We were selected as a strategic partner by a leading French multinational banking and financial services company to accelerate data platform migration and modernization. The partnership spans across 3 major initiatives - building a global data factory, modernizing data operations with iAURA and standardizing and automating the documentation process. Persistent's expertise in data engineering and data modernization using the Databricks platform led to direct engagement with the customer bypassing a multi -vendor RFP.

- A Tier -I bank in the US selected Persistent to support their transformation program in its cybersecurity organization. The Persistent Systems Limited

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initiative drives an improvement in data provisioning for monitoring and adherence, data leakage prevention, and process optimization in the identity

and access management space across all of its enterprise applications. We are pleased to share that with this tier one banking customer, we won a total of \$100 million TCV deal this quarter, which included 25% new TCV component.

Moving next to our healthcare and life sciences vertical :

- Persistent was selected by a leading US -based professional organization for pathologists and laboratory professionals as an end - to-end technology partner to modernize and manage apps, data, cloud, infrastructure, and security. The benefits to the customer include automation of its information systems, support activities, reduction in technology debt, and gradual migration to 100% cloud native technologies. This is a \$50 million plus engagement over five years, and it's one of the largest deals that we have signed in the pathology and laboratory automation domain.

- Persistent was chosen by a global leader in kidney and vital organ therapy to modernize and manage its IT infrastructure, delivering 24/7 multilingual support to automation, predictive analytics, and self-healing systems. This is another example of our established playbook where we build and manage a modern IT infrastructure for businesses which get carved out in private equity transactions.

- Persistent was selected by a leading provider of patient support services, market access strategy, and data -driven analytics to life sciences and pharma companies to integrate its CRM systems and modernize its data platforms. This deal is unique as it marks our first significant win in the Salesforce Life Sciences Cloud domain. Now coming to the awards and recognitions we received during the quarter:

- Persistent was recognized by Microsoft as a Frontier Firm for its leadership and innovation, earning a featured spot on stage and in Microsoft's official look book.

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- Persistent was recognized by Kantar Brand Z as one of India's most valuable brands, ranking sixth in its category, a testament to the company's brand strength, performance, and business impact.

- Our leaders, Dr. Anand Deshpande and Sandeep Kalra, were jointly

recognized by Fortune India as India's best CEOs in the IT Services (Midcap) Category for 2025. Presented by Hon 'ble Minister Piyush Goyal, the award reflects disciplined execution and consistent ability to drive sustainable long -term value.

- Our CEO, Sandeep Kalra, won the Impactful Large Enterprises CEO Award at the ET Edge India's Impactful CEO Awards 2025.

- Persistent earned 2025 ISG Star of Excellence™ Award for AI and Data, with a CX score of 92, highlighting a strong client impact.

- Persistent was named a leader in 2025 ISG Provider Lens for Insurance Digital Engineering and Insurance Generative & Agentic AI Services, recognizing our AI -powered Insurance strength.

- Persistent was commended for building a future -ready, high -performing talent ecosystem and has received multiple awards by leading organizations such as Everest Group, SHRM, and TISS. The details of these awards are available in our investor presentation. With this, let me hand it back to Sandeep.

Sandeep Kalra Thank you, Saurabh.

Let me conclude our prepared remarks by saying we are happy with the consistent performance that we have been able to deliver in the quarter gone by, combined with our progress on the AI -led platform -driven strength .

Operator, with this, let's open the floor for questions.

Moderator Thank you, sir. We will now open the call for Q&A session. We will wait for a few minutes until the queue assembles. We request participants to restrict to two questions and then return to the queue for more questions. Please raise your hand on the participant tab on the screen to ask the question.

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The first question is from Mehta Bhavik.

Bhavik Mehta Hi, thank you

. So, a couple of questions. Firstly, Sandeep, can you talk about how the demand environment has changed in the last three months across different verticals?

And the second question is on margins. It's good to see the combination of using AI tools and people , is helping the margins to an extent. How much do you see from here in terms of margin tailwinds over the next 18 to 24 months?

Sandeep Kalra Yeah , we're going to look at your first part of it, the demand side of it. So, if we were to go vertical by vertical, the good part is that we saw in the last three to four months a significant amount of discussions on application and data modernization when it came to Healthcare Life Sciences or BFSI. We also saw in Healthcare Life Sciences a good amount of discussions on transformation programs in mid to large firms.

In hi -tech, we saw adoption of AI in terms of doing product development, related productivity. In terms of private equity, we saw further inroads into using AI to get end -to-end programs. And that's wh ere when Vinit talked about it, we were able to showcase our technology. Right from doing an assessment and going to the private equity firms as well as their portfolio firms that we can do things with much better productivity and long -range savings are significantly higher. Those are the kind of tailwinds that we saw. We were able to open many new logos and these logos, while we have won some very good deals, they have a good propensity over a period of time to grow with us. That's at a high level where we saw the demand environment.

Now, if you were to look at the margin side of it, obviously, when we are able to use our technology to deliver better productivity, we are able to monetize the platforms like S ASVA , iAURA , GenAI Hub, and that's what we saw having an impact on the market.

As far as the future is concerned, we don't give forward look ing guidance.

I'll just pause it there. Happy to take any other questions.

Bhavik Mehta That's helpful. Thank you.

Moderator Thank you. The next question is from Sandeep Shah.

Sandeep Shah Yeah, thanks. Thanks for the opportunity and congratulations on a very good set of numbers. Sir, I have two bookkeeping questions.

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So, if I look at the nature of the software license revenue growth, in this quarter it has gone up by 40% q-on-q. And if I strip out from the total revenue, the services revenue has gone up by 2.6%. So how to read this line of software license revenue growth?

And the second related question to Vinit sir, on the balance sheet, if I look at the intangible assets under development, it has been increasing.

So, it constitutes 1% of the revenue, but it has increased incrementally by 50 bps for the last two years. So, what is the nature of this capitalization on the balance sheet?

Sandeep Kalra So, Sandeep, I'll take the first question and I'll have Vinit answer the second question.

So as far as the software licenses are concerned, there are three different or at high level two different components. On one side, these are software licenses that are third-party software licenses, where if we are doing let's say cybersecurity related managed services or overall managed services, then we need certain licenses, which are getting passed through us with certain margins. That's first part of it. And they are important for us to stick together the technology stack that we take to market in order to win deals and so on.

The second part of it is where we have our own technology stack, whether it is iAura, Gen AI Hub, or SASVA, more and more, we are not pricing things in a way that we are taking these things as independent sales. These are integrated sales and the timing of the revenue recognition will depend on how these are priced. So overall, the combination that you see, if you see the 2.6% that you've quote

d on

services, I would want to say over a period of time, the IP and services will get clubbed together and these lines will blur.

Second part on the bookkeeping, if you can, Vinit.

Vinit Teredesai Yeah. So, Sandeep, in terms of the intangible assets that you're seeing on the balance sheet, as we called out that we have been heavily investing into developing new AI tools, productivity tools, SASVA platform, iAura, etc. As a result of that, you're seeing the increment that is happening on the intangible assets. I think so it has, they are now at a pretty good amount of maturity level whereby the growth in these intangibles will not be at the same level as what you have seen in the past. The good part is we are also being able to link and generate revenue out of it, which sort of justifies the capitalization that we are seeing at this point of time.

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Sandeep Shah Okay. Thanks. I will come in the follow-up.

Moderator Thank you. The next question is from Sucri Patil.

Sucrit Patil Congratulations to the team. Am I audible?

Moderator Yes.

Sucrit Patil Thank you. I have two questions. As Persistent continues to scale in data, cloud and digital engineering, what specific initiatives are being prioritized to deepen the client relationships and expand into new verticals? Over the next 12 to 18 months, how do you see the company positioning itself to sustain this growth momentum while navigating evolving labor and regulatory frameworks? That's my first question.

I'll ask my second question after this. Thank you.

Sandeep Kalra So, if you were to look at it, Sucri, the data, cloud, digital engineering, that's exactly where we are investing. So, if you look at our investments in building SASVA over the last, let's say 24 months plus, that basically is in the product development life cycle, so it's at a cusp of digital

engineering, whether it's new product development, whether it is taking over products, sustaining them at a better, effective productivity or doing even things like professional services, customer support, nine yards. Take to the enterprise that helps us in even doing application modernization, pre-engineering programs that were not possible earlier and so on. So, there's a significant amount of things that we are doing with SASVA there.

Similarly, on the data side, some of the work that we are doing with even Fortune 100 customers or Fortune 50 and even bigger customers is on the data side, where we are investing in building our components around iAURA. Jaideep talked about how we have used the technology to build even 200 plus agents that can help us in modernizing the landscape of a larger enterprise using these tools, taking them from legacy to modern kind of platforms and so on.

So, there's a significant amount of IP capability, case studies that we have, which we are taking to our top 100 customers. And if you look at our top 100 customers, they give us close to 82% of the revenue. And they are growing today at about 20% plus.

So, there's a significant amount of bringing all of this together, customer being at the center of it and adding more value there. And we are
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confident whether it's 12 to 18 months, this is an ongoing journey. We are confident this should lead to good growth as we move along.

Sucrit Patil Thank you. My second question is with EBIT margins resilient despite the one-time labor code impact, how are you planning to balance cost discipline with investments in talent and technologies? Could you outline how the company is approaching capital allocation to support both shareholder returns and long-term growth? Thank you.

Sandeep Kalra Yeah. So, if you were to look at it, the total shareholder return is a function of what we deliver as growth. And it leads to capital appreciation on one s

ide. On the other side, we have had a very healthy dividend payout ratio. So, if you look at even our current announcement that we have done last year, interim dividend, if I'm remembering it right, it was Rs. 20. Today it is 22, so it has also increased. So, from that perspective, our continued investment in talent leads to market share gains, leads to our ability to have both the capital appreciation as well as the dividend payout ratios and take care of our investors in the long run while delivering value to our customers and our employees.

Sucrit Patil Thank you for the guidance and I wish the entire team best of luck for next quarter.

Sandeep Kalra Thank you.

Moderator The next question is from NPN Puranik. Mr. Puranik, can you unmute yourself?

Okay, we'll move to the next question. The next question is from Nitin Padmanabhan.

Nitin Padmanabhan Hello, good evening. Wishing all of you a very happy new year and congrats on a solid quarter.

Sandeep, I need your advice or maybe better understanding on this. So, this quarter, there's a 150 bps improvement in margins because of tools and pricing, tool-driven pricing models. How should we think about this logically? Because, one, it's a big margin jump in a single quarter. Second thing is that, is this for a specific large project where there was a large accrual this quarter or because people normally would tend to sort of extrapolate this linearly. So, better sort of thought process, how should we think about this?

And the second thing is this obviously should have led to higher fixed price. We don't disclose that, but is that a fair understanding?

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And going forward, when you think about this, over a period of time,

we'll have competition who also build these tools and accelerators and stuff. So, at that point of time, do you think this gets sort of commoditized in some way and just comes off? Or should this be a sustainable kind of margin that it'll pull up? That was the first one. And the second one was for Vinit. This quarter, we announced 1.1 million sort of share that we are sort of issuing to the ESOP Trust. How should we think about the impact on margins as we get into next year from that specifically? These are the two questions. Thank you.

Sandeep Kalra Sure. So, Nitin, first of all, this 150 basis points increment that you're seeing, it's not on account of one deal. So, there are multiple deals that we have won using the SASVA side of it, iAURA side of it, GenAI Hub side of it. Certain things my colleague, Jaideep, covered when he talked about the AI part.

Now, if you look at these wins, some of these wins are scaling as we speak. And the way the business model in some of these things is when we are bringing our tool and IP, we are monetizing some amount upfront and some amount is basically through the productivity that get by deploying lesser number of people because we are using the technology. So, we have to monetize this technology because we are investing on the other side as well. The earlier question about intangibles, etc. alludes to that. So, we are trying to be prudent. On one side, we invest. On the other side, we harvest. So, that is the combination. Now, as far as competition is concerned, it will be a very healthy competition to have if everyone starts building tools, accelerators. It will also keep us on our toes. Today, we have a head start. And we believe with our continued investment, we should be able to manage our competitive differentiation. We are investing on an ongoing basis. So, we're happy to have more competition. But from our perspective, we have won significant deals. Those should fuel more deals, showcasing these deals with other customers.

Nitin Padmanabhan Do you think this sort of improves the 200 basis points that you originally thought of? Do you think this sort of g

ives a further leg up versus what you originally thought?

Sandeep Kalra So, look, there is only this much that we want to squeeze out of the system. We want to be able to reinvest to your point, making sure that we are ahead of the curve with respect to the technology progress in our competitive landscape. So, we are not aspiring now to take it another 200
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basis points up. We are happy where we are reaching. And I think we have proven to the world we can achieve the margins we have to. And we should put this to rest, make sure that we are a growth engine for the time being.

Nitin Padmanabhan Perfect. Thank you.

Vinit Teredesai And, Nitin, your other question with reference to the ESOP 1.1 million shares that have been allocated. This is a part and parcel of the stock options of the RSUs that have been granted in the past. And as a result of that, the cost that needs to come in as per the Black-Scholes valuation methodology is being factored in. We have called it out. These are not anything new substantial that we have granted recently. So, whatever we have said in the past, it was a cost that came in FY25. This is a reduction in cost that is happening in FY26. There will be a further reduction in cost that will happen in FY27.

Nitin Padmanabhan Perfect. Very helpful. Thank you so much and all the very best.

Moderator Thank you. The next question is from Abhishek Pathak.

Abhishek Pathak Yeah, hi. Am I audible?

Moderator Yes, please.

Abhishek Pathak Hi, Sandeep. Just a couple of questions. Firstly, the kind of tools or partnerships we are kind of showcasing in AI, it looks like our client base is slightly more mature in the sense that we're talking less about the foundational stuff and more about sort of AI implementation, which probably happens beyond the POC stage and beyond when the clients have already sorted their data and foundational limitations. So how is

that happening? I mean, is our client base just more mature or is the quality of the clients just that much more better? That's the first question.

And secondly, on margins, I guess it's a very interesting case because while you highlight 150 bps of margin improvement because of internal tools, the revenue per employee has kind of been a little bit flat over the last, let's say, 3-4 quarters. So how should we sort of reconcile these two numbers? And to that point, if at all the internal sort of tools kind of improve, let's say, going forward as well, is there more margin juice coming from higher revenue per employee going forward or no? So, I see Vinit smiling, but I hope the questions are slightly more relevant than that.

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Sandeep Kalra So, we'll just keep it high level. We have 10 minutes in the call, but we will answer it at a high level. The revenue per employee, if you were to factor out the impact of the one-time thing that you talked about, you will see a certain different thing than what you're seeing there. Now, obviously, the intent here is build better technology, leverage it to deliver more productivity per employee so that our revenue and headcount have a breakage from the linear correlation versus a traditional tech services world. We'll let it pan out. This is going to mature over a period of time, and I'm hopeful that it will move in the right direction.

Now, you talked about the client base, more mature, beyond POC stage. Look, in our industry, and if you look at our top 100 customers, they give us 82% of our revenue. We're trying to go deeper. We're trying to understand their business challenges better. We're trying to take our technology in the context of their business challenges, doing proof of concepts, sometimes even a number of these are proactive, and so on, proving to them that we have the technology that can solve for their business problems.

So, it is not about selling a model versus another model. It is about understanding what is the business issue that we're trying to solve for, what is the right tool to bring, whether it's our tool or a partnership, and as long as we can prove we are able to win the business.

And in one of the case studies that Jaideep highlighted, this is a fairly large European bank. They were struggling to solve for a particular problem for the last several months. We did a proof of concept, which was about three weeks. We could prove to them that we can solve it and it landed up in a pretty decent multi-year deal for us. So, it's not about mature customers or immature customers. It's about understanding, taking those things, working with them, hand-holding them into this. Abhishek Pathak Thanks, Sandeep. And if I may just squeeze in sort of one last question around the hi-tech vertical. Some of our larger peers have indicated that spends are currently kind of tied up in Cap ex and there's little room for sort of the services or the software stack of it. Looks like our hi-tech vertical seems to be kind of defying that particular trend. So, just again, just very curious what we are doing differently, what are we selling differently, where our hi-tech clients are kind of coming in and prioritizing the software stack in addition to the Cap ex sort of spends that they're obviously doing.

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Sandeep Kalra So, if you look at traditionally, where Persistent has played in the hi-tech market versus a number of our peers are playing in hi-tech market, number of our peers address what is the typical IT part of the hi-tech customer. We are at the core of the engine. We are in the product development and the related side of it, whether it is doing professional services, customer support, nine yards.

So, if you look at it, the technology that we are building, the business

model that we are taking, not just directly to the company, but also customizing it. If it is a private equity held company, what are they trying to solve for? If a private equity company is trying to carve out a smaller company from a bigger tech company, trying to stand up these guys as an independent company on one side, yeah, we can do the stand up of Greenfield IT and do managed services. But more importantly, how do we help them take the modern tool set from a product development perspective, accelerate their product development, squeeze out costs from their mature products and so on. So, our pitch is very, very different, very differentiated in the hi-tech space as compared to most of our competition.

Abhishek Pathak Got it. Thanks, and all the best.

Moderator Thank you. The next question is from Vibhor Singhal.

Vibhor Singhal Yeah, hi. Thanks for taking my question and congrats on a solid performance yet again. Just two questions from my side, one for Sandeep and one for Vin it.

Sandeep, just on the healthcare vertical, in the past you had mentioned that this year you anyways expect BFSI and hi-tech to lead the growth and it's playing out pretty much in the same manner. But how has the hi-tech vertical overall demand environment kind of played out over the past two quarters? The big beautiful bill, of course, is behind us in terms of how clients are looking to change their spend in this vertical. And more importantly, the payers and providers, where do you see a higher delta or a higher growth potential in the coming quarters? And then I'll have a follow-up for Vin it.

Sandeep Kalra So, Vibhor, you talked about hi-tech vertical. I'm assuming your question was on the healthcare vertical.

Vibhor Singhal Oh, I'm sorry. I meant the healthcare vertical.

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Sandeep Kalra That's fair. So, if you look at our healthcare vertical, we are very pleased with the way we have seen the de

mand shape up. Partly it is the market, and I would credit our team more than just the market dynamics for getting to the right audience, understanding their imperatives and the kind of wins that we have highlighted that Saurabh talked about. A number of them are new logos in addition to the expansion in the existing accounts as well.

Now, if you look at it, you talked about the payer-provider ecosystem. Actually, if you look at our wins, they are in the payer-provider tech side of the house, provider side of the house, pharma side of the house, and so on. So, it is fairly broad-based, and a number of them are forward-looking programs. So, it's pretty heartening, and I'm pretty hopeful healthcare should do well with time.

Vibhor Singhal Got it. That's really helpful, Sandeep.

Vinit, just one question. Just wanted to understand the accounting part of the 150 basis point margin expansion that we have reported because of the platforms and the pricing. How does this work? So, basically, the work that we did in this quarter, we have booked that benefit in this quarter, and next quarter we have again to decide, and this might be 100 basis point or 50 basis point or zero next quarter, or does it get built into the base, and that basically flows for the life of the project or till the next milestone is reached? How does this work?

Vinit Teredesai So, Vibhor, without getting into the details of specifics of what happens.

As we said, there is a combination of multiple deals that basically have a component of certain license and services. Sometimes there is a component of license that comes in, in terms of the revenue play, because that gets delivered and gets recognized. Sometimes it's over a period of the entire contract because it's not specifically identified. So, the commercial construct defines how we recognize the revenue. If there is a specific call out, the customer wants a license, it comes into it. If it is embedded as a part and parcel of our services, it happens over a period of time.

Sandeep Kalra Just to add to this, so just think about it. There are different kinds of

customers in the market. If there's a private equity customer who basically has done a new company from a carveout basis, and we are involved in engineering, they have a certain way that they want to do the upfront investment, etc. Our business model has to dovetail into what our customer wants. So, depending on that, the revenue recognition is Persistent Systems Limited

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also a form of what the customer wants, how we are implementing the technology, how it is embedded, whether it's an outcome-based, end-to-end, and so on. So, it varies.

Vibhor Singhal Right. So maybe just the last part to har p a bit more on this. So, this basically gets built into the base going forward. And hereafter, we could have more of such projects or some of these projects going out also. It can go either way in terms of the margin benefit for specific projects.

Sandeep Kalra Absolutely. Absolutely.

Vibhor Singhal Got it. Thank you so much.

Vinit Teredesai I will just add to that, our endeavor will be to have more and more such deals so that we get a revenue predictability over a period of time.

Vibhor Singhal Got it. Got it. Thanks a lot for taking my questions and wish you all the best.

Moderator Thank you. And the last question will be from Ravi Menon.

Ravi Menon Hi. Thanks for the opportunity. Congrats on a good quarter.

I had a question about this last deal that you mentioned for modernization of a bank. Can you explain what sort of productivity benefit that you're getting in this mainframe modernization? Is it like about 20 to 30%? I think you mentioned a number, but just wanted some clarity on that.

And second is on the platforms that you have for the cyber productivity, you put in GitHub, Copilot, Cursor, Windsurf, stuff like that. Are you

seeing your customers actually adopt multiple platforms or are people pretty much standardizing on using one platform? And what sort of productivity benefits are they seeing on their own without your IPs coming in?

Sandeep Kalra Sure. So, I'll try and keep it brief. We are at 6 :58. We have two minutes.

So as far as the productivity benefit for the mainframe modernization or I will just keep it at application modernization or platform modernization.

So, see, it's not just about how much effort, effort is one part of it. But there are a number of these programs where people were not able to reverse engineer manually the business logic of these platforms because these are built over the last 20 -30 years and people have gone ...it's very, very difficult. Using our platforms, we are able to get to 60 to 70% of reverse engineering of business logic, convert that to even an English Persistent Systems Limited

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document so that the business users can understand. And by doing this, we are able to get them off of legacy platforms, legacy technologies onto modern platforms, which are much more nimble, agile. Maybe there's a duplication of things that has happened over a period of time. The licensing cost goes down and there are many other things like regulatory ease of explanation and so on. And so, the benefits are far, far more than just a productivity gain.

Now on the second side of it, Cursor, Windsurf, Copilot. So many of our customers are adopting one. Some of the larger customers are adopting two or three as well. One of our largest FinTech customers is a big -time user of two of these platforms in conjunction with each other. And we are also a part of their ecosystem. So, it is their own team as well as us who are using these tools. And from a coding perspective, just the code part of the software development life cycle, people are able to get 20 to 25% benefit using these kinds of tools from the code part of it. Hopefully that answers.

Ravi Menon Thanks so much, Sandeep.

But since that's only just one part of the SDLC overall, is it fair to say that the productivity benefit is something that people should not worry about too much?

Sandeep Kalra Yeah, that's exactly where our platforms like SASVA come in. Because when we bring in S ASVA , we are talking of right from requirement gathering to grooming it into a technical kind of backlog to doing the implementation in terms of coding, release management, nine yards. And then even doing things like maintenance after that and so on. So , all these tools are very good, but they solve for a sliver of the entire software development lifecycle. And that leaves a lot of scope for people like us to develop our platforms. We may even integrate with these tools as a part of our platform.

Ravi Menon Thanks so much. Best of luck.

Sandeep Kalra So, with this, I think we should close the call. So just to summarize, we are confident of our progress on the technology side. We are happy with our performance that we delivered in this quarter and we are confident of continuing the growth momentum going ahead. Look forward to giving you an update in three months from now.

Thank you.

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Moderator Thank you very much to Persistent Management team. Ladies and gentlemen, on behalf of Persistent Systems Limited that concludes today's conference. Thank you for joining us and you may now disconnect your line and exit the webinar. Thank you.

(End of transcript)

Please note that this transcript has been edited for readability.

Call: Apr 2026

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"PERSISTENT SYSTEMS EARNINGS CONFERENCE CALL,
FOURTH QUARTER, FY26 ENDED MARCH 31, 2026"
6:00 PM IST, Tuesday, April 21, 2026

MANAGEMENT :

Dr. Anand Deshpande
Chairman and Managing Director

Mr. Sandeep Kalra
Executive Director and Chief Executive Officer

Mr. Vinit Teredesai
Executive Director and Chief Financial Officer

Mr. Nitish Shrivastava
Chief Technology Officer - Engineering Hyper -Productivity

Mr. Barath Narayanan
Executive Vice President – Global BFSI and Europe Geo Head

Mr. Saurabh Dwivedi
Corporate Vice President , Finance and Strategy

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Moderator: Ladies and gentlemen, good day and welcome to Persistent Systems
Earning Conference Call for the fourth quarter of FY26, ended March 31,
2026. We have with us on the call today ,

- Dr. Anand Deshpande - Chairman and Managing Director,
- Mr. Sandeep Kalra - Executive Director and Chief Executive Officer,
- Mr. Vinit Teredesai - Executive Director and Chief Financial Officer ,
- Mr. Nitish Shrivastava – Chief Technology Officer - Engineering Hyper -
Productivity,
- Mr. Barath Narayanan – Executive Vice President – Global BFSI and
Europe Geo Head, and
- Mr. Saurabh Dwivedi - Corporate Vice President , Finance and
Strategy.

Please note, all participants' line will be in listen -only mode and there will
be an opportunity for you to ask questions after management's opening
remarks. Should you need any assistance during the conference call,
please raise your hand from the 'Participant ' tab on the screen. While
asking questions, request you to please identify yourself and your
company. Please note, this conference is being recorded.

I now hand over the conference to Mr. Saurabh Dwivedi. Thank you and
over to you , Sir.

Saurabh Dwivedi: Thank you, Vandit. A very good day, good evening to all. We sincerely
appreciate your presence and participation in today's call. I will quickly

outline the agenda for today's call.

- Sandeep will begin with an overview of our results and commentary on the business .
 - Vinit will take you through the financial details and key operational metrics for this quarter.
 - Nitish, our CTO, Engineering Hyper -Productivity Business, will provide details on expansion of our AI capabilities and offerings in the quarter gone by.
 - Barath , our Head of B FSI Vertical and Europe Region, will take you through the details of our B FSI Vertical and our recent customer wins.
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- I will then provide an overview of our key deal wins and awards and recognitions for this quarter.
- Sandeep will then come back for a quick summary of the prepared remarks, post which we will open the conference for questions.

Let me also remind you that as part of our prepared remarks and during Q&A we may make certain statements which are forward -looking and may involve significant uncertainty. Persistent does not take any responsibility to update such forward looking statements and your discretion is warranted while making any investment decisions.

With this, let me hand over to Sandeep for his prepared remarks.

Sandeep Kalra: Thank you, Saurabh. Good evening, good morning and good afternoon to all the folks depending on where you are joining from. I hope all of you are doing well.

Let me start with a quick financial summary of the quarter gone by.

- We achieved a healthy revenue growth of 3.2% quarter -on-quarter and 16.2% year -on-year, delivering USD 436 million in Q4 FY26. This marks our 24th sequential quarter of revenue growth.
- In rupee terms, the growth for the quarter came in at 7.4% quarter -on-quarter and 25.1% year -on-year .
- In constant currency terms, the growth for the quarter was 3.4% quarter -on-quarter .
- The EBIT margin for the quarter came in at 16.3%, translating

to an

EBIT growth of 21.4% and 30.4% Q oQ and Y oY respectively.

- The Profit After Tax for the quarter came in at 13.1%, translating to a PAT growth of 20.4% Q oQ and 33.7% Y oY.

Coming to the full FY26.

- FY26 revenue came in at USD 1.65 billion, translating into 17.4% Y oY.
- In rupee terms, this translates to 23.5% YoY growth .
- The EBIT margin for FY26 came in at 15.6%, a 31.1% YoY growth.
- Profit After Tax for the full year came in at 12.6%, an increase of 33.2% YoY in absolute terms.

Vinit, our CFO , will provide a detailed color on the financials and margin movement later in this call.

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Coming to the order book for the quarter.

- The Total Contract Value for the quarter stood at USD 600.8 million, with Total Contract Value of the new bookings coming in at USD 428.9 million.
 - The Annual Contract Value of bookings for this quarter is USD 445.1 million, out of which Annual Contract Value from new bookings contributed to a healthy USD 272.7 million.
 - The Total Contract Value for the year came in at USD 2.4 billion, while the corresponding annual contract value came in at USD 1.8 billion.
- Given that 80% of our revenue comes from the US, we normally see peak renewals and hence overall bookings in the December quarter, which coincides with our customers' fiscal year. The sequential moderation in bookings this quarter is consistent with this normal seasonality seen in

prior years as well.

To remind everyone, both TCV and ACV numbers include all bookings, small and large, renewals as well as new bookings across existing and new customers. Also, as highlighted in our earlier calls, our revenue conversion on a quarterly basis is a function of AC V bookings closed in previous quarters as well as the conversion from multi -year deals booked in previous years, which are included in our Total Contract Value or TC V bookings that we announce on a quarterly basis.

Now , let me give you a color on our client movements across various reported categories.

- This quarter we witnessed healthy year -on-year growth among our various client buckets with our
- Top 5 customer revenue growing by 20.7%,
- Top 10 by 19.4%,
- Top 20 by 20 .0%,
- Top 50 by 20.9% and
- Top 100 by 19.5%.

Coming to the year -on-year movement of customers across various reported buckets .

- Customers with annual revenues greater than US\$75 million remained stable at 4 on a year -on-year basis.
 - Those with US\$50 million plus annual revenue remained stable at 4 .
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- US\$20 million plus increased from 10 to 12 .
- US\$10 million plus increased from 21 to 29.
- Those in US\$5 million plus category saw a significant increase from 55 to 62 over the last one year .
- The customers on US\$1 million plus category increased from 191 to 201.

This demonstrates our consistent success in cultivating deeper, more resilient partnerships with our customers over time.

Now , coming to the details of our performance across geographies.

- In terms of year -on-year growth this quarter in dollar terms, North America revenue grew by 17.4%, Europe grew by 12.3%, India by 4.2%, and the rest of the world grew by 41.4%, although on a smaller base.
- For the full year, North America grew 17.2%, Europe grew 26.7%, India 9.5%, and the rest of the world by 27.5%.

Coming to the industry s egment.

- This quarter's growth was led by Banking Financial Services vertical with 24.3% growth year -on-year followed by Healthcare , Life Sciences and Software , High -tech and Emerging verticals, which grew by 14.1% and 11.2% respectively on a year -on-year basis.
 - For the full year FY26, Banking Financial Se rvices vertical led the growth by 28.4% followed by High-tech and Emerging verticals, which grew by 13.8%, and Healthcare , Life sciences, which grew by 10.1%.
- Coming to an update on the interim divide

nd and the final dividend .

- I am pleased to share with you that the Board of Directors has recommended a final dividend of ■18 per share on face value of ■5 per share. This brings the total dividend for FY26 at ■40, including the interim dividend, and this compares to ■35 in FY25.
 - The dividend recommended by the Board is subject to approval at the ensuing Annual General Meeting.
- Coming to the AI updates .
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- In the quarter gone by we saw significant announcements on the AI roadmap by various ecosystem players such as Anthropic , OpenAI, NVIDIA, Microsoft, Google, Snowflake, Databricks and others.
- We do expect the pace of adoption in both the tech companies and

enterprises to accelerate significantly in the coming quarters, with tech companies leading the way.

- We are steadily making progress on our AI journey and as a part of our capability build and workforce transformation, we recently concluded our Persistent AI huddle in Pune. As a part of our huddle, 1700 plus of our team members, including business leaders, delivery heads, delivery partners, technical architects and senior engineers participated. During this event, we did a deep dive into our AI offerings across the three pillars of our AI-led platform approach - engineering hyperproductivity, business hyperproductivity and enterprise data readiness. All the participants underwent hands-on experience of executing end-to-end real-world use cases using various AI stacks such as OpenAI, Anthropic, Copilot, and SASVA.
- The end goal of the huddle was to strengthen execution for our expanded AI platform and offerings and enable GTM readiness across the organization.

My colleague Nitish will be detailing our overall progress on the AI front a little later in this call.

Further to a successful huddle, we are now conducting our annual flagship hackathon, Semicolons, involving our entire employee base. The focus of this would be on building AI-native solutions and to continue the momentum in bringing our workforce up to the latest in terms of the latest technology stacks and our platforms.

We also intend to host our AI Investor Day in early June timeframe at our offices in Pune to showcase our AI capabilities, our AI partnerships as well as some of the marquee customer case studies. We aim to make this Investor Day comprehensive for our investor community by including a hands-on AI hackathon involving our investors in collaboration with our technical and business teams. We are excited about the event and we look forward to active participation from our investor community.

Coming to other organizational updates.

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- I am pleased to share that we have further strengthened our leadership team with the addition of two leaders, Ruchi Kulhari and Hari Abhayankar.
- Ruchi joined us as an Executive Vice President, Enterprise Strategy and Execution. In her role, she will be partnering closely with me and our executive leadership team to drive critical priorities working across business units and functions to translate these priorities into clearly defined initiatives with measurable outcomes. She has a rich work experience working across firms such as Infosys, EXL, Unisys, etc.
- Hari joined us as Executive Vice President and Global Head of Private Equity and Professional Services spearheading our company's global strategy and growth across private equity investors, their portfolio companies and professional services organizations. Prior to joining us, Hari has spent significant time at McKinsey consulting with enterprise software companies.

With this, I would like to invite Vinit to provide more details on our financials. Vinit, over to you.

Vinit Teredesai: Thank you, Sandeep. Good evening and good day to all. Thank you for taking the time to join us today.

Let me now take you through the fi

nancial highlight for the quarter as well as for the full year gone by.

- Q4 FY26 revenue stood at USD 436 million, registering a year-on-year growth of 16.2%.
- In rupee terms, it translates into ₹40,559.4 million, a growth of 25.1% year-on-year.
- EBIT for this quarter was ₹6,591.6 million, translating to a growth of 30.5% year-on-year.
- EBIT margin for Q4 FY26 came in at 16.3%, a 70 basis point increase year-on-year.

I will now share the highlights for the full year FY26.

- Revenue came in at USD 1,654.4 million, a year -on-year growth of 17.4%.
 - In rupee terms, this translates to **■1,47,484.5** million, a growth of 23.5% year -on-year.
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- EBIT for FY26 was **■23,034.7** million, translating to a growth of 31.5% year -on-year.
- EBIT margin for FY26 came in at 15.6%, an improvement of 90 basis points year -on-year.

Let me now give you a quarter -on-quarter EBIT margin walkthrough.

In terms of headwinds,

- Increase in consulting and advisory expenses related to corporate development initiatives resulted in a margin impact of 60 basis points this quarter.
- Increase in sub -con cost expenses, purchase of software licenses and travel related to annual planning exercise cumulatively led to an impact of 70 basis points on our margins this quarter.

In terms of tailwinds,

- Q4 margins benefited by 220 basis points due to absence of one-time cost impact of the new wage code which was incurred in the previous quarter.
- Operational efficiencies resulted in an improvement of 40 basis points in margins.
- Favorable currency helped the margin by 60 basis points.

All these headwinds and tailwinds put together have resulted in an improvement of 190 basis points in our EBIT margin on a quarter -on-quarter basis.

- Other income , net of finance costs , stood at **■136.3** million as against **■153.5** million in Q3 of FY26. This dip is primarily on account of mark -to-market losses on our mutual fund investments .
 - We had a foreign exchange gain of **■11.9** million this quarter as against a loss of **■154.3** million in Q3 of FY26.
 - Effective tax rate for the quarter came in at 21.5% versus 22.2% last quarter.
 - Effective tax rate for FY26 stood at 22.6%.
 - Profit After Tax was at **■5,292.6** million, a growth of 33.7% year -on-year. This translates to a PAT margin of 13.1%.
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- Earnings Per Share was **■33.80** per share in Q4 of FY26 compared to **■28.20** per share in the previous quarter.
- Year -on-year growth in EPS was **■31.9%**.
- Excluding cash from capital employed, the Return on Capital Employed for Q4 FY26 came in at 45.2% versus 43.8% in the previous quarter.
- Total cash and investments stood at **■27,622.1** million as of 31st March , 2026.
- In this quarter, the billed DSO came in at 53 days while the unbilled DSO came in at 27 days. Billed DSO decreased by 4 days and unbilled DSO increased by 3 days compared to Q3 of FY26.
- OCF to PAT came in at 77% in Q4 of FY26 compared to 91% in the previous quarter. This decline in Operational Cash Flow to PAT was primarily on account of higher proportion of unbilled revenue in this quarter, which we expect to normalize in the next quarter.
- Additional delays in the receipt of tax refunds and annual payment towards insurance premium have contributed to this decline in OCF to PAT .
- For the full year FY26, our Operational Cash Flow to PAT came in at 93.6% compared to 82.6% for FY25.

- Forward contracts outstanding as of 31st March, 2026 were US D 500 million at an average rate of ₹90.70 per dollar.

Let me now give you some operational updates.

- At the end of Q4 of FY26, our total headcount stood at 27,502, an increase of 791 from the previous quarter.
- Utilization in this quarter remained flattish at 88%.
- Trailing 12 months attrition for this quarter came in at 13% compared to 13.5% in the previous quarter.

arter.

Coming to updates on ESG.

- Our ESG performance continues to translate into risk resilience, long-term value creation and strong external validation.
- We are positioned in the Top 10% of the S&P Sustainability Yearbook with a score of 86 out of 100.
- Our CDP Climate Change rating improved from B to A, placing us amongst the top 4% of the companies globally.

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- Further, we ranked 3rd overall and 2nd in the IT sector in the Business World's India's Most Sustainable Companies, reinforcing our sector leadership.

- In the Perpetual Capital Hurun India Impact 50 – 2026, we were ranked 13th, reflecting a measurable impact at scale.
- Notably, we achieved carbon neutrality 2 years ahead of target resulting in the Number 1 rank amongst the companies targeting carbon neutrality by 2030 and Number 3 amongst the sustainable software and services companies, a strong indicator of execution credibility rather than intent-based commitments.
- We were featured in the Dun & Bradstreet's India's Leading ESG Entities Report, strengthening our overall ESG risk and opportunity profile.

- On the social dimension, being named amongst the ET Edge Best Organization for Women 2026, reinforces talent sustainability, leadership depth and inclusion, critical factors for long-term performance in knowledge-led businesses.

- Collectively, these outcomes reflect a disciplined ESG strategy embedded into governance and operations, supporting business resilience, stakeholder trust and sustained shareholder value.

With this, let me now invite Nitish to share updates on our AI journey.

Nitish Shrivastava : Thank you, Vinit. Let me update you all on the progress of our AI journey as we continue to help our clients adopt and scale AI with measurable outcomes. As you know, our AI strategy is anchored on three key pillars - engineering hyperproductivity, business hyperproductivity and enterprise data readiness along with responsible AI.

- Engineering hyperproductivity is about embedding AI across the software development lifecycle so engineering teams can deliver faster, improve code quality and do more with less.
- Business hyper-productivity is about applying AI to automate and optimize business processes, workflows and decision-making across enterprise functions so organizations can drive efficiency and faster outcomes.
- Enterprise data readiness is about preparing an enterprise data foundation with the right structure, governance and accessibility so AI can deliver accurate, contextual and trusted outcomes at scale.

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Together, these three pillars define the path enterprises must take to realize the full value of AI. While AI can take enterprises a long way on their transformation journey, the true challenges lie in overcoming the last mile. Achieving this requires making AI-driven outcomes repeatable, transparent and governed at scale so that the success is sustained and trusted throughout the enterprise. Delivering enterprise AI value requires

contextualized intelligence and repeatable, reliable execution. This needs a structured approach across three enterprise -wide layers.

- The core foundation layer ensures a secure, governed, interoperable and cost -controlled foundation for enterprise AI operation. It is vital for scalability, compliance and trust.
 - The governed grounding layer contextualizes and provides reliable, traceable access to enterprise -wide data, processes, knowledge and history. It builds trusted enterprise memory with domain awareness, lineage, business rules and compliance.
 - The work orchestration layer coordinates and integrates people, agents, applications, resources and systems in process -driven workflows with clear control, accountability and governance.
- Our platforms, SAS VA, iA URA , and GenAI Hub bring all these things to

gether. Our methodologies and accelerators extend this into partners' ecosystem. This helps our customers realize AI value through a combination of our own IP and the best of what our partners offer. We continue to invest in our innovations to help our clients get the real values through their AI initiatives. We have filed over 120 patents and published research to strengthen the depth of our platforms and deliver enterprise -grade results.

In engineering hyperproductivity, SAS VA continues to be the central driver for our clients. Over the last several quarters we have seen progression from individual productivity to team intelligence and execution at enterprise scale through the SASVA platform bridging the last-mile gap of AI adoption. This approach is now repeatable across verticals converting enterprise technologies and AI assessment into a 90 - day actionable roadmap including for private equity due diligence and transformation at scale.

Let me share an example of where we were selected to transform the SDLC for a public safety system used by law enforcement. This client provides the law enforcement agencies and public officials with the Persistent Systems Limited

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technology and tools they need to manage local, state and federal offender registry processes effectively. SASVA brought organization context together from sources like code repositories, ticket communication channels and planning tools, used this engineering data to create purpose -built SLMs alongside Anthropic and unified agents and humans into a single execution loop. It mapped dependencies and risks, modernized the stack into a Cloud -native architecture without disrupting operation, embedded continuous security and privacy controls and accelerated engineering through governed releases and full observability. The result is a secure, scalable platform with continuous delivery and zero customer impact.

We also expanded SASVA to run as a native layer on the core foundation that integrates with partners' platforms like Claude, GitHub Copilot and OpenAI Code x. This gives clients more choice in their models and tool ecosystem while SASVA adds its enterprise value on top of any platform they select.

Building on our partnership with DigitalOcean, clients can now access Anthropic and OpenAI among other models and tools and build or consume agentic solutions through AI. They also get private Cloud and sovereign deployment options. All of this comes layered with our enterprise value on top.

On business hyperproductivity, we continue to reimagine end -to-end workflow as self -operating ecosystem of AI teams powered by our domain -driven reasoning engine and a robust core architecture that helps our customers achieve more accurate outcomes at production scale. We upgraded the GenAI Hub and Agent Studio with agent runtime, orchestration, evaluation and knowledge management abilities and expanded the Agent Processing Unit for agent collaboration. Our agent portfolio now exceeds 500 agents built inhouse and across partners' ecosystems including Google, Microsoft, Salesforce and NVIDIA.

Let me share an example. We are working with a leading pharma company focused on diabetes and metabolic disorders. We are helping them tackle a core challenge in early -stage drug discovery on how to unify fragmented clinical and research data and make it actionable using AI. The client wanted to move beyond siloed datasets and manual processes towards a predictive, AI -driven discovery model. We built a disease -specific knowledge graph from proprietary dataset creating a structured intelligence layer for downstream AI use cases within a fine - Persistent Systems Limited

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tuned, open -weight foundation model using clinical data to develop domain -specific LLMs for drug discovery. The solution now runs on Google Cloud Platform with Google's healthcare AI models like MedGem

a and TxGemma enabling scalable model training and experimentation. What makes this unique is the combination of deep domain data, hyperscaler native AI models and platform engineering. We are effectively moving from data aggregation to LLM -driven discovery workflows embedded directly into research and development. Let me highlight another example where we worked with a leading global pharmaceutical company to accelerate drug discovery and innovation. This is based on a joint solution that we built together with NVIDIA's BioNeMo toolkit. This solution empowers computational biology scientists to predict protein structure, generate novel molecules, design new proteins and simulate molecular interaction between target proteins and ligands. It is built on a core NVIDIA stack. It is contextualized by our deep expertise in protein structure and coordinated through plug -and-play microservices with industry -standard APIs. This enables rapid workflow customization and scalability.

Enterprise data readiness remains the single most important driver for scaled AI adoption. We expanded enterprise context, semantic layer and knowledge graph within iAURA to make enterprise data not just AI -available but AI -consumable. We industrialized modernization using agentic accelerator to mitigate legacy data stack into Cloud -native platform. This delivered real outcomes including modernizing thousands of reports with significant automation and establishing data lineage for regulatory alignment.

To share one example, a leading U.S. bank faced significant technical debt from multiple acquisitions with legacy systems reaching end -of-life and increasing risk exposure. Using our iAURA Migrate accelerators, we modernized their legacy BI and reporting landscape to Cloud -native platforms covering over 3,500 reports with more than 50% automation reducing risk and making the environment AI -ready.

In summary, our AI strategy has moved from foundational framework to platform -led execution and operating model that clients can adopt at scale. We continue to invest in deep research, in patent -backed innovation, in our platforms and in our partners' ecosystem while bridging the last mile of AI adoption and delivering measurable impact to our clients.

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With this, I would now ask Barath to take over to talk about our BFSI vertical details.

Barath Narayanan : Thank you, Nitish. Warm greetings to everyone participating in today's call. I am Barath Narayanan , I head BFSI vertical and Europe Region at Persistent. I will address three primary topics today in this call –

- Performance of BFSI vertical
- Key drivers of the market demand and
- Our execution strategy.

Coming to performance, BFSI vertical demonstrated a robust growth of 24.4% year -on-year from Q4 perspective with an annualized run rate of USD 600 million. With respect to full FY26 financial year, the revenue

growth came at 28.4% year -on-year, a result of expanding relationships with our existing customers and new client wins across North America, Europe and Australia. Our BFSI vertical depth is underpinned by a strong customer base that includes Top 4 out of 5 banks in the US as well as India, Top 3 out of 5 large global fintechs and Top 3 out of 5 brokerage, wealth managers and retirement service providers. Our growth in BFSI is attributable to our deliberate focus on three pillars of execution –

- First pillar is specialized sub -vertical, allowing us to focus on retail and commercial banks, capital markets, insurers, payment providers and fintechs.

- Second pillar is doubling down our investment on what we do the best , that is , product engineering, data modernization and cloud transformation.

- And the third pillar is sharper focus on top 30 existing clients and winning new strategic clients for future growth across the region.

Our strong engineering DNA,

deep domain knowledge in financial

services and AI platforms like SASVA, iAURA, GenAI Hub has created a differentiated positioning for us with our clients. We are increasingly being brought in as a credible challenger to Tier -1 outsourcing firms by our customers and prospects.

Now let me cover what we are observing as a broad theme across BFSI market segments and how we are engaging with clients to address them.

The BFSI sector is transforming to increase margins, strengthen operations and enhance capital efficiency. Clients are optimizing run costs by modernizing platforms like their core banking, policy

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administration and brokerage platforms with cloud native architectures.

Concurrently, upgrading enterprise data infrastructure has become a critical enabler for AI adoption, while facilitating the compliance mandate necessary to mitigate operational risk and navigate stringent regulatory frameworks like DORA, BCBS 239 and ESG reporting.

Capitalizing on this modernized foundation, the institutions are integrating traditional payments and digital assets via real time network, blockchain settlements and tokenized real -world assets, aiming to improve liquidity and minimize counterparty friction. We see real shift in the spend from business as usual programmes to transformation initiatives that are preparing the clients to adopt AI at enterprise level. We are involved in accelerating client's transformation journey in following areas:

- Improve time to market for new product rollout .

- Transform complex legacy landscape .

- End to end modernization of data .

- And reimagine customer experience.

There are 4 principal focus areas where we support our clients to realize their business growth. Let me share each one of them now.

- First one being AI led software engineering. The way software gets built is changing fundamentally. While Nitish called this out earlier, let me focus on sharing an example where we have adopted AI solutions to help our client. Earlier in the year, for a large US insurer operating decades -old COBOL -based policy administration platform supporting millions of policyholders, legacy infrastructure had become a significant barrier to modernisation. We applied AI augmented engineering approach to migrate the core policy life cycle directly onto Duck Creek, a leading insurance platform.

- The second focus area is associated with payments and digital assets.

Real time settlement has evolved from innovation initiative to competitive baseline. To give an example, for a large financial technology provider, enabling real time payments on the Federal Reserve's FedNow network, delivering a compliant production ready capability was a critical milestone. Towards this goal, Persistent designed and built a cloud native FedNow payment solution

supporting customer credit transfers and merchant disbursement use cases. The scope was to lead the programme end to end from system architecture through integration and certification readiness. On similar lines, we were selected by one of the largest banks in Nordic Persistent Systems Limited

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region to modernise its payments platform, implement regulatory changes and augment core transaction capabilities. We were chosen against established incumbent service providers owing to our strong payment's domain capability.

- The third focus area that I want to highlight in the data infrastructure : One common challenge most of the clients are facing across BFSI segment is modernising and improving quality of data prior to driving overall AI adoption for various business use cases. Underlying data remains the focal point in every client engagement. To share an example, for a large European bank, where hundreds of siloed systems were creating direct regulatory exposure across Basel, AML and KYC, we deployed iAURA, our Agentic AI solution for enterprise data management. The result delivered is documentation cycle reduced by roughly 70% with AI decoding and validating over 25,000 lines of legacy code.

- The fourth pillar of focus area is nonlinear cost transformation. Banking, capital markets and insurance clients are pursuing what we would describe as nonlinear cost transformation through digitization of business processes using Agentic solutions. The objective is not incremental efficiency, but fundamentally restructure end-to-end business processes. To give you an example, Persistent was selected by one of the largest life insurance providers in Australia to co-build its digital underwriting platform to replace fragmented manual insurance processes with fully digital workflow-driven system. The transformation focusses on automating underwriting, improving compliance and auditability, and enabling end-to-end customer and advisor journeys. The customer will benefit from significant efficiency gains, thereby reducing cost, accelerating policy issuance, and improving risk management in a regulated environment.

Now, let me close with a view of our execution strategy. Our strategy continues to stay anchored on 4 priorities.

- Embedding AI into existing engagements to drive customer satisfaction .
- Proactively solving high-value problems for our current clients .
- Winning strategic new relationships through our differentiated offerings .
- And continuing to build deep engineering and domain talent for our clients.

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We are committed to partnering with financial institutions as they navigate their modernization journey and deploying AI solutions. Our focus remains delivering tangible value during this pivotal period. With this, I will now hand over the proceedings to Saurabh.

Saurabh Dwivedi : Thank you, Barath. In the interest of time, I will be brief in mentioning one key customer case study from our hi-tech vertical, and I'll briefly cover the awards and recognitions as well. A lot of these details are mentioned in our investor deck, which is uploaded on our website. Persistent was selected by Japan-headquartered global B2B industrial technology leader as a long-term transformation partner to help shift from hardware-centric products to software-led platforms. The program

spans end-to-end engineering carve-out and offshore-led operations across SAP, IT, and data analytics. The benefit to the customer includes faster time to market through a scaled global engineering organization and reinvestment of productivity benefits into innovation and growth. This deal is special since it is more than \$50 million in TC V with a marquee net new customer and is one of the largest SAP services deals for us.

Coming to key awards and recognitions for the quarter. Persistent was named as the fastest-growing IT services brand globally in the 2026 Brand Finance IT Services 25 report. We received multiple recognitions from the Everest Group, including being named a leader in Everest Group Private Equity Services PEAK Matrix® Assessment 2026, as well as a leader in Everest Group Software Product Engineering PEAK Matrix® Assessment 2026.

We are proud to share two domain-specific solutions which we have co-innovated with our partners.

- First, leveraging the full-stack NVIDIA AI platform, they are empowering biopharma companies with production-grade, Agentic systems for molecular simulation and virtual screening.
- And second, with Databricks, we have launched Merchant Risk Management Solution to help financial institutions and payment providers gain real-time visibility across the merchant life cycle.

Lastly, our MD and Chairman, Dr. Anand Deshpande, received two Lifetime Achievement Awards during the quarter. The CNBC TV18 Award at the India Business Leaders Awards 2025 and at the STAR Awards 2026 Persistent Systems Limited

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event organized by Software Exports Association of Pune. With this, let me hand it back to Sandeep.

Sandeep Kalra: Operator, let's open for Q&A.

Moderator: Thank you so much. We will now open the call for Q&A session. We will wait for a few minutes until the queue assembles.

We request participants to restrict to 2 questions and then return to the queue for more questions. Please raise your hand from the participant tab on the screen and ask the question.

The first question is from Mehta Bhavik.

Bhavik Mehta: Hi, thank you. So, couple of questions. Firstly, Sandeep, can you talk about how are you seeing the demand environment currently versus, let's say, 3 months ago, given the headwinds from geopolitics as well as how enterprises are adopting to Generative AI. Any color on the demand environment will be useful.

And secondly, just from a next year perspective, you had this target of reaching \$2 billion by FY27 along with some margin expansion. So, are you sticking to that or do you want to make some changes to it given how the macro is playing out right now?

Sandeep Kalra : Yeah. So, as far as the macro is concerned, look, this war situation in the Middle East, there are two parts to it. One, it does not directly affect us from the Middle East perspective because we have zero to very little exposure in Middle East. But as far as the bigger thing is concerned, if it goes on for more time, then obviously, you know, it is an issue because oil prices remaining higher for long will have an impact on inflation, etc. But that will affect the entire sector, not just us. And within that, we are confident with our progress in AI, with the investments that we are doing, we'll continue to gain market share. But we will be cautiously optimistic as far as that is concerned.

In terms of your last question, and then I'll come back to the enterprises side, the \$2 billion by FY27, that's a run rate. We are marching towards it steadily. And again, look, if the macro goes in a different direction going ahead, we'll tackle it as it comes. But otherwise, the run rate wise, we are confident, we are marching towards it steadily and we'll get there plus minus a quarter at worst.

Now, as far as the enterprise adoption is concerned, my colleagues,

Nitish, as well as Barath, talked about the different case studies. Nitish
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talked about how we are taking it in the healthcare sector, in some cases, and in the engineering side where the tech companies, they are the fastest one to adopt. The demand that we are seeing from them in terms of AI-led software development lifecycle is the highest. Healthcare Life Sciences, BFSI, which are the other two segments for us, are regulated industries. It is picking up. Although I will say the POC or pilot to the enterprise-wide adoption, it is going slower than what would be there in a tech sector. So hopefully that answers.

Bhavik Mehta: Yeah, thank you.

Moderator: Thank you. The next question is from Abhishek Pathak.

Abhishek Pathak: Yeah, hi. Am I audible? Hello.

Sandeep Ka Ira: Yeah, you are audible. Please go ahead.

Abhishek Pathak: Yeah, yeah. Hi. Hi, Sandeep. Thanks for the opportunity. Sandeep, a couple of questions.

Firstly, on the top 5 accounts, they were just slightly soft this quarter. If you could just guide us which vertical sort of contributed to the softness amongst the top 5 clients and sort of what's the outlook, whether it's BFSI or healthcare or hi-tech, that would be quite helpful?

And the second question, just a clarification on the 2 billion run rate. So essentially, we are talking about a quarterly annualized rate and not necessarily FY'27, \$2 billion in revenues. Is that correct?

Sandeep Kalra : Correct. So, on the last part, FY'27, Q4 exit is where we are looking at the run rate being in the range of \$500 million or so.

And now coming to your

other question in terms of the top 5 accounts, our top 5 accounts have 2 financial services accounts, 1 tech, 1 healthcare life sciences. Now, obviously, you know, these accounts have been ramping up fairly nicely for the last several quarters, if I may say several years. Now, when you do larger deals, when you work with larger customers, you also promise them cost savings. And as a part of that, there is offshoring that we do over a period of time. So, I would not be reading anything much into it. And from a company perspective, we have fairly strong relationships with each of these and they have scaled very nicely. So, nothing to worry about.

Abhishek Pathak: Understood, Sandeep. And just lastly, wanted to get your thoughts on Salesforce Headless 360. Considering we are actually quite tied with Persistent Systems Limited

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Salesforce, they've kind of come up with this whole sort of Headless 360 framework where the API is the interface, right? Just trying to understand how are we looking at this? And does this kind of mean that over the long-term value accrues away from, let's say, system integrators or IT services companies towards just the OEMs? Or is there a different perspective which allows us to retain some value in this whole Agentica era as well?

Sandeep Kalra : Yeah, so I'll be short given we have only 15 minutes in this call. But if you look at the overall situation, the Headless 360, while it gives the customers the options to use the agents from anywhere through the APIs and so on, it also increases the work. And not every customer is that tech savvy to be able to take advantage of these without having the help from an S I. So, we are pretty closely working with Salesforce. We look forward to the increased time because of that as well, in the current installed base and in the newer customers as well. But happy to have an offline conversation to go into much more details.

Abhishek Pathak: Thank you so much, Sandeep. All the best.

Moderator: Thank you. The next question is from Prateek Maheshwari.

Prateek Maheshwari: Hi, Sandeep. Thank you for the opportunity. So, again, my question is regarding the verticals.

So just on your healthcare vertical, this quarter it's grown very strongly

quarter on quarter. But see, some of your larger peers have seen some weakness, especially in their top payor accounts. And so just wanted to understand some of that exposure is also to you guys. I just wanted to understand if you guys would have seen any of such business reductions or is there any risk going on ahead?

Sandeep Kalra : So, look we play in the same ecosystem and some of our larger customers are where we share the customers with a few other strategic Tier ones as well. Now, as far as we are concerned, we have been able to grow in the same set of accounts despite the headwinds that all of us have faced. And so, to that extent, you know, that also shows the strength of the offering, the strength of the relationship. I won't read too much into that from our perspective.

Prateek Maheshwari: Okay. And just the second question was on just your Geo outlook. This quarter, we have seen India growing very strongly, probably North America grew at the company growth rate. But Europe we had seen Persistent Systems Limited

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decline for the last 2 quarters. So just if you could share your thoughts right now, what you're looking at?

Sandeep Kalra : Yeah. The India part is an aberration. The thing that happened there is one of our IT customers in our erstwhile Accelerite business, the renewal happened in rupee (INR) terms through their GCC. So that basically had to be since it was billed in GCC and rupee (INR) terms that had to be classified as India revenue. Otherwise, the North America revenue would have been even higher and the India revenue would not be where it is. So, nothing, nothing to read there in terms of an

India. The thing is that it will get corrected in the next quarter and we will see it. As far as Europe is concerned, that's an area where we want to double down. And there are some customer puts and takes that happen. And that is what it is. So that was a decline of 1.8% sequentially. But the India part and the North America part are adjustments.

Prateek Maheshwari: Okay. Thank you so much.

Moderator: Thank you. The next question is from Girish Pai.

Girish Pai: Yeah. Am I audible?

Sandeep Kalra : Yes, please.

Girish Pai: Yeah. Thanks for the opportunity. So, PE channel has been one critical channel for you. What is the company's exposure to this channel? Now, with all this talk of SaaS apocalypse, how does this impact demand outlook from this channel for FY'27 and beyond? That's my first question.

Sandeep Kalra : Yeah. So, the company exposure to PE and again, you know, PE channel gets the business in some cases. And the other part which we classify in PE is the customer is owned by it. And the fact is that there are more PE owned companies in the US today than public companies. And if you look historically, especially in the enterprise software space, in the last 4 or 5 years, many companies have been taken from public to private by private equity. So that doesn't mean that they are small or they are financially weak or anything like that.

Now, as far as SaaS -pocalypse is concerned, there is, that's an opportunity for people like us. If we can partner with the PEs and their portfolio companies and improve their margins by using our platforms like SASVA, whether we use our open source LLMs tuned by us or we use Anthropic's of this world and otherwise, it's a very big opportunity. And that's the reason we have invested in bringing a senior leader to lead that Persistent Systems Limited

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who has dealt with enterprise software at scale in the past. So, we are actually looking at this as a positive for us, helping our customers reduce cost while delivering more and using technology to do that. Lesser of headcount, more of technology. So that's where it is. And in our mind is a good growth market for us.

Girish Pai: My second and last question, how much was the license fee booked in

the 4th quarter and how much has been the incremental capitalization of spending on building platforms in the current quarter, in the 4th quarter of FY'26? This is a question for Vinit.

Vinit Teredesai: Yeah. So, license fee, we have called, we don't specifically call it out, you know, in terms of because it is a combination of both our own internal IP as well as the external IP that has been routed as part of the larger services contract. So, but we can tell you that our own developed IP does definitely get a lot of attention and momentum in terms of the benefits that it provides to our client. So, it is definitely on track. And as far as the intangible sort of spend that we do on an annual basis, it's in the range of around \$8 to \$9 million a year.

Girish Pai: Okay. Thank you.

Moderator: Thank you. The next question is from Kumar Rakesh.

Kumar Rakesh: Hi. Good evening. And thank you for taking my question.

Sandeep, my first question was on the revenue mix or revenue model for your billing to clients. I understand it would be a combination of your own IP SASVA platform and other platforms, some of the third -party platforms and the employees. How does the mix between our own platform and third -party platform moves quarter on quarter? The reason I'm asking this is that for the last couple of years, we hadn't seen much of seasonality in the revenue growth of the company. But should we expect, given the base where we have reached, that there could be some seasonality which may start coming in, especially when I'm looking at third party software in this quarter was higher than the last quarter. And should we start preparing for some of the seasonali

ty, especially how the mix between third party platform and our platform moves from one quarter to another?

Sandeep Kalra : Yeah. So, look, you know, Persistent historically, our seasonality was also due to some of the outcome -based pricing that we had with one of our top customers. And that top customer today, from that perspective, has come down in percentage revenue and we work very hard to get out of Persistent Systems Limited

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that seasonality. Now, as far as the forward -looking things are concerned, whether it is SASVA or our other IP like iAURA, GenAI Hub or using, let's say, an Anthropic under the hood for delivering programmes or Open AI or something else, you know, those will be part of services engagement. So, we do not expect much of a seasonality because of that. It will be basically a part of our scaling up the AI initiative. So, I wouldn't read too much into this.

Kumar Rakesh: Got that. And from the third -party platform, which you referred to, say from Anthropic, if we start using some of their platform, how does that changes our growth profile and more importantly, the margin profile for the business? Are we largely neutral from that perspective or we are confident that our own platform would be good enough and that mix doesn't dramatically changes between own platform versus third party platform?

Sandeep Kalra : Yeah. So, see, the reason you have your own platform and you partner with third parties and adopt the third -party platforms, whether for software development lifecycle, that could be Anthropic, that could be an OpenAI (Codex), that could be Gemini, that could be Copilot, etc., etc. It's to basically work with customers who choose these platforms. And we as a software services or tech services provider have to be able to offer those choices, work with customers who have already invested or have other reasons for using these platforms. So, from that perspective, if we get a free hand, we work with, let's say, an enterprise software company, we are allowed to use whatever we use. We may use open source. In other cases, we may use these. We pay for the tokens for what we consume. At times, they may be given by the customers. At times, we may be paying for that. Depends on what the business model is. And most of these things should be margin neutral or accretive because if we use technology, we should be able to do more work with lesser people and more technology. That's the entire promise of AI. And with that, it

should not be margin decreative. So, don't worry about the margin going down. It will be the same or better as we use more of this technology to deliver to others.

Kumar Rakesh: Got it. Thank you.

Moderator: Thank you. The next question is from Nitin Padmanabhan.

Nitin Padmanabhan: Hi, good evening.

Moderator: Hi, Nitin.

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Nitin Padmanabhan: Yeah, yeah. Good evening. Thank you for the opportunity. Two questions.

So one is, I think last year, as we entered the year, we basically called out that growth will be led by BFSI, followed by hi-tech, followed by healthcare. How are you seeing the shape of growth as we get into the next year?

The second is, when we look at the OPD business overall, considering SDLC has come down, the life cycles have come down, how should we think about cannibalization rates there and what are the nuances and how are you thinking about that?

Sandeep Kalra : So as far as the next year is concerned, the pecking order would be between healthcare life sciences and BFSI at the top. One of these two, they are very close neck to neck from what we see today and things can change. But the other one will be.... so, between one and two will be healthcare life sciences, BFSI followed by tech. And again, this is what we see today. This is no guidance, etc. Please don't read too much into it. We don't give forward looking guidance. This is

just directionally what we are seeing.

Now, the OPD part, it's an interesting play. The best part here is we are pretty strong in tech and tech is the one which is adopting these technologies because they are also creators of these technologies. And they are not regulated, so they are more amenable to taking these into production and so on. And the learnings from there should be very, very valuable for us.

We may see compression in the tech world. And even if that happens to the extent that we will also go and cannibalize our own business, there's enough and more business that is there from a time perspective and we are a very, very small company. At \$1.7 billion, roughly we are very, very small in this and there is enough new outsourcing that may happen from these tech companies. And much more than that, there will be market share rotation between people and hopefully we'll be leading the pack.

Nitin Padmanabhan: So just quickly. So, in your experience, while these are very early adopters, despite the fact that there's a cannibalization on the SDLC side, you're still seeing a higher net. Is that your experience?

Sandeep Kalra : So, look, I don't want to give you forward-looking guidance. All I can say is...

Nitin Padmanabhan: No, no. So far.

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Sandeep Kalra : Yeah. So far. So far, yes. We have been able to deliver more value and get more in return.

Nitin Padmanabhan: Got it.

Sandeep Kalra : But there may be a time when tech for a quarter, 2, 3., and I'm not sure how this will pan out because Anthropic and other people announced so many things so fast. And these are really powerful tools in our hands today. So, it may happen that tech may be compressed. But again, you know, with that compression, if we are able to win more business, given that we are very closely working with many of them, we should be able to come up perhaps. But I don't want to give you any forward-looking guidance more than that.

Nitin Padmanabhan: No, that's fair. Thank you so much and all the best.

Moderator: Thank you. The last question is from the Vibhor Singhal.

Vibhor Singhal: Yeah. Hi. Thanks for taking my question. And congrats on a great quarter

yet again to the team. Sandeep and Vinit just one quick question from each of you.

Sandeep, from a growth point of view, if I look at FY'26, we probably had 3 challenges this year in terms of a weak US macro, the tariff uncertainty as well as GenAI. Now, standing as we are, when FY'27 is about to start, I think there is an additional overhang of the war that we are seeing at this point of time. So how are we looking at FY'27 versus FY'26? Are there more challenges than we had probably seen last year? Or some of the headwinds that we had seen, let's say, in terms of US macro being weak or the GenAI deflation, those have kind of come down to be able to maybe, let's say, give us some headroom to expand this year.

And Vinit, a quick question on the margins front.

The margins that we have delivered for this year at around 15.6%. Going forward, do we feel comfortable with the earlier margin guidance that we had said that we will probably look at around 16% margins itself? And over and beyond that, how are we looking at the trajectory from a next 2 - year point of view, not just the quarterly, but next 2 years, how are we looking at that directionally in terms of margins?

Sandeep Kalra : So, from a market perspective, these things like the war, etc., are not in our control. But one hopes that these things settle down soon. And that is good for everyone. And hopefully, this overhang should be behind us in the next few weeks, if things go right from whatever we see in the
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market. Now, the rest of the things, look, last 5, 6 years or more, we have seen COVID. We have seen bad macro, good macro, and so on. And we as a company have always tried

to build capabilities and be closer to our customers to be able to sail through this in a decent manner. From what we see today, we should be able to have a decent growth in the coming year. We are building and investing in capabilities on the AI front and otherwise. We are working very closely with partners, whether it is the NVIDIAs of this world, whether it is the Anthopics, Open AIs, and the partners that matter in the data space like Databricks, Snowflakes, and so on. So, from that perspective, heads down, building capabilities, differentiated, respected in the market, and hopeful that the growth journey will continue with it.

Vinit Teredesai: Yeah. So, Vibhor we have called out our margin trajectory. I think so, right now, we have achieved whatever we had said. Again, that is not a guidance, it's an aspiration. Our aspiration continues to be in the 16 to 17% range. But remember in this environment our first priority is growth, our first priority is investing back into business and developing capabilities. That's more important. On the way if we can maintain or improve our margins, we will do that.

Vibhor Singhal: Got it, got it. Thank you so much for taking my questions and wish you all the best.

Sandeep Kalra : With that , we will end the call with a message that the obvious thing is with all these technology changes there is an excitement in the market. And hopefully we will build the relevant capabilities and keep the growth going . Thank you.

Moderator: Thank you very much to Persistent management team. Ladies and gentlemen on behalf of Persistent Systems Limited that concludes today 's conference. Thank you for joining us and you may now disconnect your line and exit the webinar.

(End of transcript)

Please note that this transcript has been edited for readability.

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Persistent Systems Limited, Bhageerath, 402 Senapati Bapat Road, Pune 411 016, Maharashtra, India
CIN - L72300PN1990PLC 056696
Tel: +91 (20) 6703 5555 | Fax - +91 (20) 6703 6003 | E-mail - info@persistent.com | Website - www.persistent.com

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The Manager,
Corporate Services,
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex, Bandra (E),
Mumbai 400 051

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Mumbai 400 001

Ref: Scrip Code: 533179

Dear Sir/Madam,

Sub.: Transcript of investor/analyst call held on Sunday , June 28, 2026
Ref.: Our earlier intimation under Ref. No. NSE & BSE / 2026 -27 / 070 dated June 28, 2026

In continuation to the above -referred intimation and pursuant to Regulation 30 read with Schedule III (Para A) (15) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we wish to submit the transcript of the investor/analyst call held on Sunday, June 28, 2026 .

The transcript of the investor/analyst call is also made available on the Company's website as follows:

Investor/Analyst Call Transcript

Please acknowledge the receipt.

Thanking you,

Yours sincerely,
For Persistent Systems Limited

Amit Atre
Company Secretary
ICSI Membership No.: ACS 20507

Encl.: As above
Persistent Systems Limited

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"PERSISTENT SYSTEMS - CONFERENCE CALL JUNE 28,
2026"
11:30 AM IST,
Sunday, June 28, 2026

MANAGEMENT :

Dr. Anand Deshpande
Chairman and Managing Director

Mr. Sandeep Kalra
Executive Director and Chief Executive Officer

Mr. Vinit Teredesai
Executive Director and Chief Financial Officer

Mr. Saurabh Dwivedi
Corporate Vice President , Finance and Strategy

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Moderator: Ladies and gentlemen, good day and welcome to Persistent Systems Conference Call . We have with us today on the call –

Dr. Anand Deshpande - Chairman and Managing Director

Mr. Sandeep Kalra - Executive Director and Chief Executive Officer

Mr. Vinit Teredesai - Executive Director and Chief Financial Officer

Mr. Saurabh Dwivedi - Corporate Vice President , Finance and Strategy.

Please note, all participants' line will be in 'listen -only ' mode and there will be an opportunity for you to ask questions after management's opening remarks. Should you need any assistance during the conference call, please raise your hand from the 'Participant ' tab on the screen.

While asking questions, request you to please identify yourself and your company. Please note, this conference is being recorded.

I now hand over the conference to Mr. Saurabh Dwivedi. Thank you and over to you , Sir.

Sandeep Kalra: Good morning, good afternoon, good evening to everyone. This is Sandeep Kalra joining from Munich along with my colleagues , Saurabh and Vinit, and we are here to share with you an exciting news about a potential acquisition that we have announced and which is a combination of Persistent and Nagarro to form an AI-led digital engineering powerhouse.

Before I start , I'll hand over to Anand for his initial comments.

Anand Deshpande : Yes. Thank you, Sandeep. Welcome to all of you for being here on a Sunday morning. We are very excited to announce a major step in the life of Persistent, a company we started about 36 years back , and we are very delighted to announce this great partnership with Nagarro . As you will observe and look at the rest of the slides today and know about Nagarro , it seems like this partnership was made in heaven. We are so aligned in terms of our thinking, in terms of how we look at customers, our employees, our culture an

d our engineering DNA that we couldn't have chosen a better partner in this journey as we move ahead.

This partnership would be very valuable to all our customers who will see a scaled partner who is able to deliver globally across in various areas of interest, especially AI and the new technologies that are coming up. All the employees should see a very good advantage of having a similar company with scale across the world and the ability to work together as an engineering team at scale. The partners should see also a similar benefit. I'm very delighted to say that the shareholders also should see
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benefit in this arrangement and the agreement that we have for the group. All the Nagarro shareholders will see an immediate return on their share price. And also, I believe that as we build a scalable and a scaled company over the next few years, Persistent shareholders will also see long-term benefits of being invested in a partner who is at scale, up with new technologies and has global presence and customers across the world.

I must complete the fact that we have also found similar alignment in terms of our commitment to environment, society and some of the community work that we do at Persistent and we have seen similar trends with Nagarro. So, we're looking forward to being a very, sort of, globally leading group which would be useful and beneficial to all stakeholders.

I'll stop here and I think let's get to the point and if there are questions we'll take more.

Sandeep Kalra : Thank you, Anand. And as you would have also noticed, we had another announcement that we did over the weekend. This is regarding a strategic, long-term agreement that we have signed with an existing global technology leader headquartered in the US, an existing big customer for us. So, let me first start with that announcement and the implication for us and then I'll dig deeper into the Nagarro transaction that we have announced.

So, from this deal perspective, this is a net new deal which will add roughly about \$125 million plus on an annual basis and overall for the period of the contract it will be roughly about \$650 million plus over 6.5 years. This is a true testimony to the relationship and to what we have delivered for this customer over the years. It talks about our engineering prowess, the deep domain expertise and the belief that using AI we would be able to deliver even better in the years to come. This, in our investors' mind, should cement the growth that we have seen in Persistent for the last several years and should continue our 24 quarter streak of growth for times to come.

With this, I will move on to the other announcement that we have which is in line with our stated M&A strategy. You would have heard us whether it is me, Vinod, Anand, Saurabh or others talk about our M&A strategy clearly stating if we were to do a scaled acquisition that would be aimed at expanding our footprint in Europe. That has been an ambition for us for times, in the last several years, and today is an exciting part of the Persistent Systems Limited

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journey where we have sincerely found a partner which is very, very complimentary to us. This is not a consolidation play. This is an expansion play for us bringing together, as Anand rightly pointed out, people, capabilities, markets which are all complimentary to us and very much aligned to the direction in which we want to take our company and make a company to last for many, many decades to come.

Now, in terms of the combination, what does this combination mean for us? We are calling it the Persistent-Nagarro group

p. The two companies

have very strong brand name in respective markets. Bringing the group together, we will be 46,000 + team members globally spread across 40 + countries. It will be a 2.9 billion dollar + powerhouse focused on forward-looking technologies and will also have an addition of complimentary verticals, capabilities, provide career path to our joint employees and the transaction, as you will hear later in this presentation, is very accretive to both the shareholders, the existing shareholders of the Nagarro group and the existing shareholders of Persistent. We will talk about how we intend to create disproportionate value for our shareholders in line with what we have done in the past.

Now, just to go over the strategic priorities that we have set for Persistent over the years. We have always said we want to be the best technology services firm, not a general purpose IT services firm, a technology services firm with forward-looking capabilities whether it was

digital engineering , Cloud in the past and now AI in the current times and for the times to come , building on the tenets of the digital side that we had. We have always said we will go deeper and broader into the service lines, add to the verticals as we go along but first go deeper into the existing verticals, expand in Europe and also from a near shore perspective have European delivery presence . And we will talk about how with this announcement we tick off each one of these boxes and even more with the combination coming through.

Now, let me talk a little bit more in detail on all this. For all of us, just to refresh who we are as Persistent and for some of the Nagarro shareholders who may be joining this call today, -

- Persistent today is roughly a \$1.654 billion entity from a FY26 perspective.
- From a run rate perspective , we are more than \$1.7 billion.

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- We are focused on AI -led, platform -driven digital engineering. We have grown very well over the last several years whether it is from the time we went IPO.
- We have grown at about 17 %+ CAGR , Compounded Annual Growth Rate, and for the last 5 years we are happy to say we are among the top as far as the growth is concerned in our industry.
- We have grown at roughly about 23.9 % for the last 5 years from a compounded annual growth rate perspective .
- And while we have done that , we have meaningfully expanded our margins. Today , our margins stand at roughly 15.6 % and the PAT margin stands at about 12.6 % .
- Being a public company the market cap is another indicator of the confidence of the capital markets. Today , we stand at about \$8.1 billion in terms of market cap.
- All of this is backed up by 27,500 of our team members across 21 countries.
- Predominantly if you look at it, and this is again a thing that we will talk about how it is relevant in the current context, significant amount of our revenue comes from the US/North America - roughly 81% +. Europe has been roughly about 8% -8.5% of our revenues .
- And even in terms of our team members , roughly about 3,000 of us are in North America and 300 + are in Europe , 200+ are in the rest of the world.

Now , if we look at similar footprint , if I were to go ahead , -

- Nagarro today is roughly a billion Euro organization which translates into roughly \$1.14 billion from a Trailing 12 -month perspective.
- They have grown very well if we look at the 5-year revenue CAGR, which is 18.4 %.
- The revenue growth in constant currency has been decent for the last 3 years but has taken a small hit compared to what they've done over the last 5 years.
- Now, if we were to look at their margins , they are today at 13.9 % in terms of EBITDA margins.

This is f

or the Persistent shareholders so that they understand what we are, kind of , integrating into Persistent going ahead. Nagarro is headquartered out of Munich , Germany. They have a very seasoned Persistent Systems Limited

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management board. The founders Manas and Vikram have been with the organization from the beginning. They are complemented by Annette who has been there in the organization for 6 plus years and Prateek Aggarwal who has been a seasoned CFO from an Indian listed perspective. He recently joined their management board. Roughly 18,500 professionals, so while they're heavily focused on Europe and significant part of their revenues come from Europe , culturally , and this is a very

important point because usually the biggest challenge in any kind of merger and acquisition is the integration part. So, while they are a European headquartered, European revenue focused company they have a fairly good cultural mix between India-Europe corridor and the rest of the world. 13,500 of the team members in Nagarro today reside in India, 1,500+ reside in the rest of the world. So, from a cultural perspective they are already a very heterogeneous company into a homogeneous Nagarro.

So, from that perspective we believe we have found the right fit because even from an integration perspective it would be an easier integration than having a pure play, onshore European kind of an organization. Here the founders come from a different origin, management is diverse, people are diverse. Having said that, they understand how to live well culturally with each other and that's one of the biggest reasons why we were in addition to the customer base, in addition to the technology progress very enthusiastic about this combination.

Now, if we look at it from an overall perspective, the partnerships that they have, the partnerships like SAP where they do work with SAP, both on the product engineering for SAP including some of the forward-looking work that we may talk about as we go along, and they are a very key implementation partner for SAP whereas our ERP progress is not necessarily at scale. So, these kind of additions are fairly important for us. Similarly, from an OpenAI perspective, they are one of the few organizations which are accredited resellers to OpenAI and they have a forward deployed engineering practice around OpenAI. So, from that perspective as well whether it is capabilities on ERP, which are important if you are trying to do end-to-end kind of transformation, and the complementarity that you will see in the next few slides, there is significant value in this. And just to reinforce one more time, this is not a cost consolidation, this is not a consolidation of management but this is complementarity and there's enough and more for every one of us to do globally in this merger.

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Now, from a perspective of overall statistics. We talked about this before, \$2.9 billion, 40 plus countries, 46,000 plus team members. And if you look at the quote below, from Parag Natarajan, who's the CEO and Co-founder of Zinnov, a well-respected firm in our marketplace, even people like him see this as a fairly rare combination, purpose-built for the future and something that can be built to last and can deliver significant value to customers, employees and shareholders.

Now, let's dig deeper into some of the statistics and why we are so excited about this combination. So, if you look at Persistent in North America, as I said before, we have a dominant market share as far as our own revenues are concerned. Coming from North America is roughly about 81%+, in terms of employee footprint we

are 3,100+ of our team

members there. Whereas if you look at Nagarro, Nagarro is only 35% of their revenues in North America and roughly 500 of the team members there. And now if you look at the combination, similarly I could go through Europe and so on, but the fact is, today, if we combine these two organizations, North America for the combined organization becomes 62%, Europe becomes 22%, Rest of the world, which includes places like Australia, Singapore, Japan, Israel and others, become roughly about 16%. So, not only do we get revenue diversification but we get talent diversification, we get scaled near shore centers in Europe from this acquisition/merger. And we also, if you look at the vertical side of the house, from our perspective from Persistent we have a dominant share coming from TMT, BFSI and HLS whereas with Nagarro we add a significant might in industrial consumer and a fledgling business in public sector.

One other thing one should know, this also gives us an entry into Middle East where today Persistent's footprint is minimalistic and Nagarro has a fairly decent practice across various industry verticals within Middle East.

So, it's a pretty good mix of Europe, Middle East, Japan, Israel and other places which gives us enough and more addressable market to expand whether vertical -wise, geography, service lines and more.

Now, how does it position us globally? We would, as a combination, look to be the 2nd largest digital engineering player globally, 7th largest in terms of technology services company from an India listed landscape .

And, if I may say so, if we are able to bring our track record of growing consistently over the last several years , the operational rigor that we have put together , the capabilities we have put together combine these two into two organizations , the amount of synergies we can drive from a Persistent Systems Limited

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revenue perspective would place us at the best of the value creation for our shareholders going ahead.

Now, just to summarize here, if you were to look at this combination for the Persistent Nagarro group , not only we become a leading AI led engineering powerhouse, we have a new dimension of scale. And why is scale important? A number of you may be thinking in today's day and age why have bigger scale? It's not about scale for the sake of scale , it is, where does the scale come and why is it important ? This basically brings scale , which is an additive to Persistent and to Nagarro in different geographies , in different verticals . And let's say we are dealing with a large customer putting out a large bid , the geographical presence across the globe is significantly important and that is what gives us the seat to the table and right to win in the larger bids going ahead with this potent combination.

Coming to the capabilities , I've talked about this before , we believe the capabilities whether it is our digital engineering capabilities, whether it is the ERP edition, whether it is the forward -looking and the most important AI led things, I talked about the OpenAI part from Nagarro, similarly we have partnerships with Anthropic, we have partnerships with other leading hyperscalers and so on, bringing all of this together our capabilities on AI forward deployed engineering become impeccable and possibly much bigger than any of the sized players who are general purpose IT services technology players in our world from a revenue diversification.

Now, this also, from a geopolitical perspective, is a fairly good balance. And also keep in mind, from an AI perspective as well if we can work with the leading companies in the west coast of the US where literally everyth

ing that anyone talks is AI and we can serve those demanding customers . We can bring it to the US and North America . North American markets are usually ahead of the European markets in adopting technology . So, if we can bring those tenets to Europe , we can get an unfair share of the market share in European markets and grow Nagarro big time in the years to come .

Similarly , on the cultural fit and which is very important from the integration perspective whether it is the entrepreneurial culture of the two organizations, the engineering first culture, whether it is the India - US, Europe -India corridor and even in the times to come , the collaboration between countries like Germany, India, broader Europe and Persistent Systems Limited

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India, a lot of these will play very nicely into us being able to integrate, And in integration this is, again as I said before, we are not looking at huge amount of people coming from Persistent in Europe taking over leadership responsibilities , in fact it will be the other way round.

Increasingly the team in Nagarro will play a bigger role in their strength areas whether geographically , vertically and so on . So, from that perspective , the discussions between the two management teams are very encouraging and we are very confident .

Obviously , it will be a planned execution of integration over a period of

time and usually these things have to slow roll . Usually these things will take time to create value but we are very confident of doing it the right way.

Now, let me go back to our priorities and how does this fit in. Now, with the Nagarro group coming in with Persistent and the overall Persistent Nagarro group , if you were to look at it, we create an impeccable set of forward -looking capabilities creating a company built to last. We have service lines diversification, we add ERP from their side, CX from our side, we augment the verticals. Many of you have asked us in Earning Calls before, do we need additional verticals to scale to the aspiration of \$5 billion that we have? By FY31 , we get that as well at a nice scale. We add to the European business, we live to our dream of having European business at 15% plus. In fact, it's a very nice combination which gets us to 22% in Europe , it adds nearshore delivery presence and it , as I said before , it gives us a Japan presence, a Middle East presence, a presence in some other parts of the world where we are not there and also adds to us a small embedded software practice, which if we were to do these acquisitions, as sum of parts we would have had to pay far more and integrating would have been a very difficult job.

So, with that , let's come to the video from Manas , who is the CEO and Co-founder of Nagarro and let's just hear him out on the combination . Nagarro is an engineering first company much like Persistent and in that the two companies share a very common culture . At Nagarro we believe that we should not be running to where the ball is but where the ball is going to be . And with this in mind , many years ago we designed the company around digital transformation optimizing it for digital transformation work and we were able to ride that wave of growth for many years and today we are designing the company and moving the company and preparing the company for the AI transformation wave and Persistent Systems Limited

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we really look forward to riding that wave of growth . And in this riding and capturing this wave of growth , the partnership with Persistent is extremely exciting because if you sat down with a pen and paper to design the complementarities , the ideal complementarities , we may not be doing as good a job

but as we just happen to have with Persistent but just by a sheer stroke of luck . So, across industries there are these complementarities , across geographies , across service lines and even partnerships , you know , we we're very complementary . And so , we really look forward to making this all work out and actually riding this wave of growth with this whole AI transformation in the next years to come .

So, now , with that , we are very excited about this whole thing , we believe this could be a game changer for all the shareholders .

- Whether it is the existing shareholders of Nagarro who will be exiting, they get a reasonably good premium.
- From the Persistent shareholder perspective, rest assured we just expanded our horizons from an addressable market perspective , geography , accounts and so on . We are confident of bringing our rigor , our joint capabilities , etc., to growth for the combined organization .
- For our clients , we just became an even more relevant player at a global footprint .
- For our partners , they have even more incentive to work with the forward -looking , scaled Persistent .
- And for our employees both sides , it means broader , bigger ambitions , possibilities , opportunities and that way , more reasons to stick with the organization for longer .

With that , I'll hand over to Vinit to explain the transaction details and come back later for summarizing and answering questions . Vinit, over to you.

Vinit Teredesai : Thank you , Sandeep . Good morning , good afternoon , good evening to everyone and thanks for joining this call . Just let me walk you through in terms of the transaction details .

- Persistent has agreed to acquire 100 % of the Nagarro shares at an enterprise value of €1.27 billion based on an €81 per share in cash ; a premium of 140 % to the undisturbed closing price on June 25 -26 and 94% to the 3-month volume weighted average price .

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- Transaction values Nagarro at 1.27 times the enterprise value to the revenue and 9.12 times enterprise value to the EBITDA. And I will walk you through in the next slide the details about it.
- It has already secured 21% stake in Nagarro via share purchase agreement from the major shareholder. Management Board has already expressed their interest to tender their shares into the open offer . Both Nagarro boards fully support the transaction and have signed a business combination agreement . Persistent extends the voluntary public takeover offer to all the outstanding shares at the same price of €81 per share in cash . And we have put a minimum acceptance threshold for this open offer at 50 % plus 1 share . So, just coming on to the valuation part of it –
- The offer price is at €81 per share .
- The outstanding shares , which are excluding the Treasury shares , is around €12.4 million . That translates into an equity value of €1 billion .
- Then there is a Net Debt, reported Net Debt, of around €267 million . And that translates into the enterprise value of €1.27 billion . That's how the calculation on the enterprise valuation wise. And if you look at the revenue multiples or the EBITDA multiples based on the Calendar Year 25 , revenue and EBITDA that has been declared or the other consensus in terms of what are the Calendar Year 26 guidance , all fit within the number what I already talked about . Rather if you go with the calendar year guidance on the upper end , the multiples from the EBITDA perspective drop down to around 7.73 . So, we believe this is a very , very fair and attractive valuation that is being paid both for the Nagarro shareholders and the asset that we are acquiring for us . Let me get on to little bi

t on the financing part of it .

- This will be completely funded through a committed bridge financing from Barclays .
- The interest rate is going to be Euribor plus a margin of 175 -250 basis point . At this point of time that translates somewhere in the range of around 4.1 %-4.8%. The requirement will be a few months later , that's why we given this as a range .
- The leverage , that is the Net Debt over the combined EBITDA, is going to be 1.9 times -2.5 times based on how much will be the open offer

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acceptance . So, at 50 % plus 1 share to 100 % , it is expected to reduce down to 1 X by FY2030 .

- The total amount of facility , committed bridge financing facility , of €1.4 billion includes the refinancing of Nagarro's existing debt , if required . And Persistent Systems Limited, which is the parent entity , will provide a corporate guarantee of €1.4 billion and it will also include any outstanding accrued interest in addition to the bridge facility of €1.4 billion .
- Goodwill and Other Intangibles put together , so we are anticipating it will be roughly around 70 % Goodwill and 30 % Other Intangibles . And those Other Intangibles will be amortized over a period of 8 years.
- The transaction is expected to be Cash EPS accretive as well as Reported EPS accretive in Year 1 if you remove the transaction expenses that will be incurred in the first year .
- Revenue and cost synergies to be detailed post the regulatory approvals .

Just from a timeline perspective , on 26th June 2026 we announced the

offer for the voluntary public takeover . In the next 4 weeks , we'll be filing our documents with the regulatory authority BaFin here in Germany . And they will take around 10 working days to two weeks ' timeframe for us to get back and clear the offer document . After that , we'll launch the voluntary public offer . Acceptance period will be there for a period of 4 weeks . We can have an additional acceptance period of 2 weeks further . The Persistent Annual General Meeting is expected by in the last week of July and we intend to put forward the transaction for shareholders' approval in the same Annual General Meeting. And based on the current anticipation of various regulatory approvals that are expected, we expect this transaction to close sometime towards the Q4 of Calendar Year 2026 or early Q1 of Calendar Year 2027 .

With that, I will hand it over back to Sandeep to summarize it.

Sandeep Kalra: Thank you. Thank you, Vinit. So, if we were to summarize this between the large deal that we have announced and the transaction that we are announcing for Nagarro acquisition , we are very confident , first, about maintaining our growth in the existing Persistent part of it , we are confident that we are having a right partner for the combination for creating the company which will be sustaining the same revenue growth momentum for times to come , creating a unique capability from a Persistent Systems Limited

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customer perspective . We are excited about this journey and we look forward to your support in this journey together .

So, with that , we will stop and we look forward to the questions from our investors .

Q&A Session

Moderator: Thank you, Sir. We will now open the call for Q&A Session. We will wait for few minutes until the queue assembles. We request participants to restrict to 2 questions and then return to the queue for more questions . Please raise your hand from the 'Participant ' tab on the screen .

The first question is from Kumar Rakesh .

Kumar Rakesh : Hi, good afternoon. Thank you for taking my question. My first question was around the books of Nagarro , so have we done any incremental due diligence on th

e books of Nagarro? And are we confident that all the issues related to their books are behind ? And related to that is the acquisition multiple as well that it looks like it's premium compared to some of the peers especially in Europe who are trading at . Given the growth profile of the business , what has been the rationale behind the valuation multiple as well ?

Sandeep Kalra : Sure. So, as far as the books of Nagarro are concerned , I think you are referring to the BaFin queries that they've got over the years . So, they have got two set of queries . One was related to the time that they basically were carved out of Allgeier . The second is about how they have taken the accounting principles and so on . And we have done the diligence on both , we are confident that those issues are more answering BaFin rather than any issues that have any impact on the company's performance or any of the practices being followed by the company and so on . So, we are fairly convinced . We have had a legal / tax diligence and we have appropriate responses from the management and good reasons to believe nothing to worry .

Now, in terms of the premium . Obviously when you're looking at the premium , if you compare these companies , the growth profile or where the stock prices were over the last 1 year , last 3 years, we believe we have paid a reasonable premium for a control transaction. And from a perspective of integration , this would be a much better integration than having just another company in Europe . And if you were to compare this Persistent Systems Limited

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transaction , you should also compare to the private transactions that are

happening in a controlled manner .

So, from our perspective , we believe it is not about buying cheap but it is about buying the right asset , it is about having the right management team capabilities which can help us build for the future . So, it's a value acquisition for us , it is a very complementary acquisition for us and we are convinced about the value we are paying and about the value we can create for our shareholders .

Kumar Rakesh : Thanks, Sandeep, for that. My second question was , you spoke about ERP and CX capability, which two companies bring together. But there's a lot of service line capabilities which are very similar between the two companies , so beyond the industry and geographical expansion is there any cross -selling opportunities as well, sizable, that we can look forward to?

Sandeep Kalra : Yeah. So, if you look at it, you are right , from a service line perspective it is ERP, it is CX and they have a very strong consulting practice as well.

Now, if you look at a vertical side of it, there are complementary verticals. So, we don't have a scaled industrial vertical, we don't have a scaled consumer vertical, we don't have a presence in public sector, we don't have today the ability to service our customers globally in different parts of Europe, for example, scaled presence in Germany, Italy, France, Switzerland, Spain and Turkey and so on and so forth. So, there are many vectors, which are meaningful vectors in terms of synergies, whether verticals, geographic presence, capabilities and so on. So, we are very enthusiastic about this and we sincerely believe we can scale the combined entity very well over the next several years.

Kumar Rakesh : Thanks a lot, Sandeep. All the best.

Sandeep Kalra: Thank you.

Moderator : Thank you. The next question is from Ravi Menon.

Ravi Menon : Hi, thanks for the opportunity and congrats on the deal. So, first of all, you talked about the management team , so are these guys staying on?

And do you have a certain run-out and other factors attached for a certain period of time?

Sandeep Kalra : Yeah. So, management team is absolutely committed to staying on . And the European laws w

ork slightly different than the things work in America and India etc. Since part of the management team is also an investor in Persistent Systems Limited

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the company , these incentives , etc., we have to be very compliant to the minimum pricing regulations , etc. At the same time, there are enough and more commitments from both sides. And the good part, Ravi, from that perspective is we are complementary, as we talked multiple times, even for the last question, whether it's vertical, geography, capabilities , etc., our presence in Europe is minimalistic, our presence in many other countries outside of Europe like Middle East that they are in, so we will look to their leadership to take on more with time. And so, there is no reason for anyone to be unhappy in this. And yes, wherever required as we integrate we will put the right incentive plans in place like we have in Persistent for our senior management. And we are confident of the teams working together based on the diligence that we have done.

Ravi Menon: And you have had really good growth until quite recently, and especially automotive manufacturing now that's started picking up. So, can you talk about the type of clients, and sort of the work that Nagarro does in this segment.

Sandeep Kalra: Yeah, so we are in the process of the transaction. We have to take all the regulatory approvals and so on. So, I have to be at a high level at this point in time. But at a high level if you look at it – they count some of the largest auto manufacturers here. But automotive is not necessarily the biggest segment for them, it is a broader industrial segment. They have a very good partnership for example with Siemens, where they do both - the product engineering for them, they also do significant go -to-market implementations for Siemens and similar players. If you travel in Lufthansa Airlines, they have done a significant amount of work for Lufthansa. They have done a significant amount of work for SAP for SAP

itself.

So, for example, the next generation, you know, work that is being showcased by customer by SAP in their customer briefing centers in India or otherwise a significant part, Nagarro has a role to play. So, the kind of work that they do is cutting edge, whether it is an industrial consumer, even some parts of travel, transportation, and so on. So, we pretty much see this as a vector that we can also take to our side.

And so, from that perspective, they are not necessarily, if I may put it straightforward, if one is thinking about automotive slowdown and so on, that's a small part of their revenue and where they work also is more on the digital side.

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Ravi Menon: Thanks a lot. And you know, the segments that have declined for them, the horizontal tech, energy utilities, telecom travel segments, some of these have been quite sharp declines. And are there any structural issues in any parts of the portfolio, especially horizontal tech, which seems to have been declining in, you know, over the last few years?

Sandeep Kalra: No, so, Ravi, I'll put it this way. I don't think at a nuber level, and I don't want to go into the structural part of every vertical. I'm currently running Persistent and I would rather have Nagarro CEO comment on all the verticals. But from an uber perspective, if you look at it, they have on a constant currency grown more than 5% even in these environments. And keep in mind, if I may say so, they were distracted for some time when they were taking a transaction to take Nagarro private in the last year. And you can do your own research on that. And we believe that with this behind, this whole transaction thing behind Nagarro, and with the single-minded focus of the management of Persistent and Nagarro on growth, we are very confident of bringing this back to an industry leading growth. Obviously,

it has to be in the context of Europe, and other geographies.

And so, from that perspective, we have no reason to believe any of those, you know, slowdowns that you're talking about should impact it.

Ravi Menon: Great. And, you know, do you see any cost synergies, or the combined merged entity you think will operate at slightly lower margins as Persistent currently does?

Sandeep Kalra: So, look, the combined entity, even today, if you look at their margins, their margins in the last quarter are reasonably good. Now in the combined entity, our ambition would be, yes, there would be cost synergies. But our ambition is to put that back, a significant part in growth related initiatives, and expansion initiatives.

Having said that, we do not believe that the combined entity will be at any significant lower margins than what Persistent has today. And if you look at our track record, we have brought our margins over the last several years up significantly. And two companies at this scale, there will always be cost synergies, which can enable us despite the investments that we talk about. So, long answer, but to summarize, we believe we can maintain the margins and better them.

Ravi Menon: I am sure of it. Best of luck.

Sandeep Kalra: Thank you.

Moderator: Thank you. The next question is from Vikas Ahuja.

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Vikas Ahuja: Yeah, hi. Thank you for the opportunity. And congrats on winning the large deal and this acquisition. I mean, the strategic logic is sound, you know, geography, vertical diversification, scale, multiple arbitrage s. But, you know, my first question is Nagarro revenue has been flat for two years now, and with margin pressure. What gives us confidence that this is a turnaround asset? And, obviously, you know, when I also look at the stock price from the peak, it's down 85% from 212 levels. How do we think, you know, we can help the business recover?

Sandeep Kalra: So, see, stock price and business are related. But at the same time, stock

price is business fundamentals multiplied by the multiple that you get in a geography. So, I'll just leave it there. You are as investors much better experts at this.

Now, if I look at the revenue growth, you look at Nagarro itself, they have in the past grown very well. And for various reasons, whether it is management distraction in the take private transaction that they worked on or other reasons, there may have been some hiccup.

If you look at our own track record of Persistent, we have grown from the time we went IPO at about 17.5% plus CAGR. If you look at the last five years in an industry where others have not grown, we have grown disproportionately. From our last five years CAGR perspective, we are at 23.9%. If we bring in the technical capabilities and the rigor of a Persistent into the joint entity, and we work together well, we are very confident of the growth that we can bring to the joint entity.

Now, obviously, the other part is most of these integrations, most of the acquisitions have an integration issue that can derail them. As I said before, culturally, we believe the company has a beautiful culture, where while they are local, they are global, they have significant presence in countries like India, and otherwise in many other countries. So, there is already a significant amount of integration from a cultural perspective that exists in the company. That takes one big thorn out of this acquisition.

If it was a pure play European company with no footprint in countries like India, where we have a significant footprint as well, that would have been a little harder boulder to push up the hill. So, if the integration is something that is a little easier, if the mana-

gement in that company is entrepreneurial, we were founded by Anand, the similar cultures exist, technology wise, somebody pointed out earlier, some part of the basic ethos of services, etc. are common. So, it is a lesser problem on the Persistent Systems Limited

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integration side, more on the expansion side. And so, we are confident and obviously, time will tell, but we are confident we'll bring the growth into the asset, and we'll maintain the margins.

Vikas Ahuja: Right. Sandeep, also, you know, one clarification on the margin, and especially if I look at the EBIT margin, I thought for Nagarro it's high single digits versus, you know, we were doing around 15-16%. So, I thought the value accretion seems to be contingent on lifting Nagarro's margins. But I think you made one statement that, I mean, margins are the same. Can you just clarify on that point?

Sandeep Kalra: Yeah, so, Vikas, for the sake of time, I would request you to read their financials and even the presentation that we'll share, their margins on EBIT side are not single digit. Their margins on the EBIT side are 13.9% plus, and so on. So, I would sincerely request you to review their financials and even the reviews that we do. Thank you.

Vikas Ahuja: Sure, thank you.

Moderator: Thank you. The next question is from Karan Uppal.

Karan Uppal: Yeah, thanks for the opportunity. Just a question on Nagarro's financials on CY21 and CY22. The overall growth seems to be pretty high. How much of that was organic during that period?

Sandeep Kalra: So, Vinit, do you want to address that?

Vinit Teredesai: No, so they did have a couple of acquisitions at that point of time, which had basically increased numbers. Again, those numbers are available in public domain, have a look at it. The point is we have looked at it more as a combined entity that existed on calendar year '25 and Q4 of, sorry, Q1 of calendar year '26 basis. And right now, they don't have any material all of that, all the growth that has been factored in is all organic from our perspective.

Karan Uppal: Got it. Second question is on the vertical performance. Sandeep, you have touched upon this a bit. So, automotive, manufacturing and industrial seems to be pretty consistent in terms of growth, but other verticals seem to be quite volatile. So, what changes would you like to make in the combined entity so that the performance is quite consistent

like the way we observe in Persistent?

Sandeep Kalra: Yeah. So, look, we have just announced the transaction. I wouldn't want to stretch the envelope by saying we have all the answers to your questions in terms of what changes we would make and so on and so on.
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forth. I think the fair thing to say would be, have we done the diligence at the level that we are comfortable in each of these, whether it is verticals, whether it is geographies, whether it is the overall operations to be able to say, we have a draft plan. I don't think it is a time to share that plan right now. We still have to wait for the regulatory approvals, whether it is the RBI approval, whether it is the regulatory approvals in various countries, including, you know, here in Germany. So, there will be a time where we will share a value creation plan, but I think we have to let that time go by when we have the regulatory approvals before we kind of jump the gun. But from the diligence, we have a value creation hypothesis that we have presented to our board to get the approval for this transaction.

Karan Uppal: Cool. Thanks. Just a last question to Vinod. Vinod, how much interest cost one should bake in once the transaction is over from, let's say, assuming FY28 basis?

Vinod Teredesai: Yeah, obviously, at this point of time, you know, one of the critical parts that we need to get it is how much is the acceptance that comes

up in

the open offer. And as a result of that, how much debt we'll have to look at it. The good part is that both Persistent and Nagarro are good in terms of their cash generation. So, our intent is basically to see some of these loans are repaid to the cash generation that will be happening over a period of time.

So, in the next couple of months, you will get a lot of answers in terms of, let's see how much we'd get as a part of the open offer, how much we are able to generate as we maintain our cash generation, and we should be able to reduce down. The good part, entirely debt-driven transactions on our assumptions, and we are pretty confident that we'll be able to service the debt, become cash EPS accretive from Year 1, and remove the transactional expenses, even the reported EPS should be positive from Year 1.

Karan Cooper: Okay, thanks. Thanks a lot, and all the best.

Moderator: Thank you. The next question is from Nitin Padmanabhan.

Nitin Padmanabhan: Hi, good morning. Congrats on the transaction. I had a couple of questions. So one is, if you look at Nagarro's, you know, distribution of verticals and average size of the clients, they are much smaller, significantly smaller than what it would be for Persistent. We have sort of scaled clients pretty well. And there also is sort of a long tail. So, I wanted
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your thoughts on how we would sort of address that. And do you think that could be a risk to growth from an overall combined entity perspective? So that's one.

Two, how are you thinking about sort of being able to sort of extract value out of that? And would you need to invest more from a GTM perspective within those accounts or let go of some of those tail accounts? So that's the part of the first question, I'll ask next after this.

Sandeep Kalra: Sure. So, Nitin, very well said. In fact, that's a good opportunity for us. So, if you look at the story of Persistent, even we have moved up the value chain. Today, if we look at it, the top four customers or top five customers – the average, let's say for the top four is more than \$100 million. And if you ask us 3-4 years back, when we used to do our investor meetings, people would ask, would we have the ability to have \$100 million plus account? And today we have at least two which are \$100 million plus, third is reaching there very soon, and so on. So, this is actually an opportunity for us.

The logos, the quality of logos is very good. One thing that I will also say is, there are only this single digit overlap of customers at any value. So, from that perspective, there are less than 10 customers where we have any significant overlap. And there also we are working in different parts of the organization. Now, if you have 180 logos, which are 1 million plus, and they are very good quality, and the highest customer may be less than \$50 million. If we bring the tenets of Persistent, if we bring together the minds to be able to mine those customers, we actually don't need to hunt for any other logo. So, from that perspective, there is significant amount of opportunity on the table. And if we are able to bring the service lines together, take it globally to the customers, we are very enthused - both sides - about the potential that exists in mining this. Now, is there a possibility of, you know, tail accounts being rationalized? There's always a possibility and we'll look into that as well. That should release the SG&A to be able to invest where we need to. So, from overall perspective, look, the two companies put together have more than 350 million, you know, \$1 million plus accounts. The quality of their accounts are pretty good. Ability to mine that will decide how much we are able to scale even further.

And overall, we think there's significant amount of untapped potential in those accounts that can be value accretive. Now, your next question.
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Nitin Padmanabh: Yeah, the next one was on the delivery side of things. 68% of their revenue is time and material. And in the context of cannibalization, with AI and all of that, how are you thinking about that in the context of Nagar ro? That was the second.

And finally, I think their free cash flow seems almost double that of PAT. Obviously, there's interest costs there, but interest is below the line. So how sustainable is your free cash flow? How are you thinking about that in terms of being able to, if I assume the whole debt, it's around almost \$41 million of debt repayment, I mean, interest costs. So, just in that context, that was a second question there, third question. Sorry.

Sandeep Kalra: Yeah. Yeah. So, I'll first have Vinit answer the other questions, and then I will come back.

Vinit Teredesai: Yeah, see, look at it. At the end of the day, you know, even from a position perspective, we have made improvements over a period of time in terms of generating our operating cash flow, coming out with different models in terms of how to fund the CapEx, etc. So, our intent is over a period of time, we will bring the best of the practices into the combined organization and try to improve the cash flow, ensure that the debt is serviced within the cash flows that are being generated.

And, you know, we have moved away from a lot of CapEx model to an OpEx model of working, funding our working capital. A lot of these things will help us in terms of supporting our cash flow and ensuring that we remain in the positive and comfortable zone.

Sandeep Kalra: So, I'll come to the first part, the T & M business being 65%, and so on. So, let's dig a little deeper into what companies like Persistent and Nagar ro do. We are not comparable to some of the largest peers we have. And they are good companies, the bigger peers are not bad companies, they're good companies. But a significant part of their work is support-related managed services, or, you know, support related T & M work, and so on. Now, when we look at Nagar ro and Persistent, we are more into the build side of it, whether it is the digital engineering side of it, more and more AI led digital engineering. And these, at times, don't lend themselves to the fixed bid managed services kind of constructs. So, while they may be T & M, while it may be a T & M leveraging AI tools, or at times, where for example, some deals we may be able to do on business outcomes, the T & M model is not dead, at least for the next few years, it will increasingly go down. And that's what they are also doing.
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So, I would not worry too much about that. I'm pretty reasonably sure, based on the diligence that we have done, and the kind of top customers, what the work they do, what we have understood, we are comfortable with this. And over a period of time, these business models will evolve wherever they have to evolve. And that's the same thing applicable for Persistent or anybody else as well.

Now, hopefully that answers you. And I go back, I want to go back to Vikas Ahuja. Vikas, I want to make sure I give you the right data points. So, the EBIT for CY25 for Nagar ro is 10.9%. For Q1 CY26, it is 12.1%. And they recently brought on a CFO. For the longest period of time, they had run the CFO organization, not necessarily in the most regimented ways. We have good reasons to believe that this will improve. And there are many tenets

that we have seen, which we don't want to discuss on this call. As we build the integration plans, as we build the synergy plans, we are confident of taking their margins up, working closely with them.

Nitin Padmanabhan : So, Sandeep, you missed the cannibalization part of the question. On your assessment of cannibalization of revenue with AI for them in their context.

Sandeep Kalra: So, look, the same thing applies for Persistent as well. So, I want to answer it at a n uber level. And thanks for reminding me on that. So, if you look at cannibalization, even today, we are cannibalizing as Persistent our own revenues. And the way we are doing this is, we are adopting tools and we are building our own IP. So, for example, the S ASVA platform that we have, it can do end -to-end engineering. It also showcases to the world whether they use S ASVA or not, whether we use Anthropic or OpenAI or whatever. So, we are able to get more business. So, the point is, if we are able to disrupt ourselves, cannibalize ourselves, we are winning more business. And the fact that we won the large deal is also on the back of the entire AI thing that we are basically saying we can do more for less, or for the same amount, we can do far more. So I wouldn't be that worried. Is the cannibalization going to reduce the T &M revenue for the scope of work that they do currently? Yes.

Now the secret to the whole thing would be, are you able to win disproportionately? Are you able to move the capability needle much faster than the bigger organizations? And that's what our entire strategy has been in Persistent. And that's what these people, if you look at Manas' video as well, he was referring to that. And that's what we will Persistent Systems Limited

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continue to build. So, win more business while cannibalizing the existing share. And we are both companies put together \$2.9 billion, much smaller than many bigger peers, much more than the market. We are confident despite the cannibalization, we will continue to grow. And as I said, even the large deal cements the growth for Persistent for this year. Hopefully that answers.

Nitin Padmanabhan : Thank you, Sandeep. Wishing you the very best.

Sandeep Kalra: Thank you.

Moderator: Thank you. The next question is from Abhishek Bhandar i.

Abhishek Bhandari: Thank you for the opportunity. Sandee, I had three questions, two on the deal, the M&A and one on the large deal. I'll start with the M&A. So, in one of the points in the press release, you have mentioned Persistent does not intend to enter into a domination and /or pro perty loss transfer agreement for two years. Do you think Nagar ro will run as an independent company for two years without integrating into Persistent after the closure?

Sandeep Kalra: Yeah. So, the way it will work is - we will have, depending on the acceptance, and we are assuming we'll be successful, given we already have 21%, given we already have management commitment for their shares, and reasonably good confidence that we will be to get to the level we want to. With that, we will have the ability to work with the management team to be able to bring the change. Obviously, they are running the company. We are the shareholders and controlling

shareholders. We'll run the company with them. We'll, over a period of the next two years, look at where we can do the squeeze out. And we are in no hurry to do the squeeze out. We can do the squeeze out at the right period of time. Ultimately, it'll become one entity going ahead. But we will have the agreements in place to drive synergies and be able to make impactful change in their decision making, working with them. That is the way we are looking at it. And that's the way mature transactions in the European public -to-private transactions work.

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Abhishek Bhandari: Got it. My second question is on the options you had, the entire cash flow to buy the shareholders. When you're acquiring such a large company, which is almost two-third of the current size, as a risk mitigation strategy, do you think doing some kind of a cash -plus-share swap would have been a better strategy to reduce your risk and also have more skin in the game from the company holders who are entering into this transaction?

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Sandeep Kalra: Yeah. So very good question, Abhishek. So, the thing is this, this is not a private equity asset that we can do an easy share -swap and stuff like that, that many of our peers may have looked at. In a public -to-private transaction, the dynamics are different, especially in places like Germany. And we have gone into enough details with the lawyers and bankers on this. Having said that, there is a significant amount of inbound interest, even in the last 24 hours, that we have from private equity and other people in the market. We may look at that over a period of time at the asset level, not at the Persistent level.

We don't intend doing any QIP, just to be clear for everyone. We don't intend diluting our stake at this point in time. We may look at if there is a merit in deleveraging by having a private equity or some other participation at the asset level. Those options are open. No decisions taken. Right now, our decision is to go solo. We are confident we have the Barclays financing commitment. The interest rates are pretty favorable, and our combined EBITDA supports the entire transaction. Options are open.

Abhishek Bhandari: Last question is on the large deal - on the usual business that we have.

Congrats on that. If you could share more details around what exactly you are going to do with your top tech accounts on this project? Any kind of timeline around the ramp -up of this particular \$650 billion? You mentioned 125 ACV, which should be assumed from Q2 itself. And are there any margin implications of such large projects? Is it a consolidation project for you? Or is it scope expansion on the work that you're doing?

Sandeep Kalra: Yeah, so we will not talk about the customer's name. We are under NDAs not to disclose the customer names, etc., and that's not a good practice.

Having said that, this is a net new business. There's not much ramp -up required in this because this may also have employee transitions and so on. And from that perspective, we are responsible for end -to-end product engineering and product support for a significant portfolio of products globally. That should give you the confidence. And yes, it will be accretive - revenue & margin from Q2 onwards. And from that perspective, margins are fairly healthy. It is not necessarily, you know, large deals like this don't come at the margins at the company average, but a company is always a sum of parts. This is at a fairly healthy margin and we are pretty happy with the deal.

Abhishek Bhandari: Got it. Thank you.

Moderator: Thank you. The next question is from Kawaljeet Saluja .

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Kawaljeet Saluja : Yes, Sandeep , congratulations on the two deals. My question is just a short one for Vin it. Vin it, can you just walk us through the EPS accretion math on a gap basis in the first year itself? Now, the math I'm doing, unless and until you assume some margin expansion, it's difficult to get to that EPS accretion, so if you can just help us with that.

And the second thing is that the debt that you're raising, is the interest expense a tax -deductible expense as such?

Vinit Teredesai: So, what we said is from a cash perspective, so first of all, what we are right now anticipating is a 70 -30 split in terms of the goodwill and intangibles

. The intangibles will be amortizable over a period of eight years. The interest rate, as I said, a billion dollar plus acquisition and debt will cost us roughly anywhere between 4.1 to 4. 5% sort of interest rate at this point of time.

Number two, if you look at when we say cash EPS accretive, is basically because if you remove the amortization expenses, etc., all put together, it's cash accretive for us. Even when you look at from a reported perspective, what we are saying is , if you remove the one -time expenses that will be incurred as a result of the transaction expenses, etc., those one-offs, if you remove and look at it, it will be even reported basis EPS accretive for us.

Kawaljeet Saluja : Okay. The second question is for Sandeep. Sandeep, I know you have multiple times you have said that there are significant synergies and growth will be a focus. But I just thought, let me just ask this again, that when you do such a large acquisition, the size of the organization increases. And in your case, there's a complexity of a two -year complete integration plan as well before you squeeze out the minorities. So how do you ensure that the growth engine keeps on going? I think investors are fairly comfortable, all of us are fairly comfortable with the Persistent part of the growth story. But something which is growing at 3 -4%, how do you bump up the growth of the combined entity to that Persistent level growth rate?

Sandeep Kalra: Yeah. So , if I may humbly say so, look, any company goes through its own phases. There are times when the growth slows down. And even in Persistent, we have had a few years where our growth was not necessarily at the clip that we are today. And we have done our diligence. We have done the diligence on how they go to market, what their structures are, what are the low -hanging fruits, how do we structurally , while we wait for the full combination to happen, work with them. And Persistent Systems Limited

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we are pretty reasonably confident based on the diligence and the kind of chemistry we have developed with their management teams and the kind of low -hanging fruits that we see that we will be able to do that. Second, putting the right contracts in place to drive synergies even while we run the two companies publicly as one company owned by us fully and as in one company where we have full control and one company where we have control over the shares and we have management working with us. So , we are fairly convinced we can execute to this. And our track record ourselves should show our capability to do that. Now, we have to be cognizant of time, we are already at 9 :02. If there is one last question we can take, we will take. And we will be looking forward to meeting our investors on a one -to-one meeting. And we can follow up with any of you in those meetings as well. So , one last question, Vand it, if you can take, we will try to close the thing.

Moderator: Sure.

Sandeep Kalra: Kawal, we will follow up with you after this call as well.

Moderator: Sure. The last question is from Vibhor Singhal.

Vibhor Singhal: Yeah. Hi. I hope I am audible. Thanks for taking my question. So , Sandeep, I think the business logic and all is very well explained. I won't take much of your time.

I'm just looking for a couple of transactional details from Vinit. So , Vinit, I'm just trying to draw out the decision tree here. The press release says that we have basically understanding of 21% stake from the existing promoters. And our transaction is basically subject to the fulfillment of 50% acceptance plus one share. So , I am just trying to play out the different scenarios, not necessarily which of them will fructify. If we acquire, let's say, 21% stake

and whatever stake that we have commitment to, but if there is less than 50% commitment, let's say, acceptance from the open offer, what does that happen? Does the transaction go null and void? If we acquire 50% plus one share, then but let's say whatever number we reach to 60% or 70%, then how does this happen? And eventually, is the target to take this company public? And would that happen after the DPLTA comes into force? And how will be the timeline of that?

Vinit Teredesai : So, look at it, 21% is something which we already got a share purchase agreement. As we said that the management also has expressed their

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intent to offer their shares into the open tender offer. And that roughly is in the range of around 13 -14%, you know, so that takes us closer to around 35%. There are certain other stakes, other shareholders who also expressed their interest, that we have a confident bet between 35 to 40, it is, you know, more or less committed.

Number two, we are paying a reasonably good premium to the existing share price. That gives us a confidence that, you know, we should be able to get easily above the 50% part of it. Now, our interest will be to go as close as possible to 100%. So, that helps us in terms of the integration and, you know, getting the squeeze out much easier. So that will be something which we will watch out. But 50%, I think so we are pretty close, we do not anticipate any reason why we should not be able to get 50%.

Obviously, we have a lot of bankers and etc ., who have advised us on this. And based on the shareholding pattern that we are privy to, we are pretty confident that this should not be a challenge for us.

Vibhor Singhal: Got it. And just one last part on that, post 50% are the rules pretty much like Indian open offer? Is it the majority of minority that have to agree , and then basically the company can be taken private? Or is there a different threshold to eventually acquire 100% stake in the company?

Vinit Teredesai : Yeah, it is pretty much on the same lines. There are a few local things that need to be taken care of, but yes, with 50% we get a good amount of control over the supervisory board and you know, a lot of things should be possible to be integrated with the help of the management.

Vibhor, we can subsequently answer these questions in good level of detail.

Sandeep Kalra: So, we are at 9:05, we'll just summarize the call and we will make sure that we end in time , we are a little above.

So, from our perspective the summary for all of you is, with the momentum that we are seeing in our current business despite the headwinds and the tailwinds that various people see we are with our growth journey in Persistent. With this particular transaction, we are confident of building our next together. We are confident of the integration, we are confident of what we are seeing in terms of the industry verticals, service lines , management commitment. We believe we have the right chemistry, and we believe the asset gives us the ability

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to build the next generation of Persistent and value to our customers, shareholders and employees at a larger scale.

With that, we will stop. Thank you for your time today and we will be in touch for further updates.

Vandit, if you can close the call please.

Moderator: Thank you very much to the Persistent management team. Ladies and gentlemen, on behalf of Persistent Systems Limited that concludes today's conference. Thank you for joining us and you may now disconnect your lines and exit the conference. Thank you.

*End of transcript *

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lease note that this transcript has been edited for readability.